

In the opinion of Nossaman LLP, Irvine, California, Bond Counsel, based on existing statutes, regulations, rulings and court decisions and assuming, among other matters, compliance with certain covenants, interest on the Bonds is excludable from gross income for federal income tax purposes, and is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that it is included in adjusted current earnings in calculating corporate alternative minimum taxable income. In the further opinion of Bond Counsel, interest on the Bonds is, under existing law, exempt from State of California (the "State") personal income taxes. Bond Counsel expresses no opinion regarding other federal or State tax consequences relating to the ownership or disposition of, or the accrual or receipt of interest on, the Bonds. See "TAX MATTERS" herein with respect to tax consequences of the Bonds.

\$56,600,000
CITY OF ATWATER
WASTEWATER REVENUE REFUNDING BONDS
SERIES 2017A

Dated: Date of Delivery

Due: May 1, as shown herein

The above-captioned Wastewater Revenue Refunding Bonds, Series 2017A (the "Bonds") are being issued by the City of Atwater (the "City") pursuant to an Indenture of Trust, dated as of August 1, 2017 (the "Indenture") between the City and The Bank of New York Mellon Trust Company, N.A., Los Angeles, California (the "Trustee"), and will be secured as described herein. The Bonds are being issued to (a) prepay and defease that certain Installment Sale Agreement, dated as of January 1, 2010 (the "2010 Installment Sale Agreement") by and between the City and the Atwater Public Financing Authority (the "Authority"), (b) prepay and defease that certain Installment Sale Agreement, dated as of April 1, 2011 (the "2011 Installment Sale Agreement," and together with the 2010 Installment Sale Agreement, the "Prior Obligations") by and between the City and the Authority, (c) purchase a municipal bond debt service reserve insurance policy for the Bonds, and (d) pay certain costs of issuing the Bonds. See "THE REFUNDING PLAN" and "ESTIMATED SOURCES AND USES OF FUNDS" herein. Definitions of certain capitalized terms herein are contained in APPENDIX A hereto, and are incorporated herein by reference.

The Bonds will be executed and delivered as fully registered certificates in book-entry form only, initially registered in the name of Cede & Co., New York, New York, as nominee of The Depository Trust Company ("DTC"), New York, New York. Purchasers will not receive certificates representing their interest in the Bonds. Individual purchases of the Bonds will be in principal amounts of \$5,000 or in any integral multiples of \$5,000. Interest payable with respect to the Bonds will be payable on May 1 and November 1 in each year, beginning November 1, 2017 (the "Interest Payment Dates"), and principal payable with respect to the Bonds will be paid on the dates set forth in the Maturity Schedule on the inside cover. Payments of principal of and interest on the Bonds (the "Debt Service Payments") will be paid by the Trustee, to DTC for subsequent disbursement to DTC Participants who will remit such payments to the Beneficial Owners (as such are defined in Appendix F hereto) of the Bonds.

Debt Service Payments are a special limited obligation of the City, payable from and secured by a pledge of and first lien on all Gross Revenues (defined herein) of the City's wastewater collection, treatment and disposal system (the "Wastewater System"). The Bonds are payable on parity with installment payments (the "2008 Installment Payments") due under an Installment Sale Agreement, dated April 1, 2008 (the "2008 Installment Sale Agreement") between the City and the Authority securing the Authority's Wastewater Revenue Bonds, Series 2008. Subject to certain conditions set forth in the Indenture, the City may at any time incur revenue bonds, notes or other evidences of indebtedness of the City payable from Gross Revenues on parity with or subordinate to the Bonds.

The Bonds are subject to optional and mandatory sinking fund redemption as described herein. See "THE BONDS – Redemption of the Bonds" herein.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by Assured Guaranty Municipal Corp. (the "Insurer" or "AGM"). See "BOND INSURANCE" herein and "APPENDIX G – SPECIMEN MUNICIPAL BOND INSURANCE POLICY" hereto.



THE OBLIGATION OF THE CITY TO MAKE DEBT SERVICE PAYMENTS IS A SPECIAL OBLIGATION OF THE CITY, PAYABLE SOLELY FROM AND SECURED BY GROSS REVENUES AND OTHER FUNDS PROVIDED FOR IN THE INDENTURE. NONE OF THE CITY, THE STATE OF CALIFORNIA, NOR ANY OF THEIR POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, OR CONTINGENTLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATSOEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT SECURED BY A LIEN ON THE PHYSICAL ASSETS OF THE CITY. THE BONDS ARE NOT A PLEDGE OF THE FULL FAITH AND CREDIT OF THE CITY, THE STATE OR ANY OF ITS POLITICAL SUBDIVISIONS NOR DO THEY CONSTITUTE INDEBTEDNESS IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. NO PERSON EXECUTING THE BONDS IS SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE.

This cover page contains information for general reference only. It is not a summary of the security or terms of this issue. Investors are advised to read the entire Official Statement, including the section entitled "RISK FACTORS," for a discussion of special factors which should be considered, in addition to the other matters set forth herein, in considering the investment quality of the Bonds. Capitalized terms used but not defined on the front cover of this Official Statement shall have the meanings set forth herein.

MATURITY SCHEDULE
(See Inside Front Cover)

The Bonds are offered when, as and if sold and issued, subject to the approval as to their legality by Nossaman LLP, Irvine, California, Bond Counsel. Certain legal matters will be passed upon for the City by the City Attorney, Terpstra Henderson, A Professional Corporation, Ripon, California, and by Nossaman LLP, Irvine, California, Disclosure Counsel. The Underwriter is being represented by its counsel, Nixon Peabody LLP, Los Angeles, California. It is anticipated that the Bonds in book-entry form, will be available for delivery through the facilities of DTC, on or about August 30, 2017.



\$56,600,000
CITY OF ATWATER
WASTEWATER REVENUE REFUNDING BONDS
SERIES 2017A

MATURITY SCHEDULE

Base CUSIP®: 050002

\$26,965,000 Serial Bonds

Maturity Date (May 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP®
2018	\$1,795,000	5.000%	0.970%	102.681%	AA2
2019	835,000	5.000	1.130	106.380	AB0
2020	880,000	5.000	1.240	109.841	AC8
2021	925,000	5.000	1.400	112.830	AD6
2022	965,000	5.000	1.570	115.382	AE4
2023	1,020,000	5.000	1.760	117.407	AF1
2024	1,065,000	5.000	1.980	118.778	AG9
2025	1,115,000	5.000	2.180	119.814	AH7
2026	1,175,000	5.000	2.350	120.672	AJ3
2027	1,230,000	5.000	2.520	121.161	AK0
2028	1,295,000	5.000	2.670	119.737 ^(C)	AL8
2029	1,365,000	5.000	2.770	118.799 ^(C)	AM6
2030	1,435,000	5.000	2.870	117.870 ^(C)	AN4
2031	1,500,000	3.000	3.150	98.341	AP9
2032	1,545,000	5.000	3.020	116.492 ^(C)	AQ7
2033	1,625,000	5.000	3.090	115.855 ^(C)	AR5
2034	1,710,000	3.125	3.310	97.641	AS3
2035	1,755,000	4.000	3.330	105.496 ^(C)	AT1
2036	1,830,000	4.000	3.360	105.242 ^(C)	AU8
2037	1,900,000	3.250	3.420	97.577	AV6

**\$8,945,000 5.000% Term Bonds Due May 1, 2040; Price - 114.060%^(C); Yield - 3.290%;
CUSIP® - AW4**

**\$11,840,000 5.000% Term Bonds Due May 1, 2043; Price - 113.616%^(C); Yield - 3.340%;
CUSIP® - AX2**

**\$8,850,000 3.500% Term Bonds Due May 1, 2045; Price - 98.081%; Yield - 3.610%;
CUSIP® - AY0**

^(C) Priced to optional redemption date of May 1, 2027 at par.

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CITY OF ATWATER

CITY COUNCIL

James Price, *Mayor*
James Vineyard, *Mayor Pro Tem*
Paul Creighton, *Council Member*
Brian Raymond, *Council Member*
Cindy Vierra, *Council Member*

EXECUTIVE STAFF

John Bramble, *Interim City Manager*
Lakhwinder Deol, *Finance Director*
Don Hyler III, *City Clerk*
Brian Shaw, *Acting Public Works Director*

SPECIAL SERVICES

Bond and Disclosure Counsel

Nossaman LLP
Irvine, California

City Attorney

Terpstra Henderson, A Professional Corporation
Ripon, California

Municipal Advisor

A. M. Peché & Associates LLC
Alameda, California

Trustee and Escrow Agent

The Bank of New York Mellon Trust Company, N.A.
Los Angeles, California

Verification Agent

Barthe & Wahrman, PA
Bloomington, Minnesota

No dealer, broker, salesperson or other person has been authorized by the City or the Underwriter to give any information or to make any representations other than those contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the City or the Underwriter. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Sections 3(a)2 and 3(a)12, respectively, for the issuance and sale of such municipal securities. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

The information set forth herein includes information obtained from sources which are believed to be reliable. The information and expressions of opinion contained herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the City since the date hereof. See "INTRODUCTION – Forward-Looking Statements" herein. This Official Statement is submitted with respect to the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose, unless authorized in writing by the City. All summaries of the Indenture and other documents are made subject to the provisions of such documents, respectively, and do not purport to be complete statements of any or all of such provisions.

The Underwriter has provided the following sentence for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors and under federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

This Official Statement, including any supplement or amendment hereto, is intended to be deposited with the Municipal Securities Rulemaking Board through the Electronic Municipal Market Access (EMMA) web site. The City also maintains a web site which may describe the Wastewater System. However, the information presented therein is not part of this Official Statement and must not be relied upon in making an investment decision with respect to the Bonds.

References to web site addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement for purposes of, and as that term is defined in, SEC Rule 15c2-12.

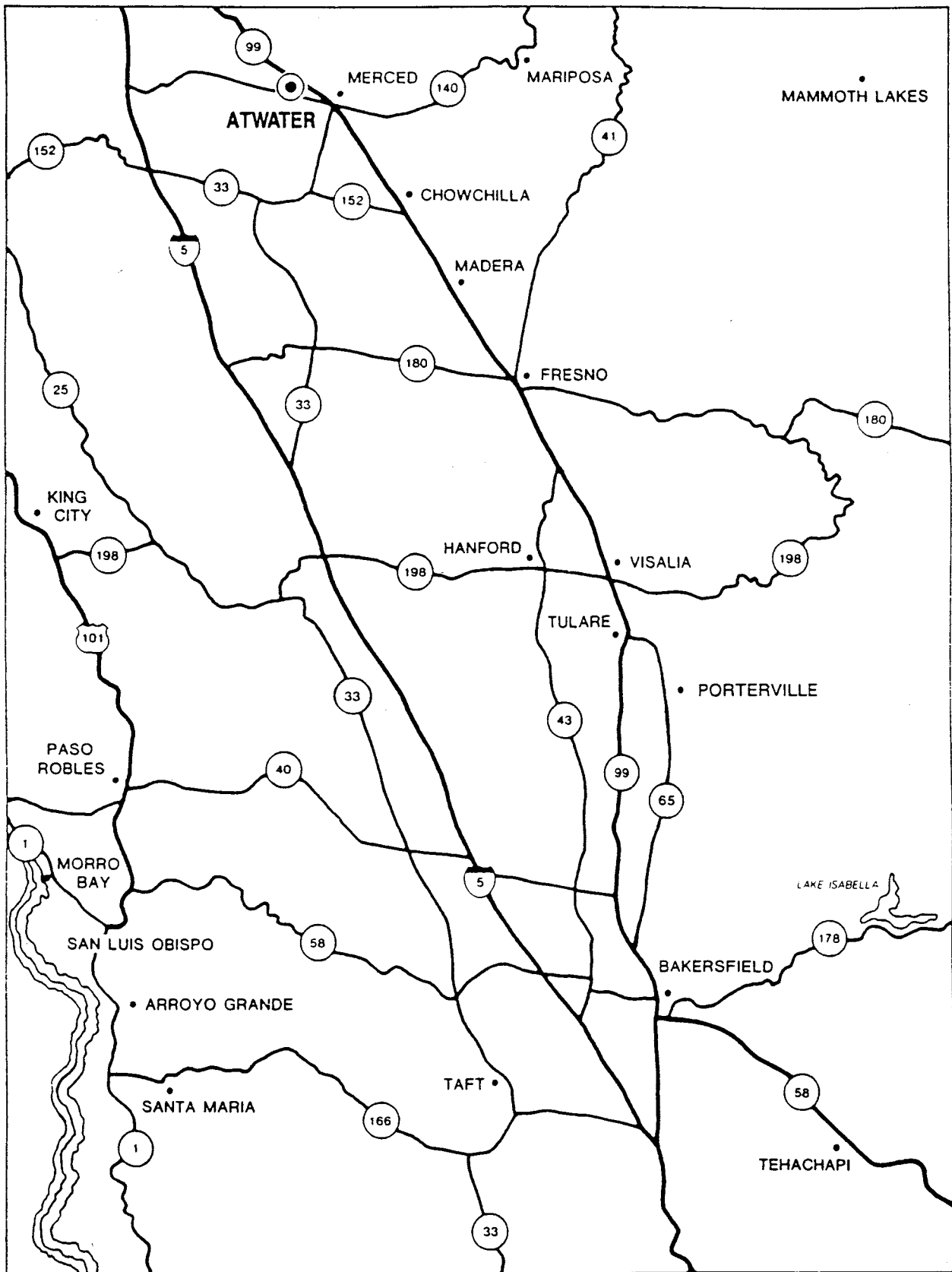
The Insurer makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, the Insurer has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding the Insurer supplied by the Insurer and presented under the heading "BOND INSURANCE" herein and "APPENDIX G - SPECIMEN MUNICIPAL BOND INSURANCE POLICY" hereto.

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CITY OF ATWATER AREA MAP

OFFICIAL STATEMENT

\$56,600,000 CITY OF ATWATER WASTEWATER REVENUE REFUNDING BONDS SERIES 2017A

INTRODUCTION

General

The purpose of this Official Statement (which includes the cover page and the Appendices attached hereto) is to provide information concerning the issuance of the above-captioned Wastewater Revenue Refunding Bonds, Series 2017A (the “Bonds”), which are being issued by the City of Atwater (the “City”) pursuant to the provisions of an Indenture of Trust, dated as of August 1, 2017 (the “Indenture”) between the City and The Bank of New York Mellon Trust Company, N.A., Los Angeles, California (the “Trustee”). The Bonds will be issued pursuant to the provisions of Articles 10 and 11, Division 2, Title 5 (commencing with Section 53570) of the California Government Code, as amended (the “Bond Law”), and a resolution of the City Council adopted July 10, 2017 (the “Resolution”).

The City and the Wastewater System

The City covers approximately 6.1 square miles in Merced County, California (the “County”) and is situated within the San Joaquin Valley, part of the Central Valley. The City is approximately six miles northwest of the City of Merced, the county seat, 105 miles south of Sacramento and 65 miles north of Fresno. The City was incorporated on August 16, 1922 and is a general law city.

The City operates a wastewater collection, treatment and disposal system (the “Wastewater System”) providing service to approximately 8,050 residential customers, 171 multifamily residential customers, 300 commercial customers, 27 municipal and church customers and three wholesale customers located outside of the City (for a total of 8,548 customers). Within the City’s boundaries, the Wastewater System is the sole Wastewater System that provides wastewater services. Wastewater generated by customers is treated at the City’s regional Atwater Bert Crane Wastewater Treatment Plant, which was completed in July 2012. In calendar year 2016, the Wastewater System treated an average of 3.22 million gallons per day of influent wastewater. For all purposes herein, the “Wastewater System” shall consist of the entire system of the City for the collection, treatment and disposal of wastewater, including but not limited to all facilities, properties and improvements at any time owned, controlled or operated by the City for the collection, treatment and disposal of wastewater within the service area of the City, and any necessary lands, rights, entitlements and other property useful in connection therewith, together with all extensions thereof and improvements thereto at any time acquired, constructed or installed by the City.

For other information concerning the City and the Wastewater System, see “THE WASTEWATER SYSTEM” and “WASTEWATER SYSTEM FINANCIAL INFORMATION” herein. For other selected demographic and economic information, see “APPENDIX B - GENERAL INFORMATION REGARDING THE CITY OF ATWATER AND MERCED COUNTY” hereto. A copy of the audited financial statements of the City for the year ended June 30, 2016 is attached hereto as APPENDIX C.

The Bonds

The Bonds will be executed and delivered as fully registered certificates in book-entry form only, initially registered in the name of Cede & Co., New York, New York, as nominee of The Depository Trust Company ("DTC"), New York, New York. Purchasers will not receive certificates representing their interest in the Bonds. Individual purchases of the Bonds will be in principal amounts of \$5,000 or in any integral multiples of \$5,000. Interest payable with respect to the Bonds will be payable on May 1 and November 1 in each year, beginning November 1, 2017 (the "Interest Payment Dates"), and principal payable with respect to the Bonds will be paid on the dates set forth in the Maturity Schedule on the inside cover. Payments of principal of and interest on the Bonds (the "Debt Service Payments") will be paid by the Trustee, to DTC for subsequent disbursement to DTC Participants who will remit such payments to the Beneficial Owners (for all purposes herein, as such are defined in Appendix F hereto) of the Bonds.

The Bonds are subject to optional and mandatory sinking fund redemption prior to their scheduled payment dates as described herein. See "THE BONDS - Redemption of the Bonds" herein.

Purpose

The Bonds are being issued by the City to (a) prepay and defease that certain Installment Sale Agreement, dated as of January 1, 2010 (the "2010 Installment Sale Agreement") by and between the City and the Atwater Public Financing Authority (the "Authority"), (b) prepay and defease that certain Installment Sale Agreement, dated as of April 1, 2011 (the "2011 Installment Sale Agreement," and together with the 2010 Installment Sale Agreement, the "Prior Obligations") by and between the City and the Authority, (c) purchase a municipal bond debt service reserve insurance policy for the Bonds, and (d) pay certain costs of issuing the Bonds. See "THE FINANCING PLAN" and "ESTIMATED SOURCES AND USES OF FUNDS" herein.

Security for the Bonds

The Bonds, when issued, will be special, limited obligations of the City, secured by (i) a pledge of and first lien on all Gross Revenues (defined herein), which consist, generally, of all income, rates, fees, charges and other moneys derived from the ownership or operation of the Wastewater System less the reasonable and necessary costs and expenses paid to maintain and operate the Wastewater System, subject to application as provided in the Indenture, and (ii) certain pledged funds and accounts held under the Indenture and the interest and other income derived from therefrom. See "SECURITY FOR THE BONDS" herein.

The Bonds are payable on a parity with installment payments (the “2008 Installment Payments”) due under an Installment Sale Agreement, dated April 1, 2008 (the “2008 Installment Sale Agreement”) between the City and the Authority securing the Authority’s Wastewater Revenue Bonds, Series 2008. Subject to certain conditions set forth in the Indenture, the City may at any time incur revenue bonds, notes or other evidences of indebtedness of the City payable from Gross Revenues on a parity with or subordinate to the Bonds. See “SECURITY FOR THE BONDS - Parity Obligations” herein.

Pursuant to the Indenture, the City has covenanted to fix, prescribe and collect certain rates and charges for service provided by the Wastewater System. See “SECURITY FOR THE BONDS - Rate Covenant” herein.

Concurrently with the issuance of the Bonds, Assured Guaranty Municipal Corp. (the “Insurer” or “AGM”) will issue its municipal bond insurance policy for the Bonds (the “Insurance Policy”). The Insurance Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Insurance Policy included as Appendix G this Official Statement. See “SECURITY FOR THE BONDS - Bond Insurance” and “BOND INSURANCE” herein and “APPENDIX G - SPECIMEN MUNICIPAL BOND INSURANCE POLICY” hereto.

Debt Service Reserve Fund

The Insurer has also made a commitment to issue a municipal bond debt service reserve insurance policy (the “Reserve Policy”), effective as of the date of delivery of such Bonds, for deposit in the reserve fund established pursuant to the Indenture for the Bonds (the “Reserve Fund”). The Reserve Fund will be held by the Trustee on behalf of the City. See “SECURITY FOR THE BONDS - Reserve Fund” herein.

Risk Factors

Payment of Debt Service Payments depends primarily upon the generation and collection of Gross Revenues. There can be no assurance that the demand for the services provided by the Wastewater System will be maintained at levels described in this Official Statement, or that the expenses for operating and maintaining the Wastewater System will be consistent with the levels described in this Official Statement. Changes in technology, decreased demand, new regulatory requirements, increases in the cost of energy or other expenses would reduce Net Revenues, and could require the City to implement increases in Wastewater System rates or charges in order to comply with the rate covenant. Such rate increases could increase the likelihood of nonpayment by Wastewater System customers, and could also cause further decreases in customer demand.

See “RISK FACTORS” herein for a discussion of special factors which should be considered, in addition to the other matters set forth herein, in considering the investment quality of the Bonds, including a discussion of the impact of Proposition 218, Constitutional limits on fees and charges, seismic considerations, limitation on remedies and changes in law.

Limited Obligations

THE OBLIGATION OF THE CITY TO MAKE PAYMENTS OF DEBT SERVICE PAYMENTS IS A SPECIAL OBLIGATION OF THE CITY, PAYABLE SOLELY FROM AND SECURED BY GROSS REVENUES AND OTHER FUNDS PROVIDED FOR IN THE INDENTURE. NONE OF THE STATE OF CALIFORNIA (THE "STATE"), NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, OR CONTINGENTLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATSOEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT SECURED BY A LIEN ON THE PHYSICAL ASSETS OF THE CITY. THE BONDS ARE NOT A PLEDGE OF THE FULL FAITH AND CREDIT OF THE CITY, THE STATE OR ANY OF ITS POLITICAL SUBDIVISIONS NOR DO THEY CONSTITUTE INDEBTEDNESS IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. NO PERSON EXECUTING THE BONDS IS SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE.

Tax Matters

In the opinion of Nossaman LLP, Irvine, California, Bond Counsel, based on existing statutes, regulations, rulings and court decisions and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded pursuant to Section 103(a) of the Internal Revenue Code of 1986 (the "Tax Code") from the gross income of the owners thereof for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State personal income tax. See "TAX MATTERS" herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about August 30, 2017 (the "Dated Date").

Continuing Disclosure

The City will covenant for the benefit of the Owners (for all purposes herein, as such are defined in the Indenture) and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the Wastewater System and to provide notices of the occurrence of certain enumerated events, in order to assist the Underwriter in complying with S.E.C. Rule 15c2-12(b)(5) (the "Rule"). See "CONTINUING DISCLOSURE" herein for additional information regarding the City's continuing disclosure obligations and prior compliance therewith. The specific nature of the information to be made available and the notices of listed events required to be provided are described in "APPENDIX E -- FORM OF CONTINUING DISCLOSURE CERTIFICATE" herein.

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement (including the appendices hereto), including, but not limited to (i) statements containing projections of Gross Revenues and Net Revenues and other financial items, (ii) statements of future economic performance of the Wastewater System, and (iii) statements of the assumptions underlying or relating to statements described in (i) and (ii) above, constitute "forward-looking statements" within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as "plan," "expect," "estimate," "project," "budget," "intend," or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the Wastewater System herein.

ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE CITY DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

Professionals Involved in the Offering

Nossaman LLP, Irvine, California, is acting as Bond Counsel with respect to the Bonds. Certain legal matters will be passed upon for the City by the City Attorney, Terpstra Henderson, A Professional Corporation, Ripon, California, and by Nossaman LLP, Irvine, California, Disclosure Counsel. The Underwriter is being represented by its counsel, Nixon Peabody LLP, Los Angeles, California. Such law firms will receive compensation contingent upon the sale and delivery of the Bonds.

Other Information

This Official Statement is not to be construed as a contract or agreement between the City and/or the purchasers or Owners of any of the Bonds. Any statements made in this Official Statement involving matters of opinion or estimates, whether or not so expressly stated, are set forth as such and not as representations of fact, and no representation is made that any of the estimates will be realized. Quotations from and summaries and explanations of the California Government Code, other applicable legislation, the Indenture, the Wastewater System, proceedings of the City with respect to the operations thereof and with respect to the Bonds, agreements and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions. Prospective purchasers of the Bonds are advised to refer to such documents, provisions, and reports for full and complete statements of their contents. References herein to the Bonds are qualified in their entirety by reference to the form thereof included in the Indenture. Copies of the proceedings of the City referred to above, the Indenture and other documents described in this Official Statement are available for inspection at the offices of the City at: 750 Bellevue Road, Atwater, California 95301, Attention: Finance Director. The City may impose a charge for copying, mailing and handling.

Certain of the information set forth herein, other than that provided by the City, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the City. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Wastewater System or the City since the date hereof.

THE FINANCING PLAN

A portion of the net proceeds of the Bonds will be used together with certain amounts now on deposit and pledged to the respective Prior Obligations to (a) prepay and defease the 2010 Installment Sale Agreement and (b) prepay and defease the 2011 Installment Sale Agreement. The remaining net proceeds of the Bonds will be used to purchase a municipal bond debt service reserve insurance policy for the Bonds and to pay certain costs of issuing the Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" below.

The City will accomplish the prepayment and defeasance of the 2010 Installment Sale Agreement by causing a portion of the net sale proceeds of the Bonds, together with certain amounts now on deposit and pledged in connection with the 2010 Installment Sale Agreement, to be irrevocably deposited into an escrow fund (the "2010 Escrow Fund"), to be held by The Bank of New York Mellon Trust Company, N.A., acting as escrow agent (the "Escrow Agent") under an Escrow Agreement, dated as of August 1, 2017 (the "2010 Escrow Agreement") between the City and Escrow Agent. Amounts on deposit in the 2010 Escrow Fund will be invested in federal securities, the principal of and the interest of which when paid will be sufficient to enable the Escrow Agent to prepay the 2010 Installment Sale Agreement in full on May 1, 2019 (the "2010 Prepayment Date") at a price equal to 100% of the aggregate principal amount of such prepaid 2010 Installment Sale Agreement obligation plus all then-accrued interest thereupon (collectively, the "2010 Escrow Requirement").

The City will accomplish the prepayment and defeasance of the 2011 Installment Sale Agreement by causing a portion of the net sale proceeds of the Bonds to be irrevocably deposited into an escrow fund (the "2011 Escrow Fund," and together with the 2010 Escrow Fund, the "Escrow Funds"), to be held by the Escrow Agent under an Escrow Agreement, dated as of August 1, 2017 (the "2011 Escrow Agreement," and together with the 2010 Escrow Agreement, the "Escrow Agreements") between the City and Escrow Agent. Amounts on deposit in the 2011 Escrow Fund will be invested in federal securities, the principal of and the interest of which when paid will be sufficient to enable the Escrow Agent to prepay the 2011 Installment Sale Agreement in full on May 1, 2019 (the "2011 Prepayment Date") at a price equal to 102% of the aggregate principal amount of such prepaid 2011 Installment Sale Agreement obligation plus all then-accrued interest thereupon (collectively, the "2011 Escrow Requirement," and together with the 2010 Escrow Requirement, the "Escrow Requirements").

The sufficiency of the amounts on deposit in the Escrow Funds to pay the respective Escrow Requirements through the 2010 Prepayment Date and the 2011 Prepayment Date, as the case may be, will be verified by Barthe & Wahrman, PA, Bloomington, Minnesota, as Verification Agent (the "Verification Agent"). As a result of the deposit and application of funds so provided in the Escrow Agreements, respectively, and assuming the accuracy of the Underwriter's and Verification Agent's computations, the outstanding 2010 Installment Sale Agreement obligation and the outstanding 2011 Installment Sale Agreement obligation will be prepaid and defeased. See "VERIFICATION OF MATHEMATICAL COMPUTATIONS" herein.

ESTIMATED SOURCES AND USES OF FUNDS

The estimated sources and uses of funds are as follows:

Sources of Funds:

Principal Amount of Bonds	\$ 56,600,000.00
Net Original Issue Premium	5,618,923.60
2010 Reserve Fund	<u>4,332,273.76</u>
TOTAL SOURCES	\$ 66,551,197.36

Uses of Funds:

Deposit to 2010 Escrow Fund ⁽¹⁾	\$ 54,338,300.23
Deposit to 2011 Escrow Fund ⁽¹⁾	10,220,768.61
Costs of Issuance ⁽²⁾	<u>1,992,128.52</u>
TOTAL USES	\$ 66,551,197.36

(1) See "THE FINANCING PLAN" herein.

(2) Reflects all costs of issuance, including the Underwriter's discount and the printing costs, fees of Bond Counsel, Disclosure Counsel, and City Attorney, the costs and fees of the Verification Agent, Municipal Advisor, Trustee and Escrow Agent, premiums for the Insurance Policy and Reserve Policy, and other costs of issuing the Bonds.

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THE BONDS

Description of the Bonds

The Bonds are authorized pursuant to the Bond Law, the Indenture and the Resolution.

The Bonds shall be delivered in the form of fully registered Bonds, in denominations of \$5,000 or any integral multiple thereof, and shall be dated the date of delivery to the initial purchaser thereof. The Bonds, when executed and delivered, will be registered in the name of Cede & Co., as registered owner and nominee of DTC. So long as DTC, or Cede & Co. as its nominee, is the registered owner of all Bonds, all payments with respect to the Bonds will be made directly to DTC, and disbursement of such payments to the DTC Participants (defined below) will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of the DTC Participants, as more fully described herein. See “- Book-Entry System” below.

Interest on Bonds shall be payable on May 1 and November 1 in each year, beginning November 1, 2017 (each, an “Interest Payment Date”), and continuing to and including the date of maturity or prior redemption, whichever is earlier. Principal of the Bonds shall be payable on May 1 in each of the years and in the amounts set forth on the inside cover page of this Official Statement. Principal and premium, if any, of the Bonds shall be payable to the Owner upon presentation and surrender of such Bond at the corporate trust office of the Trustee in Los Angeles, California. Interest on the Bonds shall be calculated on the basis of a 360-day year consisting of twelve 30-day months and shall be payable by wire or check mailed by first class mail on each Interest Payment Date to the Owners as of the close of business on the fifteenth day of the calendar month prior to an Interest Payment Date (the “Record Date”) at their addresses shown on the registration books maintained by the Trustee; provided however, that upon the written request from any Owner of any Bond in a denomination of, or Bonds aggregating, at least \$1,000,000 in principal amount, received on or prior to the 15th day of the month preceding an applicable Interest Payment Date, payment may be made by wire in Federal Reserve funds to an account within the United States on the Interest Payment Date with regard to which such payment is made.

The Bonds may be transferred or exchanged at the principal office of the Trustee, to the extent and upon the conditions set forth in the Indenture. The Trustee may require the payment of a reasonable service charge by the owner of any Bond requesting exchange, and the Trustee will require payment of a sum sufficient to cover any tax or other governmental charge required to be paid with respect thereto. The Trustee may refuse to transfer or exchange any Bonds during the period after the mailing of notice calling such Bond or a portion thereof for redemption, or during the fifteen days preceding the giving of such notice of redemption.

If a Bond is mutilated, lost, stolen or destroyed, the Trustee, at the expense of the owner of such Bond, will authenticate, subject to the provisions of the Indenture, a new Bond of like tenor and amount. In the case of a lost, stolen or destroyed Bond, the Trustee may require that an indemnity be furnished and payment of an appropriate fee for each new Bond delivered in replacement of such Bond and may require payment of the expenses of the City and the Trustee incurred in connection therewith.

Redemption of the Bonds

Optional Redemption. The Bonds maturing on or before May 1, 2027, are not subject to optional redemption prior to their respective stated maturities. The Bonds maturing on or after May 1, 2028, are subject to redemption prior to their respective stated maturities, at the option of the City, from any source of available funds, as a whole or in part (by such maturities as may be specified by the City and by lot within a maturity) on any date on or after May 1, 2027, at a redemption price equal to the principal amount of Bonds called for redemption, plus accrued interest to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption. The Bonds maturing May 1, 2040 (the “Term Bonds”) shall be subject to mandatory sinking fund redemption in part, by lot, commencing on May 1, 2038, from mandatory sinking fund payments set aside in the Debt Service Account of the Payment Fund established pursuant to the Indenture (the “Payment Fund”), at a redemption price equal to the principal amount thereof to be redeemed, together with accrued interest to the date fixed for redemption, without premium, in the aggregate respective principal amounts and on the dates set forth below:

Bonds maturing May 1, 2040

Redemption Date (May 1)	Redemption Amount
2038	\$1,960,000
2039	3,405,000
2040 [†]	3,580,000

[†] Final Maturity

The Bonds maturing May 1, 2043 (the “Term Bonds”) shall be subject to mandatory sinking fund redemption in part, by lot, commencing on May 1, 2041, from mandatory sinking fund payments set aside in the Debt Service Account of the Payment Fund established pursuant to the Indenture (the “Payment Fund”), at a redemption price equal to the principal amount thereof to be redeemed, together with accrued interest to the date fixed for redemption, without premium, in the aggregate respective principal amounts and on the dates set forth below:

Bonds maturing May 1, 2043

Redemption Date (May 1)	Redemption Amount
2041	\$3,755,000
2042	3,945,000
2043 [†]	4,140,000

[†] Final Maturity

The Bonds maturing May 1, 2045 (the “Term Bonds”) shall be subject to mandatory sinking fund redemption in part, by lot, commencing on May 1, 2044, from mandatory sinking fund payments set aside in the Debt Service Account of the Payment Fund established pursuant to the Indenture (the “Payment Fund”), at a redemption price equal to the principal amount thereof to be redeemed, together with accrued interest to the date fixed for redemption, without premium, in the aggregate respective principal amounts and on the dates set forth below:

Bonds maturing May 1, 2045

Redemption Date (May 1)	Redemption Amount
2044	\$4,350,000
2045 [†]	4,500,000

[†] Final Maturity

If some, but not all, of such Term Bonds have been optionally redeemed pursuant to the Indenture, the total amount of all future sinking fund payments shall be reduced by the aggregate principal amount of such Term Bonds so redeemed, to be allocated among such sinking fund payments on a pro rata basis as determined by the City (written notice of which determination which shall include a revised sinking fund schedule shall be given by the City to the Trustee).

Selection of Bonds for Redemption. In the event that part, but not all, of the Bonds are to be redeemed, the Bonds to be redeemed shall be selected by the Trustee among maturities as designated in writing by the City and by lot within a maturity; provided, however, that, as shall be set forth in a Certificate of the City, the Bonds may be redeemed by any maturity or maturities selected by the City, and by lot within a maturity. For the purpose of the selection described above, all Bonds registered in the name of the same Owner shall be aggregated and treated as a single Bond held by such Owner. Notwithstanding any of the foregoing, in any such partial redemption the Trustee shall call the Bonds in integral multiples of \$5,000.

Notice of Redemption; Rescission. When redemption is authorized or required under the Indenture, the Trustee will (i) mail a notice of redemption to the respective Owners of all Bonds selected for redemption in whole or in part (the “Redemption Notice”), and (ii) remit a notice of redemption to DTC and the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access system (“EMMA”), or, in accordance with then current guidelines of the Securities and Exchange Commission, such other services providing information with respect to called bonds as the City may specify, in all such cases at the expense of the City. Such Redemption Notice shall specify: (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of any paying agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) if less than all the Bonds of a maturity are to be redeemed, the certificate numbers of the Bonds to be redeemed and, in the case of any Bond to be redeemed in part only, the amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Redemption notices may state that no representation is made as to the accuracy of the CUSIP numbers printed thereon or on the Bonds. Such Redemption Notice shall further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed the redemption price, together with interest accrued to the redemption date, and that from and after such date interest with respect thereto shall cease to accrue and be payable.

Such Redemption Notice shall further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed the redemption price, together with interest accrued to the redemption date, and that from and after such date interest with respect thereto shall cease to accrue and be payable.

Subject to the provisions stated above, the Trustee shall take the following actions with respect to such Redemption Notice: (a) At least thirty (30) but not more than forty-five (45) days prior to the redemption date, the Trustee shall cause Redemption Notices to be given to the respective Owners of Bonds designated for redemption by first class mail, postage prepaid, at their addresses appearing on the Bond Register maintained by the Trustee and (b) At least thirty (30) days prior to the redemption date, such Redemption Notice shall be given to each of DTC and EMMA or, in accordance with then current guidelines of the Securities and Exchange Commission, such other services providing information with respect to called bonds as the City may specify. Neither failure to receive any Redemption Notice nor any defect in such Redemption Notice so given shall affect the sufficiency of the proceedings for the redemption of such Bonds.

The City shall have the right to rescind any optional redemption by written notice to the Trustee on or prior to the date fixed for redemption. Any such notice of optional redemption shall be canceled and annulled if for any reason funds will not be or are not available on the date fixed for redemption for the payment in full of the Bonds then called for redemption, and such cancellation shall not constitute an Event of Default under the Indenture. The City and the Trustee shall have no liability to the Owners or any other party related to or arising from such rescission of redemption. The Trustee shall mail notice of such rescission of redemption in the same manner as the original notice of redemption was sent.

Upon surrender of any Bond redeemed in part only, the Trustee shall authenticate and deliver to the Owner thereof a new Bond or Bonds equal to the unredeemed principal amount of the Bond surrendered.

Effect of Notice of Redemption. Notice of redemption having been duly given and moneys for payment of the redemption price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so to be redeemed being held by the Trustee, on the redemption date designated in such notice (i) the Bonds so to be redeemed shall become due and payable at the Redemption Price specified in such notice, (ii) interest on such Bonds shall cease to accrue, (iii) such Bonds shall cease to be entitled to any benefit or security under the Indenture, and (iv) the Owners of such Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price.

Purchase in Lieu of Redemption. In lieu, or partially in lieu, of such redemption, moneys of the City may be used to purchase Outstanding (for all purposes herein, as such is defined in the Indenture) Bonds prior to the selection of Bonds for redemption by the Trustee, at public or private sale as and when and at such prices as the City may in its discretion determine but only at prices (including brokerage or other expenses) of not more than par plus applicable accrued interest and redemption premiums, and any accrued interest payable upon the purchase of Bonds may be paid from the amount in the Payment Fund for payment of interest on the following Interest Payment Date.

Book-Entry Only System

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered certificates registered in the name of Cede & Co., (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC. See "APPENDIX F - THE BOOK-ENTRY SYSTEM" herein.

The City and the Trustee cannot and do not give any assurances that DTC, DTC Participants or others will distribute payments of principal, interest or premium, if any, with respect to the Bonds paid to DTC or its nominee as the registered owner, or will distribute any redemption notices or other notices, to the Beneficial Owners, or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. The City and the Trustee are not responsible or liable for the failure of DTC or any DTC Participant to make any payment or give any notice to a Beneficial Owner with respect to the Bonds or an error or delay relating thereto.

Acceleration

If an Event of Default (as such is defined in the Indenture) shall occur, the Trustee may exercise any remedies available to the Trustee and the Bond Owners in law or at equity. Upon the satisfaction of certain conditions set forth in the Indenture, the Trustee may declare the principal of all of the Bonds then-Outstanding, and the interest accrued thereon, to be due and payable immediately. Any suit requesting such accelerated payment of debt service and/or money damages would be subject to limitations on legal remedies against municipalities in California, including a limitation on enforcement of judgments against funds needed to serve the public welfare and interest. See "APPENDIX A - SUMMARY OF THE INDENTURE" hereto under the caption "Events of Default and Events of Mandatory Acceleration; Acceleration of Maturities" for further information with respect to the acceleration of the Bonds and other remedies.

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Schedule of Debt Service Payments

The following table sets forth the Debt Service Payments for the Bonds for each twelve-month period ending on May 1 (assuming no optional redemptions):

SCHEDULE OF DEBT SERVICE PAYMENTS

Year (May 1)	<u>Principal</u>	<u>Interest</u>	<u>Total Debt Service</u>
2018	\$1,795,000.00	\$1,717,853.02	\$3,512,853.02
2019	835,000.00	2,476,337.50	3,311,337.50
2020	880,000.00	2,434,587.50	3,314,587.50
2021	925,000.00	2,390,587.50	3,315,587.50
2022	965,000.00	2,344,337.50	3,309,337.50
2023	1,020,000.00	2,296,087.50	3,316,087.50
2024	1,065,000.00	2,245,087.50	3,310,087.50
2025	1,115,000.00	2,191,837.50	3,306,837.50
2026	1,175,000.00	2,136,087.50	3,311,087.50
2027	1,230,000.00	2,077,337.50	3,307,337.50
2028	1,295,000.00	2,015,837.50	3,310,837.50
2029	1,365,000.00	1,951,087.50	3,316,087.50
2030	1,435,000.00	1,882,837.50	3,317,837.50
2031	1,500,000.00	1,811,087.50	3,311,087.50
2032	1,545,000.00	1,766,087.50	3,311,087.50
2033	1,625,000.00	1,688,837.50	3,313,837.50
2034	1,710,000.00	1,607,587.50	3,317,587.50
2035	1,755,000.00	1,554,150.00	3,309,150.00
2036	1,830,000.00	1,483,950.00	3,313,950.00
2037	1,900,000.00	1,410,750.00	3,310,750.00
2038	1,960,000.00	1,349,000.00	3,309,000.00
2039	3,405,000.00	1,251,000.00	4,656,000.00
2040	3,580,000.00	1,080,750.00	4,660,750.00
2041	3,755,000.00	901,750.00	4,656,750.00
2042	3,945,000.00	714,000.00	4,659,000.00
2043	4,140,000.00	516,750.00	4,656,750.00
2044	4,350,000.00	309,750.00	4,659,750.00
2045	4,500,000.00	157,500.00	4,657,500.00
Total	\$56,600,000.00	\$45,762,853.02	\$102,362,853.02

Source: The Underwriter.

SECURITY FOR THE BONDS

General

THE OBLIGATION OF THE CITY TO MAKE PAYMENTS OF DEBT SERVICE PAYMENTS IS A SPECIAL OBLIGATION OF THE CITY, PAYABLE SOLELY FROM AND SECURED BY GROSS REVENUES AND OTHER FUNDS PROVIDED FOR IN THE INDENTURE. NONE OF THE CITY, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, OR CONTINGENTLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATSOEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT. THE BONDS ARE NOT SECURED BY A LIEN ON THE PHYSICAL ASSETS OF THE CITY. THE BONDS ARE NOT A PLEDGE OF THE FULL FAITH AND CREDIT OF THE CITY, THE STATE OR ANY OF ITS POLITICAL SUBDIVISIONS NOR DO THEY CONSTITUTE INDEBTEDNESS IN CONTRAVENTION OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. NO PERSON EXECUTING THE BONDS IS SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE.

Pledge of Gross Revenues

The Bonds are secured by a pledge of and first lien on all Gross Revenues received by the City as a result of the operation of the Wastewater System, as those terms are defined below and upon all money and securities on deposit in certain accounts under the Indenture. The obligation of the City to make Debt Service Payments from Gross Revenues is absolute and unconditional, and until such time as all Debt Service Payments shall have been fully paid and the Bonds are no longer Outstanding (or provision for the payment thereof shall have been made), the City will not, under any circumstances, discontinue, abate or suspend any payment due under the Indenture when due, whether or not the Wastewater System is operating or operable or has been completed, or whether or not the Wastewater System is condemned, damaged, destroyed or seized or its use is suspended, interfered with, reduced or curtailed or terminated in whole or in part, and such payments shall not be subject to reduction whether by offset, counterclaim, defense, recoupment, abatement, suspension, deferment or otherwise.

All Gross Revenues are pledged by the City to the payment of Debt Service Payments and debt service on Parity Obligations as provided in the Indenture. This pledge shall constitute a first lien on the Gross Revenues for the payment of the Debt Service Payments and debt service on any Parity Obligations in accordance with the Indenture. **The Bonds are not secured by a direct lien on any other property of the City.**

In the Indenture, the City covenants that, so long as any Bonds are Outstanding, the City will not issue or incur any obligations payable from Gross Revenues superior to the payment of Debt Service Payments or debt service payments on Parity Obligations. The City is authorized to incur additional Parity Obligations secured by Gross Revenues with a lien on a parity basis with the lien of the Bonds, provided it complies with certain provisions in the Indenture. See “– Parity Obligations” below. The City is also authorized to issue subordinate debt secured by Gross Revenues.

“Gross Revenues” means all gross income, rents, rates, fees, charges and other moneys derived from the ownership and operation of the Wastewater System calculated in accordance with GAAP and deposited in the Wastewater Fund, including, without limiting the generality of the foregoing, (a) all income, rents, rates, fees (including but not limited to any

developer impact fees to the extent permitted by law), charges, business interruption insurance proceeds or other moneys derived by the City from the sale, furnishing and supplying of the Wastewater or other services, facilities and commodities sold, furnished or supplied through the facilities of or in the conduct or operation of the business of the Wastewater System, plus (b) the earnings on and income derived from the investment of such income, rents, rates, fees, charges, or other moneys, including City Wastewater System reserves, plus, (c) the proceeds of any stand-by or sewer availability charges collected by the City, but excluding in all cases customer deposits or any other deposits or advances subject to refund until such deposits or advances have become property of the City, and excluding any proceeds of taxes restricted by law and to be used by the City to pay bonds hereafter issued. Gross Revenues shall include interest with respect to any Parity Obligations reimbursed to or on behalf of the City by the United States of America. Gross Revenues shall also be increased by the amounts, if any, transferred during such Fiscal Year or other period from the Rate Stabilization Fund to the Revenue Fund and shall be decreased by the amounts, if any, transferred during such Fiscal Year or other period from the Revenue Fund to the Rate Stabilization Fund pursuant to the Indenture.

“Operation and Maintenance Expenses” means the reasonable and necessary costs spent or incurred for maintenance and operation of the Wastewater System calculated in accordance with generally accepted accounting principles, including (among other things) the reasonable expenses of management and repair and other expenses necessary to maintain and preserve the Wastewater System in good repair and working order, including but not limited to salaries and wages of employees, payments to the Public Employees Retirement System, overhead, insurance, taxes (if any), fees of auditors, accountants, attorneys, consultants or engineers and insurance premiums, and including all other reasonable and necessary costs of the City or charges, but excluding (i) administrative costs of the City that are apportioned to the Wastewater System, (ii) transfers to other City departments, (iii) Debt Service Payments or other similar payments on Parity Obligations or other obligations required to be paid by it to comply with the terms of an installment sale agreement or any Contract or of any resolution or indenture authorizing the issuance of any bonds or obligations and excluding in all cases (iv) depreciation, replacement and obsolescence charges or reserves therefor and amortization of intangibles or other bookkeeping entries of a similar nature.

“Revenue Fund” means the fund of the City into which it deposits Gross Revenues, which shall initially be the Wastewater Fund. See “WASTEWATER SYSTEM FINANCIAL INFORMATION” below for a full description of the Wastewater Fund.

“Net Revenues” are, for any period, an amount equal to all of the Gross Revenues received during such period minus the amount required to pay all Operation and Maintenance Expenses becoming payable during such period.

Application of Gross Revenues

Payments from Revenue Fund. The City has covenanted that all of the Gross Revenues when and as received, will be received and held by the City in trust for the benefit of Bond Owners and the holders of Parity Obligations, and will be deposited by the City in the Revenue Fund (which the City covenants and agrees to maintain so long as any Bonds remain Outstanding), and shall be disbursed, allocated and applied solely to the uses and purposes set forth in the Indenture, and shall be accounted for separately and apart from all other money, funds, accounts or other resources of the City.

All Gross Revenues in the Revenue Fund shall be set aside and applied in the following order of priority:

(1) Debt Service Payments. As described below, Debt Service Payments payable first pursuant to the Indenture together with all other payments relating to principal and interest on or with respect to Parity Obligations, which shall be paid in accordance with the terms of the Indenture and of such Parity Obligations, without preference or priority, and in the event of any insufficiency of such moneys, ratably without any discrimination or preference.

(2) Operation and Maintenance Expenses. The City shall thereafter pay from the moneys in the Revenue Fund the budgeted Operation and Maintenance Expenses as such Operation and Maintenance Expenses become due and payable.

(3) Reserve Funds. Payments required to restore the Reserve Fund to the Reserve Requirement and the debt service reserve funds established for Parity Obligations to their reserve requirement levels (which shall include payments to reimburse the Insurer for draws against the Reserve Policy and payments to reimburse the providers of any surety bond, letter of credit or guaranty policy issued to fund the debt service reserve funds established for Parity Obligations for draws thereagainst, respectively) shall be made in accordance with the terms of the Indenture and such Parity Obligations, without preference or priority, and in the event of any insufficiency of such moneys, ratably without any discrimination or preference.

(4) General Expenditures/Rate Stabilization Fund. All Gross Revenues not required to be withdrawn pursuant to the provisions of (1) through (3) above shall be used for expenditure for any lawful purpose of the City, including payment of Operation and Maintenance Expenses or payment of any rebate requirement or funding of a rate stabilization fund or payment of any obligation subordinate to the payment of all amounts due hereunder or under Parity Obligations.

“Reserve Requirement” means, as of any date of calculation, the lesser of (i) 10% of the initial offering price of the Bonds to the public, (ii) an amount equal to maximum annual Debt Service payable by the City between the date of such calculation and the final maturity of the Bonds, or (iii) 125% of average annual Debt Service payable under the Indenture.

“Maximum Annual Debt Service” means, as of the date of any calculation, the maximum amount of principal, interest, and mandatory sinking fund deposits required to be paid with respect to the Bonds and any Parity Obligations in the current or any future Bond Year.

Monthly Deposit of Debt Service Payments

In furtherance of the payment of Debt Service Payments pursuant to the Indenture, the City shall transfer Gross Revenues from the Revenue Fund to the Trustee for deposit in the Debt Service Account of the Payment Fund, in monthly components and on the following dates and in the following amounts:

(1) Interest Component. On or before the fifteenth day of each month, commencing on November 15, 2017, an amount which is equal to one-sixth ($1/6$) of the aggregate amount of interest becoming due and payable on such Bonds on the next succeeding Interest Payment Date; provided, however, that the City may be entitled to deduct from such monthly interest payment the balance then-on deposit in the Debt Service Account of the Payment Fund that is allocated to future payments of interest on the Bonds, if any (other than amounts held for the defeasance of Bonds pursuant to the Indenture and any amounts required for payment of interest on any Bonds which have matured or been called for redemption but which have not yet been presented for payment); and

(2) Principal Component. On or before the fifteenth day of each month, commencing on November 15, 2017, an amount which, together with any moneys already on deposit with the Trustee and available to make such payment, is not less than one-sixth ($1/6$) of the next succeeding maturing principal or mandatory sinking account payment coming due on the Bonds after such date. On or before the fifteenth day of each month, commencing on May 15, 2018, an amount which, together with any moneys already on deposit with the Trustee and available to make such payment, is not less than one-twelfth ($1/12$) of the next succeeding maturing principal or mandatory sinking account payment coming due on the Bonds after such date; provided, however, that the City may be entitled to deduct from such monthly principal payment the balance then-on deposit in the Debt Service Account of the Payment Fund that is allocated to future principal payments or mandatory sinking account payments on the Bonds, if any (other than amounts held for the defeasance of Bonds pursuant to the Indenture and any amounts required for payment of principal payments and mandatory sinking account payments on any Bonds which have matured or been called for redemption but which have not yet been presented for payment).

Such payments received by the Trustee shall be held in aggregate and in trust by the Trustee under the terms of the Indenture and shall be deposited by it as and when received in the Debt Service Account of the Payment Fund, which fund the Trustee has agreed to establish and maintain so long as any Bonds are Outstanding.

Rate Covenant

The City has covenanted in the Indenture that it shall have in effect at all times by-laws, rules and regulations requiring each customer to pay the rates and charges applicable to the Wastewater System and providing for the billing thereof and for a due date and a delinquency date for each bill.

The City has further covenanted in the Indenture that (i) to the fullest extent permitted by law, the City will fix and prescribe rates and charges for the Wastewater System which are reasonably expected to be at least sufficient to yield during each Fiscal Year Net Revenues equal to 120% of Debt Service Payments on the Bonds and Parity Obligations for such Fiscal Year and (ii) so long as the City has complied with its obligations set forth in subsection (i), the failure of Net Revenues to meet such threshold at the end of a Fiscal Year shall not constitute a

default or an Event of Default so long as the City has complied with the threshold set forth in subsection (i) at the commencement of the succeeding Fiscal Year. The City may make adjustments from time to time in such rates and charges and may make such classifications thereof as it deems necessary, but shall not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates and charges are reasonably expected to be sufficient to meet such requirements.

At all times, for purposes of calculating the interest on any Outstanding Parity Obligations, if interest on any Parity Obligations is reasonably anticipated to be reimbursed to or on behalf of the City by the United States of America, then interest on such Parity Obligations shall be excluded to the extent such interest is reasonably anticipated to be paid or reimbursed by the United States of America, and such reimbursements will not be included as Gross Revenues for purposes of the coverage calculations.

Reserve Fund

Under the Indenture, a Reserve Fund is established for the Bonds and will be held in trust by the Trustee. On the Closing Date, the Reserve Policy, with a Policy Limit of \$4,624,363.40, will be deposited into the Reserve Fund, which shall satisfy the Reserve Requirement. The premium on the Reserve Policy will be fully paid at or prior to the issuance of the Bonds. The Reserve Policy will provide that the Insurer will make payment in an amount sufficient to pay principal and interest on the Bonds then-due to the Trustee (or its successor) on the later of (i) the Business Day on which such principal and interest becomes due for payment and (ii) the first Business Day following the Business Day on which the Insurer shall have received a completed notice of nonpayment in a form reasonably satisfactory to it, provided, however, that aggregate payments made under the Reserve Policy shall not exceed the Policy Limit and provided, further, that the Policy Limit shall at all times equal the Reserve Requirement.

See "APPENDIX A - SUMMARY OF THE INDENTURE" hereto under the captions "Reserve Fund" and "Certain Bond Reserve Policy Provisions" for further information with respect to the Reserve Policy.

Rate Stabilization Fund

The City may maintain and hold a separate fund to be known as the "Rate Stabilization Fund." From time to time the City may deposit in the Rate Stabilization Fund, from remaining Gross Revenues or other available funds of the City, such amounts as the City shall determine. The City may withdraw amounts from the Rate Stabilization Fund (i) for transfer to the Revenue Fund for inclusion in Gross Revenues for any Fiscal Year, or (ii) for any other lawful use of the City. All interest or other earnings upon deposits in the Rate Stabilization Fund shall be withdrawn therefrom and accounted for as Gross Revenues. Amounts transferred from the Rate Stabilization Fund to the Revenue Fund during or within 120 days after a Fiscal Year, may be taken into account as Gross Revenues for purposes of the calculations of the sufficiency of rates and charges collected in such Fiscal Year. Currently, a Rate Stabilization Fund has not been funded by the City with respect to the Wastewater System.

Parity Obligations

“Parity Obligations” means indebtedness or other obligations (including leases and installment sale agreements, bonds or contracts) issued or incurred and secured by a pledge of and lien upon any of the Gross Revenues on a parity with the Debt Service Payments of the City payable from and secured by a pledge of and lien upon any of the Gross Revenues issued or incurred pursuant to the Indenture. For all purposes under the Indenture and herein, the 2008 Installment Sale Agreement shall constitute, be deemed to be and be treated as a Parity Obligation.

Existing Parity Obligations. In 2008, the Authority issued its Wastewater Revenue Bonds, Series 2008 in an aggregate principal amount of \$20,020,000 (the “2008 Bonds”). The 2008 Bonds are secured the 2008 Installment Payments, which are made under the 2008 Installment Sale Agreement. The net proceeds of the 2008 Bonds were used to refinance the City’s obligations under an Amended and Restated Sewer Installment Sale Agreement dated as of April 1, 2003, and to finance the acquisition and construction of certain improvements to the Wastewater System. The Debt Service Payments are payable from Gross Revenues on parity with the 2008 Installment Payments.

Future Parity Obligations. The City has covenanted in the Indenture that, except for bonds issued to fully or partially refund the Bonds or Parity Obligations, the City will not issue or incur any Parity Obligations unless:

(i) No Event of Default shall have occurred and be continuing under the Indenture unless such default shall be cured simultaneously with the issuance of such Parity Obligations; and

(ii) The City obtains or provides a certificate prepared by an Independent Certified Public Accountant or Independent Financial Consultant showing that the Net Revenues as shown by the books of the City for any 12 consecutive calendar months during the 18 calendar month period ending prior to the incurring of such Bonds or Parity Obligations shall have amounted to at least 120% of the Maximum Annual Debt Service for all Bonds or Parity Obligations to be outstanding immediately after incurring such additional Bonds or Parity Obligations.

For purposes of preparing the certificate described in subsection (ii), as set forth above, the Independent Certified Public Accountant or Independent Financial Consultant may rely upon financial statements prepared by the City, which have not been subject to audit by an independent certified public accountant if audited financial statements for the Fiscal Year or period are not available. For purposes of demonstrating compliance with the foregoing, Net Revenues may be adjusted (at the option of the City) to include Additional Revenues. “Additional Revenues” means, with respect to the issuance of any Bonds or Parity Obligations, an allowance for Net Revenues (i) arising from any increase in the charges made for service from the Wastewater System adopted prior to the incurring of such Bonds or Parity Obligations and effective within eighteen (18) months following the date of incurring such Bonds or Parity Obligations, in an amount equal to the total amount by which the Net Revenues would have been increased if such increase in charges had been in effect during the whole of the most recent completed Fiscal Year or during any more recent twelve (12) month period selected by the City, and (ii) arising from any increase in service connections to the Wastewater System prior to the incurring of such Bonds or Parity Obligations, in an amount equal to the total amount by which the Net Revenues would have been increased if such connections had been in

existence during the whole of the most recent completed Fiscal Year or during any more recent twelve (12) month period selected by the City, all as shown by the certificate or opinion of an Independent Financial Consultant.

The provisions of subsection (ii) above shall not apply to any Parity Obligations if all of the proceeds of which (other than proceeds applied to pay costs of issuing such Parity Obligations and to make a reserve fund deposit) shall be deposited in an irrevocable escrow held in cash or invested in Federal Securities for the purpose of paying the principal of and interest and premium (if any) on any Outstanding Bonds or on any outstanding Parity Obligations, if (i) at the time of the incurring of such Parity Obligations, the City certifies in writing that Maximum Annual Debt Service on such Parity Obligations will not exceed Maximum Annual Debt Service on the Outstanding Bonds or Parity Obligations to be refunded, and (ii) the final maturity of such Parity Obligations is not later than the final maturity of the refunded Bonds or Parity Obligations.

If interest on any Parity Obligation is reasonably anticipated to be reimbursed to or on behalf of the City by the United States of America, then interest payments with respect to such Parity Obligations shall be excluded by the amount of such interest reasonably anticipated to be paid or reimbursed by the United States of America, and such reimbursements will not be included as Gross Revenues for purposes of the coverage calculations required in subsection (ii) above.

Segregation of Revenue Fund

No later than September 30, 2018, the City shall open a new bank account to hold and be used exclusively by the Revenue Fund, and which bank account shall hold no other funds, property or revenues of the City. Thereafter, the City shall not commingle the Revenue Fund or any Gross Revenues (including for investment purposes) or any interest or investment income earned on the Revenue Fund either prior to or after their deposit in the Revenue Fund, with any of its other City funds, including by not limited to, its General Fund, its Water Enterprise Fund, and its Sanitation Enterprise Fund, or with any of their respective assets or accounts.

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The following table sets forth (i) the payment of principal and interest on the Bonds and (ii) the 2008 Installment Payments for each twelve-month period ending on May 1 (assuming no optional redemptions):

SCHEDULE OF PARITY OBLIGATION PAYMENTS

Year (May 1)	2008 Installment Payments	The Bonds	Total Debt Service
2018	\$1,351,031.25	\$3,512,853.02	\$4,863,884.27
2019	1,348,081.25	3,311,337.50	4,659,418.75
2020	1,346,881.25	3,314,587.50	4,661,468.75
2021	1,348,506.25	3,315,587.50	4,664,093.75
2022	1,348,350.00	3,309,337.50	4,657,687.50
2023	1,347,100.00	3,316,087.50	4,663,187.50
2024	1,348,975.00	3,310,087.50	4,659,062.50
2025	1,349,500.00	3,306,837.50	4,656,337.50
2026	1,346,962.50	3,311,087.50	4,658,050.00
2027	1,348,000.00	3,307,337.50	4,655,337.50
2028	1,350,500.00	3,310,837.50	4,661,337.50
2029	1,351,000.00	3,316,087.50	4,667,087.50
2030	1,349,500.00	3,317,837.50	4,667,337.50
2031	1,351,000.00	3,311,087.50	4,662,087.50
2032	1,350,250.00	3,311,087.50	4,661,337.50
2033	1,347,250.00	3,313,837.50	4,661,087.50
2034	1,347,000.00	3,317,587.50	4,664,587.50
2035	1,349,250.00	3,309,150.00	4,658,400.00
2036	1,348,750.00	3,313,950.00	4,662,700.00
2037	1,350,500.00	3,310,750.00	4,661,250.00
2038	1,349,250.00	3,309,000.00	4,658,250.00
2039	--	4,656,000.00	4,656,000.00
2040	--	4,660,750.00	4,660,750.00
2041	--	4,656,750.00	4,656,750.00
2042	--	4,659,000.00	4,659,000.00
2043	--	4,656,750.00	4,656,750.00
2044	--	4,659,750.00	4,659,750.00
2045	--	4,657,500.00	4,657,500.00
Total	\$28,327,637.50	\$102,362,853.02	\$130,690,490.52

Source: The Underwriter.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Assured Guaranty Municipal Corp. will issue the Insurance Policy for the Bonds. The Insurance Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Insurance Policy included as Appendix G this Official Statement. See “APPENDIX G SPECIMEN MUNICIPAL BOND INSURANCE POLICY” hereto.

The Insurance Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp.

AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. (“AGL”), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol “AGO”. AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM’s financial strength is rated “AA” (stable outlook) by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”), “AA+” (stable outlook) by Kroll Bond Rating Agency, Inc. (“KBRA”) and “A2” (stable outlook) by Moody’s Investors Service, Inc. (“Moody’s”). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM’s long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings.

On June 26, 2017, S&P issued a research update report in which it affirmed AGM’s financial strength rating of “AA” (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On December 14, 2016, KBRA issued a financial guaranty surveillance report in which it affirmed AGM’s insurance financial strength rating of “AA+” (stable outlook). AGM can give no assurance as to any further ratings action that KBRA may take.

On August 8, 2016, Moody's published a credit opinion affirming its existing insurance financial strength rating of "A2" (stable outlook) on AGM. AGM can give no assurance as to any further ratings action that Moody's may take.

For more information regarding AGM's financial strength ratings and the risks relating thereto, see AGL's Annual Report on Form 10-K for the fiscal year ended December 31, 2016.

Capitalization of AGM.

At June 30, 2017:

- The policyholders' surplus of AGM was approximately \$2,222 million.
- The contingency reserves of AGM and its indirect subsidiary Municipal Assurance Corp. ("MAC") (as described below) were approximately \$1,289 million. Such amount includes 100% of AGM's contingency reserve and 60.7% of MAC's contingency reserve.
- The net unearned premium reserves of AGM and its subsidiaries (as described below) were approximately \$1,699 million. Such amount includes (i) 100% of the net unearned premium reserves of AGM and AGM's wholly owned subsidiaries Assured Guaranty (Europe) plc, Assured Guaranty (UK) plc, CIFG Europe S.A. and Assured Guaranty (London) plc (together, the "AGM European Subsidiaries") and (ii) 60.7% of the net unearned premium reserve of MAC.

The policyholders' surplus of AGM and the contingency reserves and net unearned premium reserves of AGM and MAC were determined in accordance with statutory accounting principles. The net unearned premium reserves of the AGM European Subsidiaries were determined in accordance with accounting principles generally accepted in the United States of America.

Incorporation of Certain Documents by Reference.

Portions of the following documents filed by AGL with the Securities and Exchange Commission (the "SEC") that relate to AGM are incorporated by reference into this Official Statement and shall be deemed to be a part hereof:

- (i) the Annual Report on Form 10-K for the fiscal year ended December 31, 2016 (filed by AGL with the SEC on February 24, 2017);
- (ii) the Quarterly Report on Form 10-Q for the quarterly period ended March 31, 2017 (filed by AGL with the SEC on May 5, 2017); and
- (iii) the Quarterly Report on Form 10-Q for the quarterly period ended June 30, 2017 (filed by AGL with the SEC on August 3, 2017).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof "furnished" under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the

respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC's website at <http://www.sec.gov>, at AGL's website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 1633 Broadway, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL's website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the caption "BOND INSURANCE – Assured Guaranty Municipal Corp." or included in a document incorporated by reference herein (collectively, the "AGM Information") shall be modified or superseded to the extent that any subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters.

AGM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "BOND INSURANCE".

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THE WASTEWATER SYSTEM

General

The City covers approximately 6.1 square miles in Merced County and is situated within the San Joaquin Valley, part of the Central Valley. The City is located approximately six miles northwest of the City of Merced, the county seat, 105 miles south of Sacramento and 65 miles north of Fresno. The current population of the City is approximately 30,406. The City was incorporated on August 16, 1922 and is a general law city. The City has adopted a Council-Manager form of government. The City Manager reports to the City Council, which sets policy for the City Manager to carry out. The City Manager is further responsible for the day-to-day operations of the City, general administration of City departments and budgets, and supervision over City personnel and policies. The City is currently led by an Interim City Manager and it is in the process of conducting a search for a new, permanent City Manager.

Land use within the City is principally composed of single and multifamily residences, business and commercial districts, and some light industrial areas. Additional growth may result from modest growth activity in housing and commercial projects. The City currently has five housing development projects in progress with approximately 240 buildable lots in these subdivisions, all of which are zoned for single family residences. The City has experienced minimal commercial development since 2011. A multi-story hotel project, a shopping center, and several smaller projects are fully-entitled but not yet under construction. The Ferrari Ranch project (the “Ferrari Ranch Project”), sitting at the junction of Highway 99 and the Atwater-Merced expressway, is an estimated 250-plus acres of planned development that could include a regional retail center, a regional medical complex and hospital and sports complex in addition to shops, restaurants, and clinics. The City expects the Ferrari Ranch Project to be fully-entitled by the end of 2017. The City expects that any new industrial development will be built outside of City-limits, in the Castle Area (defined below).

Atwater and Merced County are a center of the agriculture industry in California. Atwater's largest businesses are agriculture-related. Among these are Teasdale Foods, which, since the 1930s, has canned hominy and pinto, peruanito, garbanzo, kidney and black beans in the City at its facility located just east of Highway 99, using crops grown mostly in the Central Valley. Teasdale products include whole and refried beans, along with the Aunt Penny's organic line. Dole Packaged Frozen Food is a provider of frozen fruit products, specifically peaches, strawberries and apricots and serves clients in the food service, industrial, organic and retail markets. Joseph Gallo Farms, which owns the largest dairy herd in the United States and which produces cheese and milk, accepts the majority of treated effluent produced by the Wastewater System as well as the effluent produced by Teasdale Foods (which is not a Wastewater System customer). Almonds, stone fruit, sweet potatoes, strawberries, dairy, chicken and turkey are the primary crops grown in areas adjacent to the City.

Wastewater System Management

The management of the Wastewater System is currently the responsibility of the City's Acting Public Works Director. The City expects to conduct a search for a new, full-time Public Works Director within the next twelve months. The Director will be supported by ten full-time employees who work at the Treatment Plant and provide system infrastructure maintenance (the “Veolia Employees”). The Veolia Employees are employed by Veolia Water North America Operating Services, Inc. (the “Operator”) under the Agreement for Operation and Maintenance Assistance for the City of Atwater Treatment Facility, dated July 1, 1994, as amended (the

“Veolia Operating Agreement”), between the Operator and the City. Pursuant to the fifteenth and most recent amendment to the Veolia Operating Agreement, the scheduled termination date for the Veolia Operating Agreement is April 30, 2023, provided, however, in the event that this Agreement is terminated for any reason prior to April 30, 2023, the City shall pay the Operator a termination fee which is associated with administrative costs, demobilization costs, third party fees and other cost, as scheduled in the fifteen amendment. Veolia Water North America Operating Services, Inc. is a subsidiary of Veolia Environnement S.A. (“Veolia”), a French transnational company with activities in four main service and utility areas traditionally managed by public authorities – water management, waste management, public transport and energy services. Veolia employs more than 300,000 employees in 48 countries.

The City also employs six full-time maintenance workers who are dedicated to the Wastewater System but who do not work at the Treatment Plant. The City Finance Department is responsible for billing and collecting all sewer bills.

The Wastewater System

The City’s sanitary sewer collection system provides service to approximately 8,050 residential customers, 171 multifamily residential customers, 300 commercial customers, 27 municipal and church customers and three Wholesale Customers (defined below) located outside of the City (for a total of 8,548 customers). The Wastewater System provides service to Winton, an unincorporated community of approximately 10,613 residents, the United States Penitentiary, Atwater (the “U.S. Penitentiary”), which is a high-security United States federal prison for male inmates with an inmate population of approximately 1,172 persons, and Castle Airport Aviation and Development Center (together, the “Wholesale Customers”). Within the City’s boundaries, the Wastewater System is the sole provider of wastewater services. See “Active Wastewater System Accounts” below for further description of the accounts of the Wastewater System.

Wastewater generated by customers is at the City’s regional Atwater Bert Crane Wastewater Treatment Plant (the “Treatment Plant”), which was completed in July 2012. In calendar year 2016, the Wastewater System treated an average of 3.22 million gallons per day (“mgd”) of influent wastewater. The Treatment Plant is located at 530 South Bert Crane Road, Atwater, California, five miles outside of City limits, and consists of:

- treatment facilities, including, but not limited to, headworks that screen large solids and removing grit from the raw wastewater and the treat for odor control; two biological nutrient removal oxidation ditches with secondary clarifiers to reduce concentrations of ammonia and nitrogen to meet future regulatory standards; an ultra-violet light disinfection system to meet the tertiary treatment standards outlined in the California Department of Health Services Title 22, California Code of Regulations, Division 4, Chapter 3 (“Title 22 tertiary standards”); a solids handling facility and chemical feed building designed to comply with permit requirements for biosolids handling; sludge digestion/dewatering facilities, including cake storage; a 6 mgd (expandable to 12 mgd) pump station with odor control facilities and flow surge protection; an emergency storage pond; cyclone fences; and driveways;
- an approximately 3,200 square foot administration building containing a reception area, offices, meeting rooms and a laboratory;

- an approximately 2,000 square foot maintenance building containing a vehicle and equipment service area with a monorail crane;
- an approximately 1,800 square foot outdoor covered equipment maintenance and storage area; and
- related electrical power, instrumentation and control facilities, including generators.

Treated and disinfected water is discharged to the Peck/Atwater Drain at the Joseph Gallo Ranch where the water is blended with other sources for farming irrigation. Any remaining treated and disinfected water flows to the US Fish and Wildlife Arena Plains Wetland refuge. Biosolids produced at the Wastewater Treatment Plant are comprised of waste activated sludge. This solid waste stream is pumped to the aerobic digesters for further treatment and stabilization. Aerobically digested solids are dewatered and further dried on a one acre concrete drying bed. After drying and storage, the dry “class B” biosolids are hauled and land applied to local farms in Merced County by a local contractor specializing in biosolids land application. The biosolids are only applied to permitted sites that comply with the Merced County Sludge Ordinance

The site upon which the Treatment Plant sits is within a 100-year floodplain and it has further been improved to provide protection from flooding. The Treatment Plant has also been constructed with a variety of energy efficiency measures to minimize energy consumption, ultimately achieving energy reductions of 294 kW and 2,160,963 kWh. Such energy improvements include high efficiency heating, ventilation, and air conditioning (HVAC) units at the plant’s electrical and administration buildings; the use of rotary fan press technology for biosolids dewatering; high efficiency surface aerators in the oxidation ditches; automatic control of dissolved oxygen levels using variable speed motors for the oxidation ditch surface aerators; the use of a low-pressure, high-intensity UV disinfection system; and use of a high-efficiency aeration system for the plant’s aerobic digesters. The Treatment Plant was awarded the 2012 Environmental Project of the Year, American Society of Civil Engineers, Sacramento Section and the 2013 Project of the Year – Environment, American Public Works Association, Sacramento Chapter.

The Treatment Plant has been designed to meet permit requirements and to allow additional expansions to be accommodated with minimal reconfiguration, should the need arise for additional treatment capacity at a later date. The capacity of the Treatment Plant is currently 6 mgd with the potential to increase capacity to 12 mgd.

The Wastewater System previously operated certain wastewater treatment facilities located on the south-west side of Highway 99 near Applegate Road at 550 Commerce Avenue, approximately 5 miles north of the existing Treatment Plant (the “Prior Treatment Site”). Six miles of twin 30-inch diameter pressurized influent sewer force mains deliver raw wastewater from the influent pump station at the Prior Treatment Site to the Treatment Plant. Except for such pump station, all facilities at the Prior Treatment Site have been or are in the process of being decommissioned. The former drying beds located at the Prior Treatment Site continue to present high levels of nitrates in the soil. Wastewater System employees have removed significant amounts of affected soil from the former drying beds and continue to monitor nitrate levels as part of the Prior Treatment Site’s decommissioning process. The Regional Water Board must approve the final nitrate levels on the Prior Treatment Site prior to the capping of the prior drying beds with cement and the completion of the decommissioning process. After

the site is fully decommissioned, the City intends to sell 22 acres of Prior Treatment Site land, with proceeds expected to be paid to the Wastewater Fund. The Prior Treatment Site has high accessibility to Highway 99 and is located adjacent to the Applegate Ranch Shopping Center, which is home to several national retailers including Walmart, SuperTarget, Marshalls, Big 5 Sporting Goods & Petco and which serves shoppers from Atwater and the nearby City of Merced.

In addition to the Treatment Plant and the Prior Treatment Site, the Wastewater System consists of the following infrastructure and features:

- Approximately 81,118 feet of force main sewer pipe, ranging in size from 4-inches to 30-inches (including the 31,680 feet (six miles) of twin 30-inch force mains between the Prior Treatment Site and the Treatment Plant, noted above),
- Approximately 312,875 feet of gravity sewer pipe, ranging in size from 6-inches to 36-inches,
- 22 pump stations / lift stations (including the pump stations at the Treatment Plant and Prior Treatment Site, noted above), and
- 606 manholes.

In 2016, the Wastewater System had average wastewater treatment inflows of 3.09 mgd. The maximum capacity of the Treatment Plant is sufficient to meet projected wastewater demand in the City's service areas through 2040 and beyond. The following table shows the average treatment data for the service area of the Treatment Plant.

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TABLE 1
CITY OF ATWATER
AVERAGE WASTEWATER TREATMENT INFLOWS
(Calendar Years 2010 through 2016)

Year (December 31)	MGD
2010	3.35
2011	3.44
2012 ⁽¹⁾	3.34
2013 ⁽²⁾	3.17
2014 ⁽²⁾	2.96
2015 ⁽²⁾	2.97
2016 ⁽²⁾	3.09
2017 ⁽³⁾	3.22

Source: City of Atwater.

(1) Treatment Plant in service on or around June 6, 2012.

(2) Reduced and low inflows in Calendar Years 2013 through 2016 are due to drought-related conservation and weather patterns.

(3) Estimated, based on inflows between January 1, 2017 and May 31, 2017.

Environmental Compliance and Regulatory Requirements

The Wastewater System is subject to federal, state and local regulatory requirements pertaining to wastewater treatment and reuse, biosolids management, air quality, hazardous materials handling and waste management. Federal regulations are based upon provisions within the Clean Water Act (the "CWA"), Clean Air Act, and Resource Conservation and Recovery Act. State and local regulations are prescribed by the California Air Resources Board, California Department of Toxic Substances Control, the State Water Resources Control Board (the "State Water Board"), and the Central Valley Regional Water Board (the "Regional Water Board"). Wastewater System facilities and programs are managed to comply with all applicable laws and regulations.

The Regional Water Board has authority over all publicly-owned or -operated wastewater treatment facilities in the Central Valley Region. The primary purpose of the Regional Water Board's Waste Discharge Requirements ("WDR") is to assure water quality protection pursuant to State and Federal water quality regulations. The Regional Water Board is the statutorily designated agency with authority to enforce CWA requirements and standards as well as other federal water quality regulations and guidelines such as the National Pollutant Discharge Elimination System (the "NPDES"), on behalf of the U.S. Environmental Protection Agency (the "EPA"). The Treatment Plant must currently satisfy the requirements of the Regional Water Board's Order No. R5-2011-0082 (NPDES Permit CA0085308), Waste Discharge Requirements for the City of Atwater Wastewater Treatment Facility, Merced County (the "NPDES Permit"). The NPDES Permit became effective on January 20, 2012 and expired on January 1, 2017.

The City and the Regional Water Board expect that the next NPDES Permit for the Treatment Plant will be a "General NPDES Permit," which will become available to treatment facilities that treat domestic wastewater and meet water quality objectives and criteria at the point just prior to where the facility effluent discharge meets the receiving water (the point of discharge or "end-of-pipe"). The application process for and form and regulatory standards of

such a permit are still being finalized by the Regional Water Board. Until such process, form and standards can be finalized, the Treatment Plant continues to operate pursuant to the terms of the expired NPDES Permit.

Within the past five years, the Wastewater System has not received any notices of violation of the NPDES Permit. However, effluent produced at the Treatment Plant has exceeded the levels of zinc permitted under the NPDES Permit. Staff members from the Wastewater System and Treatment Plant have worked with the Regional Water Board to seek compliance pursuant to a Time Schedule Order R5-2013-0052, which has temporarily modified the permissible limits of zinc through 2018. The City expects that the new General NPDES Permit will permit levels of zinc similar to those permitted under the Time Schedule Order, and the City does not expect further remediation will be needed to lower zinc levels in the future.

From time to time, the Wastewater System has been subject to minor spills of untreated sewage from the collection system and sludge within the Treatment Plant. All such spills have been resolved quickly and none have given rise to any claim from affected parties or notice of violation of environmental regulations. The former drying beds located at the Prior Treatment Site continue to present high levels of nitrates in the soil. Wastewater System employees have removed significant amounts of affected soil from the Prior Treatment Site and continue to monitor nitrate levels as part of the Prior Treatment Site decommissioning process. The Regional Water Board must approve the final nitrate levels on the Prior Treatment Site prior to the capping of the prior drying beds with cement, the completion of the decommissioning process, and the sale of the Prior Treatment Site.

The City is not aware of any conditions that could result in regulatory action that could materially impact its ability to pay Debt Service Payments.

Future Wastewater System Improvements

The City is preparing a Sewer Master Plan (the “SMP”) in 2017. The City currently anticipates that it will need to build one new lift station to service the Ferrari Ranch Project, which will be funded by developer fees. All other projects described in the SMP may be funded by (i) State and federal grants and loans (if available), (ii) Wastewater System connection fees and (iii) rates and charges of the Wastewater System.

Active Wastewater System Accounts

Sewer service charges for the City currently consist of (i) flat monthly charges applicable to all residential and certain classes of commercial customers and (ii) variable charges, based on water consumption, applicable to commercial and light industrial customers only. The City currently projects that sewer service accounts will increase by 40 to 50 new residential accounts per year for next five years. That said, there can be no assurance that the number of accounts will not decline.

Other than Wholesale Customers, the Wastewater System served 8,548 accounts as of June 30, 2017. Excluding revenues from Wholesale Customers, the majority of Wastewater System accounts are residential. Residential customers comprise approximately 94.17% of Wastewater System accounts and approximately 62.78% of total Wastewater System Gross Revenues. The Wholesale Customers are each billed and accounted for separately. Summaries of active Wastewater System service accounts by class, number, and Gross Revenues are shown in the following tables.

TABLE 2
CITY OF ATWATER
ACCOUNTS BY CLASS
As of June 30, 2017

Customer Type	Flat Rate / Metered	Number of Accounts
Residential:		
Single Family	Flat Rate	8,050
Non – Residential:		
Commercial Class 1	Flat Rate	185
Commercial Class 2	Base + Metered	73
Commercial Class 3	Base + Metered	1
Commercial Class 4	Base + Metered	2
Commercial Class 5 (Multifamily) ⁽¹⁾	Flat Rate	170
Commercial Class 6 (Multifamily) ⁽¹⁾	Flat Rate	1
Commercial Class 7	Base + Metered	29
Commercial Class 8	Base + Metered	13
Institutional Class 1	Base + Metered	4
Institutional Class 2	Base + Metered	--
Institutional Class 3	Base + Metered	16
Industrial Class 1	Base + Metered	--
Industrial Class 2	Base + Metered	--
Miscellaneous		4

Source: City of Atwater.

(1) In the case of multi-family residential service accounts (apartment buildings and trailer parks), multiple accounts may be billed to a single customer.

TABLE 3
CITY OF ATWATER
ACCOUNTS BY GROSS REVENUES
(as of June 30, 2017)

Category	Accounts	Percent	Gross Revenues	Percent
Single Family Residential	8,050	94.17%	\$6,951,336	62.78%
Multi-Family Residential ⁽¹⁾	171	2.00	118,975	1.07
Commercial	300	3.51	285,806	2.58
Light Industrial	--	--	--	--
Schools	11	0.13	9,874	0.09
Churches	16	0.19	14,362	0.13
Wholesale Customers	--	--	2,212,333	19.98
Sub-Total – Fixed Revenue	8,548	100.00%	\$9,592,686	86.64%
Sub-Total – Variable Revenue (All Non-residential)	--	--	\$1,479,645	13.36%
Total	8,548	100.00%	\$11,072,331	100.00%

Source: City of Atwater.

(1) In the case of multi-family residential customers (apartment buildings and trailer parks), multiple accounts may be billed to a single customer.

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Largest Wastewater System Customers

The following table shows the top ten Wastewater System customers based on revenue generated during Fiscal Year 2016-17. The top ten Wastewater System customers accounted for 24.63% of total Wastewater System revenues in Fiscal Year 2016-17.

TABLE 4
CITY OF ATWATER
TEN LARGEST WASTEWATER SYSTEM CUSTOMERS
(Fiscal Year 2016-17)

Customer Name⁽¹⁾	Revenue	Percent
Winton Sanitary District	\$1,153,809	10.42%
U.S. Penitentiary	964,655	8.71
Castle Vista Apartments	198,610	1.79
Castle Airport	93,869	0.85
Bellevue Mobile Home Park	84,883	0.77
Jennings Mobile Home Park	59,140	0.53
Castle View Apartments	67,355	0.61
Gardenwood Apartments	48,357	0.44
Olive Tree Mobile Home Park	29,222	0.26
Wisdom Property Management	26,769	0.24
Total Top 10	\$2,726,668	24.63%
All Other Accounts	8,345,663	75.374
Total All Accounts	\$11,072,331	100.00%

Source: City of Atwater.

(1) In the case of multi-family residential customers (apartment buildings and trailer parks), multiple accounts may be billed to a single customer.

Winton Sanitary District. Under an Agreement for Connection of Sewage Disposal Facilities and Exercise of Joint Powers dated March 6, 1978, between the Winton Water and Sanitary District ("Winton") and the City, Winton initially agreed to discharge all its sewage to the Wastewater System. Winton and the City entered into a new Wastewater Treatment Agreement on July 22, 2013 (the "2013 Winton Agreement"), following the opening of the Treatment Plant, and which new agreement superseded all prior agreements between the two entities. The term of the 2013 Winton Agreement is 10 years and it shall be renewed automatically for successive one-year terms unless one party thereto gives notice of termination at least 360 days prior to the end of the term or the end of any one-year extension. Either party to the 2013 Winton Agreement may also terminate the Agreement for a material breach that has not been corrected or remedied by other party within 180 days of written notice of breach.

The an unincorporated community of Winton does not currently own any wastewater treatment facilities meeting the current standards set by the State Water Board and the Central Valley Regional Water Board. Pursuant to the 2013 Winton Agreement, Winton owns a right to discharge up to 1.0 mgd average annual flow and 2.0 mgd peak hour flow to the Wastewater System for treatment. As of July 2013, Winton discharged a daily average of approximately 0.65 mgd, which amounted to approximately 20% of the average daily flow into Treatment Plant at that time.

The amounts paid by Winton to the City pursuant to the 2013 Winton Agreement consist of the following: (i) operations and maintenance costs for Winton's proportional share (approximately 20%) of use of the Treatment Plant, pump station, dual force mains, and the land occupied by the aforementioned components, (ii) Winton's proportional share (approximately 20%) of the costs of any future facilities capital projects that are needed to meet the discharge requirements set by the State Water Board and the Central Valley Regional Water Board, (iii) a charge for administration of up to six percent of the City's annual cost under the Veolia Operating Agreement, and (iv) Winton's proportional share (approximately 20%) of the Debt Service Payments. The amounts paid by Winton are not variable charges, based on wastewater effluent discharged from the Winton collection system.

U.S. Penitentiary. The Wastewater System has provided sewer utility service to the U.S. Penitentiary via a dedicated connection pipeline since late 2000 pursuant to a federal contract between the City and the Federal Bureau of Prisons dated February 25, 2000. The Federal Bureau of Prisons pays the City (i) an annual flat fee for wastewater treatment and (ii) an annual sewer line maintenance charge, both of which charges shall be adjusted by the Department of Labor's consumer price index, under a ten year contract with the City that ends in 2025. The U.S. Penitentiary does not have access to any other wastewater treatment facilities meeting the current standards set by the State Water Board and the Central Valley Regional Water Board.

The U.S. Penitentiary opened in 2001 as a high-security United States federal prison for male inmates with a minimum-security satellite camp on land formerly part of Castle Air Force Base. The prison currently houses approximately 1,172 inmates at various security levels. The prison is operated by the Federal Bureau of Prisons, a division of the United States Department of Justice. The amounts paid by the Federal Bureau of Prisons for service at the U.S. Penitentiary are not variable charges, based on wastewater effluent discharged from the U.S. Penitentiary collection system, and the amounts are not impacted by the number of inmates housed or staff members employed there.

Castle Airport. The Wastewater System also serves the property that formerly served as Castle Air Force Base pursuant to an Agreement for the Provision of Wastewater Treatment for the Castle Airport Aviation and Development Center, entered into in 2002, by and between the City and Merced County (the "2002 Castle Agreement"). Pursuant to the 2002 Castle Agreement, Merced County assumed the obligations of the prior Castle Joint Powers Authority under a Sewer Service Agreement between the City and the Castle Joint Powers Authority dated July 27, 1995. The term of the 2002 Castle Agreement was 14 years, ending in 2016. However, the property that formerly served as Castle Air Force Base (the "Castle Area") does not have access to any other wastewater treatment facilities meeting the current standards set by the State Water Board and the Central Valley Regional Water Board. The Wastewater System continues to provide service to the Castle Area and the County continues to pay for such service, all pursuant to the terms of the 2002 Castle Agreement. The County and the City will reopen negotiations regarding the terms of wastewater service to the Castle Area later in 2017 or in 2018, following the sale of the Bonds and the preparation of a new wastewater system rate study for the Wastewater System in 2017, among other events.

Pursuant to the 2002 Castle Agreement, the Castle Area is entitled to discharge up to 64,600 gallons per day average daily flow to the Wastewater System for treatment. As compensation for providing such sewer service, the County pays sewer service charge comprised of: (i) Treatment Plant replacement costs; (ii) Treatment Plant operation costs; (iii) the fair share costs for maintenance and replacement costs for lines and lift stations carrying

County flows from the Castle Area; and (iv) plant maintenance costs all as shown on the City's 1988 Revenue Program as approved for grant funding and grant compliance. The amounts paid by the County for the Castle Area service are not variable charges, based on wastewater effluent discharged from the Castle Area collection system.

The following table sets forth a four-year audited history of actual Wholesale Customer contract revenues.

TABLE 5
CITY OF ATWATER
WHOLESALE CUSTOMER WASTEWATER SYSTEM CONTRACT REVENUES
(Fiscal Years 2012-13 through 2015-16)

Type	FY 2012-13	FY 2013-14	FY 2014-15	FY 2015-16
Winton Sanitary District	\$1,631,473	\$1,180,522	\$1,403,784	\$1,107,709
U.S. Penitentiary	970,501	1,100,516	1,207,515	1,234,261
Castle Airport	80,779	90,706	93,869	28,435 ⁽¹⁾
Total	\$2,682,753	\$2,371,744	\$2,705,168	\$2,370,405

Source: City of Atwater.

(1) In Fiscal Year 2015-16, the meters measuring the amounts of effluent transmitted to the Wastewater System from the Castle Area failed and the Castle Area was charged a flat fee for service. The affected meters have since been repaired and the City expects contract revenues from Castle Airport will return to historical levels for Fiscal Year 2016-17.

Wastewater System Rates

In accordance with California law, the City may, from time to time, fix, alter or change fixed monthly system access fees, commodity charges and other fees related to the Wastewater System. The City has the authority to establish charges for sewer service without the approval of any other governmental agency. It can terminate service to delinquent customers, require full payment of delinquent accounts, and impose reconnection fees to resume service.

The City staff periodically determines the adequacy of the Wastewater System rate structure after full consideration of expected operations, maintenance and capital costs. In accordance with City policy, operating surpluses may be added to Wastewater System unrestricted reserves, or returned to ratepayers through mitigation of future rate increases.

See "RISKS FACTORS – Proposition 218" herein for a discussion of the treatment of the City's rates and charges in light of Proposition 218.

In 2007, the City prepared a comprehensive Wastewater System rate study (the "2007 Wastewater System Rate Study"). The rate increases suggested by the 2007 Wastewater System Rate Study were presented to the City Council and approved pursuant to the procedural requirements of Proposition 218 on October 8, 2007. Pursuant to the 2007 Wastewater System Rate Study, Wastewater System rates currently increase by the annual change in the Department of Labor's consumer price index for all urban consumers. Copies of the 2007 Wastewater System Rate Study may be obtained from the City's Finance Director at 750 Bellevue Road, Atwater, California 95301.

The following table sets forth a five-year history of actual Wastewater System rate increases.

TABLE 6
CITY OF ATWATER
HISTORICAL AVERAGE WASTEWATER SYSTEM RATE INCREASES FOR ALL
CUSTOMER CLASSES
(Fiscal Years 2013-14 through 2017-18)

<u>Fiscal Year</u>	<u>Percent Increase</u>
2013-14	--
2014-15	2.1%
2015-16	0.0
2016-17	1.0
2017-18	0.0

Source: City of Atwater.

The City has engaged the services of Raftelis Financial Consultants, Inc. to prepare a new Wastewater System rate study in 2017 (the "2017 Rate Study").

Sewer service charges for the City currently consist of (i) flat monthly charges applicable to all residential and certain commercial customers and (ii) variable charges, based on wastewater effluent discharged, applicable to commercial and light industrial customers only. The current sewer rate structure is set forth below.

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TABLE 7
CITY OF ATWATER
WASTEWATER SYSTEM RATES
(As of July 1)

Type	Class	2015	2016	2017
Residential ⁽¹⁾	1	\$71.25	\$71.96	\$71.96
Commercial ⁽²⁾	1	57.41	57.98	57.98
Commercial ⁽³⁾	2	7.41	7.48	7.48
Commercial ⁽³⁾	3	22.04	22.26	22.26
Commercial ⁽³⁾	4	10.00	10.10	10.10
Commercial ⁽²⁾	5	45.97	46.43	46.43
Commercial ⁽²⁾	6	57.41	57.98	57.98
Commercial ⁽³⁾	7	21.98	22.20	22.20
Commercial ⁽³⁾	8	7.67	7.75	7.75
Institutional ⁽³⁾	1	8.46	8.55	8.55
Institutional ⁽³⁾	2	7.54	7.62	7.62
Institutional ⁽³⁾	3	7.40	7.48	7.48
Institutional ⁽³⁾	1	1.24	1.25	1.25
Institutional ⁽³⁾	2	1.18	1.19	1.19
Industrial ⁽⁴⁾	1	.45	.45	0.45
Industrial ⁽⁴⁾	2	2.61	2.63	2.63
Industrial ⁽⁵⁾	1	1.18	1.19	1.19
Industrial ⁽⁵⁾	2	.45	.45	0.45
Miscellaneous ⁽³⁾		5.97	6.03	6.03

Source: Raftelis Financial Consultants, Inc.; City of Atwater.

(1) Per Dwelling Unit.

(2) Per Unit.

(3) Per 1,000 gallons.

(4) Biochemical Oxygen Demand (BOD) per pound.

(5) Total Suspended Solids (TSS) per pound.

Wastewater System Connection Fees

The City has established its Wastewater System connection charges pursuant to Ordinance No. CS 824, adopted on April 28, 2003. Connection charges are anticipated to adjust in the future as a result of the completion of the 2017 Rate Study. The current schedule for connection fees is set forth below.

TABLE 8
CITY OF ATWATER
SCHEDULE OF CONNECTION FEES
(Fiscal Year 2016-17)

Fees for tapping into the Wastewater System shall be \$400.00 plus the following:

<u>Type of Development</u>	<u>Fee</u>
Residential Users:	
Single family residential (very low and low density)	\$3,667
Mobile homes	3,312
Medium/high density residential	3,312
Commercial users:	
Stores and offices	
- For the first 1,000 sq. ft. building area	1,576
- Per 1,000 sq. ft. thereafter	1,288
	1,576 +
	100/washing
Laundry facilities & car washes ⁽¹⁾	machine
Mortuaries ⁽¹⁾	1,576
Recreational vehicles, per pad	1,576
Restaurants and coffee shops ⁽¹⁾	1,576
Bars and beauty parlors ⁽¹⁾	1,576
Institutional users:	
Hospitals ⁽¹⁾	1,576
Convalescent hospitals & rest homes ⁽¹⁾	1,576
Schools ⁽¹⁾	1,576
Churches per 1,000 sq. ft. excluding sanctuary	1,576
Industrial classifications:	To be individually determined from discharge characteristics
Miscellaneous classifications:	
City users (butcher shops, bakeries, etc.)	576
Government facilities equivalent to residential unit	3,667

Source: City of Atwater.

(1) Per 1,000 sq. ft. building area.

During the period beginning January 1, 2008 and ending December 31, 2013, the number of new connections to the Wastewater System increased by only eleven residential connections and one commercial connection. In calendar year 2014, the City added 39 new residential Wastewater System customers and one new commercial Wastewater System customer. In calendar year 2015, the City added 112 new residential Wastewater System customers and one new commercial Wastewater System customer. In calendar year 2016, the City added 101 new residential Wastewater System customers and one new industrial warehouse Wastewater System customer. During the period beginning January 1, 2017 and

ending on July 12, 2017, the number of new connections to the Wastewater System has increased by 87 residential connections. Additional growth may result from modest growth activity in housing, including completion of single family residences on the City's current 240 buildable lots at a rate of 40 to 50 homes per year, and from commercial projects, including the Ferrari Ranch Project. The following table below sets forth the historical annual revenues from connection fees.

TABLE 9
CITY OF ATWATER
WASTEWATER SYSTEM CONNECTION FEE REVENUE
(Fiscal Years 2011-12 through 2016-17)

<u>Fiscal Year</u>	<u>Connection Fee Revenue</u>
2011-12	\$77,147
2012-13	13,186
2013-14	121,118
2014-15	211,360
2015-16	333,961
2016-17 ⁽¹⁾	346,143

Source: City of Atwater.

(1) Unaudited.

The following table sets forth a comparison of average monthly bill for a single family residential unit with a 4" average residential connection in the City to those of surrounding communities.

TABLE 10
CITY OF ATWATER
WASTEWATER SYSTEM AVERAGE MONTHLY BILL COMPARISON⁽¹⁾
(Fiscal Year 2017-18)

<u>Community</u>	<u>Average Monthly Bill</u>
City of Atwater	\$71.96
City of Fresno	25.75
City of Gustine	24.76
City of Livingston	43.62
City of Newman	37.32
City of Modesto	33.76
City of Madera	29.74

Source: City of Atwater.

The City anticipates reviewing its rates periodically, and changing rates as future needs of the Wastewater System demand.

Billing and Collection Procedures

Billing Procedure. All Wastewater System fees and charges are billed on a monthly basis, in a combined bill with charges for the City's water system and garbage collection system. All accounts are due and payable upon receipt. New accounts are required to guarantee payment of utility bills by payment of an advance billing fee which is equal to the amount of the monthly service fees for water, sewer, and refuse for one month. The deposit may be applied to the bill after one year of good credit with the City, upon the customer's request, or refunded upon termination of services. The amount of any bill paid in part shall be allocated pro rata across all of such customer's City utilities consumed.

If Utility bills are not paid within 30 days of the billing, the utility services shall be subject to discontinuance after notice to customer. Delinquent notices, which will include a \$2.00 handling fee, will be sent 30 days from the date of billing. The City's Director of Public Works is authorized to shut off the water service of any customer who has an unpaid balance, in the case of metered water customers, after 25 days and, in the case of flat rate water customers, after 45 days. Wastewater service is not usually shut off, however such service is greatly reduced as a result of water service cutoff. Before service to such customer shall be resumed, the customer must pay any unpaid City utility bill, all associated delinquent fees, a \$20 service dispatch fee, and a new advance billing fee (described above).

All delinquent charges may constitute a lien upon the real property served (except publicly owned property and rental properties) when recorded as provided in the California Government Code, and such liens continue until the charges and all penalties thereon are fully paid, or the property is sold in satisfaction of the lien.

Delinquent Fees and Charges. For the last five Fiscal Years the City's delinquencies with respect to the Wastewater System have not exceeded 2.5% of annual Wastewater System billings. The City has not had any material charges considered uncollectible in the past several years.

Impact of Drought, 2012 through 2017

California recently experienced a historic, five-year drought, lasting from 2012 through early 2017, which was one of the worst droughts on record for the State. Despite the fact that water usage within the City and by the Wholesale Customers dropped as the result of Governor Brown's drought state of emergency conservation standards and mandates, the Wastewater System's Gross Revenues remained stable, and even rose, during the recent drought years. 86.64% of Wastewater System Gross Revenues are generated by customers paying for service on a flat fee basis. The City currently has no plans to increase the percentage of Wastewater System revenues generated on a variable, commodity-based basis. See also "RISK FACTORS – Drought" herein.

WASTEWATER SYSTEM FINANCIAL INFORMATION

Financial Statements

Attached as APPENDIX C are the audited financial statements of the City (the “Financial Statements”) for Fiscal Year 2015-16, which include financial statements for the Wastewater System, prepared by the City Department of Finance and audited by JJACPA, Inc., Dublin, California (the “Auditor”).

The Auditor’s letter concludes that all the Financial Statements present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City as of June 30, 2016, and the respective changes in financial position, and cash flows, where applicable, thereof for the year then ended in conformity with accounting principles generally accepted in the United States of America.

The Financial Statements should be read in their entirety. The City has not requested nor did the City obtain permission from the Auditor to include the Financial Statements as an appendix to this Official Statement. Accordingly, the Auditor has not performed any post-audit review of the financial condition or operations of the City. In addition, the Auditor has not reviewed this Official Statement.

Wastewater System Accounting

The Wastewater System is accounted for as the City’s Wastewater Fund, with a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues and expenditures or expenses, as appropriate. The City’s Wastewater System funds are used to account for operations (a) that are financed and operated in a manner similar to private business Wastewater Systems--where the intent of the governing body is that the costs of providing goods or services to the general public on a continuing basis are to be financed or recovered primarily through customer charges, or (b) where the governing body has decided that periodic determination of revenues earned, expenses incurred or net income is appropriate for capital maintenance, public policy, management control, accountability or other purposes.

The City uses the accrual basis of accounting for its “proprietary funds,” including the Wastewater Fund. Revenues are recognized when earned and expenses are recognized when the related liabilities are incurred. The “measurement focus” used to identify which transactions and events should be recorded in the respective funds is the flow of all economic resources measurement focus. All assets and liabilities associated with the operations of each respective fund are included in the balance sheet. Fund equity (net total assets) consists of contributed capital and retained earnings. In accordance with Governmental Accounting Standard Board (“GASB”) Statement No. 20, entitled “Accounting and Financial Reporting for Proprietary Funds and Other Governmental Entities That Use Proprietary Fund Accounting,” the City applies all GASB Opinions and Accounting Research Bulletins issued on or before November 30, 1989.

See “APPENDIX C” for a more complete summary of the City’s accounting policies.

Wastewater Fund Budgets and Budgetary Accounting

The City Council has the responsibility for adoption of the City's budget. Budgets are adopted for each of the General Fund, Measure H Special Revenue Fund, Water Enterprise Fund, Wastewater System Fund, and the Sanitation Enterprise Fund. From the effective date of the budget, the amounts stated as proposed expenditures become appropriations to the various City departments. The City Council may amend the budget by motion during each Fiscal Year via a mid-year budget process. Any revisions that alter the total expenditures of any fund must be approved by the City Council. The level at which expenditures may not legally exceed appropriations is therefore established at the department level.

On or before the first day between February and March of each year, all departments of the City submit requests for appropriations to the City Manager and/or Finance Director so that a budget may be prepared on or by May 15, and the proposed budget is presented to the City's Council for review. The Council holds public hearings and a final budget must be prepared and consider for adoption by June 30th. The City's budget for Fiscal Year 2017-18 was adopted by the City Council on August 14, 2017.

Revenues, Expenses and Changes in Fund Net Position

A five-year history of revenues, expenditures and changes in fund net position for the Wastewater Fund, together with revenues, expenditures and changes in fund net position for the Wastewater Fund for the most recently completed Fiscal Year, is presented, in the same form presented in the Supplemental Schedule to the City's Financial Statements, in the table below. See "APPENDIX C – AUDITED FINANCIAL STATEMENTS OF THE CITY FOR FISCAL YEAR 2015-16 – Supplemental Schedule" herein.

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TABLE 11
CITY OF ATWATER
WASTEWATER FUND
History of Revenues, Expenses and Changes in Fund Net Position
(Fiscal Years 2011-12 through 2016-17)

	FY 2011-12	FY 2012-13	FY 2013-14	FY 2014-15	FY 2015-16	Estimated FY 2016-17
Service Charges	\$10,556,151	\$10,626,427	\$10,924,159	\$11,315,036	\$11,127,331	\$11,777,660
Connection Fees	77,147	13,186	121,118	211,360	333,961	346,143
<i>Total Charges for Services</i>	10,633,298	10,639,613	11,045,277	11,526,396	11,461,292	12,123,803
Interest Earnings	55,731	51,743	4,417	2,371	29,124	32,206
Other Revenues	16,444	285	33,660	34,878	9,371	--
<i>Total Other Earnings and Revenues</i>	72,175	52,028	38,077	37,249	38,495	32,206
TOTAL GROSS REVENUES	\$10,705,473	\$10,691,641	\$11,083,354	\$11,563,645	\$11,499,787	\$12,156,009
Personnel Costs	902,277	993,544	428,043	404,937	472,880	476,539
Materials and Supplies ⁽¹⁾	99,232	55,924	72,012	149,525	154,238	95,119
Professional Services ⁽²⁾	237,791	1,142,650	1,377,034	1,388,077	1,515,931	1,375,219
Wastewater Treatment Plant Mgmt. Service (Veolia Operating Agreement)	1,791,585	1,047,095	1,721,885	2,255,545	1,886,743	1,990,925
Other Expenses ^{(1), (3)}	606,578	466,521	488,573	415,205	436,453	490,458
TOTAL OPERATION AND MAINTENANCE EXPENSES	\$3,637,463	\$3,705,734	\$4,087,547	\$4,613,289	\$4,466,245	\$4,428,260
NET REVENUE	\$7,068,010	\$6,985,907	\$6,995,807	\$6,950,356	\$7,033,542	\$7,727,749
2008 Installment Payments	1,348,706	1,346,156	1,347,931	1,348,806	1,347,856	1,348,781
2010 Installment Payments	3,244,430	3,247,230	3,244,030	3,245,030	3,244,030	3,245,030
2011 Installment Payments	681,581	681,750	683,000	684,100	683,100	683,700
TOTAL PARITY OBLIGATION DEBT SERVICE	\$5,274,717	\$5,275,136	\$5,274,961	\$5,277,936	\$5,274,986	\$5,277,511
NET REVENUE AFTER PAYMENT OF PARITY OBLIGATION DEBT SERVICE	\$1,793,293	\$1,710,771	\$1,720,846	\$1,672,420	\$1,758,556	\$2,450,238
PARITY OBLIGATION DEBT SERVICE COVERAGE, BASED ON GROSS REVENUES	2.03x	2.03x	2.10x	2.19x	2.18x	2.30x
PARITY OBLIGATION DEBT SERVICE COVERAGE, BASED ON NET REVENUES	1.34x	1.32x	1.33x	1.32x	1.33x	1.46x

Source: City of Atwater.

Note: This schedule was prepared on the cash basis of accounting.

(1) Includes entries for both Wastewater Fund and Treatment Plant. Capital expenditures are funded by transfers from Sewer enterprise capital fund.

(2) Includes communications, utilities, memberships, subscriptions, travel, conferences, meetings, training, rents, leases and miscellaneous.

(3) Includes equipment, streets, water, parks and building expenses.

Projected Revenues and Expenses

The following presents a five-year summary of projected revenues and expenses of the Wastewater System, together with corresponding coverage ratios, in the same form presented in the Supplemental Schedule to the City's Financial Statements. See "APPENDIX C – AUDITED FINANCIAL STATEMENTS OF THE CITY FOR FISCAL YEAR 2015-16 – Supplemental Schedule" herein. These projections are based upon the City's current rates, current circumstances and available information that the City believes to be reasonable. The assumptions may be affected by numerous factors and there can be no assurance that such projections will be achieved. See "RISKS FACTORS."

The City may issue additional obligations which are secured by a pledge of the Gross Revenues on parity with the Bonds and the 2008 Installment Payments. Estimated debt service on any future series of bonds is not included in the projections shown below.

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TABLE 12
CITY OF ATWATER
WASTEWATER FUND
Summary of Projected Revenues and Expenses
(Fiscal Years 2016-17 through 2021-22)

	FY 2017-18⁽¹⁾	FY 2018-19	FY 2019-20	FY 2020-21	FY 2021-22
Service Charges ⁽²⁾	\$11,895,437	\$12,014,391	\$12,134,535	\$12,255,880	\$12,378,439
Connection Fees ⁽²⁾	349,604	353,100	356,631	360,198	363,800
<i>Total Charges for Services</i>	<u>12,245,041</u>	<u>12,367,491</u>	<u>12,491,166</u>	<u>12,616,078</u>	<u>12,742,239</u>
Interest Earnings ⁽³⁾	32,528	32,853	33,182	33,514	33,849
<i>Total Other Earnings and Revenues</i>	<u>32,528</u>	<u>32,853</u>	<u>33,182</u>	<u>33,514</u>	<u>33,849</u>
TOTAL GROSS REVENUES	\$12,277,569	\$12,400,345	\$12,524,348	\$12,649,592	\$12,776,088
Personnel Costs ⁽⁴⁾	497,983	520,393	543,810	568,282	593,854
Materials and Supplies ^{(5), (6)}	97,973	100,912	103,939	107,057	110,269
Professional Services ^{(6), (7)}	1,416,476	1,458,970	1,502,739	1,547,821	1,594,256
Wastewater Treatment Plant Mgmt. Service (Veolia Operating Agreement) ⁽⁶⁾	2,050,653	2,112,172	2,175,538	2,240,804	2,308,028
Other Expenses ^{(5), (8)}	505,662	521,338	537,499	554,162	571,341
TOTAL OPERATION AND MAINTENANCE EXPENSES	\$4,568,746	\$4,713,784	\$4,863,525	\$5,018,125	\$5,177,747
NET REVENUE	\$7,708,823	\$7,686,561	\$7,660,823	\$7,631,466	\$7,598,340
2008 Installment Payments	1,351,031	1,348,081	1,346,881	1,348,506	1,348,350
The Bonds	3,512,853	3,311,338	3,314,588	3,315,588	3,309,338
TOTAL PARITY OBLIGATION DEBT SERVICE	\$4,863,884	\$4,659,419	\$4,661,469	\$4,664,094	\$4,657,688
NET REVENUE AFTER PAYMENT OF PARITY OBLIGATION DEBT SERVICE	\$2,844,938	\$3,027,141	\$2,999,354	\$2,967,372	\$2,940,652
PARITY OBLIGATION DEBT SERVICE COVERAGE, BASED ON GROSS REVENUES	2.52x	2.66x	2.69x	2.71x	2.74x
PARITY OBLIGATION DEBT SERVICE COVERAGE, BASED ON NET REVENUES	1.58x	1.65x	1.64x	1.64x	1.63x

Source: City of Atwater.

Note: This schedule was prepared on the cash basis of accounting.

(1) FY 2017-18 revenue, expense, and non-operating revenue (expenses) projected from unaudited Fiscal Year 2016-17 numbers

(2) Assumes that rates and fees increase by 1%, as an approximation of the annual change in the Department of Labor's consumer price index for all urban consumers. See "Wastewater System Rates, Historical and Current Wastewater System Rate Increases" above. Reflects revenues of and new connections affecting the Winton Sanitary District, Castle Area and U.S. Penitentiary. See "Active Wastewater System Accounts" above.

(3) Assumes that interest rates on Wastewater Fund cash holdings remain 1% per year through the five-year projection period.

(4) Assumes that blended salary and benefits expenses increase by 4.5% annually through the five-year projection period.

(5) Includes entries for both Wastewater Fund and Treatment Plant. Capital expenditures are funded by transfers from Wastewater enterprise capital fund.

(6) Assumes general cost inflation of 3% annually through the five-year projection period.

(7) Includes communications, utilities, memberships, subscriptions, travel, conferences, meetings, training, rents, leases and miscellaneous.

(8) Includes equipment, streets, water, parks and building expenses.

Historical Audited Balance Sheets Statement of Net Assets

The following table sets forth the statement of net assets for the Wastewater Fund for the last three audited Fiscal Years. An unaudited statement of net assets for the Wastewater Fund for Fiscal Year 2016-17 has not yet been prepared by the City.

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TABLE 13
CITY OF ATWATER
WASTEWATER FUND
Historical Audited Balance Sheets Statement of Net Assets
(Fiscal Years 2013-14 through 2015-16)

ASSETS	FY 2013-14	FY 2014-15	FY 2015-16
CURRENT ASSETS:			
Cash and Investments	\$2,548,595	\$4,428,260	\$5,679,131
Restricted Cash and Investments	5,806,295	5,806,295	5,806,604
Accounts Receivable	957,836	755,046	795,259
Interest Receivable	58	198	2,097
Inter-fund transfers from other funds	7,855,992	7,953,652	7,421,128
Prepaid Expenses	143,561	145,715	148,046
TOTAL CURRENT ASSETS	17,312,337	19,089,166	19,852,265
NONCURRENT ASSETS:			
Capital assets, net	82,736,708	82,838,638	82,234,757
TOTAL NONCURRENT ASSETS			
TOTAL ASSETS	\$100,049,045	\$101,927,804	\$102,087,022
DEFERRED OUTFLOW OF RESOURCES			
LIABILITIES			
CURRENT LIABILITIES:			
Accounts Payable and Accrued Expenses	\$127,541	\$1,057,761	\$366,610
Accrued Payroll	17,057	8,939	13,708
Accrued interest payable	678,823	670,419	661,664
Inter-fund transfers to other funds	--	--	--
Deposits	61,005	65,450	61,005
Compensated Absences	8,476	3,193	2,301
Current Portion of Long Term Debt	1,134,218	1,254,447	1,306,132
TOTAL CURRENT LIABILITIES	2,027,120	3,060,209	2,411,420
NON-CURRENT LIABILITIES:			
Compensated Absences	--	6,577	9,269
Non-Current Portion of Long Term Debt	78,844,208	77,880,952	76,645,048
TOTAL NONCURRENT LIABILITIES	78,844,208	77,887,529	76,654,317
TOTAL LIABILITIES	\$80,871,328	\$80,947,738	\$79,065,737
DEFERRED INFLOW OF RESOURCES			
NET POSITION			
Net investment in capital assets	3,892,500	4,957,686	5,589,709
Restricted	5,806,295	5,806,295	5,806,604
Unrestricted	9,478,922	10,216,085	11,624,972
TOTAL NET POSITION	\$19,177,717	\$20,980,066	\$23,021,285
TOTAL LIABILITIES AND NET POSITION	\$100,049,045	\$101,927,804	\$102,087,022

Source: City of Atwater.

Wastewater Fund Financial Reserves

The City has not adopted a reserve policy for the Wastewater Fund. The City maintains financial operating reserves within the Wastewater Fund, which may be used for Wastewater Fund expenditures during years of unanticipated shortfalls in revenue as the result of reduced sewer service sales. The City currently maintains a Wastewater Fund general operating reserve in an amount exceeding two years' of Operation and Maintenance Expenses. The City also currently maintains a Wastewater System capital improvement reserve fund.

Going Concern and Inter-fund Transfers

Two major sources of revenue to the City's General Fund are property tax and sales tax. Both of these areas were significantly impacted by the economic downturn that began in 2008. The effects of the housing downturn and financial market decline reduced the City's General Fund revenue base. This situation was further impacted by State action which reduced local revenues such as motor vehicle license fees and eliminated redevelopment agencies. Rising labor costs through collective bargaining agreements and accounting changes such as reporting OPEB (defined below) obligations further contributed to the structural imbalance.

On October 3, 2012, the City Council held a public meeting and voted to declare a common law fiscal emergency, which gave the City the power to terminate otherwise fixed contracts, including collective bargaining agreements. In November 2012, the City Council closed all discussions related to (i) possible confidential mediation process with creditors pursuant to the State's A.B. 506 process and (ii) any Chapter 9 bankruptcy filing. In response to the declaration of fiscal emergency and in order to relieve the structural imbalances within certain of its funds, the City, among many other actions, implemented a five-year water service rate package that increased rates for typical users by 40% for Fiscal Year 2013-14, followed by additional increases of 15% annually through Fiscal Year 2017-18. Further, the City implemented a sanitation service rate increase that increased rates by 63% for Fiscal Year 2013-14, followed by 6-7% annual increases through Fiscal Year 2017-18. In March 2013, voters approved a 10-year one-half-cent sales tax ("Measure H") restricted for public safety spending. While Measure H funds were not expected to increase General Fund reserve levels, the funds have improved cash flow and reduced what otherwise could have been significant wage pressure.

In preparing the Financial Statements for Fiscal Year 2015-16, the Auditor continued to assume that there was substantial doubt that the City would be able to continue as a going concern because the General Fund and Sanitation Enterprise Fund each continued to suffer recurring deficits from operations. The Financial Statements for Fiscal Year 2015-16 describe City management's ongoing efforts to resolve such deficits, including (i) the adoption of a balanced General Fund budget for Fiscal Year 2016-17, (ii) reductions in the cost of employee salaries and benefits, including reductions resulting from furlough days, (iii) the implementation of layoffs and an early retirement program, and (iv) increases to certain fees and additional increases to water service and sanitation service rates. For further information about the Auditor's going concern opinion, see "APPENDIX C – AUDITED FINANCIAL STATEMENTS OF THE CITY FOR FISCAL YEAR 2015-16 – Notes to Basic Financial Statements, Note 16, Management's Plan of Operations" herein. In addition to these efforts, in 2017 and pending approval of the State's Department of Finance, the City intends to refinance of the City's former Redevelopment Agency's 1998A, 2007A and 2008B (Taxable) Tax Allocation Bonds, thereby causing some additional property tax revenues to flow to the General Fund.

In an action that strengthened the Wastewater Fund, which fund had remained solvent throughout the City's other financial difficulties, in February 2014, the City clarified its existing inter-fund advance and loan practices by the City Council's adoption of an Inter-fund Advance and Loan Policy. Pursuant to this policy, (i) short-term advances or loans between City funds for short-term cash flow needs (expected to be repaid within ninety days after the end of the current fiscal year) must be approved in advance in writing by the City Manager, (ii) advances or loans between City funds which will not be repaid within ninety days after the end of the current fiscal year must be approved in advance by the City Council, and (iii) advances or loans between City funds which are not initially expected to extend beyond ninety days after the end of the current fiscal year but which extend beyond this period must be approved by the City Council as soon as it is determined that the term of the loan or advance will extend beyond the fiscal year. The write-off or cancellation of all inter-fund advances or loans must be approved in advance by the City Council. Each advance or loan approved by the City Manager or City Council will be documented in writing, and records thereof will include, among other things, a payment schedule.

In July 2014, the City Council approved three inter-fund loans from the Wastewater Fund as follows: (i) \$1,495,314 loaned to the City's Water Enterprise Fund (the "Water Loan"), to be repaid over a period of ten years, bearing an annual interest rate of 0.251%, (ii) \$4,188,696 loaned to the City's Sanitation Enterprise Fund (the "Sanitation Loan"), to be repaid over a period of seven years, bearing an annual interest rate of 0.251%, and (iii) \$2,966,199 loaned to the City's General Fund (the "General Fund Loan"), to be repaid over a period of fifteen years, bearing an annual interest rate of 0.251%. As of July 1, 2017, (i) the Water Loan was outstanding in the amount of \$1,046,719.80, (ii) the Sanitation Loan was outstanding in the amount of \$2,393,540.57, and (iii) the General Fund Loan was outstanding in the amount of \$2,372,959.20. Each of the Water Enterprise Fund, Sanitation Enterprise Fund and the General Fund has made each of its respective payments due on each of the outstanding inter-fund loans as such payments have become due.

The City will not be required to advance any moneys derived from the General Fund or any other source of income other than Gross Revenues legally available therefor in the Revenue Fund and the other funds provided in the Indenture for the payment of the Debt Service Payments. Furthermore, by no later than September 30, 2018, the City will not commingle the Revenue Fund or any Gross Revenues (including for investment purposes) or any interest or investment income earned on the Revenue Fund either prior to or after their deposit in the Revenue Fund, with any of its other City funds, including by not limited to, its General Fund, its Water Enterprise Fund, and its Sanitation Enterprise Fund, or with any of their respective assets or accounts. See "SECURITY FOR THE BONDS - Segregation of Revenue Fund" above.

Subordinate Wastewater System Indebtedness

Immediately after the issuance of the Bonds and the defeasance of the Prior Obligations, the 2008 Installment Payments will be the only indebtedness secured by Gross Revenues on a parity basis with the Bonds. See "INTRODUCTION - Security for the Bonds" herein.

The City has entered into a subordinate lease agreement, as lessee, for financing the acquisition of a Vac-Con Sewer and Storm Drain Cleaner valued at \$365,560. The interest rate on the lease is 2.40%. Title to these assets reverts to the City after payment of the minimum lease payments.

TABLE 14
CITY OF ATWATER
SEWER WASTEWATER SYSTEM CAPITAL LEASE PAYMENTS

Year Ending June 30,	Principal	Interest
2017	\$142,143	\$16,598
2018	73,640	14,708
2019	75,408	12,768
TOTAL	\$291,191	\$44,074

Source: City of Atwater.

Insurance

The City participates with other public entities in a joint venture under a joint powers agreement which establishes the Central San Joaquin Valley Risk Management Authority (the "CSJVRMA"). The relationship between the City and CSJVRMA is such that CSJVRMA is not a component unit of the City for financial reporting purposes.

The City is covered for the first \$1,000,000 of each general liability claim and \$500,000 of each worker's compensation claim through the CSJVRMA. The City has the right to receive dividends or the obligation to pay assessments based on a formula which, among other expenses, charges the City's account for liability losses under \$50,000 and workers' compensation losses under \$100,000. The CSJVRMA purchases excess reinsurance from \$1,000,000 to \$15,000,000. The CSJVRMA participates in an excess pool which provides Workers' Compensation coverage from \$500,000 to \$4,500,000 and purchases excess reinsurance above \$5,000,000 to the statutory limit.

Retirement Systems

Pension Benefits. *The following information regarding CalPERS, the Miscellaneous Classic Plan, and the Miscellaneous PEPPA Plan (as both are defined herein), other than the information provided by the City regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the City or the Underwriter.*

Full-time City employees, including the employees accounted for to the Wastewater System, are members of the California Public Employees' Retirement System ("CalPERS"). CalPERS acts as the common investment and administrative agent for participating public entities within the State of California, providing retirement benefits, annual cost-of-living adjustments, and death benefits to employee plan members and their beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. CalPERS operates a number of retirement plans, including the CalPERS 3% at 60 Risk Pool Retirement Plan (the "Miscellaneous Classic Plan") and the CalPERS 2% at 62 Risk Pool Retirement Plan (the "Miscellaneous PEPPA Plan"), which are two of the multiple-employer defined benefit retirement plans in which the City participates and which are the plans applicable to employees accounted for to the Wastewater System. Employees participating in such defined benefit retirement plans generally become fully vested in their retirement benefits earned to date after five years of credited service. Currently three employees of the

Wastewater System participate in the Miscellaneous Classic Plan and three employees of the Wastewater System participate in the Miscellaneous PEPRA Plan.

Contributions by employer members to the defined benefit retirement plans are based upon actuarial rates determined annually, and contributions by members may vary based upon their date of hire. The City is currently required to contribute to CalPERS with respect to the Miscellaneous Classic Plan at an actuarially determined rate, which is 55.357% of eligible salary expenditures for fiscal year 2017-18. The employee participants' portion of contributions with respect to the Miscellaneous 3% Classic Plan is 8% of eligible salary expenditures, none of which is paid by the City on behalf of each eligible Miscellaneous Classic Plan employee. The City is currently required to contribute to CalPERS with respect to the Miscellaneous PEPRA Plan at an actuarially determined rate, which is 6.561% of eligible salary expenditures for fiscal year 2017-18. The employee participants' portion of contributions with respect to the Miscellaneous PEPRA Plan is 6.25% of eligible salary expenditures, none of which is paid by the City on behalf of each eligible Miscellaneous 3% Classic Plan employee.

In Fiscal Year 2015-16, the portion of the City's aggregate annual contribution to CalPERS accountable to the Wastewater System was \$25,478.01, for Fiscal Year 2016-17 the portion of the City's aggregate annual contribution to CalPERS accountable to the Wastewater System is expected to be approximately \$94,057, and for Fiscal Year 2017-18 the portion of the City's aggregate annual contribution to CalPERS accountable to the Wastewater System is budgeted to be approximately \$84,851. In each such year such contributions were equal to 100% of the required contributions.

For further information about the City's contributions to CalPERS, see "APPENDIX C – AUDITED FINANCIAL STATEMENTS OF THE CITY FOR FISCAL YEAR 2015-16 – Notes to Basic Financial Statements, Note 11, Public Employees' Retirement System" herein.

CalPERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial report may be obtained from CalPERS from its executive office at P.O. Box 942703, Sacramento, California 94229-2703. Moreover, CalPERS maintains a website, at www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

CalPERS has a substantial statewide unfunded liability. The amount of this unfunded liability and its effects upon a given risk pool will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. In recent years, the Legislature of the State and the CalPERS Board of Administration (the "CalPERS Board") have each taken steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of CalPERS plans, including the Miscellaneous Classic Plan and the Miscellaneous PEPRA Plan.

On March 14, 2012, the PERS Board of Administration (the "PERS Board") voted to lower the CalPERS' rate of expected price inflation and its investment rate of return (net of administrative expenses) (the "CalPERS Discount Rate") from 7.75% to 7.5%. As one consequence of such decrease, the annual contribution amounts paid by CalPERS member public agencies, including the City, increased by 1 to 2% for miscellaneous plans and by 2 to 3% for safety plans beginning in Fiscal Year 2013-14. On December 21, 2016, the CalPERS Board voted to further, incrementally lower the CalPERS Discount Rate from 7.5% to 7.0%, beginning in the Fiscal Year 2018-19 for public agencies, as follows: (i) in Fiscal Year 2018-19

the rate shall be 7.375%, (ii) in Fiscal Year 2019-20 the rate shall be 7.25% and (iii) in Fiscal Year 2020-21 and thereafter the rate shall be 7.00%.

On September 12, 2012, the Governor of the State signed into law the California Public Employee's Pension Reform Act of 2013 ("PEPRA"), which makes changes to CalPERS, most significantly affecting new employees hired after January 1, 2013 (the "Implementation Date"). For non-safety CalPERS participants hired after the Implementation Date, including all Wastewater System employees hired thereafter, PEPRA changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among other changes, PEPRA also: (i) requires all new participants enrolled in CalPERS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires CalPERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date, and (iii) caps "pensionable compensation" for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

On April 17, 2013, the CalPERS Board approved new actuarial policies aimed at returning CalPERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The CalPERS Board delayed the implementation of the new actuarial policies until fiscal year 2015-16 for the State and all other public agencies and such policies have since been implemented as planned.

On February 20, 2014, the CalPERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the CalPERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State and all other public agencies.

Finally, on November 18, 2015, the CalPERS Board adopted a funding risk mitigation policy aimed to incrementally lower the CalPERS Discount Rate in years of good investment returns, help pay down the pension fund's unfunded liability, and provide greater predictability and less volatility in contribution rates for employers. Under the funding risk mitigation policy, a mechanism will be established to reduce the CalPERS Discount Rate by a minimum of 0.05 percentage points to a maximum of 0.25 percentage points in years when investment returns outperform the existing CalPERS Discount Rate (then 7.5 percent) by at least four percentage points. The four percentage point threshold would work to offset increases to employer contribution rates that would otherwise increase when the discount rate is lowered, and help pay down CalPERS' unfunded liability. As of the date of the policy's adoption, CalPERS staff

anticipated that the policy would result in a lowering of the expected portfolio volatility to 8 percent in about 21 years, improve funding levels gradually over time, and cut risk in the CalPERS system by lowering the volatility of investment returns. While rates are expected to increase for CalPERS employers in the future, the policy is designed to minimize any increases above projected rates.

The City can provide no assurances that its required contributions to CalPERS will not increase in the future as a result of the initiatives described above, or due to additional State of CalPERS Board action.

OPEB Benefits. The City provides post-employment healthcare benefits (the “OPEB”) to qualifying retirees. The City does not determine the portion of its annual OPEB cost accountable to the Wastewater System, nor does it calculate the portion of its net long-term OPEB liability accountable to the Wastewater System at this time. The Wastewater System currently has six full-time budgeted employees (of 75 total full-time City employees), and ten retirees (of 58 total City retirees). In Fiscal Year 2015-16 the City’s annual OPEB cost, accounted for as a liability of the City’s General Fund, was \$1,461,729, and such cost was funded on a pay-as-you-go basis. The City carried forward a net long-term OPEB liability, accounted for as a liability of the City’s General Fund, as of June 30, 2016 of \$6,846,851. The City’s most recent actuarial report, accounting for its OPEB obligations as of June 30, 2015, was completed by Bartel Associates, LLC and submitted to the City on March 15, 2016. The City has adopted Governmental Accounting Standards Board Statement No. 45 with respect to its OPEB and reports annual OPEB costs based on actuarially determined, annually audited amounts that, if paid on an ongoing basis, will provide sufficient resources to pay these benefits as they come due.

For further information about the OPEB, see “APPENDIX C – AUDITED FINANCIAL STATEMENTS OF THE CITY FOR FISCAL YEAR 2015-16 – Notes to Basic Financial Statements, Note 12, Other Postemployment Benefits.”

RISK FACTORS

The following factors, along with other information in this Official Statement, should be considered by potential investors in evaluating the risks in the purchase of the Bonds.

Wastewater System Demand and Growth

There can be no assurance that the local demand for the services provided by the Wastewater System will be maintained at levels described in this Official Statement. Reduction in the level of demand could require an increase in rates or charges in order to produce Gross Revenues and Net Revenues sufficient to comply with the City’s covenants in the Indenture. Such rate increases could increase the likelihood of nonpayment, and could also further decrease Wastewater System customer demand. There can be no assurance that any other entity with regulatory authority over the Wastewater System will not adopt further restrictions on the operation thereof.

Wastewater System Expenses

There can be no assurance that Operation and Maintenance Expenses of the Wastewater System will be consistent with the levels described in this Official Statement. The Wastewater System is subject to federal, state and local regulatory requirements pertaining to

drinking water quality and distribution, wastewater treatment and reuse, biosolids management, air quality, hazardous materials handling and waste management. Federal regulations are based upon provisions within the Safe Drinking Water Act, Clean Water Act, Clean Air Act, and Resource Conservation and Recovery Act. State and local regulations are prescribed by the California Air Resources Board, California Department of Toxic Substances Control, the State Water Board and the Regional Water Board. In the event that any of such regulatory entities should impose stricter quality standards upon the Wastewater System, its expenses could increase accordingly and rates and charges may have to be increased to offset those expenses. It is not possible to predict the direction which State and federal regulation will take with respect to wastewater treatment. Changes in treatment, transportation and other types of technology, increases in the cost of energy, increased or decreased development within the City, or other expenses could also reduce Net Revenues, and could require increases in rates or charges in order for the City to comply with the rate covenant in the Indenture. Rate increases could increase the likelihood of nonpayment by the Wastewater System customers, and could also decrease wastewater service demands within the City.

Concentration of Customers

The generation of Gross Revenues and Net Revenues are concentrated with certain major users in the City. The ten largest customers accounted for approximately 24.63% of Gross Revenues in Fiscal Year 2016-17, with the top three users accounting for 20.92% of total Gross Revenues. That said, the generation of Gross Revenues which secure payment of the Bonds may not be significantly adversely affected by any decline in use by these major customers. 86.64% of Gross Revenues are generated by customers paying for service on a flat fee basis. The City currently has no plans to increase the percentage of Gross Revenues generated on a variable, commodity-based basis, however such changes may be necessitated or desirable in future years. An increase in the number of variable rate-paying Wastewater System customers, coupled with a future drop in demand for sewer service by the Wastewater System's largest customers, could result in the amount of future Gross Revenues being less than projected, and the actual amount of Gross Revenues may be insufficient to provide for the payment of the Debt Service Payments, the 2008 Installment Payments, and any additional then-outstanding indebtedness.

Parity Obligations

Although the City has covenanted not to issue additional obligations payable from Gross Revenues senior to the Debt Service Payments and the 2008 Installment Payments, the Indenture permits the issuance of certain indebtedness which may have a lien which is on a parity basis to the liens on Gross Revenues contained in the Indenture and in the 2008 Installment Sale Agreement, if certain conditions and coverage tests are met. These coverage tests involve, to some extent, projections of Gross Revenues. If such indebtedness is issued or incurred, the debt service coverage for the Debt Service Payments securing the Bonds will be diluted below what it otherwise would be subject to under the coverage tests. Moreover, there is no assurance that the assumptions that form the basis of such projections, if any, will be actually realized subsequent to the date of such projections. If such assumptions are not realized, the amount of future Gross Revenues may be less than projected, and the actual amount of Gross Revenues may be insufficient to provide for the payment of the Debt Service Payments, the 2008 Installment Payments, and such additional indebtedness. See "SECURITY FOR THE BONDS - Parity Obligations" herein and "WASTEWATER SYSTEM FINANCIAL INFORMATION - Projected Revenues and Expenses" for a description of anticipated debt

service coverage on the Parity Obligations currently expected to be incurred with respect to the Wastewater System.

Proposition 218

Proposition 218, a state ballot initiative known as the “Right to Vote on Taxes Act” was approved by California voters on November 5, 1996 and, except for certain provisions that became effective on July 1, 1997, became effective on November 6, 1996. Proposition 218 added Article XIIC, entitled “Voter Approval of Local Tax Levies” (“Article XIIC”), and Article XIID, entitled “Assessment and Property Related Fee Reform (“Article XIID”), to the California Constitution. Article XIIC and Article XIID limit the imposition by a local government of “general taxes,” “special taxes,” “assessments” and “fees” or “charges.” The City is a local government within the meaning of Article XIIC and Article XIID.

Article XIIC, provides, among other things, that the initiative power shall not be prohibited or otherwise limited in matters of reducing or repealing any local fee or charge. This extension of the initiative power is not limited by the terms of Article XIIC to fees and charges imposed after November 6, 1996 and, absent other authority, could result in retroactive reduction in existing fees and charges. Although the terms “fees” and “charges” are not defined in Article XIIC, the California Supreme Court, in *Bighorn-Desert View Water Agency v. Kari Verjil; E.W. Kelley* (July 2006), has stated that there is no basis for excluding from Article XIIC’s authorization any of the fees subject to Article XIID. If fees or charges charged or collected by the City for its Wastewater System are subjected to the initiative process and the outcome of any initiative proceedings results in a reduction or repeal of such fees or charges, respectively, the ability of the Wastewater System to generate Gross Revenues and Net Revenues sufficient to comply with the City’s covenants under the Indenture may be adversely affected. Furthermore, if voters were to approve an initiative lowering the City’s wastewater rates or other charges, the City would need voter approval before it could change the rate or charge that had been set by initiative. The City could, however, increase a charge that was not affected by initiative or to impose an entirely new charge without voter approval.

The California Supreme Court further stated in *Bighorn* that it was not holding that the initiative power is free of all limitations and was not determining whether the initiative power is subject to the statutory provision requiring that service charges be set at a level that will pay debt service on bonded debt and operating expenses. Such initiative power could be subject to the limitations imposed on the impairment of contracts under the contract clause of the United States Constitution. On July 1, 1997, a bill was signed into law by the Governor of the State enacting Government Code Section 5854, which states: “Section 3 of Article XIIC of the California Constitution, as adopted at the November 5, 1996 general election, shall not be construed to mean that any owner or beneficial owner of a municipal security, purchased before or after that date, assumes the risk of, or in any way consents to, any action by initiative measure that constitutes an impairment of contractual rights protection by Section 10 of Article I of the United States Constitution.” Government Code Section 5854 appears to limit the voters’ power to repeal or reduce Wastewater System fees and charges if such reductions would interfere with the City’s payment of Debt Service Payments. If Government Code Section 5854 becomes the subject of a challenge, however, no guarantee can be made that the courts will agree with such interpretation.

Article XIID prohibits the assessment upon any parcel of property or upon any person “as an incident of property ownership” (defined to exclude fees for the provision of electrical or gas service) by a local government of any tax, assessment, fee or charge except voter-

approved *ad valorem* property taxes and special taxes, fees or charges as a condition of property development, and assessments and “fees or charges for property related services” levied or imposed in accordance with the provisions of Article XIID.

Under Article XIID, revenues derived from a “fee” or “charge” (defined as “any levy other than an *ad valorem* tax, a special tax or an assessment, imposed by a local government upon a parcel or upon a person as an incident of property ownership, including customer fees or charges for a property related service”) may not exceed the funds required to provide the “property-related service” and may not be used for any purpose other than that for which the fee or charge was imposed. Further, the amount of a “fee” or “charge” may not exceed the proportional cost of the service attributable to the parcel, no “fee” or “charge” may be imposed for a service unless that service is actually used by, or is immediately available to, the owner of the property in question, and no “fee” or “charge” may be imposed for general governmental service where the service is “available to the public at large in substantially the same manner as it is to the property owners.”

In addition, in order for a “fee” or “charge” to be imposed or increased, Article XIID provides that, among other things, the parcel upon which a fee or charge is proposed for imposition must be identified, the amount of the fee or charge proposed to be imposed on each such parcel must be calculated, written notice by mail of the proposed fee or charge must be provided to the “record owner” of each identified parcel, and a public hearing must be conducted upon the proposed fee or charge. If written protests against the proposed “fee” or “charge” are presented by a majority of owners of the identified parcels, the fee or charge may not be imposed. The California Supreme Court in *Bighorn* indicated that once a property owner or resident has paid the connection charges and has become a customer of a public water agency, all charges for water delivery incurred thereafter are charges for a property-related service, whether the charge is calculated on the basis of consumption or is imposed as a fixed monthly fee. Accordingly, the imposition or increase of any fee or charge by the City for wastewater service will be the subject of such a majority protest. If such a majority protest occurs, the ability of the Wastewater System to generate Gross Revenues and Net Revenues sufficient to comply with the City’s covenants under the Indenture may be adversely affected.

Article XIID states that, beginning July 1, 1997, all “fees” or “charges” must comply with its provisions. It is unclear how the provisions of Article XIID will be applied to fees or charges established prior to such date. It is also unclear how the provisions of Article XIID will be applied to fees or charges established after such date but prior to the *Bighorn* decision.

As a result of the *Bighorn* decision, there can be no assurance that Proposition 218 will not limit the ability of the City to impose, levy, charge and collect increased fees and charges for wastewater service.

The City believes that its current Wastewater System rates comply with the requirements of Proposition 218 and expects that any future Wastewater System rates will comply with Proposition 218’s procedural and substantive requirements to the extent applicable thereto. The City further believes that Proposition 218 will not have any immediate adverse effect on the City’s ability to comply with its covenants under the Indenture or the City’s ability to operate the Wastewater System. The City cannot predict the impact of Proposition 218 on any future Wastewater System rate increases.

Numerous recent appellate court opinions interpret and apply Proposition 218 in the context of evaluating the validity of wastewater-related fees and charges. The City is unable to predict at this time how Proposition 218 will ultimately be interpreted by the courts and what, if any, further implementing legislation will be enacted, and there can be no assurance that Proposition 218 will not limit the future ability of the City to impose, levy, charge and collect increased fees and charges for wastewater service.

Proposition 26

Proposition 26 was approved by the electorate at the November 2, 2010 election and amended California Constitution Articles XIII A and XIII C. The proposition imposes a two-thirds voter approval requirement for the imposition of fees and charges by the State. It also imposes a majority voter approval requirement on local governments with respect to fees and charges for general purposes, and a two-thirds voter approval requirement with respect to fees and charges for special purposes. Proposition 26, according to its supporters, is intended to prevent the circumvention of tax limitations imposed by the voters in California Constitution Articles XIII A, XIII C and XIII D of the California Constitution pursuant to Proposition 13, approved in 1978, Proposition 218, approved in 1996, and other measures through the use of non-tax fees and charges. Proposition 26 expressly excludes from its scope a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable cost to the State or local government of providing the service or product to the payor. Proposition 26 applies to charges imposed or increased by local governments after the date of its approval. The City believes that the City's current rates and charges for the Wastewater System are not taxes under Proposition 26.

Constitutional Limit on Appropriations

Under Article XIII B of the California Constitution, state and local government entities have an annual "appropriations limit" which limits their ability to spend certain moneys called "appropriations subject to limitation," which consists of tax revenues, certain state subventions and certain other moneys, including customer charges to the extent they exceed the costs reasonably borne by the entity in providing the service for which it is levying the charge. In general terms, the "appropriations limit" is to be based on certain Fiscal Year 1978 79 expenditures, and is to be adjusted annually to reflect changes in the consumer price index, population, and expenditures, and is to be adjusted annually to reflect changes in the consumer price index, population, and services provided by these entities. Among other provisions of Article XIII B, if an entity's revenues in any year exceed the amount permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years. The City is of the opinion that the rates and use charges imposed by the City in connection with the Wastewater System do not exceed the costs the City reasonably bears in providing wastewater treatment.

No Obligation to Tax

The obligation of the City to pay the Debt Service Payments does not constitute an obligation of the City for which the City is obligated to levy or pledge any form of taxation or for which the City has levied or pledged any form of taxation. The obligation of the City to pay Debt Service Payments does not constitute a debt or indebtedness of the State of California or any of its political subdivisions, within the meaning of any constitutional or statutory debt limitation or restriction.

Geologic and Topographic Conditions; Other Events of Force Majeure

The financial stability of the Wastewater System can be adversely affected by a variety of factors, particularly those which may affect infrastructure and other public improvements and private improvements and the continued habitability and enjoyment of such private improvements. Such additional factors include, without limitation, geologic conditions (such as earthquakes), topographic conditions (such as floods) and climatic conditions (such as windstorms and drought).

The City is located in Merced County. The nearest faults of major historical significance are the San Andreas to the west of Merced County, which is located approximately 15 miles from the Countyline; the Hayward and Calaveras faults to the northwest; the White Wolf, Garlock, and Sierra Nevada faults to the south; and the Bear Mountain Fault Zone, located about 5 miles east of and parallel to the eastern border of the County. These faults have been in the past, and will continue in the future to be, the principal source of seismic activity affecting the County and the City. The only fault known inside the County is the "Ortigalita", also known as the "Telsa-Ortigalita Fault", located in the western quarter of the County. This fault has not been active in historic times, however, there is no guarantee that it will never become active again.

Engineering standards require that certain factors be taken into account, to a limited extent, in the design of City-owned improvements. Some of these factors may also be taken into account in the design of other infrastructure and public improvements neither designed nor subject to design approval by the City. Design criteria in any of these circumstances are established upon the basis of a variety of considerations and may change, leaving previously-designed improvements unaffected by more stringent subsequently established criteria. In general, design criteria reflect a balance at the time of protection and the future costs of lack of protection, based in part upon a present perception of the probability that the condition will occur and the seriousness of the condition should it occur. Conditions may occur which may result in damage to improvements in varying degrees, and such damage may entail significant repair or replacement costs, and there can be no assurance that such repair or replacement will occur. Under any of these circumstances, the actual value of public and private improvements within the City, including improvements owned by the Wastewater System, in general may well depreciate or disappear, notwithstanding the establishment of design criteria for any such condition.

Portions of the City, including the Bert Crane Site, are located in a 100-year floodplain as designated by the Federal Emergency Management Agency. The City's General Plan requires that any development in the flood plain have a finished floor elevation at least one foot above the 100-year flood plain elevations. The Treatment Plant has been designed to comply with the applicable requirements.

In addition to the events described above, City and Wastewater System facilities are at risk from other events of force majeure, such as explosions, strikes and lockouts, sabotage, wars, riots and spills or hazardous substances, among other events. Although the City maintains certain insurance policies, such required policies do not cover damage and delay from all events that could interrupt the operation of City facilities, including Wastewater System facilities, and may not be maintained in amounts that would be sufficient or be paid in sufficient time in all events to pay all of the City's and Wastewater System's expenses, including Debt Service Payments. In addition, the City does not currently maintain earthquake insurance with respect to its facilities, including the facilities of the Wastewater System. See "– Insurance"

below. No assurances can be given that the City will be able to repair any damage, revise any designs or commence or resume operation of City facilities, including the facilities of the Wastewater System, following an event of force majeure.

Interruption of wastewater service for any reason will not alter the legal obligation of the City to pay Debt Service Payments. However, a failure to treat wastewater could materially adversely affect the generation of Gross Revenues and Net Revenues.

Drought

Droughts that have had an adverse effect on California water supplies occurred in 1976, 1977 and 1987 through 1992, 2008 through 2011, and 2012 through early 2017. California recently experienced a historic, five-year drought, lasting from 2012 through early 2017, which was one of the worst droughts on record for the State. Due to drought conditions and court-ordered restrictions, which reduced water deliveries from the State Water Project, on January 17, 2014, Governor Jerry Brown declared a State-wide Drought State of Emergency. On April 1, 2015, the Governor issued an executive order mandating certain water conservation measures, including a requirement that the State Water Board impose restrictions to achieve a statewide 25% reduction in urban water usage, through February 28, 2016, which executive order was thereafter extended and expanded upon on several occasions. Following unprecedented water conservation and plentiful winter rain and snow, Governor Brown ended the drought state of emergency in most of California on April 7, 2017. No assurance is hereby given that future limitations on water supplies in California will not be imposed by Executive Order, and that water enterprises and sewer enterprises throughout the State will not experience reduced system demand as a result thereof.

Despite the fact that water usage within the City and by the Wholesale Customers dropped as the result of Governor Brown's drought state of emergency conservation standards and mandates, the Wastewater System's Gross Revenues remained stable, and even rose, during the recent drought years. 86.64% of Wastewater System Gross Revenues are generated by customers paying for service on a flat fee basis. The City currently has no plans to increase the percentage of Wastewater System revenues generated on a variable, commodity-based basis, however such changes may be necessitated or desirable in future years. An increase in the number of variable rate-paying Wastewater System customers, coupled with a future drought and drop in demand for sewer services in the City, could result in the amount of future Gross Revenues and Net Revenues being less than projected, and the actual amount of Gross Revenues may be insufficient to provide for the payment of the Debt Service Payments, the 2008 Installment Payments, and any additional then-outstanding indebtedness.

Statutory Changes and Initiatives

In addition to the other limitations described herein, the California electorate or Legislature could adopt legislation or an initiative, respectively, with the effect of (i) reducing Gross Revenues payable to or collected by the City for the Wastewater System, (ii) adversely affecting the City's rights and powers, or (iii) imposing additional limitations or additional legal responsibilities on the City with respect to the Wastewater System. Furthermore, there is no assurance that such change in law would not at some future time adversely affect the City's ability to pay Debt Service Payments.

Insurance

The City maintains liability and property insurance. This insurance does not cover damage caused by earthquakes nor does the City maintain self-insurance for such purpose. Though the City believes that the City's coverages for the Wastewater System are similar to those customarily maintained by similar utility systems, no assurances can be given that (i) such insurance will be adequate to cover any property damage or liability of the City with respect to the Wastewater System in all circumstances or that (ii) such insurance will be carried in a coverage amount sufficient to prevent a material adverse impact on the Gross Revenues or Net Revenues resulting from claims against the City with respect to the Wastewater System or property damage sustained by the City and/or the Wastewater System.

Early Redemption of Premium Bonds

Bonds purchased, whether at original issuance or otherwise, for an amount greater than their principal amount payable at maturity (or, in some cases, at their earlier call date) ("Premium Bonds") will be treated for federal tax purposes as having amortizable premium. If such Premium Bonds are redeemed prior to maturity (or, in some cases, prior to a scheduled redemption date) as described herein under "THE BONDS – Redemption," not all of the amortized premium may be realized by the Owner. The Premium Bonds are treated as all other Bonds for purposes of selection for redemption prior to maturity as described herein.

Limitations on Remedies Available; Bankruptcy

The enforcement of any rights and remedies provided in the Indenture, including but not limited to the remedy of acceleration of Debt Service Payments, could be substantial and the process lengthy. The enforceability of the rights and remedies of the Owners and the obligations of the City may become subject to the following: the federal bankruptcy code and applicable bankruptcy, insolvency, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect; equitable principles which may limit the specific enforcement under State law of certain remedies; the exercise by the United States of America of the powers delegated to it by the Federal Constitution; and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of servicing a significant and legitimate public purpose. Any suit requesting accelerated payment of Debt Service Payments and/or money damages would be subject to limitations on legal remedies against municipalities in California, including a limitation on enforcement of judgments against funds needed to serve the public welfare and interest. See "THE BONDS – Acceleration" above.

Bankruptcy proceedings, or the exercising of powers by the federal or State government, if initiated, could subject the Owners to judicial discretion and interpretation of their rights in bankruptcy or otherwise and consequently may entail risks of delay, limitation, or modification of their rights. The legal opinions to be delivered concurrently with the Bonds (including Bond Counsel's approving opinion) will be qualified as to the enforceability of the Bond documents, including the Indenture, by limitations imposed by bankruptcy, reorganization, insolvency or other similar laws affecting the rights of creditors generally and by general principles of equity applied in the exercise or judicial discretion.

Loss of Tax Exemption

As discussed in this Official Statement under the caption “TAX MATTERS,” interest on the Bonds could become includable in gross income for purposes of federal income taxation retroactive to the date the Bonds were issued, as a result of future acts or omissions of the City in violation of its covenants in the Indenture. Should such an event of taxability occur, the Bonds are not subject to a special redemption and will remain outstanding until maturity or until redeemed under one of the other redemption provisions contained in the Indenture.

The Internal Revenue Service (the “IRS”) has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, the United States Congress or the IRS might not change the Tax Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

Absence of Market for the Bonds

There can be no assurance that there will ever be a secondary market for purchase or sale of the Bonds, and from time to time there may be no market for them, depending upon prevailing market conditions, the financial condition or market position of firms that may make the secondary market, and the financial condition of the City.

TAX MATTERS

General

In the opinion of Bond Counsel, under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes. Bond Counsel is further of the opinion that interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that it is included in adjusted current earnings for purposes of the federal alternative minimum tax imposed on individuals and corporations. The opinions described in the preceding sentences assume the accuracy of certain representations and compliance by the City with covenants designed to satisfy the requirements of the Internal Revenue Code of 1986 (the “Code”) that must be met subsequent to the issuance of the Bonds. Failure to comply with such requirements could cause interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The City will covenant to comply with such requirements. Bond Counsel has expressed no opinion regarding other federal tax consequences arising with respect to the Bonds. Bond Counsel is of the opinion that under existing laws, regulations, rulings and judicial decisions, interest on the Bonds is exempt from State of California personal income taxes.

The accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the owners of the Bonds. The extent of these other tax consequences will depend upon such owners’ particular tax status and other items of income or deduction. Bond Counsel has expressed no opinion regarding any such consequences. Purchasers of the Bonds, particularly purchasers that are corporations (including S corporations and foreign corporations operating branches in the United States), property or casualty insurance companies, banks,

thrifts or other financial institutions, certain recipients of social security or railroad retirement benefits, taxpayers otherwise entitled to claim the earned income credit, or taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax-exempt obligations, should consult their tax advisors as to the tax consequences of purchasing or owning the Bonds.

Tax Treatment of Original Issue Discount and Premium

If the initial offering price to the public (excluding bond houses and brokers) at which a Bond is sold is less than the amount payable at maturity thereof, then such difference constitutes "original issue discount" for purposes of federal income taxes and State of California personal income taxes. If the initial offering price to the public (excluding bond houses and brokers) at which a Bond is sold is greater than the amount payable at maturity thereof, then the excess of the tax basis of a purchaser of such Bond (other than a purchaser who holds such Bond as inventory, stock in trade or for sale to customers in the ordinary course of business) over the principal amount of such Bond constitutes "original issue premium" for purposes of federal income taxes and State of California personal income taxes.

Under the Code, original issue discount is excludable from gross income for federal income tax purposes to the same extent as interest on the Bonds. Further, such original issue discount accrues actuarially on a constant interest rate basis over the term of each such Bond and the basis of such Bond acquired at such initial offering price by an initial purchaser of each such Bond will be increased by the amount of such accrued discount. The Code contains certain provisions relating to the accrual of original issue discount in the case of purchasers of the Bonds who purchase such Bonds after the initial offering of a substantial amount thereof. Owners who do not purchase such Bonds in the initial offering at the initial offering prices should consult their own tax advisors with respect to the tax consequences of ownership of such Bonds. All holders of such Bonds should consult their own tax advisors with respect to the allowance of a deduction for any loss on a sale or other disposition to the extent that calculation of such loss is based on accrued original issue discount.

Under the Code, original issue premium is amortized for federal income tax purposes over the term of such a Bond based on the purchaser's yield to maturity in such Bonds, except that in the case of such a Bond callable prior to its stated maturity, the amortization period and the yield may be required to be determined on the basis of an earlier call date that results in the lowest yield on such Bond. A purchaser of such a Bond is required to decrease his or her adjusted basis in such Bond by the amount of bond premium attributable to each taxable year in which such purchaser holds such Bond. The amount of bond premium attributable to a taxable year is not deductible for federal income tax purposes. Purchasers of such Bonds should consult their tax advisors with respect to the precise determination for federal income tax purposes of the amount of bond premium attributable to each taxable year and the effect of bond premium on the sale or other disposition of such a Bond, and with respect to the state and local tax consequences of owning and disposing of such a Bond.

Changes in Federal and State Tax Law

From time to time, there are legislative proposals in the Congress and in the various state legislatures that, if enacted, could alter or amend federal and state tax matters referred to above or adversely affect the market value of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to bonds issued prior to enactment. In addition, regulatory actions are from time to time announced or

proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value of the Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the Bonds or the market value thereof would be impacted thereby. Purchasers of the Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation. The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Bonds and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

Form of Opinion

The form of Bond Counsel's anticipated opinion is included as APPENDIX D. The statutes, regulations, rulings, and court decisions on which such opinion will be based are subject to change.

CONTINUING DISCLOSURE

Current Undertaking. The City has covenanted for the benefit of the owners of the Bonds to provide certain financial information and operating data relating to the Bonds to the Municipal Securities Rulemaking Board by not later than March 31 of each year (the "Annual Report Filing Deadline") with respect to the City's most-recently-ended Fiscal Year (such financial information, the "Annual Report") and to provide notices of the occurrence of certain enumerated events so long as the Bonds are outstanding. If the Annual Report Filing Deadline falls on a non-business day, then the Annual Report will be submitted on the next regularly scheduled business day. The Annual Report and notices of events will be filed by the City with the Municipal Securities Rulemaking Board (the "MSRB"), as repository, and in accordance with the requirements of Securities Exchange Commission Rule 15c2 12(b)(5) (the "Rule").

The above covenants with respect to continuing disclosure have been made in order to assist the Underwriter in complying with the Rule. The specific nature of the information to be contained in the Annual Report or the notices of enumerated events is set forth in "APPENDIX E - FORM OF CONTINUING DISCLOSURE CERTIFICATE."

Previous Undertakings. In the past five years, the City has failed to comply in certain respects with continuing disclosure obligations related to outstanding bonded indebtedness. Such failures include the following: (i) in the City's fiscal year ending June 30, 2012, the City failed to file its audited financial statements and annual reports in a timely manner, (ii) in April of 2015, the City failed to timely file notice of a merger of one of its bond insurers, which merger affected the insured rating of certain of the outstanding tax allocation bonds of the City's former redevelopment agency, and (iii) in both such cases, the City also failed to timely post a material events notice of such failure to file. Additionally, in preparation for its sale of the Bonds, the City became aware that it had incorrectly identified its top three Wastewater System customers by revenue in certain annual reports posted for fiscal years 2012-13, 2013-14, 2014-15 and 2015-16 as required by the City's continuing disclosure obligations in connection with the Prior Obligations and the 2008 Bonds. The City has filed an amendment correctly identifying these customers and restating their revenues.

Future Undertakings. The City believes that it has implemented sufficient policies and procedures in order to ensure the timely and correct filing of future Annual Reports and notices of enumerated events required under its existing continuing disclosure obligations, including the obligation pertaining to the Bonds.

NO LITIGATION

There is no action, suit or proceeding known to be pending or threatened, restraining or enjoining the issuance or delivery of the Bonds, the Indenture, or in any way contesting or affecting the validity of the foregoing or any proceedings of the City taken with respect to any of the foregoing. The City is not aware of any litigation pending or threatened questioning the existence or powers of the City or the ability of the City to pay Debt Service Payments.

Although the City is subject to a number of lawsuits in the ordinary conduct of its affairs, there are no claims or actions, threatened or pending, which, if determined against the City, either individually or in the aggregate, would have a material adverse effect on the financial conditions of the Wastewater System or the Revenue Fund.

CONCLUDING INFORMATION

Underwriting

The City has agreed to sell the Bonds to Hilltop Securities Inc. (the "Underwriter"). The Underwriter has agreed, subject to certain conditions, to purchase the Bonds at a purchase price of \$61,709,523.60 (the principal amount of the Bonds, plus net original issue premium of \$5,618,923.60 and less an underwriting discount of \$509,400.00). The obligations of the Underwriter are subject to certain conditions precedent, and it will be obligated to purchase all such Bonds if any such Bonds are purchased. The Underwriter intends to offer the Bonds to the public initially at the prices and/or yield set forth on the cover page of this Official Statement, which prices or yields may subsequently change without any requirement of prior notice.

The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The Underwriter may offer and sell Bonds to certain dealers (including dealers depositing Bonds into investment trusts) at prices lower than the public offering prices, and such dealers may reallow any such discounts on sales to other dealers. In reoffering Bonds to the public, the Underwriter may overallocate or effect transactions which stabilize or maintain the market prices for Bonds at levels above those which might otherwise prevail. Such stabilization, if commenced, may be discontinued at any time.

Ratings

S&P is expected to assign its municipal bond rating of "AA" to the Bonds, with the understanding that upon delivery of the Bonds, a policy insuring the payment when due of the principal of and interest on the Bonds will be issued by the Insurer. In addition, S&P has assigned their municipal bond rating of "BBB-" to the Bonds, notwithstanding the delivery of the Insurance Policy. Such ratings reflects only the views of the ratings agency and any desired explanation of the significance of such ratings should be obtained from S&P at the following address: S&P Global Ratings, a Standard & Poor's Financial Services LLC business, 55 Water Street, 45th Floor, New York, New York 10041. Generally, a rating agency bases its rating on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance that any rating will continue for any given period of time or that it will not be revised downward or withdrawn entirely by such rating agency, if, in the judgment of such rating agency, circumstances so warrant. The City undertakes no responsibility to oppose

any such revision or withdrawal. Any such downward revision or withdrawal of such rating may have an adverse effect on the market price of the Bonds.

Legal Opinions

All legal matters in connection with the issuance of the Bonds are subject to the approval of Nossaman LLP, Irvine, California, as Bond Counsel. A copy of the approving opinion of Bond Counsel will be provided to the registered owners of the Bonds, and the form of such opinion is attached hereto as APPENDIX D. Certain legal matters will be passed upon for the passed upon for the City by the City Attorney, Terpstra Henderson, A Professional Corporation, Ripon, California and by Nossaman LLP, Irvine, California, Disclosure Counsel. The Underwriter is being represented by its counsel, Nixon Peabody LLP, Los Angeles, California. From time to time, Bond Counsel and Disclosure Counsel may represent the Underwriter on matters not related to the Bonds.

Municipal Advisor

The City has retained A. M. Peché & Associates LLC, Alameda, California, as financial advisor (the "Municipal Advisor") in connection with the preparation of this Official Statement and with respect to the delivery of the Bonds. The Municipal Advisor is not obligated to undertake, and has not undertaken to make, an independent verification or to assume any responsibility for the accuracy, completeness of fairness of the information contained in this Official Statement. The Municipal Advisor is an independent advisory firm and is not engaged in the business of underwriting, trading, or distributing municipal or other public securities.

The Municipal Advisor has provided the following sentence for inclusion in this Official Statement: "The Municipal Advisor has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to the City and, as applicable, to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Municipal Advisor does not guarantee the accuracy or completeness of such information."

Professional Fees

In connection with the execution and delivery of the Bonds, fees payable to Bond Counsel, Disclosure Counsel, the Municipal Advisor and the Trustee are contingent upon the execution and delivery of the Bonds.

Verification of Mathematical Computations

Upon delivery of the Bonds, the Verification Agent will deliver its independent certified public accountants' verification report on the mathematical accuracy of certain computations, contained in schedules provided to it which were prepared on behalf of the City by the Underwriter, relating to the adequacy of the moneys and securities on deposit in the Escrow Funds, to pay the Escrow Requirements through the 2010 Prepayment Date and the 2011 Prepayment Date.

The report of the Verification Agent will include the statement that the scope of its engagement is limited to verifying the mathematical accuracy of the computations contained in such schedules provided to them, and that it has no obligation to update its report because of events occurring, or data or information coming to its attention, subsequent to the date of its report.

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Miscellaneous

Some of the data contained herein has been taken or constructed from City records. Appropriate officials of the City, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading. The execution and delivery of this Official Statement has been duly authorized by the City Council.

CITY OF ATWATER

By: /s/ John Bramble
Interim City Manager

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APPENDIX A

SUMMARY OF THE INDENTURE

Definitions

“Authorized Officer” means, with respect to the City, its Mayor, the City Manager, or the Finance Director or any other person designated as an Authorized Officer of the City by a Written Certificate of the City signed by its Mayor, City Manager, or Finance Director and filed with the Trustee.

“Bond Counsel” means any attorney or firm of attorneys appointed by and acceptable to the City, of nationally-recognized experience in the execution and delivery of obligations the interest in which is excludable from gross income for federal income tax purposes under the Code.

“Bond Insurance Policy” means the insurance policy issued by the Bond Insurer guaranteeing the scheduled payment of the principal of and interest on the Bonds when due.

“Bond Insurer” means Assured Guaranty Municipal Corp., a New York stock insurance company, or any successor thereto or assignee thereof.

“Bond Insurer Default” means (a) the Bond Insurer shall be in payment default under the Bond Insurance Policy and such failure shall continue for three business days, or (b) any material provision of the Bond Insurance Policy shall be held to be invalid by a final, non-appealable order of a court of competent jurisdiction, or the validity or enforceability thereof shall be contested by the Bond Insurer.

“Bond Insurer Rate,” which shall be calculated by the Bond Insurer, means the lesser of (a) the greater of (i) the per annum rate of interest, publicly announced from time to time by JPMorgan Chase Bank at its principal office in the City of New York, as its prime or base lending rate (“Prime Rate”) (any change in such Prime Rate to be effective on the date such change is announced by JPMorgan Chase Bank) plus 3%, and (ii) the then applicable highest rate of interest on the Bonds, and (b) the maximum rate permissible under applicable usury or similar laws limiting interest rates. The Bond Insurer Rate shall be computed on the basis of the actual number of days elapsed over a year of 360 days. In the event JPMorgan Chase Bank ceases to announce its Prime Rate publicly, the Prime Rate shall be the publicly announced prime or base lending rate of such national bank as the Bond Insurer shall specify.

“Bond Insurer’s Fiscal Agent” means a fiscal agent appointed by the Bond Insurer for purposes of, and in accordance with the terms contained in, the Bond Insurance Policy.

“Bond Reserve Policy” means the Municipal Bond Debt Service Reserve Insurance Policy, and any Endorsement thereto, issued by the Bond Insurer under which claims may be made in order to provide moneys in the Reserve Fund available for the purposes thereof.

“Bond Year” means the period from the Closing Date through May 1, 2018, and thereafter the twelve-month period commencing on May 2 of each year through and including May 1 of the following November 1.

“Business Day” means any day other than a Saturday, Sunday or legal holiday or a day on which banks are authorized to be closed for business in California or on which the Trust Office is authorized to be closed.

“Certificate of the City” means an instrument in writing signed by an Authorized Officer.

“City” means the City of Atwater, California, a municipal corporation duly organized and existing under the Constitution and laws of the State of California, and its successors and assigns.

“Code” means the Internal Revenue Code of 1986, as amended. Each reference to a section of the Code in the Indenture shall be deemed to include the United States Treasury Regulations, including temporary and proposed regulations relating to such section which are applicable to the Certificates or the use of the proceeds thereof.

“Contracts” means all contracts of the City previously or hereafter authorized and executed by the City, the payments under which are payable from Gross Revenues on a parity with the Bonds and which are secured by a pledge and lien on Gross Revenues as described herein, including the 2008 Installment Sale Agreement; but excluding contracts entered into for operation and maintenance of the Wastewater System.

“Debt Service” means, during any period of computation, the amount obtained for such period by totaling the following amount--

(a) The principal amount of all Outstanding serial Bonds and Parity Obligations coming due and payable by their terms in such period (except to the extent that such principal has been fully capitalized and is invested in Federal Securities which mature at times and in such amounts as are necessary to pay the principal to which such amounts are pledged);

(b) The minimum principal amount of all Outstanding term Bonds and Parity Obligations scheduled to be redeemed by operation of mandatory sinking fund deposits in such period, together with any premium thereon (except to the extent that such principal has been fully capitalized and is invested in Federal Securities which mature at times and in such amounts as are necessary to pay the principal to which such amounts are pledged);

(c) The interest which would be due during such period on the aggregate principal amount of Bonds and Parity Obligations which would be Outstanding in such period if the Bonds or Parity Obligations are retired as scheduled (except to the extent that such interest has been fully capitalized and is invested in Federal Securities which mature at times and in such amounts as are necessary to pay the interest to which such amounts are pledged), but deducting and excluding from such aggregate amount the amount of Bonds and Parity Obligations no longer Outstanding; provided that, whenever interest as described in the Indenture accrues at other than a fixed rate, such interest shall be assumed to be a rate equal to the greater of (i) the actual rate on the date of calculation, or if the Parity Obligation is not yet outstanding, the initial rate (if established and binding), (ii) if the Parity Obligation has been outstanding for at least twelve months, the average rate over the twelve months immediately preceding the date of calculation, and (iii) (x) if interest on the Parity Obligation is excludable from gross income under the applicable provisions of the Internal Revenue Code, the most recently published The Bond Buyer Bond Revenue Index (or comparable index if no longer

published) plus fifty (50) basis points, or (y) if interest is not so excludable, the interest rate on direct U.S. Treasury Obligations with comparable maturities, plus fifty (50) basis points; and

(d) amounts required to increase the Reserve Fund to the Reserve Requirement required to be paid under the Indenture during such period of computation.

“Debt Service Payments” mean the payments of Debt Service on the Bonds due under the Indenture.

“Due Date” means the fifteenth day of the month prior to each Interest Payment Date.

“Event of Default” means an event of default described in the Indenture.

“Federal Securities” mean (a) direct obligations (other than an obligation subject to variation in principal repayment) of the United States of America, (b) obligations fully and unconditionally guaranteed as to timely payment of the interest and principal by the United States of America, (c) obligations of any agency or instrumentality of the United States of America as to which the timely payment of the interest on and the principal of such obligations is backed by the full faith and credit of the United States of America, or (d) evidences of ownership of proportionate interests in future interest and principal payments on obligations described above held by a bank or trust company as custodian, under which the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor and the underlying government obligations are not available to any person claiming through the custodian or to whom the custodian may be obligated.

“Fiscal Year” means the twelve calendar month period commencing on July 1 and terminating on June 30 of each year, or any other annual accounting period hereafter selected and designated by the City as its Fiscal Year in accordance with applicable law.

“Generally Accepted Accounting Principles” mean the uniform accounting and reporting procedures prescribed by the California State Controller or his successor for cities in the State of California, or failing the prescription of such procedures means generally accepted accounting principles as presented and recommended by the American Institute of Certified Public Accountants or its successor, or by the National Council on Governmental Accounting or its successor, or by any other generally accepted authority on such principles.

“Governmental Loan” means a loan from the State or the United States of America, acting through any of its agencies, to finance improvements to the Wastewater System, and the obligation of the City to make payments to the State or the United States of America under the loan agreement memorializing said loan on a parity basis with the payment of Debt Service Payments.

“Independent Certified Public Accountant” means any certified public accountant or firm of certified public accountants appointed and paid by the City, and each of whom--

1. is in fact independent and not under the domination of the City;
2. does not have a substantial financial interest, direct or indirect, in the operations of the City; and

3. is not connected with the City as a board member, officer or employee of the City or the Authority, but may be regularly retained to audit the accounting records of and make reports thereon to the City.

“Independent Financial Consultant” means any financial consultant or firm of such consultants of national reputation generally recognized to be well qualified in financial matters relating to systems similar to the Wastewater System, appointed and paid by the City, and who, or each of whom--

1. is in fact independent and not under the control of the City;

2. does not have a substantial financial interest, direct or indirect, in the City;

and

3. is not connected with the City as a council member, officer or employee of the City, but may be regularly retained to make reports to the City.

“Interest Payment Date” means each May 1 and November 1, commencing November 1, 2017.

“Moody’s” means Moody’s Investors Service, Inc., its successors and assigns.

“Net Proceeds” means, when used with respect to any insurance or condemnation award, the proceeds from such insurance or condemnation award remaining after payment of all reasonable expenses (including attorneys’ fees) incurred in the collection of such proceeds.

“Outstanding” when used as of any particular time with reference to Bonds, means all Bonds except:

(1) Bonds canceled by the Trustee;

(2) Bonds paid or deemed to have been paid; and

(3) Bonds in lieu of or in substitution for which replacement Bonds shall have been executed and delivered under the Indenture.

“Owner” or “Bondowner” means the registered owner of any Outstanding Bond.

“Parity Obligations” means indebtedness or other obligations (including leases and installment sale agreements, bonds or contracts) hereafter issued or incurred and secured by a pledge of and lien upon any of the Gross Revenues on a parity with the Debt Service Payments of the City payable from and secured by a pledge of and lien upon any of the Gross Revenues issued or incurred pursuant to the Indenture. For all purposes of the Indenture, the 2008 Installment Sale Agreement shall constitute, be deemed to be and be treated as a Parity Obligation.

“Permitted Investments” mean any of the following which at the time of investment are legal investments under the laws of the State of California for the moneys proposed to be invested therein (the Trustee is entitled to conclusively rely upon any direction of the City as a certification that such investment constitutes a Permitted Investment):

1. Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury, but excluding CATS and TIGRS) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America.

2. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies and provided such obligations are backed by the full faith and credit of the United States of America (stripped securities are only permitted if they have been stripped by the agency itself):

Farmers Home Administration (FmHA)

Certificates of beneficial ownership

Federal Housing Administration Debentures (FHA)

General Services Administration

Participation certificates

Government National Mortgage Association (GNMA or "Ginnie Mae")

GNMA – guaranteed mortgage-backed bonds

GNMA – guaranteed pass-through obligations (participation certificates)

(not acceptable for certain cash-flow sensitive issues.)

U.S. Maritime Administration

Guaranteed Title XI financing

U.S. Department of Housing and Urban Development (HUD)

Project Notes

Local District Bonds

New Communities Debentures – U.S. Government guaranteed debentures

U.S. Public Housing Notes and Bonds – U.S. Government guaranteed

public housing notes and bonds

3. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following non-full faith and credit U.S. government agencies (stripped securities are only permitted if they have been stripped by the agency itself):

Federal Home Loan Bank System

Senior debt obligations

Federal Home Loan Mortgage Corporation (FHLMC or "Freddie Mac")

Participation certificates

Senior debt obligations

Federal National Mortgage Association (FNMA or "Fannie Mae")

Mortgage-backed securities and senior debt obligations

Resolution Funding Corp. (REFCORP) obligations

Farm Credit System

Consolidated system-wide bonds and notes

Federal Agriculture Mortgage Association

Tennessee Valley District

4. Money market mutual funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of "AAAm-G," "AAA-m," or "AA-m" and if rated by Moody's rated "Aaa," "Aa1" or "Aa2," including funds for which the Trustee, its parent holding company, if any, or any affiliates or subsidiaries of the Trustee receive and retain a fee for services provided to the fund, whether as investment advisor, custodian, transfer agent or otherwise.

5. Certificates of deposit secured at all times by collateral described in 1 and/or 2 above. Such certificates must be issued by commercial banks, savings and loan associations or mutual savings banks including the Trustee and its affiliates. The collateral must be held by a third party and the Owners must have a perfected first security interest in the collateral. Unsecured certificates of deposit, time deposits, money market deposits, demand deposits and bankers' acceptances of any bank (including those of the Trustee, its parent and its affiliates) the short-term obligations of which are rated on the date of purchase in one of the two highest rating categories by S&P and by Moody's.

6. Certificates of deposit (including those placed by a third party pursuant to a separate agreement between the City and the Trustee, trust funds, trust accounts, time deposits, bank deposit products, overnight bank deposits, interest bearing money market accounts, interest bearing deposits, bankers acceptance, savings accounts, deposit accounts or money market deposits (including those of the Trustee or any of its affiliates) which are fully insured by FDIC.

7. Investment agreements, including GIC's, forward purchase agreements and reserve fund put agreements.

8. Commercial paper rated, at the time of purchase, "Prime -1" by Moody's and "A-1" or better by S&P.

9. Bonds or notes issued by any state or municipality which are rated by Moody's and S&P in one of the two highest rating categories assigned by such agencies.

10. Bank deposit products, bank deposit accounts, federal funds or bankers acceptances with a maximum term of one year of any bank (including the Trustee or any of its affiliates) which has an unsecured, uninsured and unguaranteed obligation rating of "Prime -1" or "A2" or better by Moody's and "A-1" or "A" or better by S&P.

11. Repurchase or reverse repurchase agreements for 30 days or less (including those of the Trustee or any of its affiliates) must follow the following criteria:

(i) Repurchase or reverse repurchase agreements that provide for the transfer of securities from a dealer bank or securities firm (seller/borrower) to the Trustee (buyer/lender), and the transfer of cash from the Trustee to the dealer bank or securities firm

with an agreement that the dealer bank or securities firm will repay the cash plus a yield to the Trustee in exchange for the securities at a specified date.

12. Asset-backed Securities: As authorized in Government Code Section 53601(n), investment in any equipment lease-backed certificate, consumer receivable pass-through certificate or consumer receivable-backed bond with a maximum remaining final maturity of five years. Purchases will be restricted to securities with an expected weighted average life not to exceed three years. Securities eligible for investment under this subdivision shall be rated "AAA" by a nationally recognized rating service.

13. Mortgage-backed Securities: As authorized in Government Code Section 53601(n), investment in any mortgage pass-through security, collateralized mortgage obligation, mortgage-backed or other pay-through bond, with a maximum remaining final maturity of five years. Purchases will be restricted to securities with an expected weighted average life not to exceed three years. Securities eligible for investment under this subdivision shall be rated "AAA" by a nationally recognized rating service. Purchases of asset-backed and mortgage-backed securities may not exceed 20% of the City's portfolio in total.

14. Medium-term Notes: Corporate notes issued by corporations organized and operating within the United States with a rating of "A" or higher at the time of purchase by a nationally recognized rating service and with a maximum remaining maturity of no more than three (3) years after the date of purchase.

15. The Local Agency Investment Fund created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name.

16. Shares in a California common law trust established pursuant to Title 1, Division 7, Chapter 5 of the Government Code of the State of California which invests exclusively in investments permitted by Section 53601 of Title 5, Division 2, Chapter 4 of the Government Code of California, as it may be amended.

17. The Merced County Pooled Investment Fund.

"Principal Office" means the corporate trust office of the Trustee currently located in Los Angeles, California, except that solely for the purposes of the surrender or presentation of Bonds for payment, transfer or exchange, such office shall be the designated corporate trust agency or operations office of the Trustee, or such other office designated by the Trustee from time to time.

"Prior Issuer" means the Atwater Public Financing Authority.

"Prior Obligations" means the 2010 Installment Sale Agreement and the 2011 Installment Sale Agreement.

"Prior Treatment Site" means the wastewater treatment facilities located on the south-west side of Highway 99 near Applegate Road at 550 Commerce Avenue, Atwater, California 95301, which facilities are in the process of being decommissioned as of the date of this Indenture.

“Rate Stabilization Fund” means the fund of that name established by the City under the Indenture.

“Record Date” means the fifteenth day of the calendar month prior to an Interest Payment Date.

“Reserve Fund” means the fund by that name established under the Indenture.

“Reserve Requirement” means, as of any date of calculation, the lesser of (i) 10% of the initial offering price of the Bonds to the public, (ii) an amount equal to maximum annual Debt Service payable by the City between the date of such calculation and the final maturity of the Bonds, or (iii) 125% of average annual Debt Service payable under the Indenture.

“Responsible Officer” means any officer of the Trustee assigned by the Trustee to administer the trusts established under the Indenture.

“Revenue Fund” means the fund of the City into which it deposits Gross Revenues, and which shall be the same fund as the “Wastewater Fund” as such is defined in the 2008 Installment Sale Agreement.

“S&P” means S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC, its successors and assigns.

“State” means the State of California.

“Subordinate Debt” means indebtedness or other obligations (including leases and installment sale agreements) issued or incurred after the date of the Indenture and secured by a pledge of and lien on Gross Revenues subordinate to the Bonds.

“Trust Office” means the office of the Trustee designated in the Indenture, except that solely for the purposes of the surrender or presentation of Bonds for payment, transfer or exchange, such office shall be the designated corporate trust agency or operations office of the Trustee, and such other offices as the Trustee may designate from time to time.

“2010 Escrow Fund” means the fund established by the 2010 Escrow Agreement.

“2010 Escrow Agreement” means the Escrow Agreement, dated as of August 1, 2017, between the City and the Escrow Agent relating to the 2010 Installment Sale Agreement.

“2011 Escrow Fund” means the fund established by the 2011 Escrow Agreement.

“2011 Escrow Agreement” means the Escrow Agreement, dated as of August 1, 2017, between the City and the Escrow Agent relating to the 2011 Installment Sale Agreement.

“2008 Installment Sale Agreement” means the Installment Sale Agreement, dated as of April 1, 2008, by and between the City and the Prior Issuer, as originally executed and as it may from time to time be amended or supplemented in accordance therewith.

“2010 Installment Sale Agreement” means the Installment Sale Agreement, dated as of January 1, 2010, by and between the City and the Prior Issuer, as originally executed and as it may from time to time be amended or supplemented in accordance therewith.

“2011 Installment Sale Agreement” means the Installment Sale Agreement, dated as of April 1, 2011, by and between the City and the Prior Issuer, as originally executed and as it may from time to time be amended or supplemented in accordance therewith.

“Wastewater System” means the entire system of the City for the collection, treatment and disposal of Wastewater, including but not limited to all facilities, properties and improvements at any time owned, controlled or operated by the City for the collection, treatment and disposal of Wastewater within the service area of the City, and any necessary lands, rights, entitlements and other property useful in connection therewith, together with all extensions thereof and improvements thereto at any time acquired, constructed or installed by the City.

Transfer and Exchange of Bonds

Subject to the Indenture, each Bond shall be transferable only upon a register of the names of each Owner (the “Bond Register”), which shall be kept for that purpose at the Trust Office, by the Owner thereof in person or by his or her attorney duly authorized in writing, upon surrender thereof together with a written instrument of transfer satisfactory to the Trustee duly executed by the Owner or his or her duly authorized attorney. Upon the transfer of any such Bond, the Trustee shall provide in the name of the transferee, a new Bond or Bonds, of the same aggregate principal amount, interest rate and maturity as the surrendered Bonds (unless there has occurred a partial redemption of such Bond, in which case the principal amount of the new Bond shall be equal to the unredeemed principal amount of the Bond submitted for transfer).

Bonds Mutilated, Destroyed, Lost or Stolen

If any Bond shall become mutilated, the Trustee, at the expense of the Owner of said Bond, shall authenticate and deliver a new Bond of like tenor in exchange and substitution for the Bond so mutilated, but only upon surrender to the Trustee of the Bond so mutilated. If any Bond shall be lost, destroyed or stolen, evidence of such loss, destruction or theft shall be submitted to the Trustee, and, if such evidence is satisfactory to the Trustee and if an indemnity satisfactory to the Trustee shall be given, the Trustee, at the expense of the Owner, shall authenticate and deliver a new Bond of like tenor and numbered as the Trustee shall determine in lieu of and in substitution for the Bond so lost, destroyed or stolen.

Payment of Debt Service

All of the Gross Revenues are pledged under the Indenture for the payment of Parity Obligations, including the Bonds, and all moneys on deposit in the Payment Account established under the Indenture are irrevocably pledged, charged and assigned to the punctual payment of the Bonds. Such pledge, charge and assignment shall constitute a first lien on the Gross Revenues and such other moneys for the payment of the Debt Service Payments, the Bonds and any Parity Obligations in accordance with the terms of the Indenture.

The City’s obligation to pay the Debt Service Payments and any other amounts coming due and payable under the Indenture shall be a special obligation of the City limited solely to the Gross Revenues. Under no circumstances shall the City be required to advance moneys derived from any source of income other than the Gross Revenues and other sources specifically identified in the Indenture for the payment of the Debt Service Payments and the Bonds, nor shall any other funds or property of the City be liable for the payment of the Debt

Service Payments, the Bonds or any other amounts coming due and payable under the Indenture.

The obligations of the City to make the Debt Service Payments from the Gross Revenues and to perform and observe the other agreements contained in the Indenture shall be absolute and unconditional and shall not be subject to any defense or any right of setoff, counterclaim or recoupment arising out of any breach of the City or the Trustee of any obligation to the City or otherwise with respect to the Wastewater System, whether under the Indenture or otherwise, or out of indebtedness or liability at any time owing to the City by the Trustee. The City hereby acknowledges that its obligation to make Debt Service Payments under the Indenture is absolute and unconditional, free of deductions and without abatement, offset, recoupment, diminution or set-off whatsoever. Until such time as all of the Debt Service Payments and all other amounts coming due and payable under the Indenture shall have been fully paid or prepaid, the City (a) will not suspend or discontinue payment of any Debt Service Payments from Gross Revenues or such other amounts with respect to the Bonds, (b) will perform and observe all other agreements contained in the Indenture, and (c) will not terminate the Indenture for any cause, including, without limiting the generality of the foregoing, the occurrence of any acts or circumstances that may constitute failure of consideration, eviction or constructive eviction, destruction of or damage to the Wastewater System, sale of the Wastewater System, the taking by eminent domain of title to or temporary use of any component of the Wastewater System, commercial frustration of purpose, any change in the tax or other laws of the United States of America or the State or any political subdivision of either thereof or any failure of the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Indenture.

Monthly Deposit of Debt Service Payments

In furtherance of the payment of Debt Service Payments pursuant to the Indenture, the City shall transfer Gross Revenues from the Revenue Fund to the Trustee for deposit in the Debt Service Account of the Payment Fund, in monthly components and on the following dates and in the following amounts:

(1) Interest Component. On or before the fifteenth day of each month, commencing on November 15, 2017, an amount which is equal to one-sixth (1/6) of the aggregate amount of interest becoming due and payable on such Bonds on the next succeeding Interest Payment Date; provided, however, that the City may be entitled to deduct from such monthly interest payment the balance then-on deposit in the Debt Service Account of the Payment Fund that is allocated to future payments of interest on the Bonds, if any (other than amounts held for the defeasance of Bonds pursuant to the Indenture and any amounts required for payment of interest on any Bonds which have matured or been called for redemption but which have not yet been presented for payment); and

(2) Principal Component. On or before the fifteenth day of each month, commencing on November 15, 2017, an amount which, together with any moneys already on deposit with the Trustee and available to make such payment, is not less than one-sixth (1/6) of the next succeeding maturing principal or mandatory sinking account payment coming due on the Bonds after such date. On or before the fifteenth day of each month, commencing on May 15, 2018, an amount which, together with any moneys already on deposit with the Trustee and available to make such payment, is not less than one-twelfth (1/12) of the next succeeding maturing principal or mandatory sinking account payment coming due on the Bonds after such date; provided, however, that the City may be entitled to deduct from such monthly principal payment

the balance then-on deposit in the Debt Service Account of the Payment Fund that is allocated to future principal payments or mandatory sinking account payments on the Bonds, if any (other than amounts held for the defeasance of Bonds pursuant to the Indenture and any amounts required for payment of principal payments and mandatory sinking account payments on any Bonds which have matured or been called for redemption but which have not yet been presented for payment).

Such payments received by the Trustee shall be held in aggregate and in trust by the Trustee under the terms of the Indenture and shall be deposited by it as and when received in the Debt Service Account of the Payment Fund, which fund the Trustee has agreed to establish and maintain so long as any Bonds are Outstanding.

Reserve Fund

The Bond Reserve Policy shall be deposited in the Reserve Fund which shall satisfy the Reserve Requirement. The City shall not deposit any other credit instrument in lieu of a cash deposit into the Reserve Fund without the prior written consent of the Insurer. The Trustee shall hold the Reserve Fund in trust. So long as the Bond Reserve Policy is in force and effect, the Trustee shall draw on the Bond Reserve Policy in accordance with the provisions of the Indenture. Otherwise, the Trustee shall apply moneys in the Reserve Fund in accordance with the following provisions.

If, two (2) Business Days prior to any Interest Payment Date, the money in the Payment Fund does not equal the amount required to be paid to the Bond Owners on such Interest Payment Date, the Trustee shall transfer from the Reserve Fund to the Payment Fund the amount of such insufficiency; provided, if the Reserve Fund is funded with a letter of credit, surety bond, insurance policy or other comparable credit facility as described below, the Trustee shall take such action as is necessary to either (i) make a drawing under the letter of credit or (ii) make a claim under the surety bond or insurance policy, respectively, so that the amount of such insufficiency is paid or available to the Trustee on such Interest Payment Date under the terms of such instrument.

If, following valuation or calculation thereof, the amount available and contained in the Reserve Fund (valued as provided in the Indenture) exceeds the Reserve Requirement and if the Trustee does not have actual knowledge of an Event of Default under the Indenture, the Trustee shall withdraw the amount of such excess from the Reserve Fund. The Trustee shall transfer such amount to the City. Solely for purposes of determining the amount on deposit in the Reserve Fund, the Trustee shall make a valuation of the Reserve Fund as of June 1 and December 1 of each year. All money in the Reserve Fund shall be used and withdrawn by the Trustee solely for the purpose of making the payments of principal and interest on the Bonds in the event that amounts on deposit in the Payment Fund are insufficient for such purposes, or with respect to a redemption of the Bonds in whole.

If amounts on deposit in the Reserve Fund shall, at any time, be less than the applicable Reserve Requirement, such deficiency shall be immediately made up by the City from available Gross Revenues and the Reserve Fund shall be valued monthly until amounts on deposit therein equal the Reserve Requirement.

In lieu of making the Reserve Fund deposits in compliance with the Indenture, or in replacement of moneys then on deposit in the Reserve Fund, the City may deliver to the Trustee an irrevocable letter of credit issued by a financial institution having unsecured debt

obligations at the time of delivery of such letter of credit rated not less than the current rating categories of S&P on the Bonds, in an amount, together with moneys, or surety bonds or insurance policies (as described below) on deposit in the Reserve Fund, equal to the Reserve Requirement. Such letter of credit shall have an original term of no less than three (3) years or, if less, the final maturity of the Bonds and such letter of credit shall provide by its terms that it may be drawn upon as provided in the Indenture. At least one year prior to the stated expiration of such letter of credit, the City shall either (i) deliver a replacement letter of credit, (ii) deliver an extension of the letter of credit for at least an additional year or, if less, the final maturity of the Bonds, or (iii) deliver to the Trustee a surety bond or an insurance policy satisfying the requirements set forth below. Upon delivery of such replacement letter of credit, extended letter of credit, or surety bond or insurance policy, the Trustee shall deliver the then-effective letter of credit to or upon the written order of the City. If the City shall fail to deposit a replacement letter of credit, extended letter of credit or surety bond or insurance policy with the Trustee, the City shall immediately commence to make monthly deposits with the Trustee so that an amount equal to the Reserve Requirement will be on deposit in the Reserve Fund no later than the stated expiration date of the letter of credit. If an amount equal to the Reserve Requirement as of the date following the expiration of the letter of credit is not on deposit in the Reserve Fund one week prior to the stated expiration date of the letter of credit, the Trustee shall draw on the letter of credit to fund the deficiency resulting therefrom in the Reserve Fund.

Additionally, the City may, with an opinion of nationally-recognized bond counsel that such delivery complies with the Indenture, deliver to the Trustee a surety bond or an insurance policy securing an amount, together with moneys or letters of credit on deposit in the Reserve Fund, equal to the Reserve Requirement. Such surety bond or insurance policy shall be issued by an insurance company whose unsecured debt obligations (or for which obligations secured by such insurance company's insurance policies) at the time of delivery of such surety bond or insurance policy are rated not less than the current rating category of S&P on the Bonds. Such surety bond or insurance policy shall have a term of no less than the final maturity of the Bonds. In the event that such surety bond or insurance policy for any reason lapses or expires, the City shall immediately implement clause (i) or (iii) of the preceding paragraph or make the required deposits to the Reserve Fund.

The Trustee shall, after the use of all cash held in the Reserve Fund to make payments of principal and interest on the Bonds in the event that amounts on deposit in the Payment Fund are insufficient for such purposes, then, on a pro rata basis with respect to the portion of the Reserve Fund held in the form of letters of credit, surety bonds and insurance policies (calculated by reference to the maximum amounts of such letters of credit, surety bonds and insurance policies), draw under each letter of credit, surety bond or insurance policy, in a timely manner and pursuant to the terms of such letter of credit, surety bond or insurance policy to the extent necessary in order to obtain sufficient funds on or prior to the date such funds are needed as required in the Indenture. In the event that the Trustee has received written notice that any payment of principal or interest on a Bond has been recovered from an Owner pursuant to the United States Bankruptcy Code by a trustee in bankruptcy in accordance with the final, nonappealable order of a court having competent jurisdiction, the Trustee, pursuant to and provided that the terms of the letter of credit, surety bond or insurance policy, if any, securing such Bonds so provide, shall so notify the issuer thereof and draw on such letter of credit, surety bond or insurance policy to the lesser of the extent required or the maximum amount of such letter of credit, surety bond or insurance policy in order to pay such Bond Owners the principal and interest so recovered.

Following the replacement of moneys then on deposit in the Reserve Fund by an irrevocable letter of credit, surety bond, or insurance policy as provided in the Indenture, the Trustee shall notify S&P in writing and any moneys on deposit in the Reserve Fund in excess of the Reserve Requirement shall be transferred by the Trustee to the Payment Fund to be credited as provided in the Indenture, or, with the written approval of nationally recognized bond counsel to the effect that such transfer other than to the Payment Fund is hereby authorized, to such other fund or account as may be directed by the City.

Liability of City Limited

Notwithstanding anything contained in the Indenture, the City will not be required to advance any moneys derived from any source of income other than Gross Revenues legally available therefor in the Revenue Fund and the other funds provided in the Indenture for the payment of the Debt Service Payments or for the performance of any agreements or covenants contained in the Indenture required to be performed by it. The City may, however, but will not be required to, advance moneys for any such purpose so long as such moneys are derived from a source legally available for such purpose and may be legally used by the City for such purpose.

The obligation of the City to make the Debt Service Payments and the other amounts due under the Indenture is a special obligation of the City payable solely from the moneys legally available therefor under the Indenture, and does not constitute a debt of the City or of the State of California or of any political subdivision thereof within the meaning of any constitutional or statutory debt limitation or restriction.

Compliance with Indenture

The City will not suffer or permit any material default by it to occur under the Indenture, but will faithfully comply with, keep, observe and perform all the agreements, conditions, covenants and terms of the Indenture required to be complied with, kept, observed and performed by it.

Observance of Laws and Regulations

The City will truly keep, observe and perform all valid and lawful obligations or regulations now or imposed after the date of the Indenture on it with respect to the Wastewater System by contract, or prescribed by any law of the United States, or of the State, or by any officer, board or commission having jurisdiction or control, as a condition of the continued enjoyment of any and every right, privilege or franchise now owned or acquired after the date of the Indenture by the City with respect to the Wastewater System to the end that such rights, privileges and franchises shall be maintained and preserved, and shall not become abandoned, forfeited or in any manner impaired.

Prosecution and Defense of Suits

The City shall promptly, upon request of the Trustee (who has no duty or obligation to make such request) or any Owner holding at least 25% in principal amount of the Bonds from time to time, take such action as may be necessary or proper to remedy or cure any defect in or cloud upon the title to the Wastewater System, whether now existing or hereafter developing and shall, to the extent permitted by law, prosecute all such suits, actions and other proceedings as may be appropriate for such purpose and shall indemnify and save the

Trustee and every Owner harmless from all loss, cost, damage and expense, including attorneys' fees, which they or any of them may incur by reason of any such defect, cloud, suit, action or proceeding.

Accounting Records and Statements

The Trustee will keep proper accounting records in which complete and correct entries shall be made of all transactions made by the Trustee relating to the receipt, deposit and disbursement of the Debt Service Payments, and such accounting records shall be available for inspection by the City or any Owner or his or her agent duly authorized in writing on any Business Day upon reasonable notice at reasonable hours and under reasonable conditions prescribed by the Trustee.

Further Assurances

Whenever and so often as requested to do so by the Trustee (who has no duty or obligation to make such request) or any Owner, the City will promptly execute and deliver or cause to be executed and delivered all such other and further assurances, documents or instruments and promptly do or cause to be done all such other and further things as may be necessary or reasonably required in order to further and more fully vest in the Trustee and the Owners all advantages, benefits, interests, powers, privileges and rights conferred or intended to be conferred upon them by the Indenture.

Against Encumbrances

The City covenants that there is no pledge of or lien on Gross Revenues senior to the pledge and lien securing the Bonds. The City will not make any pledge of or place any lien on the Gross Revenues, provided that the City may at any time, or from time to time, pledge or encumber the Gross Revenues in connection with the issuance or execution of Parity Obligations, or subordinate to the pledge of Gross Revenues in the Indenture.

Against Sale or Other Disposition of Property

Except as provided in the Indenture, the City covenants that the Wastewater System shall not be encumbered, sold, leased, pledged, have any charge placed thereon, or otherwise disposed of, as a whole or substantially as a whole. Neither the Gross Revenues nor any other funds pledged or otherwise made available to secure payment of the Debt Service Payments shall be mortgaged, encumbered, sold, leased, pledged, have any charge placed thereon, or disposed or used except as authorized by the terms hereof. The City shall not enter into any agreement which impairs the operation of the Wastewater System or any part of it necessary to secure adequate Gross Revenues to pay the Debt Service Payments, or which otherwise would materially impair the rights of the Owners and the owners of any Parity Obligations with respect to the Gross Revenues. If any substantial part of the Wastewater System shall be sold, the payment therefor shall either (a) be used for the acquisition or construction of improvements, extensions or replacements of facilities constituting part of the Wastewater System, or (b) to the extent not so used, be paid to the Trustee to be applied to pay or redeem the Bonds or any Parity Obligations, in accordance with written instructions of the City filed with the Trustee. This Section shall not apply to the encumbrance, sale, lease or disposition by the City of the Prior Treatment Site.

Against Competitive Facilities

Except for any Wastewater system existing as of the date hereof, the City will not, to the extent permitted by law, acquire, maintain or operate and will not, to the extent permitted by law and within the scope of its powers, permit any other public or private agency, authority, city or political subdivision or any person whomsoever to acquire, maintain or operate within the City any utility system competitive with the Wastewater System; provided, however, that the City may assign all or a portion of the Wastewater System to another entity upon delivery to the Trustee of an opinion of nationally recognized bond counsel that such assignment will not adversely affect the tax-exempt status of the Bonds, and provided such entity assumes the obligations of the City under the Indenture.

Tax Covenants

The City will not take any action or permit to be taken any action within its control which would cause or which, with the passage of time if not cured would cause, the interest on the Bonds to become includable in gross income for federal income tax purposes. To that end, the City makes the following specific covenants:

(a) The City covenants that it will not make or permit any use of the proceeds of the Bonds that may cause the Bonds to be “arbitrage bonds” within the meaning of Section 148 of the Internal Revenue Code of 1986, as amended.

(b) The City covenants that the proceeds of the Bonds will not be used as to cause the proceeds on the Bonds to satisfy the private business tests of Section 141(b) of the Code or the private loan financing test of Section 141(c) of the Code.

(c) The City covenants not to take any action or permit or suffer any action to be taken if the result of the same would be to cause the Bonds to be “federally guaranteed” within the meaning of Section 149(b) of the Code.

In furtherance of the covenants stated here, the City shall comply with the requirements of the Tax Certificate executed on the date of delivery of the Bonds in connection therewith.

Operation of the Wastewater System

The City covenants and agrees to operate, or cause to be operated, the Wastewater System in accordance with customary standards and practices applicable to similar facilities.

Payment of Claims

The City will pay and discharge any and all lawful claims for labor, materials or supplies which, if unpaid, might become a lien on the Gross Revenues or any part thereof or on any funds in the control of the City or the Trustee prior or superior to the lien of the Bonds or which might impair the security of the Bonds; provided the City will not be obligated to make such payment so long as the City contracts such payment in good faith.

Compliance with Contracts

The City will comply with, keep, observe and perform all agreements, conditions, covenants and terms, expressed or implied, required to be performed by it contained in all

contracts for the use of the Wastewater System and all other contracts affecting or involving the Wastewater System to the extent that the City is a party thereto.

Insurance

So long as the Bonds are Outstanding, the City will at all times maintain insurance on the Wastewater System as is customarily maintained with respect to works and properties of like character against accident to, loss of or damage to the Wastewater System, either in the form of self-insurance or with responsible insurers. The City will also maintain worker's compensation insurance and insurance against public liability and property damage to the extent reasonably necessary to protect the City, the Trustee and the Owners, either in the form of self-insurance or with responsible insurers. The Trustee is not responsible for the adequacy of such insurance.

The Net Proceeds of any insurance award resulting from any damage to or destruction of the Wastewater System by fire or other casualty shall be deposited in the Insurance and Condemnation Fund by the Trustee (which fund the Trustee hereby agrees to establish and maintain as needed) promptly upon receipt thereof and shall be applied to the prompt replacement, repair, restoration, modification or improvement of the Wastewater System by the City, upon receipt of a requisition on which the Trustee may conclusively rely, without investigation, signed by an Authorized Officer stating with respect to each payment to be made (i) the requisition number, (ii) the name and address of the person, firm or corporation to whom payment is due, (iii) the amount to be paid and (iv) that each obligation mentioned therein has been properly incurred, is a proper charge against the Insurance and Condemnation Fund, has not been the basis of any previous withdrawal, and specifying in reasonable detail the nature of the obligation. Any balance of the Net Proceeds remaining after such work has been completed shall be transferred to the Revenue Fund. The City covenants that it will commence such replacement, repair, restoration, modification or improvement or indicate that such replacement, repair, restoration, modification or improvement is not economically feasible within 180 days of receipt of such Net Proceeds.

Books and Accounts; Financial Statements

The City shall keep proper books of record and accounts of the Wastewater System, separate from all other records and accounts, in which complete and correct entries shall be made of all transactions relating to the Wastewater System. Said books shall, upon prior request, be subject to the reasonable inspection by the Owners of not less than ten percent (10%) in aggregate principal amount of the Outstanding Bonds, or their representatives authorized in writing. The City shall cause the books and accounts of the Wastewater System to be audited annually by an Independent Certified Public Accountant, not more than two hundred seventy (270) days after the close of each Fiscal Year, and shall make a copy of such report available for inspection by the Owners at the office of the City.

Payment of Taxes and Compliance with Governmental Regulations

The City will pay and discharge all taxes, assessments and other governmental charges, if any, which may be lawfully imposed upon the Wastewater System after the date of the Indenture or any part thereof or upon the Gross Revenues when the same shall become due. The City will duly observe and conform with all valid regulations and requirements of any governmental authority relative to the operation of the Wastewater System or any part thereof, but the City will not be required to make such payments, or to comply with any regulations or

requirements, so long as the payment or validity or application thereof shall be contested in good faith.

Collection of Rates and Charges

The City will have in effect at all times by-laws, rules and regulations requiring each customer to pay the rates and charges applicable to the Wastewater System and providing for the billing thereof and for a due date and a delinquency date for each bill.

Amount of Rates and Charges

(a) To the fullest extent permitted by law, the City will fix and prescribe rates and charges for the Wastewater System which are reasonably expected to be at least sufficient to yield during each Fiscal Year Net Revenues equal to 120% of Debt Service on the Bonds and Parity Obligations for such Fiscal Year. The City may make adjustments from time to time in such rates and charges and may make such classifications thereof as it deems necessary, but shall not reduce the rates and charges then in effect unless the Net Revenues from such reduced rates and charges are reasonably expected to be sufficient to meet the requirements of this covenant.

So long as the City has complied with its obligations set forth in subsection (a) above, the failure of Net Revenues to meet the threshold set forth in subsection (a) above at the end of a Fiscal Year shall not constitute a default or an Event of Default so long as the City has complied with subsection (a) above at the commencement of the succeeding Fiscal Year.

Eminent Domain Proceeds

The Net Proceeds of any eminent domain award shall be deposited in the Insurance and Condemnation Fund by the Trustee promptly upon receipt thereof and shall be applied to the prompt replacement, modification or improvement of the Wastewater System by the City, upon receipt of a requisition (on which the Trustee may conclusively rely, without investigation), signed by an Authorized Officer stating with respect to each payment to be made (i) the requisition number, (ii) the name and address of the person, firm or corporation to whom payment is due, (iii) the amount to be paid and (iv) that each obligation mentioned therein has been properly incurred, is a proper charge against the Insurance and Condemnation Fund, has not been the basis of any previous withdrawal, and specifying in reasonable detail the nature of the obligation. Any balance of the Net Proceeds remaining after such work has been completed, or upon receipt by the Trustee of notification from an Authorized Officer in writing of the City's determination that the replacement, modification or improvement of the Wastewater System is not economically feasible or in the best interest of the City, shall be transferred to the Revenue Fund.

Segregation of Revenue Fund

No later than September 30, 2018, the City shall open a new bank account to hold and be used exclusively by the Revenue Fund, and which bank account shall hold no other funds, property or revenues of the City. Thereafter, the City shall not commingle the Revenue Fund or any Gross Revenues (including for investment purposes) or any interest or investment income earned on the Revenue Fund either prior to or after their deposit in the Revenue Fund, with any of its other City funds, including by not limited to, its General Fund, its Water Enterprise Fund, and its Sanitation Enterprise Fund, or with any of their respective assets or accounts.

Events of Default and Events of Mandatory Acceleration; Acceleration of Maturities

If one or more of the following Events of Default shall happen:

(a) default shall be made in the due and punctual payment by the City of any Debt Service Payment when and as the same shall become due and payable;

(b) default shall be made by the City in the performance of any of the agreements or covenants contained in the Indenture required to be performed by it, and such default shall have continued for a period of sixty (60) days after the City shall have been given notice in writing of such default by the Trustee;

(c) the City shall file a petition seeking arrangement or reorganization under federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if a court of competent jurisdiction shall approve a petition filed with the consent of the City seeking arrangement or reorganization under the federal bankruptcy laws or any other applicable law of the United States of America or any state therein, or if under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the City or of the whole or any substantial part of its property; or

(d) an event of default shall have occurred with respect to any Parity Obligations;

If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may, subject to the provisions of the Indenture, exercise any remedies available to the Trustee and the Bondowners in law or at equity.

Upon the occurrence of an Event of Default under the Indenture, the Trustee may declare the principal and interest with respect to all such Bonds immediately due and payable and such principal and interest shall thereupon be due and payable immediately. The Trustee shall apply amounts on deposit in the funds and accounts in accordance with the Indenture. This provision, however, is subject to the condition that, except with respect to an Event of Default under subsection (c) above, if at any time after such Outstanding principal amount of the Bonds and the accrued interest thereon shall have been so declared due and payable and before the acceleration date or the date of any judgment or decree for the payment of the money due shall have been obtained or entered, the City shall deposit with the Trustee a sum sufficient to pay such amount due prior to such date and the accrued interest thereon, with interest on such overdue payments at the rate on such Bonds, and the reasonable fees and expenses of the Trustee, including those of its attorneys, and any and all other defaults known to the City (other than in the payment of such principal amount of the Bonds and the accrued interest thereon due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then and in every such case the Trustee, by written notice to the City, may rescind and annul such declaration and its consequences; but no such rescission and annulment shall extend to or shall affect any subsequent default or shall impair or exhaust any right or power consequent thereon.

Other Remedies of the Trustee

The Trustee may (subject to the receipt of indemnity as provided in the Indenture):

- (a) by mandamus or other action or proceeding or suit at law or in equity enforce its rights against the City to perform and carry out its or his or her duties under applicable law and the agreements and covenants contained in the Indenture required to be performed by it or him;
- (b) by suit in equity enjoin any acts or things which are unlawful or violate the rights of the Trustee or the Bondowners under the Indenture;
- (c) intervene in judicial proceedings that affect the Bonds or the security therefor or under the Indenture; or
- (d) by suit in equity upon the happening of an Event of Default require the City and its officers and employees to account as the trustee of an express trust.

Non-Waiver

A waiver of any default or breach of duty or contract by the Trustee or the Owners shall not affect any subsequent default or breach of duty or contract or impair any rights or remedies on any such subsequent default or breach of duty or contract. No delay or omission by the Trustee or the Owners to exercise any right or remedy accruing upon any default or breach of duty or contract shall impair any such right or shall be construed to be a waiver of any such default or breach of duty or contract or an acquiescence therein, and every right or remedy conferred upon the Trustee or the Owners may be enforced and exercised from time to time and as often as shall be deemed expedient by the Trustee. If any action, proceeding or suit to enforce any right or to exercise any remedy is abandoned or determined adversely to the Trustee or the Owners, the Trustee, the Owners and the City shall be restored to their former positions, rights and remedies as if such action, proceeding or suit had not been brought or taken.

Nothing in the Indenture shall be deemed to authorize the Trustee to authorize or consent to or accept or adopt on behalf of any Bondowner any plan of reorganization, arrangement, adjustment, or composition affecting the Bonds or the rights of any Holder thereof, or to authorize the Trustee to vote in respect of the claim of any Bondholder in any such proceeding without the approval of the Bondowners so affected.

When the Trustee incurs expenses or renders services after the occurrence of an Event of Default, such expenses and the compensation for such services are intended to constitute expenses of administration under any federal or state bankruptcy, insolvency, arrangement, moratorium, reorganization or other debtor relief law.

Remedies Not Exclusive

No remedy in the Indenture conferred upon or reserved to the Trustee is intended to be exclusive of any other remedy, and each such remedy shall be cumulative and shall be in addition to every other remedy given under the Indenture or now or existing after the date of the Indenture in law or in equity or by statute or otherwise and may be exercised without exhausting and without regard to any other remedy conferred by any other law.

No Liability by the Trustee to the Owners

Except for the duty of the Trustee to make payments of principal, redemption premiums and interest with respect to the Bonds from moneys received from the City, the Trustee will not have any obligation or liability to the Owners with respect to the payment when due of the Debt Service Payments by the City, or with respect to the performance by the City of the other agreements and covenants required to be performed by it contained in the Indenture.

Limitation on Owners' Right to Bring Suit

No Owner of any Bond shall have any right to institute any proceeding, judicial or otherwise, under or with respect to the Indenture, or for the appointment of a receiver or trustee or for any other remedy under the Indenture, at law or in equity, unless:

- (1) such Owner has previously given written notice to the Trustee of a continuing Event of Default;
- (2) the owners of not less than a majority in principal amount of the Bonds Outstanding shall have made written request to the Trustee to institute proceedings in respect of such Event of Default in its own name as Trustee under the Indenture;
- (3) such Owner or Owners have offered to the Trustee reasonable indemnity, satisfactory to the Trustee, against the costs, expenses and liabilities to be incurred in compliance with such request; and
- (4) the Trustee for sixty (60) days after its receipt of such notice, request and offer of indemnity has failed to institute any such proceeding.

It being understood and intended that no one or more Owners shall have any right in any manner whatever by virtue of, or by availing of, any provision of the Indenture to affect, disturb or prejudice the lien of the Indenture or the rights of any other Owners or to obtain or to seek to obtain priority or preference over any other Owners or to enforce any right under the Indenture, except in the manner in the Indenture provided and for the equal and ratable benefit of all Bonds and Parity Obligations. Notwithstanding the foregoing, the Owner of any Bond shall have the right which is absolute and unconditional to receive payment of interest on such Bond when due in accordance with the terms thereof and of the Indenture and the principal of such Bond at the stated maturity thereof and to institute suit for the enforcement of any such payment in accordance with the provisions of the Indenture and such rights shall not be impaired without the consent of such Owner.

Application of Funds Upon Default

All monies received by the Trustee or by any receiver pursuant to any right given or action taken shall, after payment of the reasonable costs and fees of, and the reasonable fees, expenses, liabilities and advances incurred or made by the Trustee, be deposited in the Debt Service Account and all moneys so deposited during the continuance of an Event of Default (other than moneys for the payment of Bonds which have previously matured or otherwise become payable prior to such Event of Default or for the payment of interest due prior to such Event of Default), together with all moneys in the funds and accounts maintained by the Trustee under Article III of the Indenture, shall be applied as follows:

(a) Unless the principal of all Bonds shall have become or shall have been declared due and payable, all such moneys shall be applied:

First: To the payment to the persons entitled thereto of all installments of interest then due on the Bonds and any Parity Obligations, with interest on overdue installments, if lawful, at the rate per annum borne by the Bonds, in the order of the maturity of the installments of such interest, and, if the amount available shall not be sufficient to pay in full any particular installment of interest, then to the payment ratably according to the amounts due on such installment, to the persons entitled thereto without any discrimination or privilege; and

Second: To the payment to the persons entitled thereto of the unpaid principal of any of the Bonds and any Parity Obligations which shall have become due (other than Bonds called for redemption for the payment of which moneys are held pursuant to the provisions of the Indenture), with interest on such Bonds at their rate from the respective dates upon which they became due, in the order of their due dates, and, if the amount available shall not be sufficient to pay in full Bonds and any Parity Obligations due on any particular date, together with such interest, then to the payment ratably, according to the amount of principal and interest due on such date, to the persons entitled thereto without any discrimination or privilege.

Third. To provide for payment of any other amount then due and owing the Bond Insurer.

(b) If the principal of all the Bonds shall have become due or shall have been declared due and payable, all such moneys shall be applied to the payment of the principal and interest then due and unpaid upon the Bonds and any Parity Obligations, with interest on overdue interest and principal, as aforesaid, without preference or priority over interest or of interest over principal or of any installment of interest over any other installment of interest, or of any Bonds over any other Bonds or any Parity Obligations, ratably, according to the amounts due respectively for principal and interest, to the persons entitled thereto without any discrimination or privilege.

Rights of the Owners of Parity Obligations

Notwithstanding anything to the contrary, it is acknowledged and agreed that the rights of the Trustee and the Owners under the Indenture in and to the Gross Revenues and the Wastewater System shall be exercised on a parity and proportionate basis with the rights of the owners of any Parity Obligations and any fiduciary acting for the benefit of such owners.

Rights of Bond Insurer

The exercise of all remedies under the Indenture shall be subject to the rights of the Bond Insurer granted pursuant thereto.

The Trustee

The City, in its sole discretion, or the Owners of a majority in aggregate principal amount of all Bonds Outstanding may, by thirty (30) days prior written request, remove the Trustee initially a party to the Indenture, and any successor thereto, and in such event, or in the event the Trustee resigns, the City will appoint a successor Trustee, but any such successor will be a

bank, national banking association or trust company in good standing doing business and having an office in Los Angeles or San Francisco, California, having (or if such bank, national banking association or trust company is a member of a bank holding company system, its bank holding company shall have) a combined capital (exclusive of borrowed capital) and surplus of at least Fifty Million Dollars (\$50,000,000) and subject to supervision or examination by federal or state authority. The Trustee may at any time resign by giving written notice to the City and by giving to the Bond Owners notice by mailing a notice of such resignation to their addresses appearing in the Bond Register. Upon receiving any such notice of resignation, the City will promptly appoint a successor Trustee by an instrument in writing; provided, however, that in the event that the City does not appoint a successor Trustee within thirty (30) days following receipt of such notice of resignation, the resigning Trustee may petition at the expense of the City an appropriate court having jurisdiction to appoint a successor Trustee or to resign.

Whenever in the administration of its duties under the Indenture, the Trustee shall deem it necessary or desirable that a matter be proved or established prior to taking or suffering any action under the Indenture, such matter (unless other evidence in respect thereof be specifically prescribed in the Indenture) may, in the absence of negligence or willful misconduct on the part of the Trustee, be deemed to be conclusively proved and established by the certificate of an Authorized Officer of the City and such certificate shall be full warranty to the Trustee for any action taken or suffered under the provisions of the Indenture upon the faith thereof, but in its discretion the Trustee may, in lieu thereof (but shall not be obligated to), accept other evidence of such matter.

The Trustee may in good faith buy, sell, own, hold and deal in any of the Bonds issued pursuant to the Indenture, and may join in any action which any Owner may be entitled to take with like effect as if the Trustee were not a party to the Indenture. The Trustee and its affiliates, either as sponsor, advisor, principal or agent, may also engage in or be interested in any financial or other transaction with the City, and may act as depository, trustee, or agent for any committee or body of Owners of Bonds or other obligations of the City as freely as if it were not Trustee under the Indenture.

The Trustee may execute any of the trusts or powers of the Indenture and perform the duties required of it under the Indenture by or through attorneys, agents, or receivers, and shall be entitled to advice of counsel concerning all matters of trust and its duty under the Indenture. The Trustee will be fully reimbursed by the City for reasonable expenses incurred in connection with the performance of its obligations under the Indenture. Upon any default by, or misconduct of, any agent, attorney or receiver appointed by the Trustee, the Trustee shall (to the extent commercially reasonable) fully pursue all remedies available to it against such attorney, agent or receiver, and the proceeds of the exercise of such remedies shall be used to reimburse the City for any loss it may have suffered as a result of the default or misconduct of such agent, attorney or receiver. Before taking any remedial action under the Indenture the Trustee may require that a satisfactory indemnity bond or other indemnity satisfactory to the Trustee be furnished for the reimbursement of all reasonable expenses to which it may be put and to protect it against all liability which may be incurred in connection with the taking of such action, except liability which is adjudicated to have resulted from its negligence or willful misconduct; provided, however, the Trustee will not seek such indemnity prior to making payments on the Bonds.

The Trustee, prior to the occurrence of an Event of Default, and after the curing or waiving of all Events of Default which may have occurred, undertakes to perform only such duties as are specifically set forth in the Indenture and no implied duties or obligations shall be

read into the Indenture against the Trustee. The Trustee will, during the existence of any Event of Default (which has not been cured or waived), exercise such of the rights and powers vested in it by the Indenture, and use the same degree of care and skill in their exercise, as a reasonable person would exercise or use in the conduct of such person's own affairs. The Trustee will not be deemed to have knowledge of an Event of Default (except in connection with a failure of the City to make Debt Service Payments when due) until a Responsible Officer has actual knowledge thereof, or until notified in writing of such Event of Default. No provision of the Indenture or any other document related to the Indenture shall require the Trustee to risk or advance its own funds or otherwise incur any financial liability in the performance of its duties or the exercise of its rights under the Indenture. The Trustee will not be liable for any action taken or not taken by it in accordance with the direction of a majority (or other percentage provided for in the Indenture) in aggregate principal amount of Bonds outstanding relating to the exercise of any right, power or remedy available to the Trustee.

The Trustee will not be liable to the parties or deemed in breach or default under the Indenture if and to the extent its performance under the Indenture is prevented by reason of *force majeure*. The term "*force majeure*" means an occurrence that is beyond the control of the Trustee and could not have been avoided by exercising due care. *Force majeure* shall include but not be limited to acts of God, terrorism, war, riots, strikes, fire, floods, earthquakes, epidemics or other similar occurrences.

The Trustee will not be liable in connection with the performance of its duties under the Indenture, except for its own negligence or willful misconduct.

Amendment or Supplement by Consent of Owners

The Indenture may be amended in writing by agreement between the City and the Trustee, but no such amendment or supplement shall (i) reduce the rate of interest evidenced by the Bonds or extend the time of payment of such interest or reduce the amount of principal thereof or extend the Maturity Date thereof without the prior written consent of the Owner thereof, or (ii) reduce the percentage of Owners of Bonds whose consent is required for the execution of any amendment of or supplement to the Indenture, or (iii) modify any rights or obligations of the Trustee without its prior written consent thereto.

The Indenture and the rights and obligations of the City, of the Trustee and the Owners of the Bonds may also be modified or amended from time to time and at any time by a Supplemental Indenture which the City and the Trustee may enter into, but without the consent of any Bondowners, if the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Owners of the Bonds (as evidenced by the opinion of counsel delivered pursuant to the Indenture), including, without limitation, for any one or more of the following purposes:

(a) to add to the covenants and agreements of the City other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power in the Indenture reserved to or conferred upon the City;

(b) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the City may deem necessary or desirable;

(c) to modify, amend or supplement the Indenture in such manner as to permit the qualification of the Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect after the date of the Indenture, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute;

(d) to make such additions, as may be necessary or desirable to assure exemption from federal income taxation of interest on the Bonds; or

(e) to authorize the issuance of Parity Obligations.

Defeasance

Any Outstanding Bonds shall be paid and discharged in any one or more of the following ways:

(a) by paying or causing to be paid the principal of and interest on such Bonds Outstanding, as and when the same become due and payable;

(b) by depositing with the Trustee, in trust, before maturity, money which, together with the amounts which are then on deposit in the Payment Account and available therefor, is fully sufficient to pay such Bonds, including all principal and interest; or

(c) by depositing with the Trustee, under an escrow deposit and irrevocable trust agreement, cash, non-callable Federal Securities (the "Defeasance Obligations") in such amount as an Independent Certified Public Accountant shall determine will, together with the interest to accrue thereon and moneys then on deposit (or a pro rata share thereof) in the Payment Account available therefor, together with the interest to accrue thereon, be fully sufficient to pay and discharge such Bonds (including all principal and interest) at or before their respective maturity dates.

Notwithstanding that some Bonds may not have been surrendered for payment, all obligations of the City and the Trustee under the Indenture with respect to such defeased Bonds shall cease and terminate, except only the obligation of the Trustee to pay or cause to be paid to the Owners of such Bonds all sums due thereon.

Execution of Supplemental Indentures

In executing, or accepting the additional trusts created by, any supplemental indenture or amendment permitted by the Indenture or the modification thereby of the trusts created by the Indenture, the Trustee shall be entitled to receive, and shall be fully protected in relying upon, an opinion of counsel stating that the execution of such supplemental indenture or amendment is authorized or permitted by the Indenture and complies with the terms hereof. The Trustee may, but shall not be obligated to, enter into any such supplemental indenture or amendment which affects the Trustee's own rights, duties or immunities under the Indenture or otherwise.

Certain Bond Insurance Provisions

Notwithstanding anything in the Indenture to the contrary, the following provisions shall control:

(a) So long as no Bond Insurer Default shall have occurred and be continuing, the Bond Insurer shall be deemed to be the sole holder of the Bonds for the purpose of exercising any voting right or privilege or giving any consent or direction or taking any other action that the holders of the Bonds insured by it are entitled to take pursuant to the Indenture pertaining to (i) defaults and remedies and (ii) the duties and obligations of the Trustee. In furtherance thereof and as a term of the Indenture and each Bond, each Bondholder appoints the Bond Insurer as their agent and attorney-in-fact and agrees that the Bond Insurer may at any time during the continuation of any proceeding by or against the Issuer under the United States Bankruptcy Code or any other applicable bankruptcy, insolvency, receivership, rehabilitation or similar law (an "Insolvency Proceeding") direct all matters relating to such Insolvency Proceeding, including without limitation, (A) all matters relating to any claim or enforcement proceeding in connection with an Insolvency Proceeding (a "Claim"), (B) the direction of any appeal of any order relating to any Claim, (C) the posting of any surety, supersedeas or performance bond pending any such appeal, and (D) the right to vote to accept or reject any plan of adjustment. In addition, each Bondholder delegates and assigns to the Bond Insurer, to the fullest extent permitted by law, the rights of each Bondholder in the conduct of any Insolvency Proceeding, including, without limitation, all rights of any party to an adversary proceeding or action with respect to any court order issued in connection with any such Insolvency Proceeding. The Trustee acknowledges such appointment, delegation and assignment by each Bondholder for the Bond Insurer's benefit, and agrees to cooperate with the Bond Insurer in taking any action reasonably necessary or appropriate in connection with such appointment, delegation and assignment. Remedies granted to the Bondholders shall expressly include mandamus.

(b) No grace period for a covenant default under the Indenture affecting the Bonds shall exceed 30 days or be extended for more than 60 days without the prior written consent of the Bond Insurer. No grace period shall be permitted for payment defaults on the Bonds.

(c) The maturity of the Bonds shall not be accelerated without the consent of the Bond Insurer and in the event the maturity of the Bonds is accelerated, the Bond Insurer may elect, in its sole discretion, to pay accelerated principal and interest accrued, on such principal to the date of acceleration (to the extent unpaid by the City) and the Trustee shall be required to accept such amounts. Upon payment of such accelerated principal and interest accrued to the acceleration date as provided above, the Bond Insurer's obligations under the Bond Insurance Policy with respect to such Bonds shall be fully discharged.

(d) Any amendment or waiver of, or supplement or modification to, any provision of the Indenture that requires the consent of Owners of the Bonds or adversely affects the rights and interests of the Bond Insurer shall be subject to the prior written consent of the Bond Insurer.

(e) The rights granted to the Bond Insurer under the Indenture to request, consent to or direct any action are rights granted to the Bond Insurer in consideration of its issuance of the Bond Insurance Policy. Any exercise by the Bond Insurer of such rights is merely an exercise of the Bond Insurer's contractual rights and shall not be construed or deemed to be taken for the benefit of or on behalf of the Owners of the Bonds, nor does such action evidence any position of the Bond Insurer, affirmative or negative, as to whether the consent of the Owners of the Bonds or any other person is required in addition to consent of the Bond Insurer.

(f) To accomplish a defeasance of Bonds under Article IX of the Indenture, the City shall cause to be delivered to the Bond Insurer (i) a report of an independent firm of nationally recognized certified public accountants or such other accountant as shall be acceptable to the

Bond Insurer verifying the sufficiency of the escrow established to pay the Bonds in full on the maturity or redemption date (a "Verification"), (ii) an Escrow Deposit Agreement (which shall be acceptable in form and substance to the Bond Insurer), (iii) an opinion of nationally recognized bond counsel to the effect that the Bonds are no longer "Outstanding" under the Indenture and (iv) a certificate of discharge of the Trustee with respect to the Bonds; each Verification and defeasance opinion shall be acceptable in form and substance, and addressed, to the City, the Trustee and Bond Insurer. The Bond Insurer shall be provided with final drafts of the above-referenced documentation not less than five business days prior to the funding of the escrow. Bonds shall be deemed "Outstanding" under the Indenture unless and until they are in fact paid and retired or the criteria in this subsection are met.

(g) Amounts paid by the Bond Insurer under the Bond Insurance Policy shall not be deemed to have been paid for purposes of the Indenture and shall remain outstanding and continue to be due and owing until paid by the City in accordance with the Indenture. The Indenture shall not be discharged unless all amounts due or to become due to the Bond Insurer have been paid in full or duly provided for.

(h) The City covenants and agrees to take such action as is necessary from time to time to preserve the priority of the pledge of the Gross Revenues under applicable law.

(i) If, on the third Business Day prior to the related Interest Payment Date, there is not on deposit in the Debt Service Account, after making all transfers and deposits required hereunder, moneys sufficient to pay the principal of and interest on the Bonds due on such Interest Payment Date, the Trustee shall give notice to the Bond Insurer and to the Bond Insurer's Fiscal Agent (if any) by telephone or telecopy of the amount of such deficiency by 12:00 noon, New York City time, on such Business Day. If, on the second Business Day prior to such Interest Payment Date, there continues to be a deficiency in the amount available to pay the principal of and interest on the Bonds due on such Interest Payment Date, the Trustee shall make a claim under the Bond Insurance Policy and give notice to the Bond Insurer and the Bond Insurer's Fiscal Agent (if any) by telephone of the amount of such deficiency, and the allocation of such deficiency between the amount required to pay interest on the Bonds and the amount required to pay principal of the Bonds, confirmed in writing to the Bond Insurer and the Bond Insurer's Fiscal Agent (if any) by 12:00 noon, New York City time, on such Business Day by filling in the form of Notice of Claim and Certificate delivered with the Bond Insurance Policy.

(j) The Trustee shall designate any portion of payment of principal of Bonds paid by the Bond Insurer, whether by virtue of mandatory sinking fund redemption or maturity, on its books as a reduction in the principal amount of Bonds registered to the then current Owners, whether DTC or its nominee or otherwise, and shall issue a replacement Bond to the Bond Insurer, registered in the name of Assured Guaranty Municipal Corp., in a principal amount equal to the amount of principal so paid (without regard to authorized denominations); provided, however, that the Trustee's failure to so designate any payment or issue any replacement Bond shall have no effect on the amount of principal of or interest on Bonds payable by the City or on the subrogation rights of the Bond Insurer.

(k) Upon payment of a claim under the Bond Insurance Policy, the Trustee shall establish a separate special purpose trust account for the benefit of the Owners of the Bonds designated the "Policy Payments Account," over which the Trustee shall have exclusive control and sole right of withdrawal. The Trustee shall receive any amount paid under the Bond Insurance Policy in trust on behalf of Owners of the Bonds and shall deposit such amount in the Policy Payments Account and distribute such amount only for purposes of making the payments

for which a claim was made. Such amounts shall be disbursed by the Trustee to Owners of the Bonds in the same manner as principal and interest payments are to be made with respect to the Bonds under the provisions hereof regarding payment of Bonds. It shall not be necessary for such payments to be made by checks or wire transfers separate from the check or wire transfer used to pay debt service with other funds available to make such payments. Notwithstanding anything to the contrary otherwise set forth in the Indenture, and to the extent permitted by law, in the event amounts paid under the Bond Insurance Policy are applied to claims for payment of principal of, or interest on, the Bonds, and interest on all amounts paid by the Bond Insurer under the Bond Insurance Policy shall accrue and be payable from the date of such payment at the Bond Insurer Rate. The City hereby covenants and agrees that the amounts to be reimbursed to the Bond Insurer hereunder are secured by a lien on and pledge of the Gross Revenues and payable from such Gross Revenues on a parity with debt service due on the Bonds.

(l) The Trustee shall keep a complete and accurate record of all funds deposited by the Bond Insurer into the Policy Payments Account and the allocation of such funds to payment of principal of and interest on any Bond. The Bond Insurer shall have the right to inspect such records at reasonable times upon reasonable notice to the Trustee. Funds held in the Policy Payments Account shall not be invested by the Trustee and may not be applied to satisfy any costs, expenses or liabilities of the Trustee. Any funds remaining in the Policy Payments Account following the Interest Payment Date on which amounts therein have been disbursed shall be remitted to the Bond Insurer.

(m) To the extent that the Bond Insurer makes any payment of principal of or interest on the Bonds, the Bond Insurer shall, in accordance with the terms of the Bond Insurance Policy, become subrogated to the rights of the Owner of such Bonds receiving such payment (which subrogation rights shall also include the rights of any such recipients in connection with any Insolvency Proceedings). Each obligation of the City to the Bond Insurer under the Indenture shall survive the discharge or termination hereof.

(n) The City shall pay or reimburse the Bond Insurer any and all charges, fees, costs and expenses that the Bond Insurer may reasonably pay or incur in connection with (i) the administration, enforcement, defense or preservation of any rights or security of the Bond Insurer under the Indenture, (ii) the pursuit of any remedies under the Indenture or otherwise afforded by law or equity, (iii) any amendment, waiver or other action with respect to, or related to, the Indenture, whether or not executed or completed, or (iv) any litigation or other dispute in connection with the Indenture or the transactions contemplated hereby, other than the costs resulting from a Bond Insurer Default. The Bond Insurer reserves the right to charge a reasonable fee as a condition to executing any amendment, waiver or consent proposed in respect of the Indenture. After payment of reasonable expenses of the Trustee, the application of funds realized upon default shall be applied to the payment of expenses of the City or rebate only after the payment of past due and current debt service on the Bonds and amounts required to restore the Reserve Fund to the Reserve Requirement.

(o) The Bond Insurer shall be entitled to pay principal of or interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer (as such terms are defined in the Bond Insurance Policy) and any amounts due on the Bonds as a result of acceleration of the maturity thereof in accordance with the Indenture, whether or not the Bond Insurer has received a Notice of Nonpayment (as such term is defined in the Bond Insurance Policy) or a claim upon the Bond Insurance Policy.

(r) Notwithstanding satisfaction of the other conditions to the issuance of additional Parity Obligations set forth in the Indenture, no such issuance may occur (A) if an Event of Default hereunder (or any event which, once all notice or grace periods have passed, would constitute such an event of default) exists unless such default shall be cured upon such issuance, and (B) unless the Reserve Fund is fully funded at the Reserve Requirement (including the proposed issue) upon the issuance of such additional Parity Obligations, in either case unless otherwise permitted by the Bond Insurer.

(u) In determining whether any amendment, consent, waiver or other action to be taken, or any failure to take action, under the Indenture would adversely affect the security for the Bonds or the rights of the Owners thereof, the effect of any such amendment, consent, waiver, action or inaction shall be considered as if there were no Bond Insurance Policy.

(v) No contract shall be entered into or any action taken by which the rights of the Bond Insurer or security for or sources of payment of the Bonds may be impaired or prejudiced in any material respect except upon obtaining the prior written consent of the Bond Insurer.

Certain Bond Reserve Policy Provisions

Notwithstanding anything in the Indenture to the contrary, the following provisions shall control:

(a) Upon any payment by the Bond Insurer under the Bond Reserve Policy, the Bond Insurer shall furnish to the City written instructions as to the manner in which payment of amounts owed to the Bond Insurer as a result of such payment under the Bond Reserve Policy shall be made. Amounts drawn under the Bond Reserve Policy shall be used solely to pay scheduled payments of principal and interest due on the Bonds.

(b) The City shall pay the Bond Insurer, from amounts deposited in the Reserve Fund in accordance with the Indenture, the principal amount of any draws under the Bond Reserve Policy and pay all related reasonable expenses incurred by the Bond Insurer and shall pay interest thereon from the date of payment by the Bond Insurer at the Bond Insurer Rate (collectively, "Policy Costs"). If the interest provisions of this subsection shall result in an effective rate of interest which, for any period, exceeds the limit of the usury or any other laws applicable to the indebtedness created herein, then all sums in excess of those lawfully collectible as interest for the period in question shall, without further agreement or notice between or by any party hereto, be applied as additional interest for any later periods of time when amounts are outstanding under this subsection to the extent that interest otherwise due hereunder for such periods plus such additional interest would not exceed the limit of the usury or such other laws, and any excess shall be applied upon principal immediately upon receipt of such moneys by the Bond Insurer, with the same force and effect as if the City had specifically designated such extra sums to be so applied and the Bond Insurer had agreed to accept such extra payment(s) as additional interest for such later periods. In no event shall any agreed-to or actual exaction as consideration for the indebtedness created herein exceed the limits imposed or provided by the law applicable to this transaction for the use or detention of money or for forbearance in seeking its collection.

Repayment of Policy Costs shall commence in the first month following each draw, and each such monthly payment shall be in an amount at least equal to 1/12 of the aggregate of Policy Costs related to such draw. Such amounts shall be payable, as to the Issuer, solely from

Gross Revenues and other available money on deposit in the Debt Service Fund and the Reserve Fund.

(c) Amounts in respect of Policy Costs paid to the Bond Insurer shall be credited first to interest due, then to the expenses due and then to principal due. As and to the extent that payments are made to the Bond Insurer on account of principal due, the coverage under the Bond Reserve Policy will be increased by a like amount, subject to the terms of the Bond Reserve Policy. The obligation to pay Policy Costs shall be secured by a valid lien on Gross Revenues (subject only to the priority of payment provisions set forth in the Indenture).

(d) All cash and investments in the Reserve Fund shall be transferred to the Debt Service Account for payment of debt service on the Bonds before any drawing may be made on the Bond Reserve Policy or on any alternative credit instrument on deposit therein. Payment of any Policy Costs shall be made prior to replenishment of any such cash amounts in the Reserve Fund. Draws on all alternative credit instruments on deposit therein (including the Bond Reserve Policy) on which there is available coverage shall be made on a pro rata basis (calculated by reference to available coverage under each such alternative credit instrument) after applying available cash and investments in the Reserve Fund. Payment of Policy Costs and reimbursement of amounts with respect to such alternative credit instruments shall be made on a pro-rata basis prior to replenishment of any cash drawn from the Reserve Fund. For the avoidance of doubt, "available coverage" means the coverage then available for disbursement pursuant to the terms of the applicable alternative credit instrument without regard to the legal or financial ability or willingness of the provider of such instrument to honor a claim or draw thereon or the failure of such provider to honor any such claim or draw.

(e) If the City shall fail to pay any Policy Costs in accordance with the requirements hereof, the Bond Insurer shall be entitled to exercise any and all legal and equitable remedies available to it, including those provided under the Indenture, other than (i) acceleration of the maturity of the Bonds or (ii) remedies which would adversely affect owners of the Bonds.

(f) The Indenture shall not be discharged until all Policy Costs owing to the Bond Insurer shall have been paid in full. The City's obligation to pay such amounts, as provided in this Section, shall expressly survive payment in full of the Bonds.

(g) Policy Costs due and owing shall be included in debt service requirements for purposes of the rate covenant in the Indenture and the calculation of the additional Parity Obligations in the Indenture.

(h) The Trustee shall ascertain the necessity for a claim upon the Bond Reserve Policy in accordance with the provisions of this Section and shall provide notice to the Bond Insurer in accordance with the terms of the Bond Reserve Policy at least five Business Days prior to each date upon which interest or principal is due on the Bonds. Where deposits are required to be made by the City with the Trustee to the debt service fund for the Bonds more often than semi-annually, the Trustee shall be instructed to give notice to the Bond Insurer of any failure of the City to make timely payment in full of such deposits within two business days of the date due.

Unclaimed Moneys

Anything contained in the Indenture to the contrary notwithstanding, any money held by the Trustee in trust for the payment and discharge of the interest or principal of the Bonds which

remains unclaimed for the lesser of the period ending one day prior to the date such money would escheat to the State or two (2) years after the date when the payments evidenced and represented by such Bonds have become payable, if such money was held by the Trustee at such date, or for the lesser of the period ending one day prior to the date such money would escheat to the State or two (2) years after the date of deposit of such money if deposited with the Trustee after the date when the interest and principal evidenced and represented by such Bonds have become payable, the Trustee will pay such amounts to the City (without liability for interest) as its absolute property free from trust, and the Trustee will thereupon be released and discharged with respect thereto and the Owners will look only to the City for interest and principal represented by such Bonds.

Benefits of Indenture Limited to Parties

Nothing contained in the Indenture, expressed or implied, is intended to give to any person other than the City, the Trustee, the Bond Insurer and the Owners any claim, remedy or right under or pursuant hereto, and any agreement, condition, covenant or term contained herein required to be observed or performed by or on behalf of the City shall be for the sole and exclusive benefit of the Trustee, the Bond Insurer, and the Owners.

Waiver of Personal Liability

No board member, officer or employee of the City shall be individually or personally liable for the payment of the interest or principal the Bonds, but nothing contained in the Indenture shall relieve any board member, officer or employee of the City from the performance of any official duty provided by any applicable provisions of law or by the Indenture.

Investments

Amounts on deposit in any fund or account created pursuant to the Indenture shall be invested in Permitted Investments which will, as nearly as practicable, mature on or before the dates when such money is anticipated to be needed for disbursement under the Indenture, in accordance with such written directions as the City may from time to time provide to the Trustee. The Trustee and any affiliates may act as sponsor, advisor, principal or agent in the acquisition or disposition of any such investment. The Trustee will not be liable or responsible for any loss suffered in connection with any such investment made by it under the Indenture. Interest or profit received on such investments (other than the Reserve Fund) shall be deposited to the Payment Account. All interest, profits and other income received from the investment of moneys in the Reserve Fund shall be retained in the Reserve Fund to the extent amounts on deposit therein shall not be at least equal to the Reserve Requirement, and thereafter shall be transferred to the Payment Account. In computing the amount in any fund or account, Permitted Investments shall be valued at market value, exclusive of accrued interest. Valuation shall occur as determined by the City, but not less often than annually. In determining the market value of Permitted Investments, the Trustee may use and rely conclusively and without liability upon any generally recognized pricing information service (including brokers and dealers in securities) available. Except for investment agreements and repurchase agreements, if at any time after investment therein a Permitted Investment ceases to meet the criteria set forth in the definition of Permitted Investments and such obligation, aggregated with other non-conforming investments, exceeds ten percent (10%) of invested funds, such Permitted Investment shall be sold or liquidated.

California Law

The Indenture shall be construed and governed in accordance with the laws of the State of California.

Payments Due on Days that are not Business Days

In any case where the date fixed for payment of principal or interest on the Bonds or the date fixed for redemption of Bonds shall not be a Business Day, then payment of such principal or interest or redemption price shall be made on the next succeeding Business Day, with the same force and effect as if made on such non-Business Day and no interest shall accrue on such amounts from and after such non-Business Day.

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APPENDIX B
GENERAL INFORMATION REGARDING
THE CITY OF ATWATER AND MERCED COUNTY

The following information concerning the City of Atwater and Merced County are included only for the purpose of supplying general information regarding the area of the City. The Bonds are not a debt of the County, the State or any of its political subdivisions, and none of the County, the State or any of their political subdivisions, is liable therefor.

General Description and Background

Merced County is located in the heart of the northern San Joaquin Valley (also known as the Central Valley) of California, the world's most productive agricultural area, and spans from the coastal ranges to the foothills of Yosemite National Park. It comprises the Merced, CA Metropolitan Statistical Area, which is included in the Modesto-Merced, CA Combined Statistical Area. It is located north of Fresno County and Fresno, and southeast of Santa Clara County and San Jose. It was established on April 19, 1855 and has a total area of 1,979 square miles.

The City of Atwater lies in Merced County and is located approximately six miles northwest of the City of Merced, the county seat, 105 miles south of Sacramento and 65 miles north of Fresno. The City, which covers approximately 6.1 square miles in the County, was incorporated on August 16, 1922 and is a general law city.

Population

The following table lists population figures for the City, County and the State for the last ten completed calendar years.

CITY OF ATWATER, MERCED COUNTY AND STATE OF CALIFORNIA
Population Estimates
Calendar Years 2008 through 2017
(as of January 1)

Calendar Year	City of Atwater	Merced County	State of California
2008	27,287	250,734	36,704,375
2009	27,281	253,026	36,966,713
2010	27,755	255,399	37,223,900
2011	28,212	258,852	37,536,835
2012	28,568	262,147	37,881,357
2013	28,921	264,502	38,239,207
2014	29,050	266,592	38,567,459
2015	29,678	269,280	38,907,642
2016	30,059	271,547	39,189,035
2017	30,406	274,665	39,523,613

Source: State Department of Finance, Demographic Research Unit.

Employment and Industry

The following table shows the average annual estimated numbers of wage and salary workers by industry for Merced County for the years 2012 through 2016 (the latest year for which such information is available). Figures do not include proprietors, the self-employed, unpaid volunteers or family workers, domestic workers in households, and persons in labor management disputes.

**MERCED MSA
Merced County
Civilian Labor Force, Employment and Unemployment
Calendar Years 2012 through 2016
Annual Averages**

	2012	2013	2014	2015	2016
Civilian Labor Force ⁽¹⁾	115,200	114,900	115,000	115,100	115,000
Employment	96,400	98,200	100,200	102,000	103,000
Unemployment	18,800	16,700	14,700	13,100	12,100
Unemployment Rate	16.3%	14.5%	12.8%	11.4%	10.5%
Wage and Salary Employment: ⁽²⁾					
Agriculture	12,500	13,600	13,700	14,100	14,000
Mining, Lodging and Construction	1,600	1,600	1,700	1,900	2,200
Manufacturing	8,400	8,700	9,700	9,900	9,400
Wholesale Trade	2,200	2,100	1,900	1,700	2,000
Retail Trade	7,400	7,600	7,800	8,000	8,100
Trans., Warehousing and Utilities	2,400	2,500	2,300	2,300	2,500
Information	400	400	400	300	300
Financial Activities	1,600	1,500	1,600	1,600	1,800
Professional and Business Services	4,300	4,300	3,800	3,700	3,700
Educational and Health Services	8,300	8,800	9,100	9,400	9,800
Leisure and Hospitality	4,700	5,000	5,400	5,400	5,600
Other Services	1,400	1,400	1,300	1,400	1,400
Federal Government	700	700	800	800	800
State Government	2,700	2,900	3,100	3,200	3,500
Local Government	13,000	12,900	13,300	13,700	14,200
Total, All Industries ⁽³⁾	71,800	74,000	75,800	77,500	79,200

(1) Labor force data is by place of residence; includes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(2) Industry employment is by place of work; excludes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(3) Totals may not add due to rounding.

Source: State of California Employment Development Department, Labor Market Information Division.

Major Employers

The table below lists the largest manufacturing and non-manufacturing employers within the County as of January 2017:

MERCED COUNTY Major Employers

Employer Name	Location	Industry
Dole Packaged Foods LLC	Livingston	Food Products – Retail
Dole Packaged Foods LLC	Atwater	Food Products – Retail
E & J Gallo Winery	Livingston	Wineries
Foster Farms	Livingston	Poultry Processing Plants
Gallo Cattle Co	Atwater	Cheese Processors
Golden Valley Health Ctr	Merced	Clinics
Hilmar Cheese Co	Hilmar	Cheese Processors
J. Marchini & Son	Le Grand	Farms
Liberty Packing Co	Los Banos	Packing & Crating Service
Live Oak Farms	Le Grand	Fruits & Vegetables – Growers & Shippers
Livingston Union School District	Livingston	School Districts
MCOE	Merced	Educational Cooperative Organizations
Memorial Hospital Los Banos	Los Banos	Hospitals
Merced College	Merced	Schools-Universities & Colleges Academic
Merced County Human Svc	Merced	Government Offices – County
Mercy Medical Ctr Merced	Merced	Hospitals
Nor Cal Nursery Inc.	Turlock	Fruits & Vegetables – Wholesale
Quad/Graphics Inc.	Merced	Printers
Scholle IPN Packaging Inc.	Merced	Truck-Transporting
Sensient Natural Ingredients	Livingston	Flavoring Extracts
University of CA – Merced	Merced	Schools – Universities & Colleges Academic
Weaver Union School District	Merced	Schools
Werner Co.	Merced	Ladders – Manufacturers
Western Marketing & Sales	Atwater	Farms
Yosemite Wholesale Warehouse	Merced	Warehouses

Source: State of California Employment Development Department.

Personal Income

The United States Department of Commerce, Bureau of Economic Analysis (the “BEA”) produces economic accounts statistics that enable government and business decision-makers, researchers, and the public to follow and understand the performance of the national economy.

The BEA defines “personal income” as income received by persons from all sources, including income received from participation in production as well as from government and business transfer payments. Personal income represents the sum of compensation of employees (received), supplements to wages and salaries, proprietors’ income with inventory valuation adjustment (IVA) and capital consumption adjustment (CCAdj), rental income of persons with CCAdj, personal income receipts on assets, and personal current transfer receipts, less contributions for government social insurance. Per capita personal income is calculated as the personal income divided by the resident population based upon the Census Bureau’s annual midyear population estimates.

The table below presents the latest available personal income for the County, the State and the United States for the calendar years 2012 through 2016 (the latest date for which such information is available).

MERCED COUNTY PERSONAL INCOME (Calendar Years 2012 through 2016)		
<u>Year and Area</u>	<u>Personal Income (thousands of dollars)</u>	<u>Per Capita Personal Income (dollars)</u>
2016		
County	--	--
State	2,197,492,012	55,987
United States	16,017,781,445	49,571
2015		
County	9,714,034	36,185
State	2,103,669,473	53,949
United States	15,463,981,000	48,190
2014		
County	9,197,957	34,567
State	1,977,923,740	51,134
United States	14,801,624,000	46,464
2013		
County	8,652,013	32,858
State	1,861,956,514	48,570
United States	14,068,960,000	44,493
2012		
County	8,069,312	30,824
State	1,838,567,162	48,369
United States	13,904,485,000	44,282

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Agriculture

The City is located in one of the most productive agricultural areas in the United States. The County ranks in the top ten of the nation's counties in sales of agricultural products with production primarily in milk, fruits, nuts, livestock and animal products. As of the most recent United States Department of Agriculture Census of Agriculture (2012), there were approximately 978,667 acres of farmland in the County. Following is a five calendar-year summary of farm production in the County, reflecting the most recent years for which such information is available.

MERCED COUNTY Gross Value of Agricultural Production in Merced County (Thousands of Dollars)

	2011	2012	2013	2014	2015
Fruit & Nut Crops	\$568,151,000	\$664,510,000	\$880,836,000	\$977,271,000	\$746,783,000
Field Crops	459,557,000	490,294,000	500,681,000	573,194,000	456,622,000
Vegetable Crops	298,765,000	323,386,000	384,549,000	476,284,000	451,156,000
Seed Crops	2,113,000	5,929,000	7,814,000	3,825,000	4,110,000
Nursery Products	41,828,000	47,736,000	61,487,000	66,299,000	58,026,000
Apiary/Bee Industry	26,585,000	25,473,000	28,694,000	31,828,000	32,355,000
Aquaculture	2,149,000	1,906,000	0	0	0
Other Agriculture	13,080,000	13,505,000	13,882,000	19,228,000	15,724,000
Livestock and Poultry Production	655,726,000	669,453,000	688,184,000	726,327,000	803,058,000
Livestock and Poultry Products	1,191,915,000	1,038,014,000	1,232,942,000	1,555,731,000	1,022,070,000
TOTAL	\$3,259,868,000	\$3,280,206,000	\$3,799,070,000	\$4,429,987,000	\$3,589,903,000

Source: Merced County Department of Agriculture, Agricultural Crop Report 2014.

The gross agricultural income for 2015 is \$3,589,903,000. This figure represents an increase of 18.96% from the 2013 gross production value of \$4,429,987,000. The following table shows a listing of the leading agricultural commodities in 2015.

MERCED COUNTY
Leading Farm Commodities
(Thousands of Dollars)

Rank	Commodity	Gross Production Value in 2015
1	Milk (includes market and manufacturing)	\$895,180,000
2	Almonds	552,042,000
3	Chickens (includes fryers and other chickens)	364,085,000
4	Cattle & Calves	357,426,000
5	Sweet Potatoes	194,317,000
6	Tomatoes (includes market and processing tomatoes)	161,100,000
7	Silage (corn)	141,221,000
8	Eggs, Chicken (market)	123,242,000
9	Hay (alfalfa)	100,459,000
10	Turkeys	68,147,000
11	All Nursery Products	58,026,000
12	Cotton (includes acala and pima cotton)	54,292,000
13	Grapes (wine)	53,425,000
14	Silage (other)	52,143,000
15	Miscellaneous Vegetables	40,695,000

Source: Merced County Department of Agriculture, Agricultural Crop Report 2015.

Commercial Activity

During calendar year 2015, total taxable transactions in the City were reported to be \$236,604,000. Summaries of historic taxable sales within the City during the past five years for which data is available are shown in the following table.

CITY OF ATWATER
Taxable Retail Sales
Number of Permits and Valuation of Taxable Transactions
(Dollars in Thousands)

	<u>Retail Stores</u>		<u>Total All Outlets</u>	
	Number of Permits	Taxable Transactions	Number of Permits	Taxable Transactions
2011	291	\$188,919	405	\$230,728
2012	316	196,486	436	236,281
2013	305	197,650	418	229,615
2014	304	202,694	420	236,653
2015 ⁽¹⁾	341	211,612	492	236,604

Source: California State Board of Equalization, *Taxable Sales in California (Sales & Use Tax)*.

(1) Retailers that operate part-time are now tabulated with store retailers. Industry-level data for 2015 are not comparable to that of prior years.

During calendar year 2015, total taxable transactions in the County were reported to be \$2,964,724,000. Summaries of historic taxable sales within the County during the past five years for which data is available are shown in the following table.

MERCED COUNTY
Taxable Retail Sales
Number of Permits and Valuation of Taxable Transactions
(Dollars in Thousands)

	<u>Retail Stores</u>		<u>Total All Outlets</u>	
	Number of Permits	Taxable Transactions	Number of Permits	Taxable Transactions
2011	2,456	\$1,684,878	3,605	\$2,374,690
2012	2,557	1,778,567	3,734	2,512,316
2013	2,596	1,870,789	3,725	2,672,998
2014	2,553	1,913,822	3,658	2,764,904
2015 ⁽¹⁾	2,954	1,746,215	4,064	2,964,724

Source: California State Board of Equalization, *Taxable Sales in California (Sales & Use Tax)*.

(1) Retailers that operate part-time are now tabulated with store retailers. Industry-level data for 2015 are not comparable to that of prior years.

Transportation

The City is accessible by State Highways 99 and 140. Interstate 5 is 40 miles west of the City. Transportation includes rail passenger services by Amtrak and four airports that include Merced Regional Airport, Castle Airport, Gustine Airport and Los Banos Municipal Airport. Public transportation is provided by “The Bus” which provides local service in Merced as well as connecting service between most cities in Merced County, “CatTracks” which is operated by the University of California, Merced, “YARTS” which is the Yosemite Area Regional Transportation System connecting Merced with Yosemite National Park, and Greyhound buses.

Education

The City is served by the Atwater Elementary School District and the Merced Union High School District. There are six elementary schools, one middle school, and two high schools in the City.

The County is served by the Merced Community College District, and several K-12 school districts. California State University, Stanislaus is approximately 20 miles north of the City. In addition, the University of California, Merced (“UC Merced”), the tenth and newest of the University of California campuses, is located approximately 10 miles from the City and opened in the fall of 2005. UC Merced is undertaking a significant expansion project, growing its footprint by 1.2 million gross square feet of critically needed facilities. This will roughly double the physical capacity of the campus and will provide a way for UC Merced to address existing academic and student life needs and enable enrollment growth. Construction began in October 2016 and will be complete by Fall 2020. It is expected that the enrollment will reach 25,000 students by the year 2030.

APPENDIX C

AUDITED FINANCIAL STATEMENTS OF THE CITY FOR FISCAL YEAR 2015-16

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CITY OF ATWATER, CALIFORNIA

ANNUAL FINANCIAL REPORT

FOR THE FISCAL YEAR ENDED

JUNE 30, 2016



Prepared by:

Finance Department

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City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

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February 10, 2017

To the Honorable Mayor and Members of the City Council and Citizens of the City of Atwater:

We are pleased to submit the City of Atwater's Annual Financial Report for the fiscal year ended June 30, 2016. The financial statements are presented in conformity with generally accepted accounting principles (GAAP) and audited in accordance with generally accepted auditing standards. It is the policy of the Council that a licensed certified public accountant conducts an annual audit at the end of each fiscal year and issue a complete set of financial statements to be submitted to them.

Management is responsible for the completeness and reliability of the information contained in this report, based on a comprehensive framework of internal control that has been established for this purpose. We believe the data presented in this report is accurate in all material respects and all statements and disclosures necessary for the reader to obtain a thorough understanding of the City's financial activities have been included.

Management of the City has established an internal control framework that is designed both to protect the City's assets from loss, theft, or misuse and to compile sufficient reliable information for the preparation of the City's financial statements in conformity with GAAP. Because the cost of internal controls should not outweigh their benefits, the City's framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatements.

While traditionally addressed to the governing body of the City, this report is intended to provide relevant financial information to the citizens of the City of Atwater, City staff, creditors, investors, and other concerned readers. We encourage all readers to contact the Finance Department with any questions or comments concerning this report.

The City's financial statements have been audited by JJACPA, Inc., a firm of certified public accountants. The goal of the independent audit is to provide reasonable assurance that the financial statements of the City for the fiscal year ended June 30, 2016, are free of material misstatements. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by management, and evaluating the overall financial statement presentation. Based upon the audit, the independent auditors concluded that there was reasonable basis for rendering an unqualified opinion, which states that the City's financial statements for the fiscal year ended June 30, 2016, are fairly presented in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report.

GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. The City's MD&A can be found immediately following the report of the independent auditors.

Profile of the City of Atwater

The City of Atwater was incorporated in 1922 and is located on State Route 99 in Merced County, California in a 6 square mile area approximately 8 miles west-northwest of Merced. The City has a current population of 28,153. The City of Atwater operates under a Council-Manager form of government and provides municipal services that include public safety, public works, community development and parks and recreation. In addition, the City provides water, wastewater and solid services in the form of enterprise activities. This report includes all funds of the City of Atwater and its blended component unit, the Successor Agency of the Atwater Redevelopment Agency, for which the City is financially accountable.

The City Council establishes annual budgets for the General Fund, Proprietary Funds, and all Special Revenue Funds. Budgetary control is legally maintained at the fund level for these funds. Department heads submit budget requests to the City Manager. The City Manager prepares an estimate of revenues and prepares recommendations for the next year's budget. The preliminary budget may or may not be amended by the City Council and is adopted by resolution by the City Council on or before June 30 in accordance with the municipal code.

The Atwater City Council consists of five members, elected at-large to four-year overlapping terms. Council members must be residents of the City. The Mayor conducts the City Council meetings and represents the City on ceremonial occasions. The City Council serves as the policy board for the City of Atwater and provides policy direction, establishes goals, and sets priorities for the City government. In addition to serving as the policy makers for the community, the City Council also is responsible for numerous land use decisions within its borders, including the General Plan. The City Council appoints the City Manager, City Attorney, and all members of advisory boards, commissions, and committees.

Local Economy

The City of Atwater has begun a recovery from the recent nationwide economic recession. The City's principle general fund revenue sources are property tax and sales tax which account for almost 40 percent of total General Fund revenue. Property and sales tax revenues have increased and the City's housing market has continued to strengthen.

Financial Information

During the past fiscal year, there were no changes to the City's financial policies or items in which policies impacted the financial information or presentation. Information concerning significant accounting policies affecting the finances of the City is summarized in the Notes to the Financial Statements.

Acknowledgements

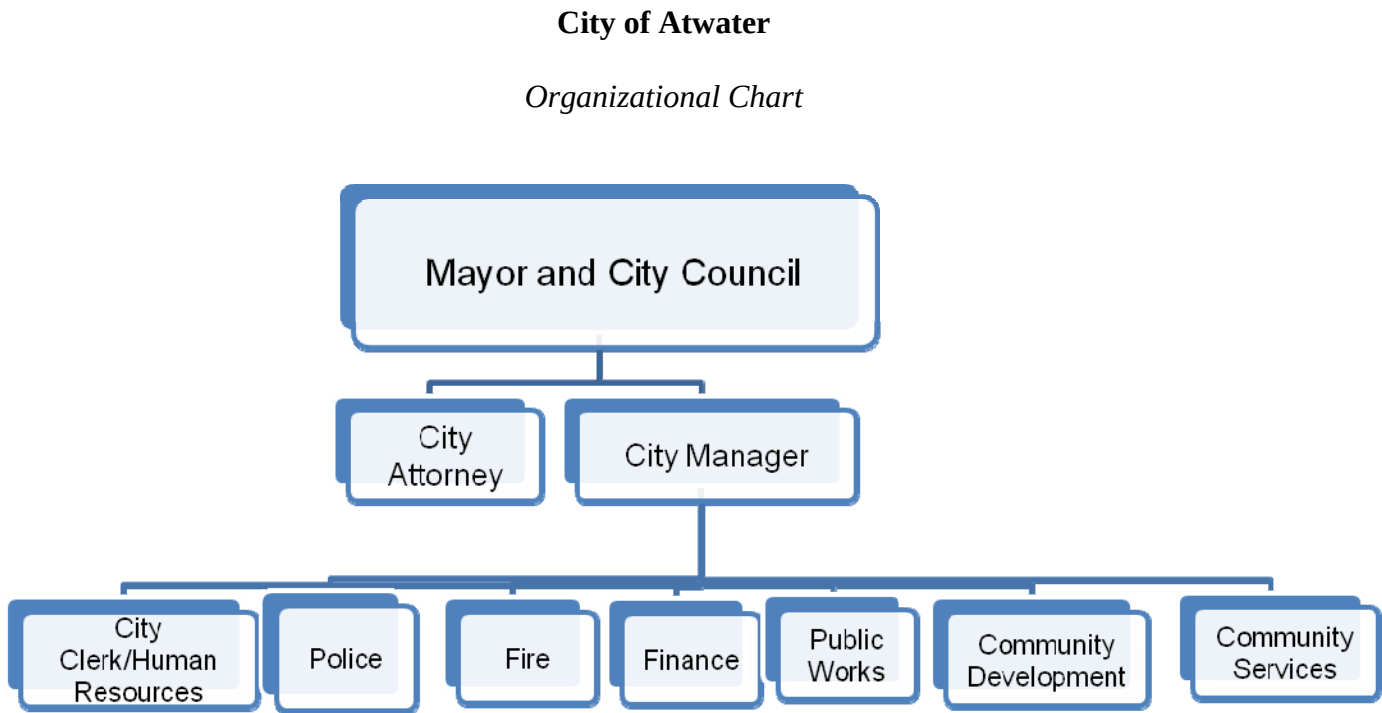
The preparation of this Annual Financial Report could not be accomplished without the efficient and dedicated service of the entire staff of the Finance Department and the auditing firm of JJACPA, Inc. I would also like to express my appreciation to the members of the City Council and the various departments for their cooperation and support in planning and conducting the financial operations of the City during the fiscal year.

Respectfully Submitted,

Scott McBride
Interim City Manager

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Organization Chart



City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

List of Officials

CITY COUNCIL

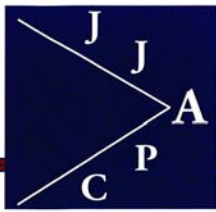
- James Price, Mayor
- James Vineyard, Mayor Pro Tem
- Brian Raymond, Council Member
- Paul Creighton, Council Member
- Cindy Vierra, Council Member

CITY OFFICIALS

- Scott McBride, Interim City Manager, Community Development Director
- Don Hyler III, City Clerk
- Jim Heller, City Treasurer
- Thomas H. Terpstra, City Attorney
- Patrick Faretta, Public Works Director
- Jeanna Del Real, HR Director
- Lakhwinder Deol, Finance Director

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JJACPA, Inc.

A Professional Accounting Services Corp.

INDEPENDENT AUDITOR'S REPORT

To the Honorable Mayor and City Council
City of Atwater
Atwater, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, the aggregate remaining fund information, and the budgetary comparison information of the City of Atwater, California (City), as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, the aggregate remaining fund information, and the budgetary comparison information of the City, as of June 30, 2016, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 3-16, the City's Schedules of Contributions on pages 92-93, and the Schedules of the City's Proportionate Share of the Net Pension Liability on pages 94-95 be presented to supplement the basic financial statements.

Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Emphasis of Matter Regarding Going Concern

The accompanying financial statements have been prepared assuming that there is substantial doubt that the City will continue as a going concern. As discussed in Note 16 to the financial statements, the General and Sanitation Funds have suffered recurring deficits from operations. These conditions raise substantial doubt about the City's ability to continue as a going concern. Management's plans in regard to these matters are also described in Note 16. The financial statements do not include any adjustments that might result from the outcome of this uncertainty. Our opinion is not modified with respect to this matter.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The combining and individual nonmajor fund financial statements and the introductory section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual nonmajor fund financial statements are the responsibility of management and were derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual nonmajor fund financial statements is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory section has not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated February 10, 2017 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City's internal control over financial reporting and compliance.

February 10, 2017

JJACPA, Inc.

JJACPA, Inc.
Dublin, CA

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis

This section provides a narrative overview and analysis of the financial activities of the City of Atwater (City) for the fiscal year ended June 30, 2016. It should be read in conjunction with the accompanying transmittal letter and basic financial statements.

FINANCIAL HIGHLIGHTS

- ◆ The City's total net position increased by about \$3.8 million over the course of this year's operations after conducting all City operations and programs. The assets of the City exceeded its liabilities by approximately \$29.6 million at the end of the 2016 fiscal year. The City's Long-term liabilities increased by approximately \$0.5 million due to pension obligation changes.
- ◆ Overall City-wide revenues from all governmental and business-type activities increased by approximately \$1.7 million compared to the 2015 fiscal year. Most of the increase resulted from increases in enterprise fund charges for service and increased property tax and sales tax revenue.
- ◆ The City's total expenses for all programs in fiscal 2016 increased by \$0.1 million (0.2 percent) compared to the 2015 fiscal year.
- ◆ The City's total net capital asset balance for governmental activities was \$22.7 million and \$88.1 million for business-type activities.
- ◆ The City also ended the fiscal year with \$10.8 million reported in the proprietary enterprise funds (the amount of net position available for use, including unrestricted net position, but excluding the net investment in capital assets).

OVERVIEW OF THE ANNUAL FINANCIAL REPORT

This Annual Financial Report is in two major parts:

- 1) **Introductory section**, which includes the Transmittal Letter and general information; and,
- 2) **Financial section**, which includes the Management's Discussion and Analysis (this part), the Basic Financial Statements, which include the Government-wide and the Fund Financial Statements along with the notes to these financial statements, and Combining and Individual Fund Financial Statements and Schedules.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

OVERVIEW OF THE ANNUAL FINANCIAL REPORT, Continued

The Basic Financial Statements

The Basic Financial Statements are comprised of the Government-wide Financial Statements and the Fund Financial Statements; these two sets of financial statements provide two different views of the City's financial activities and financial position.

Government-wide Financial Statements

The Government-wide Financial Statements provide a broad overview of the City's activities as a whole and comprise the Statement of Net position and the Statement of Activities. The Statement of Net position provides information about the financial position of the City as a whole, including all its capital assets and long-term liabilities on the full accrual basis, similar to that used by corporations. The Statement of Activities provides information about all the City's revenues and all its expenses, also on the full accrual basis, with the emphasis on measuring net revenues or expenses of each the City's programs. The Statement of Activities explains in detail the change in Net position for the year.

All of the City's activities are grouped into Governmental Activities and Business-type activities, as explained below. All the amounts in the Statement of Net position and the Statement of Activities are separated into Governmental Activities and Business-type Activities in order to provide a summary of these two activities of the City as a whole.

- ◆ **Governmental activities** – All of the City's basic services are considered to be governmental activities, including general government, public safety, highways and streets, urban redevelopment and housing, community services, and general administration. These services are supported by general City revenues such as taxes and by specific program revenues such as developer fees.
- ◆ **Business-type activities** – All the City's enterprise activities are reported here, including Water, Sewer, and Sanitation Funds. Unlike governmental services, these services are supported by charges paid by users based on the amount of the service they use.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories: governmental funds and proprietary funds.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

OVERVIEW OF THE ANNUAL FINANCIAL REPORT, Continued

Fund Financial Statements, Continued

Governmental funds. Governmental funds are used to account for essentially the same functions reported as governmental activities in the Government-wide Financial Statements. However, unlike the Government-wide Financial Statements, Governmental Fund Financial Statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of the Governmental Fund Financial Statements is narrower than that of the Government-wide Financial Statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the Government-wide Financial Statement. By doing so, readers may better understand the long-term impact of the government's near-term financial decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The Governmental Fund Financial Statements provide detailed information about each of the City's most significant funds, called major funds. The concept of major funds, and the determination of which are major funds, was established by GASB Statement No. 34 and replaces the concept of combining like funds and presenting them as one total. Instead, each major fund is presented individually, with all nonmajor funds summarized and presented only in a single column. Subordinate schedules present the detail of these nonmajor funds. Major funds present the major activities of the City for the year, and may change from year to year as a result of changes in the pattern of the City's activities.

For the fiscal year ended June 30, 2016, the City's major funds are as follows:

GOVERNMENTAL FUNDS:

- ◆ General Fund
- ◆ Measure H Special Revenue Fund

PROPRIETARY FUNDS:

- ◆ Water Enterprise Fund
- ◆ Sewer Enterprise Fund
- ◆ Sanitation Enterprise Fund

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

OVERVIEW OF THE ANNUAL FINANCIAL REPORT, Continued

Fund Financial Statements, Continued

For the fiscal year ended June 30, 2016, the City adopted annual appropriated budgets for all governmental funds.

Proprietary funds. The City maintains Enterprise-type and Internal Service proprietary funds. Enterprise funds are used to report the same functions presented as business-type activities in the Government-wide Financial Statements. The City uses enterprise funds to account for Water, Sewer, and Sanitation activities. Internal service funds are an accounting methodology used to accumulate and allocate costs internally among the City's various functions. The City uses internal service funds to account for its fleet of vehicles and its information technology assets. Proprietary funds provide the same type of information as the Government-wide Financial Statements, only in more detail. The proprietary fund financial statements provide separate information for all of these operations.

Notes to the Basic Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the Government-wide and Fund Financial Statements. The notes to the basic financial statements can be found on pages 48–90 of this report.

Combining and Individual Fund Financial Statements and Schedules

The combining statements referred to earlier in connection with nonmajor governmental funds are presented immediately following the notes to the financial statements. Combining and individual fund statements can be found on pages 99–178 of this report.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve over time as a useful indicator of a government's financial position. In the case of the City, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by \$29,638,689 (net position) as of June 30, 2016. The Summary of Net position as of June 30, 2016, and 2015, follows:

	Summary of Net Position					
	2016			2015		
	Govern- mental Activities	Business- type Activities	Total	Govern- mental Activities	Business- type Activities	Total
Current and other assets	\$ 7,929,267	\$ 19,900,343	\$ 27,829,610	\$ 6,879,126	\$ 16,869,796	\$ 23,748,922
Noncurrent assets	26,847,983	88,139,632	114,987,615	27,330,275	89,064,219	116,394,494
Deferred outflows of resources	4,683,163	-	4,683,163	1,700,204	-	1,700,204
Total assets and deferred outflows of resources	39,460,413	108,039,975	147,500,388	35,909,605	105,934,015	141,843,620
Current and other liabilities	1,766,712	3,160,851	4,927,563	2,451,002	3,691,991	6,142,993
Long-term liabilities	30,688,109	76,645,048	107,333,157	28,796,787	77,967,362	106,764,149
Deferred inflows of resources	5,507,394	-	5,507,394	3,065,078	-	3,065,078
Total liabilities and deferred inflows of resources	37,962,215	79,805,899	117,768,114	34,312,867	81,659,353	115,972,220
Net position:						
Net investment in capital assets	22,732,788	11,494,584	34,227,372	22,933,982	11,183,267	34,117,249
Restricted	4,748,643	5,806,604	10,555,247	4,351,790	5,806,295	10,158,085
Unrestricted (deficit)	(25,983,233)	10,839,303	(15,143,930)	(25,689,034)	7,285,100	(18,403,934)
Total net position	\$ 1,498,198	\$ 28,140,491	\$ 29,638,689	\$ 1,596,738	\$ 24,274,662	\$ 25,871,400

Overall, total net position increased by approximately \$3.8 million. The total net position of governmental activities decreased by approximately \$0.1 million primarily due to increased sales tax and property tax revenue as offset by increases in expenses. Total net position for business-type activities increased by approximately \$3.9 million.

Restricted net position increased by \$397,162 and unrestricted net position increased by \$3,260,004. The increase in restricted net position is due to the Sewer Fund's restricted fund balance. The increase in unrestricted net position is due primarily to increases in operating revenues and reductions to expenses.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

Revenues

The City's total revenues for governmental and business-type activities were \$36,302,098 for the fiscal year ended June 30, 2016. Significant revenues for the City for fiscal year 2015-16 were derived from charges for services (61%), grants and contributions (8%), property taxes and assessments (13%) and sales and use tax (12%).

The following discusses variances in key revenues from the prior fiscal year for governmental and business-type activities:

1. **Charges for Services.** Charges for services increased by \$685,262 or 3.2% due mainly to increased operating revenue in the water, sewer and sanitation enterprise funds.
2. **Grants and Contributions.** Grants and contributions increased by \$354,741 or 13.8% due to Public Safety hiring grants.
3. **Property Taxes and Assessments.** Property taxes increased by \$327,455 or 7.7%. This is due primarily to a continued rebound from the recent economic recession.
4. **Sales and Use Tax.** Sales tax revenue increased by \$290,683 or 7.3%. This results from a continued rebound from the recent economic recession.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

The change in net position for the fiscal years ended June 30, 2016, and 2015, follows:

	Changes in Net Position 2015			2015		
	Governmental Activities	Business-type Activities	Total	Governmental Activities	Business-type Activities	Total
Revenues:						
Program revenues:						
Charges for services	\$ 2,433,746	\$ 19,613,091	\$ 22,046,837	\$ 2,606,786	\$ 18,754,789	\$ 21,361,575
Grants and contributions:						
Operating	2,630,041	62,768	2,692,809	2,100,766	94,036	2,194,802
Capital	225,786	-	225,786	369,052	-	369,052
General revenues:						
Property taxes						
and assessments	4,583,210	-	4,583,210	4,255,755	-	4,255,755
Transient occupancy taxes	41,996	-	41,996	38,050	-	38,050
Sales and use tax	4,250,054	-	4,250,054	3,959,371	-	3,959,371
Franchise taxes	761,291	-	761,291	740,835	-	740,835
Other taxes	1,132,329	-	1,132,329	1,164,091	-	1,164,091
Intergovernmental	215,343	-	215,343	239,396	-	239,396
Use of money and property	311,002	41,441	352,443	279,750	6,732	286,482
Other	-	-	-	-	-	-
Total revenues	16,584,798	19,717,300	36,302,098	15,753,852	18,855,557	34,609,409
Expenses:						
Governmental activities:						
General government	2,865,859	-	2,865,859	2,480,474	-	2,480,474
Public safety	9,853,739	-	9,853,739	9,549,156	-	9,549,156
Highways and streets	3,278,459	-	3,278,459	3,089,154	-	3,089,154
Urban redevelopment						
and housing	231,690	-	231,690	728,049	-	728,049
Culture and recreation	598,596	-	598,596	635,587	-	635,587
Interest and fiscal charges	48,839	-	48,839	-	-	-
Business-type activities:						
Water	-	3,441,999	3,441,999	-	3,438,390	3,438,390
Sewer	-	9,458,990	9,458,990	-	9,761,296	9,761,296
Sanitation	-	2,807,961	2,807,961	-	2,818,700	2,818,700
Total expenses	16,877,182	15,708,950	32,586,132	16,482,420	16,018,386	32,500,806
Change in net position before transfers	(292,384)	4,008,350	3,715,966	(728,568)	2,837,171	2,108,603
Transfer to Successor Agency	51,323	-	51,323	-	-	-
Transfers	142,521	(142,521)	-	152,375	(152,375)	-
Change in net position	(98,540)	3,865,829	3,767,289	(576,193)	2,684,796	2,108,603
Net position:						
Beginning of year, as previously reported	1,596,738	24,274,662	25,871,400	25,080,499	21,589,866	46,670,365
Adjustment	-	-	-	(22,907,568)	-	(22,907,568)
Beginning, as adjusted	1,596,738	24,274,662	25,871,400	2,172,931	21,589,866	23,762,797
End of year	\$ 1,498,198	\$ 28,140,491	\$ 29,638,689	\$ 1,596,738	\$ 24,274,662	\$ 25,871,400

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

Expenses

Governmental and business-type activity expenses of the City for the year totaled \$32,586,132. Governmental activity expenses totaled \$16,877,182 or 52% of total expenses. Business-type activities incurred \$15,708,950 or 48% of total expenses during the fiscal year. Public safety costs represented 58% of total governmental activities expenses.

Governmental Activities

The following table shows the cost of each of the City's major programs and the net cost of the programs. Net cost is the total cost less fees and other direct revenue generated by the activities. The net cost reflects the financial burden that was placed on the City's taxpayers by each of the programs. The total cost of services and the net cost of services for the fiscal years ended June 30, 2016, and 2015, are as follows:

	2016		2015	
	Total Cost of Services	Net Cost of Services	Total Cost of Services	Net Cost of Services
General government	\$ 2,865,859	\$ 1,419,472	\$ 2,480,474	\$ 909,144
Public safety	9,853,739	8,639,961	9,549,156	8,426,467
Highway and streets	3,278,459	1,110,856	3,089,154	1,006,261
Urban revelopment and housing	231,690	227,658	728,049	719,215
Community services	598,596	140,823	635,587	344,729
Interest on long-term debt	48,839	48,839	-	-
Total	<u>\$ 16,877,182</u>	<u>\$ 11,587,609</u>	<u>\$ 16,482,420</u>	<u>\$ 11,405,816</u>

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

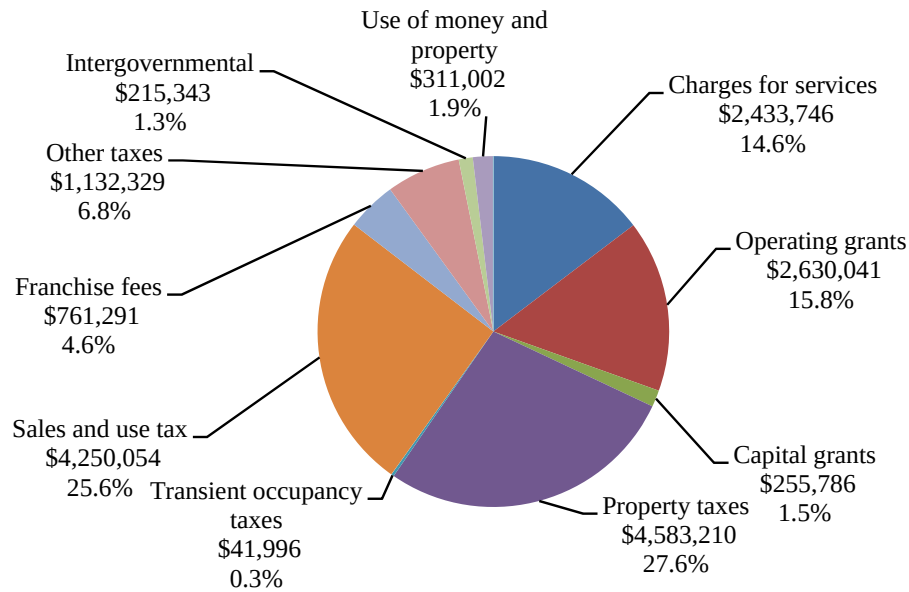
Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

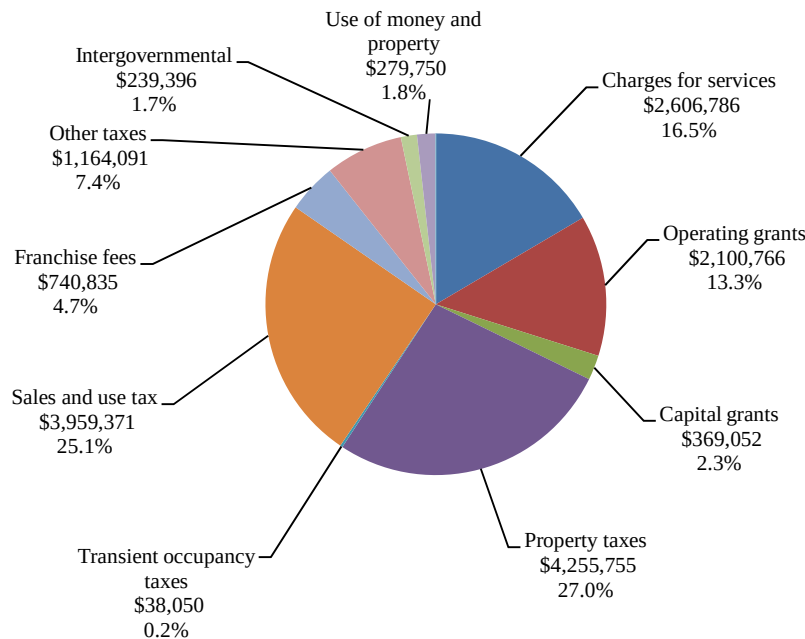
Governmental Activities, Continued

Revenues by source for the fiscal years ended June 30, 2016, and 2015, are as follows:

Revenues by Source - Governmental Activities 2016



Revenues by Source - Governmental Activities 2015



City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

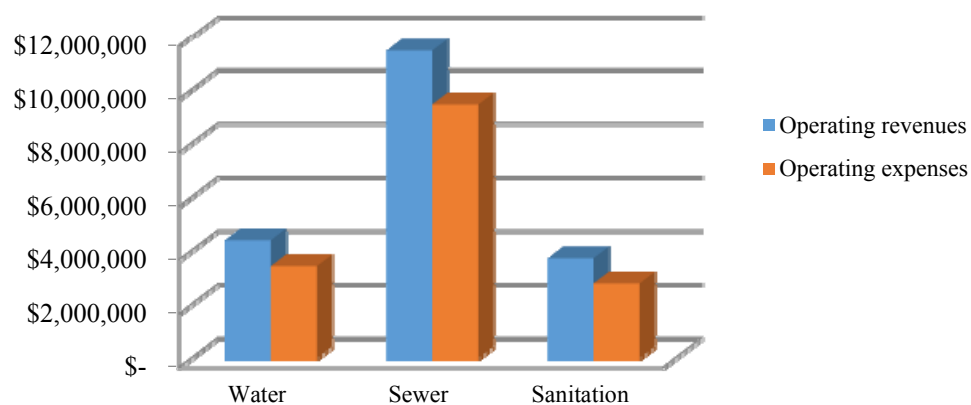
Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

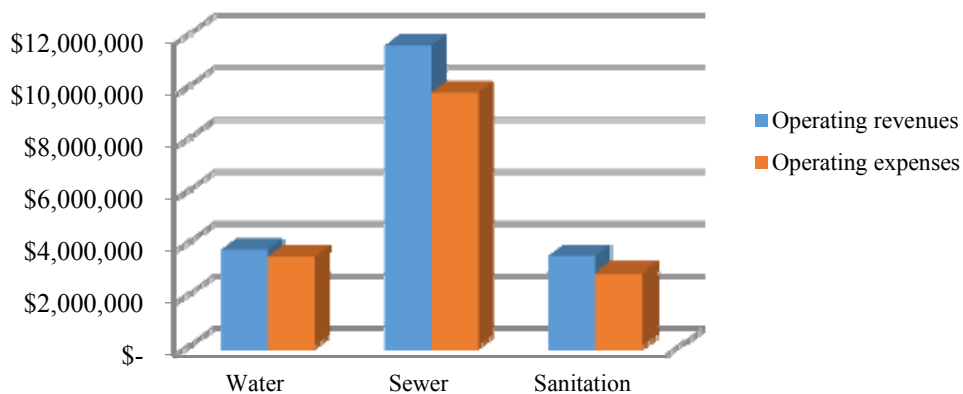
Business-type Activities

Business-type activities increased the City's net position by \$3,865,829. The City has three business-type activities: Water, Sewer, and Sanitation Operations. The operating revenues and expenses for the business-type activities for the fiscal years ended June 30, 2016, and 2015, are as follows:

**Operating Revenues and Expenses
Business-type Activities
2016**



**Operating Revenues and Expenses
Business-type Activities
2015**



City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

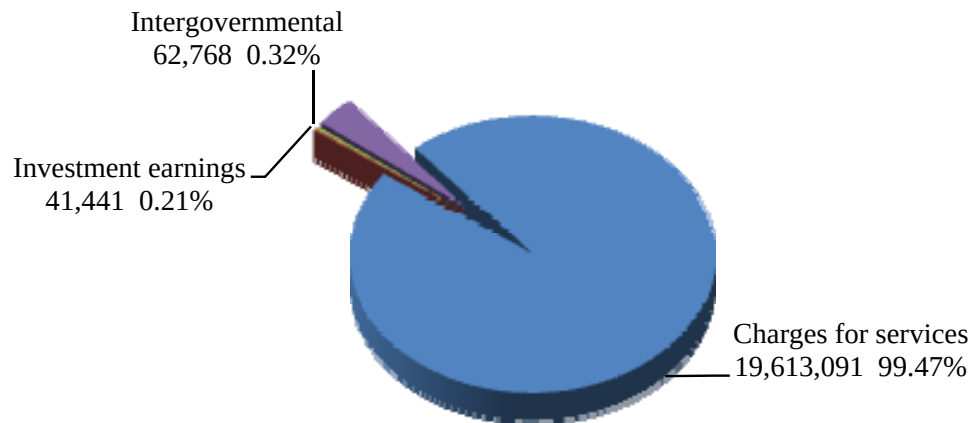
Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

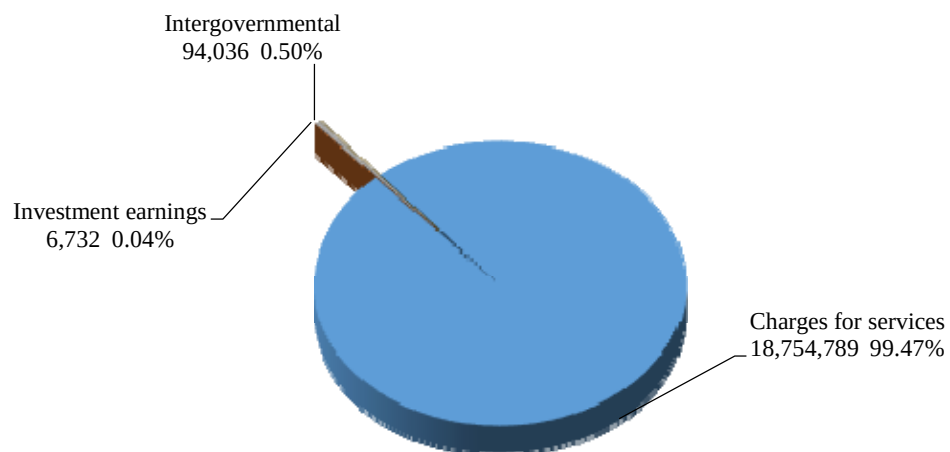
Business-type Activities, Continued

The revenues by source for the business-type activities for the fiscal years ended June 30, 2016, and 2015, are as follows:

Revenues by Source - Business-type Activities
2016



Revenues by Source - Business-type Activities
2015



City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

Financial Analysis of the Government's Funds

The City of Atwater uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. The fund financial statements focus on individual parts of the City government, reporting the City's operations in more detail than the government-wide financial statements.

Governmental Funds. The City's governmental funds provide information on near-term inflows, outflows, and balances of spending resources. At the fiscal year ended June 30, 2016, the City's governmental funds reported combined fund balances of \$8,486,089. This represents an increase of \$1,473,629 or 21% from the prior fiscal year. The increase is due mainly to increased revenue from taxes, assessments and charges for services.

The General Fund is the chief operating fund of the City. At the fiscal year ended June 30, 2016, General Fund ending fund balance totaled a \$2,837,357 deficit. The deficit improved by \$762,399 from the prior fiscal year as the City continued to recover from the recent economic downturn.

Special Revenue Funds. The City's special revenue funds include the Measure H major fund, gas tax funds, grant funds, facility impact fee funds, maintenance districts and other nonmajor funds. As of June 30, 2016, the special revenue funds had a combined fund balance of \$11,221,641.

Capital Projects Funds. The City's capital projects funds consist of the general and performance bond nonmajor funds. As of June 30, 2016, the capital project funds had a combined fund balance of \$101,805.

Proprietary Funds. The City maintains two different types of proprietary funds. *Enterprise funds* are used to report the same functions presented as *business-type activities* in the government-wide financial statement. The City uses enterprise funds to account for its water, sewer and sanitation operations. *Internal service fund* is an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses the internal service fund to account for its building and equipment maintenances, as well as employee benefits fund. The City's proprietary funds net position increased by \$3,865,829 for enterprise funds and \$60,944 for internal service funds in the fiscal year ended June 30, 2016. For the enterprise funds, this was due mainly to increased revenue in the water, sewer and sanitation funds from approved utility rate adjustments.

Fiduciary Funds. Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are *not* available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

General Fund Budgetary Highlights

General Fund actual revenues totaled \$11.7 million which was 101.9 percent of the amended budget estimate. General Fund expenditures totaled \$12.3 million or 98.3 percent of the approved amended budget. The General Fund fund balance deficit decreased by \$762,399 during the fiscal year ended June 30, 2016 from a negative \$3,599,756 to a negative \$2,837,357.

Capital Assets

The City's investment in capital assets for its governmental and business-type activities as of June 30, 2016, amount to \$110,872,420. This investment in capital assets includes land, construction in progress, costs for buildings and improvements, infrastructure, equipment, and roads.

	Governmental Activities		Business-type Activities		Totals	
	2016	2015	2016	2015	2016	2015
Land	\$ 323,223	\$ 323,223	\$ 764,902	\$ 764,902	\$ 1,088,125	\$ 1,088,125
Construction in progress	1,546,013	369,998	73,037,872	72,517,871	74,583,885	72,887,869
Buildings and improvements	6,956,214	7,504,997	11,141,983	12,189,473	18,098,197	19,694,470
Infrastructure	854,268	898,699	-	-	854,268	898,699
Roads	10,748,464	11,980,348	-	-	10,748,464	11,980,348
Equipment	2,304,606	1,856,717	3,194,875	3,591,973	5,499,481	5,448,690
Total	<u>\$ 22,732,788</u>	<u>\$ 22,933,982</u>	<u>\$ 88,139,632</u>	<u>\$ 89,064,219</u>	<u>\$ 110,872,420</u>	<u>\$ 111,998,201</u>

The June 30, 2016 balance reflects a reduction of \$1,125,781 from the prior year. This reduction is mainly the result of reduced cost in Buildings and improvements, infrastructure, and Roads.

More detail of the capital assets and current activity can be found in the notes to the financial statements on pages 54 for significant accounting policies and Note 4 on pages 65 and 66 for other capital asset information.

City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

Management's Discussion and Analysis, continued

GOVERNMENT-WIDE FINANCIAL ANALYSIS, Continued

Economic Outlook

The City of Atwater is located in central California in Merced County. While this area was severely impacted by the recent economic downturn, the City has seen a recent increase in economic activity with increases in property and sales tax revenue and an increased interest in development activity. The local job market remains slow with unemployment in Atwater still high at 11.9 percent compared to the County-wide unemployment rate of 10.8 percent (December 2016 figures). Over the past several years, the City implemented a number of difficult cost saving and revenue measures which has stabilized the City's financial situation. The adopted budget for Fiscal Year 2016-17 is a balanced budget with sufficient revenues anticipated to be available to fund the current level of reduced operating costs. The City Council has taken action to provide for the future stability of the City's water and sanitation systems by approving an orderly series of rate adjustments to ensure that funding is available to continue to provide quality utility service to the citizens and business of this community. The citizens of the City of Atwater, in 2013, approved a sales tax measure, Measure H, which is providing much needed funding for enhanced public safety costs.

Requests for Information

This Annual Financial Report is intended to provide citizens, taxpayers, investors, and creditors with a general overview of the City's finances. If you have any questions about this report, need additional financial information, or would like to obtain component unit financial statements, contact the City of Atwater Finance Department, 750 Bellevue Road, Atwater, CA 95301, or visit the City's web page at www.atwater.org.

BASIC FINANCIAL STATEMENTS

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City of Atwater, California

Statement of Net Position

June 30, 2016

	Governmental Activities	Business-type Activities	Total
ASSETS			
Current assets:			
Cash and investments	\$ 9,440,922	\$ 8,776,158	\$ 18,217,080
Restricted cash and investments	-	5,806,604	5,806,604
Receivables:			
Accounts	2,174,728	1,393,982	3,568,710
Internal balances	(3,775,553)	3,775,553	-
Prepaid items	89,170	148,046	237,216
Total current assets	7,929,267	19,900,343	27,829,610
Noncurrent assets:			
Advances to Fiduciary Activities/Successor Agency	259,265	-	259,265
Investment in land held for resale	3,855,930	-	3,855,930
Capital assets:			
Nondepreciable	1,869,236	73,802,774	75,672,010
Depreciable	20,863,552	14,336,858	35,200,410
Total noncurrent assets	26,847,983	88,139,632	114,987,615
Total assets	34,777,250	108,039,975	142,817,225
DEFERRED OUTFLOWS OF RESOURCES			
Pension plan	4,683,163	-	4,683,163
Total assets and deferred outflows	\$ 39,460,413	\$ 108,039,975	\$ 147,500,388
LIABILITIES			
Current liabilities:			
Accounts payable and accrued liabilities	\$ 1,368,238	\$ 847,038	\$ 2,215,276
Interest payable	-	661,664	661,664
Deposits payable	153,673	336,823	490,496
Compensated absences - current portion	55,285	9,194	64,479
Other liabilities	69,162	-	69,162
Due within one year	120,354	1,306,132	1,426,486
Total current liabilities	1,766,712	3,160,851	4,927,563
Noncurrent liabilities:			
Long-term liabilities:			
Compensated absences	828,758	93,585	922,343
Due after one year	555,040	76,645,048	77,200,088
Net pension obligation	22,457,460	-	22,457,460
Net OPEB obligation	6,846,851	-	6,846,851
Total noncurrent liabilities	30,688,109	76,738,633	107,426,742
Total liabilities	32,454,821	79,899,484	112,354,305
DEFERRED INFLOWS OF RESOURCES			
Unavailable revenue	22,636	-	22,636
Pension plan	5,484,758	-	5,484,758
Total deferred inflows of resources	5,507,394	-	5,507,394
NET POSITION			
Net investment in capital assets	22,732,788	11,494,584	34,227,372
Restricted	4,748,643	5,806,604	10,555,247
Unrestricted (deficit)	(25,983,233)	10,839,303	(15,143,930)
Total net position	1,498,198	28,140,491	29,638,689
Total liabilities, deferred inflows and net position	\$ 39,460,413	\$ 108,039,975	\$ 147,500,388

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California
Statement of Activities
For the year ended June 30, 2016

Functions/Programs	Expenses	Program Revenues		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Primary government:				
Governmental activities:				
General government	\$ 2,865,859	\$ 1,303,170	\$ 143,217	\$ -
Public safety	9,853,739	191,589	1,022,189	-
Highways and Streets	3,278,459	656,941	1,288,908	221,754
Urban redevelopment and housing	231,690	-	-	4,032
Community services	598,596	282,046	175,727	-
Interest and fiscal charges	48,839	-	-	-
Total governmental activities	16,877,182	2,433,746	2,630,041	225,786
Business-type activities:				
Water	3,441,999	4,407,935	62,768	-
Sewer	9,458,990	11,470,663	-	-
Sanitation	2,807,961	3,734,493	-	-
Total business-type activities	15,708,950	19,613,091	62,768	-
Total primary government	\$ 32,586,132	\$ 22,046,837	\$ 2,692,809	\$ 225,786

General revenues:

Taxes:

Property taxes, levied for general purposes

Transient occupancy tax

Sales taxes

Franchise fees

Other taxes

Intergovernmental

Use of money and property

Total general revenues

Transfer to Successor Agency

Transfers

Total general revenues and transfers

Change in net position

Net position:

Beginning of year

End of year

The accompanying notes are an integral part of these basic financial statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Totals
\$ (1,419,472)	\$ -	\$ (1,419,472)
(8,639,961)	-	(8,639,961)
(1,110,856)	-	(1,110,856)
(227,658)	-	(227,658)
(140,823)	-	(140,823)
(48,839)	-	(48,839)
(11,587,609)	-	(11,587,609)
-	1,028,704	1,028,704
-	2,011,673	2,011,673
-	926,532	926,532
-	3,966,909	3,966,909
\$ (11,587,609)	\$ 3,966,909	\$ (7,620,700)

4,583,210	-	4,583,210
41,996	-	41,996
4,250,054	-	4,250,054
761,291	-	761,291
1,132,329	-	1,132,329
215,343	-	215,343
311,002	41,441	352,443
11,295,225	41,441	11,336,666
51,323	-	51,323
142,521	(142,521)	-
11,489,069	(101,080)	11,387,989
(98,540)	3,865,829	3,767,289
1,596,738	24,274,662	25,871,400
\$ 1,498,198	\$ 28,140,491	\$ 29,638,689

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FUND FINANCIAL STATEMENTS
MAJOR FUNDS

Fund	Description
Governmental Funds:	Governmental funds are used for taxes and grants.
General	Primary operating fund of the City; accounts for all activities except those legally or administratively required to be accounted for in other funds.
Measure H Special Revenue Fund	Accounts for Measure H, a voter approved sales tax measure, to provide enhanced public safety costs.

City of Atwater, California
Balance Sheet
Governmental Funds
June 30, 2016

	Major Funds		Nonmajor	
	General	Measure H	Governmental	
	Fund	Special Revenue	Funds	Totals
ASSETS				
Cash and investments	\$ -	\$ 341,527	\$ 7,099,259	\$ 7,440,786
Receivables:				
Taxes	289,816	-	12,104	301,920
Interest	86	391	2,988	3,465
Intergovernmental	-	-	441,895	441,895
Other receivable	1,137,900	263,900	2,645	1,404,445
Prepaid items	25,368	-	-	25,368
Due from other funds	-	-	400,785	400,785
Advance to Successor Agency Private Purpose Trust	-	-	259,265	259,265
Investment in land held for resale	-	-	3,855,930	3,855,930
Total assets	\$ 1,453,170	\$ 605,818	\$ 12,074,871	\$ 14,133,859
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	\$ 1,086,367	\$ 23,606	\$ 115,988	\$ 1,225,961
Due to other funds	3,092,991	-	1,083,347	4,176,338
Deposits payable	42,007	-	111,666	153,673
Other liabilities	69,162	-	-	69,162
Total liabilities	4,290,527	23,606	1,311,001	5,625,134
Deferred inflows of resources:				
Unavailable revenue	-	-	22,636	22,636
Total deferred inflows of resources:	-	-	22,636	22,636
Total Liabilities and deferred inflows	4,290,527	23,606	1,333,637	5,647,770
Fund balances (Deficit):				
Nonspendable		-		
Prepaid items	25,368	-	-	25,368
Investment in land held for resale	-	-	3,855,930	3,855,930
Restricted	-	-	4,748,643	4,748,643
Assigned	-	582,212	3,083,393	3,665,605
Unassigned (deficit)	(2,862,725)	-	(946,732)	(3,809,457)
Total fund balances (deficit)	(2,837,357)	582,212	10,741,234	8,486,089
balances	\$ 1,453,170	\$ 605,818	\$ 12,074,871	\$ 14,133,859

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California
Reconciliation of the Governmental Funds Balance Sheet
to the Statement of Net Position
June 30, 2016

Total fund balances reported on the governmental funds balance sheet	\$ 8,486,089
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not current financial resources and, therefore, are not reported in the governmental funds balance	21,593,006
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Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the governmental funds balance sheet.

Compensated absences	\$ (868,238)	
Capital leases	(675,394)	
Net Pension obligation	(22,457,460)	
Net OPEB obligation	<u>(6,846,851)</u>	(30,847,943)

Deferred outflows of resources represent pension plan contribution expense for the current year that will be reported in the following fiscal year as pension expense. The contributions are reported as expenditures of current financial resources in the governmental funds.	4,683,163
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Unearned revenue is reported in the governmental funds on the modified accrual basis and is recognized as revenue on the accrual basis in the government-wide statements.	(5,484,758)
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Internal services funds are used by management to charge the costs of certain activities, such as information technology, to individual funds. The assets and liabilities of the internal service funds are:

Current assets	2,086,941	
Noncurrent assets	1,139,782	
Accounts payable and accrued liabilities	(143,599)	
Noncurrent liabilities	<u>(14,483)</u>	3,068,641
Net Position of governmental activities		<u><u>\$ 1,498,198</u></u>

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California

Reconciliation of Fund Basis Balance Sheet to Government-wide Statement of Net Position

Governmental Activities

June 30, 2016

	Governmental Funds Balance Sheet	Reclassifications	Changes in GAAP	Internal Services Balances	Statement of Net Position
ASSETS					
Current assets:					
Cash and investments	\$ 7,440,786	\$ -	\$ -	\$ 2,000,136	\$ 9,440,922
Receivables:					
Taxes	301,920	-	-	-	301,920
Interest	3,465	-	-	693	4,158
Intergovernmental	441,895	-	-	-	441,895
Loans/Notes receivable	-	-	-	-	-
Other receivable	1,404,445	-	-	22,310	1,426,755
Due from other funds	400,785	(400,785)	-	-	-
Internal balances	-	(3,775,553)	-	-	(3,775,553)
Prepaid items	25,368	-	-	63,802	89,170
Total current assets	10,018,664	(4,176,338)	-	2,086,941	7,929,267
Noncurrent assets:					
Advances to Fiduciary Activities/Successor Agency	259,265	-	-	-	259,265
Investment in land held for resale	3,855,930	-	-	-	3,855,930
Capital assets, net	-	-	21,593,006	1,139,782	22,732,788
Total noncurrent assets	4,115,195	-	21,593,006	1,139,782	26,847,983
Total assets	14,133,859	(4,176,338)	21,593,006	3,226,723	34,777,250
DEFERRED OUTFLOWS OF RESOURCES					
Pension plan	-	-	4,683,163	-	4,683,163
Total assets and deferred outflows of resources	\$ 14,133,859	\$ (4,176,338)	\$ 26,276,169	\$ 3,226,723	\$ 39,460,413
LIABILITIES AND DEFERRED INFLOWS OF RESOURCES					
Current liabilities:					
Accounts payable and accrued liabilities	\$ 1,225,961	\$ -	\$ -	\$ 142,277	\$ 1,368,238
Due to other funds	4,176,338	(4,176,338)	-	-	-
Deposits payable	153,673	-	-	-	153,673
Due within one year - capital leases	-	-	120,354	-	120,354
Compensated absences - current portion	-	-	53,963	1,322	55,285
Other liabilities	69,162	-	-	-	69,162
Total current liabilities	5,625,134	(4,176,338)	174,317	143,599	1,766,712
Noncurrent liabilities:					
Long-term liabilities:					
Compensated absences	-	-	814,275	14,483	828,758
Due after one year - capital leases	-	-	555,040	-	555,040
Net Pension obligation	-	-	22,457,460	-	22,457,460
Net OPEB obligation	-	-	6,846,851	-	6,846,851
Total noncurrent liabilities	-	-	30,673,626	14,483	30,688,109
Total liabilities	5,625,134	(4,176,338)	30,847,943	158,082	32,454,821
Deferred inflows	22,636	-	5,484,758	-	5,507,394
Total liabilities and deferred inflows	5,647,770	(4,176,338)	36,332,701	158,082	37,962,215
FUND BALANCES/NET POSITION					
Fund balances:					
Nonspendable	3,881,298	(3,881,298)	-	-	-
Restricted	4,748,643	(4,748,643)	-	-	-
Assigned	3,665,605	(3,665,605)	-	-	-
Unassigned (deficit)	(3,809,457)	3,809,457	-	-	-
Net position:					
Net investment in capital assets	-	-	21,593,006	1,139,782	22,732,788
Restricted	-	-	4,748,643	-	4,748,643
Unrestricted	-	8,486,089	(36,398,181)	1,928,859	(25,983,233)
Total fund balances/net position	8,486,089	-	(10,056,532)	3,068,641	1,498,198
Total liabilities, deferred inflows and net position	\$ 14,133,859	\$ (4,176,338)	\$ 26,276,169	\$ 3,226,723	\$ 39,460,413

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the year ended June 30, 2016

	Major Funds		Other	
	General Fund	Measure H Special Revenue	Governmental Funds	Totals
REVENUES:				
Taxes and assessments	\$ 5,798,248	\$ 1,762,206	\$ 876,975	\$ 8,437,429
Licenses and permits	439,673	-	-	439,673
Fines and forfeitures	44,636	-	-	44,636
Intergovernmental	2,849,651	-	2,106,913	4,956,564
Use of money and property	232,639	1,428	77,512	311,579
Charges for services	1,729,288	-	-	1,729,288
Reimbursements	549,132	-	4,754	553,886
Other revenues	110,935	-	808	111,743
Total revenues	11,754,202	1,763,634	3,066,962	16,584,798
EXPENDITURES:				
Current:				
General government	2,776,267	-	34,263	2,810,530
Public safety	7,892,607	714,175	511,294	9,118,076
Highways and Streets	1,014,788	-	959,424	1,974,212
Urban redevelopment and housing	-	-	231,690	231,690
Community services	598,596	-	-	598,596
Capital outlay	-	-	405,510	405,510
Debt service:				
Principal	-	117,560	-	117,560
Interest and fiscal charges	-	48,839	-	48,839
Total expenditures	12,282,258	880,574	2,142,181	15,305,013
REVENUES OVER (UNDER) EXPENDITURES	(528,056)	883,060	924,781	1,279,785
OTHER FINANCING SOURCES (USES):				
Transfers from Successor Agency	51,323	-	-	51,323
Transfers in	1,268,131	-	178,387	1,446,518
Transfers out	(28,999)	(1,170,706)	(104,292)	(1,303,997)
Total other financing sources (uses)	1,290,455	(1,170,706)	74,095	193,844
Net change in fund balances	762,399	(287,646)	998,876	1,473,629
FUND BALANCES (Deficit):				
Beginning of year	(3,599,756)	869,858	9,742,358	7,012,460
End of year	<u>\$ (2,837,357)</u>	<u>\$ 582,212</u>	<u>\$ 10,741,234</u>	<u>\$ 8,486,089</u>

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California

Reconciliation of Fund Basis Statements to Government-wide Statement of Activities

For the year ended June 30, 2016

Functions/Programs	Fund Based Totals	Compensated	Internal Service	Depreciation	Capital	OPEB Obligation	GASB 68 Pension	Government-
		Absences/			Asset			wide
		Debt Service			(Additions)/ Retirements			
								Totals
Governmental activities:								
General government	\$ 2,810,530	\$ 91,393	\$ (44,369)	\$ 571,227	\$ (1,447,454)	\$ 884,532	\$ -	\$ 2,865,859
Public safety	9,118,076	-	-	178,684	-	-	556,979	9,853,739
Highways and Streets	1,974,212	-	-	1,304,247	-	-	-	3,278,459
Urban redevelopment and housing	231,690	-	-	-	-	-	-	231,690
Parks and recreation	598,596	-	-	-	-	-	-	598,596
Capital outlay	405,510	-	-	-	(405,510)	-	-	-
Debt service/Interest	166,399	(117,560)	-	-	-	-	-	48,839
Total governmental activities	\$ 15,305,013	\$ (26,167)	\$ (44,369)	\$ 2,054,158	\$ (1,852,964)	\$ 884,532	\$ 556,979	\$ 16,877,182

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities For the year ended June 30, 2016

Net change in fund balances - total governmental funds	\$	1,473,629
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Amounts reported for governmental activities in the Statement of Activities are different because:

Governmental funds report capital outlays as expenditures while governmental activities report depreciation expense to allocate those expenditures over the life of the

Capital asset purchases capitalized	\$	1,852,964	
Depreciation expense		<u>(2,054,158)</u>	(201,194)

Some receivables are deferred in the governmental funds because the amounts do not represent current financial resources that are recognized under the accrual basis in the Statement of Activities.

Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position:

Debt principal payments			117,560
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Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:

Change in compensated absences		<u>(91,393)</u>	(91,393)
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Certain employee benefit obligations are recorded on a pay-as-you-go basis in the governmental funds, but are accrued as liabilities in the Statement of Net Position:

Net Pension obligation			(556,979)
Net OPEB obligation			(884,532)

Internal services funds are used by management to charge the costs of certain activities, such as building maintenance, to individual funds. The change in Net Position of the Internal Service Funds of \$60,944 are included in the governmental activities in the government-wide Statement of Net Position plus amounts due to the change in net investment in capital assets of \$16,575 reported above for capital assets.

(16,575)		
60,944		44,369

Change in Net Position of governmental activities

<u><u>\$</u></u>	<u><u>(98,540)</u></u>
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The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California

Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual - General Fund and Measure H Special Revenue Fund For the year ended June 30, 2016

	General Fund			Variance w/Final
	Budgeted Amounts			Positive
	Original	Final	Actual	(Negative)
REVENUES:				
Taxes and assessments	\$ 7,075,436	\$ 5,746,405	\$ 5,798,248	\$ 51,843
Licenses and permits	173,300	337,850	439,673	101,823
Fines and forfeitures	49,000	49,000	44,636	(4,364)
Intergovernmental	458,250	2,478,460	2,849,651	371,191
Use of money and property	242,914	226,076	232,639	6,563
Charges for services	1,842,648	1,807,236	1,729,288	(77,948)
Reimbursements	816,000	786,000	549,132	(236,868)
Other revenues	94,000	96,800	110,935	14,135
Total revenues	10,751,548	11,527,827	11,754,202	226,375
EXPENDITURES:				
Current:				
General government	2,047,154	2,828,389	2,776,267	52,122
Public safety	7,640,165	7,800,094	7,892,607	(92,513)
Highways and Streets	1,270,173	1,254,961	1,014,788	240,173
Community services	623,626	611,630	598,596	13,034
Capital outlay	9,882	-	-	-
Debt service:				
Principal	-	-	-	-
Interest and fiscal charges	-	-	-	-
Total expenditures	11,591,000	12,495,074	12,282,258	212,816
REVENUES OVER (UNDER) EXPENDITURES	(839,452)	(967,247)	(528,056)	439,191
OTHER FINANCING SOURCES (USES):				
Transfers from Successor Agency	-	-	51,323	51,323
Transfers in	902,375	1,281,080	1,268,131	(12,949)
Transfers out	(50,000)	-	(28,999)	(28,999)
Total other financing sources (uses)	852,375	1,281,080	1,290,455	9,375
Net change in fund balances	12,923	313,833	762,399	448,566
FUND BALANCES (Deficit):				
Beginning of year	(3,599,756)	(3,599,756)	(3,599,756)	-
End of year	\$ (3,586,833)	\$ (3,285,923)	\$ (2,837,357)	\$ 448,566

The accompanying notes are an integral part of these basic financial statements.

Measure H Special Revenue Fund			
Budgeted Amounts		Actual	Variance w/Final
Original	Final		Positive (Negative)
\$ 1,250,000	\$ 1,640,352	\$ 1,762,206	\$ 121,854
-	-	-	-
-	-	-	-
-	-	-	-
2,500	2,500	1,428	(1,072)
-	-	-	-
-	-	-	-
-	-	-	-
1,252,500	1,642,852	1,763,634	120,782
-	-	-	-
449,242	1,038,740	714,175	324,565
-	-	-	-
-	-	-	-
-	-	-	-
130,000	166,400	117,560	48,840
-	-	48,839	(48,839)
579,242	1,205,140	880,574	324,566
673,258	437,712	883,060	445,348
-	-	-	-
-	-	-	-
(731,657)	(1,170,706)	(1,170,706)	-
(731,657)	(1,170,706)	(1,170,706)	-
(58,399)	(732,994)	(287,646)	445,348
869,858	869,858	869,858	-
\$ 811,459	\$ 136,864	\$ 582,212	\$ 445,348

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ENTERPRISE FUNDS

Fund	Description
Major Funds:	
Water Fund	Accounts for the operation and maintenance of the City's water treatment and distribution system.
Sewer Fund	Accounts for the operation and maintenance of the City's wastewater treatment plant and collection facilities.
Sanitation Fund	Accounts for all activities associated with the operation and maintenance of providing solid waste services.

City of Atwater, California
Statement of Net Position
Proprietary Funds
June 30, 2016

	<u>Water</u>	<u>Sewer</u>
ASSETS		
Current assets:		
Cash and investments	\$ 2,078,982	\$ 5,679,131
Restricted cash and investments	-	5,806,604
Receivables:		
Accounts	322,913	795,259
Interest	3,037	2,097
Due from other funds	-	7,421,128
Prepaid expenses	-	148,046
Total current assets	<u>2,404,932</u>	<u>19,852,265</u>
Noncurrent assets:		
Capital assets, net	<u>5,771,633</u>	<u>82,234,757</u>
Total noncurrent assets	<u>5,771,633</u>	<u>82,234,757</u>
Total Assets	<u><u>\$ 8,176,565</u></u>	<u><u>\$ 102,087,022</u></u>
LIABILITIES AND NET POSITION		
Current liabilities:		
Accounts payable	\$ 237,203	\$ 366,610
Accrued payroll	28,060	13,708
Due to other funds	347,378	-
Interest payable	-	661,664
Deposits payable	275,818	61,005
Compensated absences - current portion	6,639	2,301
Due within one year	-	1,306,132
Total current liabilities	<u>895,098</u>	<u>2,411,420</u>
Noncurrent liabilities:		
Compensated absences	84,316	9,269
Due after one year	-	76,645,048
Total noncurrent liabilities	<u>84,316</u>	<u>76,654,317</u>
Total liabilities	<u>979,414</u>	<u>79,065,737</u>
Net Position:		
Net investment in capital assets	5,771,633	5,589,709
Restricted	-	5,806,604
Unrestricted (Deficit)	<u>1,425,518</u>	<u>11,624,972</u>
Total net position	<u>7,197,151</u>	<u>23,021,285</u>
Total liabilities and net position	<u><u>\$ 8,176,565</u></u>	<u><u>\$ 102,087,022</u></u>

The accompanying notes are an integral part of these basic financial statements.

<u>Sanitation</u>	<u>Totals</u>	<u>Governmental Activities</u>	
		<u>Internal Service Funds</u>	
\$ 1,018,045	\$ 8,776,158	\$ 2,000,136	
	5,806,604	-	
270,289	1,388,461	22,310	
387	5,521	693	
-	7,421,128	-	
-	148,046	63,802	
<u>1,288,721</u>	<u>23,545,918</u>	<u>2,086,941</u>	
133,242	88,139,632	1,139,782	
<u>133,242</u>	<u>88,139,632</u>	<u>1,139,782</u>	
<u>\$ 1,421,963</u>	<u>\$ 111,685,550</u>	<u>\$ 3,226,723</u>	
\$ 199,053	\$ 802,866	\$ 135,157	
2,404	44,172	7,120	
3,298,197	3,645,575	-	
-	661,664	-	
-	336,823	-	
254	9,194	1,322	
-	1,306,132	-	
<u>3,499,908</u>	<u>6,806,426</u>	<u>143,599</u>	
-	93,585	14,483	
-	76,645,048	-	
-	76,738,633	14,483	
<u>3,499,908</u>	<u>83,545,059</u>	<u>158,082</u>	
133,242	11,494,584	1,139,782	
-	5,806,604	-	
<u>(2,211,187)</u>	<u>10,839,303</u>	<u>1,928,859</u>	
<u>(2,077,945)</u>	<u>28,140,491</u>	<u>3,068,641</u>	
<u>\$ 1,421,963</u>	<u>\$ 111,685,550</u>	<u>\$ 3,226,723</u>	

City of Atwater, California

Statement of Revenues, Expenses, and Changes in Fund Net Position

Proprietary Funds

For the year ended June 30, 2016

	Water	Sewer
OPERATING REVENUES:		
Charges for service	\$ 3,698,058	\$ 11,461,292
Interdepartmental charges	-	-
Other operating revenue	709,877	9,371
Total operating revenues	4,407,935	11,470,663
OPERATING EXPENSES:		
Salaries and benefits	925,030	472,880
Contractual services	164,089	2,035,212
Materials and supplies	122,490	108,654
Repairs and maintenance	-	-
Utilities	792,119	697,390
Insurance	-	-
Taxes and fees	-	-
Other operating costs	794,995	1,232,277
Depreciation	642,100	828,038
Total operating expenses	3,440,823	5,374,451
OPERATING INCOME (LOSS)	967,112	6,096,212
NONOPERATING REVENUES (EXPENSES):		
Intergovernmental revenues (expenses)	62,768	-
Interest revenue	12,317	29,124
Interest expense	(1,176)	(4,084,539)
Total non-operating revenues, net	73,909	(4,055,415)
NET INCOME BEFORE TRANSFERS	1,041,021	2,040,797
Transfers in	-	422
Transfers out	(142,943)	-
Total transfers	(142,943)	422
CHANGE IN NET POSITION	898,078	2,041,219
NET POSITION (DEFICIT):		
Beginning of year	6,299,073	20,980,066
End of year	<u>\$ 7,197,151</u>	<u>\$ 23,021,285</u>

The accompanying notes are an integral part of these basic financial statements.

Sanitation	Totals	Governmental Activities
		Internal Service Funds
\$ 3,734,437	\$ 18,893,787	\$ -
-	-	2,434,444
56	719,304	46,498
3,734,493	19,613,091	2,480,942
65,106	1,463,016	184,368
2,390,957	4,590,258	384,165
516	231,660	3,842
-	-	369,603
-	1,489,509	-
-	-	1,077,428
-	-	138,844
338,031	2,365,303	150,063
4,045	1,474,183	114,639
2,798,655	11,613,929	2,422,952
935,838	7,999,162	57,990
-	62,768	-
-	41,441	2,954
(9,306)	(4,095,021)	-
(9,306)	(3,990,812)	2,954
926,532	4,008,350	60,944
-	422	-
-	(142,943)	-
-	(142,521)	-
926,532	3,865,829	60,944
(3,004,477)	24,274,662	3,007,697
\$ (2,077,945)	\$ 28,140,491	\$ 3,068,641

City of Atwater, California
Statement of Cash Flows
Proprietary Funds
For the year ended June 30, 2016

	Water	Sewer
CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from customers/users for services provided	\$ 4,352,605	\$ 11,430,450
Cash received from interfund services provided	-	-
Cash payments to suppliers for goods and services	(1,761,842)	(4,771,460)
Cash payments to employees for services	(916,830)	(466,311)
Net cash provided by operating activities	1,673,933	6,192,679
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:		
Transfers received (paid)	(229,787)	532,524
Intergovernmental activities	62,768	-
Net cash used by noncapital financing activities	(167,019)	532,524
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:		
Acquisition and construction of capital assets	(306,011)	(224,157)
Proceeds from issuance of long-term debt	-	-
Principal paid on long term debt	-	(1,183,797)
Interest paid on long term debt	(1,176)	(4,093,294)
Net cash (used) by capital and related financing activities	(307,187)	(5,501,248)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Investment income received	9,792	27,225
Net cash provided by investing activities	9,792	27,225
Net increase (decrease) in cash and cash equivalents	1,209,519	1,251,180
CASH AND CASH EQUIVALENTS:		
Beginning of year	869,463	10,234,555
End of year	<u>\$ 2,078,982</u>	<u>\$ 11,485,735</u>
Presentation in Statement of Net Position:		
Cash and investments	\$ 2,078,982	\$ 5,679,131
Restricted cash and investments	-	5,806,604
	<u>\$ 2,078,982</u>	<u>\$ 11,485,735</u>
Reconciliation of income from operations to net cash provided by operating activities:		
Operating income (loss)	\$ 967,112	\$ 6,096,212
Adjustments to reconcile operating income to net cash provided by operating activities:		
Depreciation	642,100	828,038
(Increase) decrease in current assets:		
Accounts receivable	(55,330)	(40,213)
Prepaid expenses	-	(2,331)
Increase (decrease) in liabilities:		
Accounts payable	82,010	(691,151)
Accrued payroll	4,488	4,769
Deposits payable	29,841	(4,445)
Compensated absences	3,712	1,800
Net cash provided by operating activities	\$ 1,673,933	\$ 6,192,679

There were no noncash investing, capital, or financing activities affecting recognized assets and liabilities for the year ended June 30, 2016.

The accompanying notes are an integral part of these basic financial statements.

		Governmental Activities	
		Internal Service Funds	
Sanitation	Totals		
\$ 3,680,043	\$ 19,463,098	\$ -	
-	-	2,477,026	
(2,727,862)	(9,261,164)	(2,159,354)	
(64,667)	(1,447,808)	(183,971)	
887,514	8,754,126	133,701	
(549,699)	(246,962)	-	
-	62,768	-	
(549,699)	(184,194)	-	
(19,428)	(549,596)	(132,050)	
-	-	-	
-	(1,183,797)	-	
(9,306)	(4,103,776)	-	
(28,734)	(5,837,169)	(132,050)	
(352)	36,665	2,351	
(352)	36,665	2,351	
308,729	2,769,428	4,002	
709,316	11,813,334	1,996,134	
\$ 1,018,045	\$ 14,582,762	\$ 2,000,136	
\$ 1,018,045	\$ 8,776,158	\$ 2,000,136	
-	5,806,604	-	
\$ 1,018,045	\$ 14,582,762	\$ 2,000,136	
\$ 935,838	\$ 7,999,162	\$ 57,990	
4,045	1,474,183	114,639	
(54,450)	(149,993)	(3,916)	
-	(2,331)	(11,969)	
1,642	(607,499)	(23,440)	
820	10,077	(339)	
-	25,396	-	
(381)	5,131	736	
\$ 887,514	\$ 8,754,126	\$ 133,701	

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FIDUCIARY ACTIVITIES

Fund	Description
Private Purpose Trust Funds are used for resources held for other individuals and entities in a manner similar to private enterprise.	
Private Purpose Trust Fund	
Successor Agency - Former Atwater Community Development Agency	Accounts for funds collected and disbursed for the dissolution of the former Atwater Development Agency related to Administration and Retirement of enforceable obligations
Agency Funds	
Agency Funds account for assets held by the City in a purely custodial capacity.	
Section 125 Medical	Accounts for activity related to the City's Section 125 Medical Program administered by a third party.
Section 125 Dependent Care	Accounts for activity related to the City's Section 125 Dependent Care Program administered by a third party.
Community Facility District #1	Accounts for activity related to the CFD#1 debt issuance for which the City is not obligated to repay.

City of Atwater, California
Statement of Fiduciary Net Position
Fiduciary Activities
June 30, 2016

	Successor Agency Former Atwater Community Development Agency	Agency Funds
Current assets:		
Cash and investments	\$ 128,151	\$ 74,225
Cash and investments with trustee/fiscal agent	1,621,282	-
Accounts receivable	10,576	-
Interest receivable	84	25
Assessments receivable	-	2,373
Loans/notes receivable	111,437	-
Prepaid items	254	-
Due from other funds	-	-
Total current assets	<u>1,871,784</u>	<u>76,623</u>
Property, plant and equipment	1,155,151	-
Less accumulated depreciation	<u>(273,475)</u>	<u>-</u>
Property, plant, and equipment, net	<u>881,676</u>	<u>-</u>
Total assets	<u><u>\$ 2,753,460</u></u>	<u><u>\$ 76,623</u></u>
LIABILITIES AND NET POSITION		
Current liabilities:		
Accounts payable and accrued liabilities	\$ 200,259	\$ -
Due to others	-	76,623
Due within one year	624,259	-
Total current liabilities	<u>824,518</u>	<u>76,623</u>
Long-term liabilities:		
Advance from governmental funds/activities	259,265	-
Due after one year	7,381,055	-
Total long-term liabilities	<u>7,640,320</u>	<u>-</u>
Total liabilities	<u>8,464,838</u>	<u><u>\$ 76,623</u></u>
Net Position (Deficit):		
Net investment in capital assets	(7,123,638)	
Net position held in trust for		
Redevelopment Dissolution	1,412,260	
Total Net Position (deficit)	<u>(5,711,378)</u>	
Total liabilities and net position	<u><u>\$ 2,753,460</u></u>	

The accompanying notes are an integral part of these basic financial statements.

City of Atwater, California
Statement of Changes in Fiduciary Net Position
Private Purpose Trust Funds
For the year ended June 30, 2016

	Successor Agency
	Former Atwater Community Development Agency
ADDITIONS:	
Property taxes	\$ 1,315,333
Investment income	16,708
Other additions	2,242
Total operating revenues	1,334,283
DEDUCTIONS:	
Urban redevelopment and housing	1,676,017
Interest and trustee fees	410,696
Depreciation and amortization	7,741
Transfer to City of Atwater	51,323
Total operating expenses	2,145,777
CHANGE IN FIDUCIARY NET POSITION	(811,494)
NET POSITION (DEFICIT):	
Beginning of year	(4,899,884)
End of year	\$ (5,711,378)

The accompanying notes are an integral part of these basic financial statements.

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NOTES TO BASIC FINANCIAL STATEMENTS

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City of Atwater, California
Basic Financial Statements
For the year ended June 30, 2016

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City of Atwater, California
Notes to Basic Financial Statements
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The City of Atwater (City) was incorporated in 1922, under the laws and regulations of the State of California (State). The City operates under a City Council/Manager form of government and provides the following services: public safety (Police), highways and streets, solid waste, storm water utility, public improvements, planning and zoning, and general administration.

The financial statements of the City have been prepared in accordance with accounting principles generally accepted in the United States of America (GAAP) as applied to governmental units. The Governmental Accounting Standards Board (GASB) is the standard-setting body for governmental accounting and financial reporting. On June 15, 1987, GASB issued a codification of the existing Governmental Accounting and Financial Reporting Standards which, along with subsequent GASB pronouncements (Statements and Interpretations), constitutes GAAP for governmental units. The City applies all GASB pronouncements to its activities.

Financial Reporting Entity

The City operates as a self-governing local government unit within the State. It has limited authority to levy taxes and has the authority to determine user fees for the services that it provides. The City's main funding sources include sales taxes, other intergovernmental revenue from state and federal sources, user fees, and federal and state financial assistance.

The financial reporting entity consists of (a) the primary government, the City, (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the primary government is not accountable, but for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete. Financial accountability is defined as the appointment of a voting majority of the component unit's board, and either (a) the City has the ability to impose its will on the organization, or (b) there is a potential for the organization to provide a financial benefit to or impose a financial burden on the City.

As required by GAAP, these financial statements present the government and its component units, entities for which the government is considered to be financially accountable. These component units are reported on a blended basis. Blended component units, although legally separate entities, are, in substance, part of the government's operations and so data from these units are combined with data of the primary government. The financial statements of the individual component units, if applicable as indicated below, may be obtained by writing to the City of Atwater, Finance Department, 750 Bellevue Road, Atwater, CA 95301.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Basis of Presentation

Government-Wide Financial Statements

The statement of net position and statement of activities display information about the reporting government as a whole. They include all funds of the reporting entity except for fiduciary funds. The statements distinguish between governmental and business-type activities. Governmental activities generally are financed through taxes, intergovernmental revenues, and other nonexchange revenues.

Amounts reported as *program revenues* include 1) charges to customers or applicants for goods, services, or privileges provided by a given function or segment, 2) operating grants and contributions, and 3) capital grants and contributions restricted to the operating or capital requirements of a specific function or segment. All taxes and internally dedicated resources are reported as *general revenues* rather than program revenues.

Fund Financial Statements

Fund financial statements of the reporting entity are organized into funds, each of which is considered to be a separate accounting entity. Each fund is accounted for by providing a separate set of self-balancing accounts, which constitute its assets, liabilities, fund equity, revenues, and expenditures/expenses. Funds are organized into three major categories: governmental, proprietary, and fiduciary. An emphasis is placed on major funds within the governmental and proprietary categories. A fund is considered major if it is the primary operating fund of the City or meets the following criteria:

- a. Total assets, liabilities, revenues, or expenditures/expenses of that individual governmental fund are at least ten percent of the corresponding total for all funds of that category or type; and
- b. Total assets, liabilities, revenues, or expenditures/expenses of the individual governmental fund are at least five percent of the corresponding total for all governmental funds combined.

The City reports the following major funds:

GOVERNMENTAL FUNDS:

- General Fund
- Measure H Special Revenue

PROPRIETARY FUNDS:

- Water Enterprise Fund
- Sewer Enterprise Fund
- Sanitation Enterprise Fund

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Basis of Presentation, Continued

Descriptions of these funds are included on the divider page preceding the Governmental and Enterprise Funds Balance Sheets.

The funds of the financial reporting entity are described below:

Governmental Funds

General Fund

The General Fund is used to account for resources traditionally associated with the City which are not required legally or by sound financial management to be accounted for in another fund. From this fund are paid the City's general operating expenditures, the fixed charges, and the capital costs that are not paid through other funds.

Special Revenue Funds

The Special Revenue Funds are used to account for specific revenues that are legally or otherwise restricted to expenditures for particular purposes.

Capital Project Funds

The Capital Project Funds are used to account for financial resources used for the acquisition or construction of major capital facilities other than those financed by proprietary funds.

Proprietary Funds

Enterprise Funds

Enterprise Funds are used to account for operations that are financed and operated in a manner similar to private business enterprises. Costs are financed or recovered primarily through user charges.

Internal Service Funds

Internal Service Funds are used to account for financial transactions related to the City's Insurance, Building Maintenance and Information Technology activities. These services are provided to other departments or agencies of the City on a cost reimbursement basis.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Fiduciary Funds

Private Purpose Trust Funds

Private Purpose Trust Funds account for resources held for other individuals or entities in a manner similar to private enterprise.

Agency Funds

Agency Funds account for assets held by the City in a purely custodial capacity. Since agency funds are custodial in nature, they do not involve the measurement of results of operations and are not presented in the government-wide financial statements.

Measurement Focus

Measurement focus is a term used to describe which transactions are recorded within the various financial statements.

On the government-wide Statement of Net position and the Statement of Activities, governmental and business-type activities are presented using the economic resources measurement focus. The accounting objectives of this measurement focus are the determination of net income, financial position, and cash flows. All assets and liabilities (whether current or noncurrent) associated with their activities are reported. Fund equity is classified as Net position, which serves as an indicator of financial position.

In the fund financial statements, the “current financial resources” measurement focus is used for governmental funds. Only current financial assets and liabilities are generally included on their balance sheets. Their operating statements present sources and uses of available spendable financial resources during a given period. These funds use fund balance as their measure of available spendable financial resources at the end of the period.

The enterprise funds and private purpose trust funds utilize an “economic resources” measurement focus. The accounting objectives of this measurement focus are the determination of net income, financial position, and cash flows. Enterprise fund and private purpose trust funds equity is classified as net position.

Agency funds are not involved in the measurement of results of operations; therefore, measurement focus is not applicable to them.

Basis of Accounting

In the government-wide Statement of Net position and Statement of Activities, governmental and business-type activities are presented using the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned and expenses are recorded when the liability is incurred or economic asset used. Revenues, expenses, gains, losses, assets, and liabilities resulting from exchange and exchange-like transactions are recognized when the exchange takes place.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Basis of Accounting, Continued

In the fund financial statements, governmental funds are presented on the modified accrual basis of accounting. Under this modified accrual basis of accounting, revenues are recognized when “measurable and available.” Measurable means knowing or being able to reasonably estimate the amount. Available means the amount is collectible within the current period or soon enough thereafter to pay current liabilities. The City considers all revenues reported in the governmental funds to be available if the revenues are collected within 60 days after year end, with the exception of grant revenues and Transportation Development Act (TDA) revenues. Grant revenues are considered to be available if collected within 180 days and TDA revenues are considered to be available if collected within 90 days of the end of the current fiscal period.

Property taxes, franchise taxes, licenses, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal year. All other revenue items are considered to be measurable and available only when cash is received by the government. Expenditures (including capital outlay) are recorded when the related fund liability is incurred.

The enterprise funds and agency funds utilize the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned and expenses are recorded when the liability is incurred or economic asset used. Operating revenues in the fund are those revenues that are generated from the primary operations of the fund. All other revenues are reported as non-operating revenues. Operating expenses are those expenses that are essential to the primary operations of the fund. All other expenses are reported as non-operating expenses.

Assets, Liabilities, and Equity

Cash Deposits and Investments

The City’s cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition.

The City pools cash and investments from all funds for the purpose of increasing income through investment activities. Highly liquid money market investments with maturities of one year or less at time of purchase are stated at amortized cost. All other investments are stated at fair value in accordance with GASB Statement No. 31, *Accounting and Financial Reporting for Certain Investments and for External Investment Pools*. Market value is used as fair value for those securities for which market quotations are readily available.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Assets, Liabilities, and Equity, Continued

Interfund Receivables and Payables

During the course of operations, numerous transactions occur between individual funds that may result in amounts owed between funds. Those related to goods and services type transactions are classified as “due to and from other funds.” Long-term interfund loans (noncurrent portion) are reported as “advances from and to other funds.” Interfund receivables and payables between funds within governmental activities are eliminated in the Statement of Net position. See Note 9 for details of interfund transactions, including receivables and payables at year-end.

Receivables

In the government-wide statements, receivables consist of all revenues earned at year-end and not yet received. Major receivable balances for the governmental activities include property taxes, sales and use taxes, utility user taxes, intergovernmental subventions, interest earnings, and expense reimbursements.

In the fund financial statements, material receivables in governmental funds include revenue accruals such as property tax, sales tax, utility user tax, and intergovernmental subventions since they are usually both measurable and available. Non-exchange transactions collectible but not available, such as property tax, are deferred in the fund financial statements in accordance with the modified accrual basis, but not deferred in the government-wide financial statements in accordance with the accrual basis.

Interest and investment earnings are recorded when earned only if paid within 60 days since they would be considered both measurable and available. The loans receivable are recorded in the fund statements, but are deferred to indicate they do not represent current financial resources. The loans are recognized when advanced in the government-wide statements. The City’s experience is that all accounts receivable are collectible; therefore an allowance for doubtful accounts is unnecessary.

Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements. In the governmental fund financial statements, prepaid items are offset with a reservation of fund balance for long-term assets to indicate they do not constitute current resources available for appropriation.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Assets, Liabilities, and Equity, Continued

Capital Assets

The City's assets are capitalized at historical cost or estimated historical cost, if actual is unavailable, except for donated Capital Assets which are recorded at their estimated fair value at the date of donation. Policy has set the capitalization threshold for reporting at \$5,000 for non-infrastructure capital assets and \$25,000 for infrastructure capital assets.

Government-Wide Statements

Public domain (infrastructure) capital assets include roads, bridges, curbs and gutters, streets, sidewalks, drainage systems, and lighting systems.

The accounting treatment of property, plant and equipment (capital assets) depends on whether the assets are used in governmental fund operations or proprietary fund operations and whether they are reported in the government-wide or fund financial statements.

Depreciation of all exhaustible capital assets is recorded as an allocated expense in the Statement of Activities, with accumulated depreciation reflected in the Statement of Net position. Depreciation is provided over the assets' estimated useful lives using the straight-line method of depreciation. No depreciation is recorded in the year of acquisition or in the year of disposition.

The range of estimated useful lives by type of asset is as follows:

Buildings and improvements	5 – 40 years	Landscaping	30 years
Roadway improvements	40 years	Signage	25 years
Sidewalks, curbs, and gutters	40 years	Leasehold improvements	5 years
Storm drain pipes/structures	40 years	Machinery and equipment	3 – 5 years
Traffic signal devices	5 – 40 years	Vehicles	3 years

Fund Financial Statements

In the fund financial statements, capital assets used in governmental fund operations are accounted for as capital outlay expenditures of the governmental fund upon acquisition. Capital assets used in proprietary fund operations are accounted for the same way as in the government-wide statements.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Deferred outflows/inflows of resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net position that applies to a future period(s) and so will *not* be recognized as an outflow of resources (expense/ expenditure) until then. The government only has one item that qualifies for reporting in this category. It is the deferred charge on refunding reported in the government-wide statement of net position. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net position that applies to a future period(s) and so will *not* be recognized as an inflow of resources (revenue) until that time. The government has only one type of item, which arises only under a modified accrual basis of accounting that qualifies for reporting in this category. Accordingly, the item, *unavailable revenue*, is reported only in the governmental funds balance sheet. The governmental funds report unavailable revenues from two sources: property taxes and special assessments. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available.

Compensated Absences

Employees accrue vacation, sick, holiday, and compensatory time off benefits. City employees have vested interests in the amount of accrued time off, with the exception of sick time, and are paid on termination. Also, annually an employee may elect to be compensated for 40 to 120 hours of unused annual leave depending upon their length of service. All vacation pay is accrued when incurred in the government-wide and proprietary financial statements. A liability for these amounts is reported in the governmental funds only if they have matured, for example, as a result of employee resignations or retirements and is currently payable. The City had no employee resignations or retirements for which compensated absences should be accrued in governmental funds at year-end. The general fund is typically used to liquidate compensated absences.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Local Government of Example's California Public Employees' Retirement System (CalPERS) plans (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Equity Classification

Government-Wide Statements

Equity is classified as net position and is displayed in three components:

- a. *Net investment in capital assets* – consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvement of those assets.
- b. *Restricted net position* – consists of net position with constraints placed on the use by external groups such as creditors, grantors, contributors, or bylaws or regulations of other governments or law through constitutional provisions or enabling legislation.
- c. *Unrestricted net position* – all other net position that do not meet the definition of “restricted” or “net investment in capital assets.”

Assets, Liabilities, and Equity, Continued

Fund Financial Statements

Governmental fund equity is classified as fund balance. Fund balance is classified as nonspendable, restricted, committed, assigned, or unassigned. Proprietary fund equity is classified the same as in the government-wide statements. The classifications for governmental funds are defined as follows for the City:

Nonspendable Fund Balance –

- Assets that will never convert to cash (prepaid items, inventory).
- Assets that will not convert to cash soon enough to affect the current period (long-term notes or loans receivable).
- Resources that must be maintained intact pursuant to legal or contractual requirements (the principal of an endowment).

Restricted Fund Balance –

- Resources that are subject to externally enforceable legal restrictions imposed by parties altogether outside the government (creditors, grantors, contributors and other governments).
- Resources that are subject to limitations imposed by law through constitutional provisions or enabling legislation (Gas Tax).

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Equity Classification, Continued

Committed Fund Balance –

- Self-imposed limitations set in place prior to the end of the period (encumbrances, economic contingencies and uncertainties).
- Limitation at the highest level of decision-making (Council) that requires formal action at the same level to remove.
- Council resolution is required to be taken to establish, modify or rescind a fund balance commitment

Assigned Fund Balance –

- Amounts in excess of nonspendable, restricted and committed fund balance in funds other than the general fund automatically are reported as assigned fund balance.
- Assigned amounts for a specific purpose are as authorized by the City's City Treasurer through its fund balance policy.

Unassigned Fund Balance –

- Residual net resources
- Total fund balance in the general fund in excess of nonspendable, restricted, committed, and assigned fund balance (surplus).
- Excess of nonspendable, restricted, and committed fund balance over total fund balance (deficit).

Revenues, Expenditures, and Expenses

Property Tax

Property taxes in the State of California are administered for all local agencies at the county level and consist of secured, unsecured, and utility tax rolls. The following is a summary of major policies and practices relating to property taxes.

Property Valuations – are established by the Assessor of the County of Merced (County) for the secured and unsecured property tax rolls; the utility property tax rolls are valued by the State Board of Equalization. Under the provisions of Article XIII A of the State Constitution (Proposition 13 adopted by voters on June 6, 1978) properties are assessed at 100% of full value. From this base of assessment, subsequent annual increases in valuation are limited to a maximum of 2%. However, increases to full value are allowed for property improvements or upon change in ownership. Personal property is excluded from these limitations, and is subject to annual reappraisal.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Tax Levies – are limited to 1% of full value which results in a tax rate of \$1.00 per \$100 assessed valuation, under the provisions of Proposition 13. Tax rates for voter-approved indebtedness are excluded from this limitation.

Tax Levy Dates – are attached annually on January 1 proceeding the fiscal year for which the taxes are levied. The fiscal year begins July 1 and ends June 30 of the following year. Taxes are levied on both real and unsecured personal property as it exists at that time. Liens against real estate, as well as the tax on personal property, are not relieved by subsequent renewal or change in ownership.

Tax Collections – are the responsibility of the County Tax Collector. Taxes and assessments on secured and utility rolls which constitute a lien against the property, may be paid in two installments: The first is due on November 1 of the fiscal year and is delinquent if not paid by December 10; and the second is due on March 1 of the fiscal year and is delinquent if not paid by April 10. Unsecured personal property taxes do not constitute a lien against real property unless the taxes become delinquent. Payment must be made in one installment, which is delinquent if not paid by August 31 of the fiscal year. Significant penalties are imposed by the County for late payments.

The County levies, bills, and collects property taxes and special assessments for the City. Property taxes levied are recorded as revenue when received, in the fiscal year of levy, due to the adoption of the “alternate method of property tax distribution”, known as the Teeter Plan, by the City and the County. The Teeter Plan authorizes the Auditor/Controller of the County to allocate 100% of the secured property taxes billed, but not yet paid. The County remits tax monies to the City in three installments as follows:

50 percent remitted in December
45 percent remitted in April
5 percent remitted in June

Interfund Transfers

Resources are reallocated between funds by reporting them as interfund transfers. For the purposes of the Statement of Activities, all interfund transfers between individual governmental funds have been eliminated.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

Budgetary Accounting

The City Council establishes budgets for the General Fund and all Special Revenue Funds, except for certain Special Revenue Funds for which expenditures are controlled by grant funding or by assessments received. Budgetary control is legally maintained at the fund level for these funds. Department heads submit budget requests to the City Manager. The City Manager prepares an estimate of revenues and prepares recommendations for the next year's budget. The preliminary budget may or may not be amended by the City Council and is adopted by resolution by the City Council on or before June 30 in accordance with the municipal code.

The City Council may amend the budget by motion during the fiscal year. Only the Council can authorize transfers between funds and approve inter-fund loans. The City Manager is authorized to transfer budgeted amounts within a fund without formal council action or approval. The City Manager is authorized to increase expenditures in relation to revenues in funds receiving assigned revenues without approval by the City Council.

Expenditures may not legally exceed appropriations at the fund level, which is the legal level of control. Supplemental appropriations, which increase appropriations, may be made during the fiscal year. There were no material supplemental appropriations made for the fiscal year ended June 30, 2016. Budget information is presented for the General and budgeted Special Revenue Funds in the fund financial statements. The budget information is presented on a basis consistent with generally accepted accounting principles. Appropriations, except open project appropriations, and unexpended grant appropriations, lapse at the end of each fiscal year.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses. Actual results could differ from those estimates.

Reclassifications

Certain amounts have been reclassified to provide for comparable results on a year to year basis.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

2. CASH AND INVESTMENTS

At June 30, 2016, the City's pooled cash and investments, classified by maturity, consisted of the following stated at fair value:

Cash, cash equivalents and investments pooled	Maturities (in years)			Deposits	Fair Market Value
	<1	1 to 3	3 to 5		
<u>Pooled cash, at fair value</u>					
Cash in bank	\$ -	\$ -	\$ -	\$ 8,702,428	\$ 8,702,428
Petty cash	-	-	-	450	450
Total pooled items	-	-	-	8,702,878	8,702,878
<u>Pooled investments, at fair market value</u>					
Cash and short-term investments	7,427,886	-	-	-	7,427,886
Mutual fund	1,230,802	-	-	-	1,230,802
Money market	50,406	-	-	-	50,406
Central San Joaquin Valley Risk Management Authority (CSJVRMA) investment pool	1,040,050	-	-	-	1,040,050
State of California Local Agency Investment Fund	7,395,320	-	-	-	7,395,320
Total pooled investments	17,144,464	-	-	-	17,144,464
Total cash, cash equivalents and investments pooled	<u>\$ 17,144,464</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 8,702,878</u>	<u>\$ 25,847,342</u>
Amounts reported in:					
Governmental activities					\$ 9,440,922
Business-type activities					8,776,158
Business-type activities - Restricted					5,806,604
Fiduciary activities					202,376
Fiduciary activities - Restricted					1,621,282
Total					<u>\$ 25,847,342</u>

Investment Type	Fair Value
Mutual funds	\$ 1,230,802
Money market	50,406
CSJVRMA investment pool	1,040,050
LAIF	7,395,320
Held by bond trustees:	
Cash and cash equivalent	7,427,886
Total fair value	<u>\$ 17,144,464</u>

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

2. CASH AND INVESTMENTS, Continued

California statutes authorize cities to invest idle or surplus funds in a variety of credit instruments as provided for in the California Government Code, Section 53600, Chapter 4 – Financial Affairs. The table below identifies the investment types that are authorized for the City by the California Government Code (or the City’s investment policy, where more restrictive) that address interest rate risk, credit risk, and concentration of credit risk. The table does not address investments of debt proceeds held by bond trustees that are governed by the provisions of debt agreements of the City, rather than the general provisions of the California Government Code of the City’s investment policy. During the year ended June 30, 2016, the City’s permissible investments included the following instruments:

Authorized Investment Type	Maximum Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Bankers' Acceptances	180 days	40%	None
Certificates of Deposits	180 days	20%	None
Negotiable Certificates of Deposit	180 days	30%	None
Commercial Paper	180 days	15%	None
State of California Local Agency Investment Fund (State Pool)	N/A	Unlimited	\$50 Million per entity
Medium Term Notes	5 years	30%	None
Money Market Funds	N/A	Unlimited	None
Passbook Savings and Money Market Accounts (Insured)	None	Unlimited	None
U.S. Treasury Obligations	None	Unlimited	None
U.S. Government Agency Issues	None	Unlimited	None
Repurchase Agreements	30 days	10%	None
Mortgage pass-through and asset backed securities	5 years	20%	None

Investment of debt proceeds held by bond trustees are governed by provisions of the debt agreements, rather than the general provisions of the California Government Code or the City’s investment policy. The table below identifies the investment types that are authorized for investments held by bond trustees. The table also identifies certain provisions of these debt agreements that address interest rate risk, credit risk, and concentration of credit risk.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

2. CASH AND INVESTMENTS, Continued

Authorized Investment Type	Maximum Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
U.S. Treasury Obligations	None	None	None
U.S. Agency Securities	None	None	None
Commercial Paper	270 days	None	None
Money Market Mutual Funds	N/A	None	None
Investment Contracts	None	None	None
Local Agency Investment Fund (State Pool)	N/A	None	None
Certificates of Deposit with Banks and Savings and Loans	None	None	None
Municipal Obligations	None	None	None

Interest rate risk – Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment the greater the sensitivity of its fair value to changes in market interest rates. One of the ways that the City manages its exposure to interest rate risk is by purchasing a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

Credit risk – As of June 30, 2016, the City’s investments in money market funds were rated AAA by Standard & Poor’s and Fitch Ratings, and Aaa by Moody’s Investors Service. The State of California Local Agency Investment Fund is not rated.

Concentration of credit risk – The City’s investment policy does not allow for an investment in any one issuer that is in excess of five percent of the government’s total investments. The investments made by the City Treasurer are limited to those allowable under State statutes as incorporated into the City’s Investment Policy, which is accepted annually by the City Council. There were no concentrations in any one issuer for the year.

The City participates in an investment pool managed by the State of California titled Local Agency Investment Fund (LAIF) which has invested 1.55% of the pool funds in Structured Notes and Asset-Backed Securities. LAIF's investments are subject to credit risk with the full faith and credit of the State of California collateralizing these investments. In addition, these Structured Notes and Asset-Backed Securities are subject to market risk as to changes in interest rates.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

2. CASH AND INVESTMENTS, Continued

Custodial credit risk – deposits. For deposits, this is the risk that, in the event of a bank failure, the City's deposits may not be returned. The City's Investment Policy addresses custodial credit risk, which follows the Government Code.

At June 30, 2016, the carrying amount of the City's deposits was \$8,702,878 and the balances in financial institutions were \$10,190,496. Of the balance in financial institutions, \$300,408 was covered by federal depository insurance and \$9,890,088 was collateralized as required by State law (Government Code Section 53630), by the pledging financial institution with assets held in a common pool for the City and other governmental agencies, but not in the name of the City. As of June 30, 2016, the City's investments were held by the City's custodial agent, but not in the City's name, and were insured up to specified limits by the Securities Investor Protection Corporation (SIPC) and supplemental private insurance up to a limit of \$150 million.

Custodial credit risk – investments. For investments, this is the risk that, in the event of the failure of the counterparty, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside counterparty. For the investments maintained by the City, no security was uninsured or unregistered or held by a brokerage firm which is also the counterparty for the security.

Investment in LAIF

The City is a voluntary participant in California Local Agency Investment Fund (LAIF), which is regulated by California Government Code Section under the oversight of the Local Investment Advisory Board (Board). The Board consists of five members as designated by state statute, and is chaired by the State Treasurer who is responsible for day to day administration of LAIF. The total amount invested by all public agencies as of June 30, 2016 was \$22,712,084,628 of which the City had a balance of \$7,395,320. LAIF is part of the California Pooled Money Investment Account (PMIA), which at June 30, 2016 has a portfolio of \$75,368,905. LAIF is part of the California Pooled Money Investment Account (PMIA), which at June 30, 2016 has a portfolio with market valuation of \$69,672,945,247 including accrued interest. Of the total invested, 98.45% was invested in non-derivative financial products and 1.55% in structured notes and asset-backed securities. The fair value of the City's investment in this pool is reported in the accompanying financial statements at amounts based upon the City's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which are recorded on an amortized cost basis.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

3. ACCOUNTS RECEIVABLE

Accounts receivable consisted of the following at June 30, 2016:

	Governmental Activities	Business-type Activities	Fiduciary Activities	Total
Accounts receivable	\$ 22,310	\$ 1,388,461	\$ 10,576	\$ 1,421,347
Taxes and assessments receivable	301,920	-	2,373	304,293
Interest receivable	4,158	5,521	109	9,788
Intergovernmental	441,895	-	-	441,895
Other	1,404,445	-	-	1,404,445
Loans/Notes receivable	-	-	111,437	111,437
Total accounts receivable	<u>\$ 2,174,728</u>	<u>\$ 1,393,982</u>	<u>\$ 124,495</u>	<u>\$ 3,693,205</u>

These amounts resulted in the following concentrations in receivables:

Other Governments	20.2%	Financial	0.0%
Individuals/Business	41.5%	Other	38.3%

Amounts do not indicate a significant concentration (greater than 25%) with any single individual, business or agency.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

4. CAPITAL ASSETS

Governmental capital asset activity for the year ended June 30, 2016, was as follows:

	Balance July 1, 2015	Additions	Deletions	Balance June 30, 2016
<u>Governmental activities</u>				
Nondepreciable assets:				
Land	\$ 323,223	\$ -	\$ -	\$ 323,223
Construction in Progress	369,997	1,176,016	-	1,546,013
Total nondepreciable assets	<u>693,220</u>	<u>1,176,016</u>	<u>-</u>	<u>1,869,236</u>
Depreciable assets:				
Buildings and improvements	14,893,298	-	-	14,893,298
Infrastructure	1,156,846	-	-	1,156,846
Roads	49,175,288	27,933	-	49,203,221
Equipment	6,226,075	649,015	-	6,875,090
Total depreciable assets	<u>71,451,507</u>	<u>676,948</u>	<u>-</u>	<u>72,128,455</u>
Total	<u>72,144,727</u>	<u>1,852,964</u>	<u>-</u>	<u>73,997,691</u>
Accumulated depreciation:				
Buildings and improvements	(7,388,299)	(548,785)	-	(7,937,084)
Infrastructure	(258,148)	(44,430)	-	(302,578)
Roads	(37,194,940)	(1,259,817)	-	(38,454,757)
Equipment	(4,369,358)	(201,126)	-	(4,570,484)
Total accumulated depreciation	<u>(49,210,745)</u>	<u>(2,054,158)</u>	<u>-</u>	<u>(51,264,903)</u>
Net depreciable assets	<u>22,240,762</u>	<u>(1,377,210)</u>	<u>-</u>	<u>20,863,552</u>
Total net capital assets	<u>\$ 22,933,982</u>	<u>\$ (201,194)</u>	<u>\$ -</u>	<u>\$ 22,732,788</u>

Depreciation expense for capital assets was charged to functions as follows:

General government	\$ 571,227
Public safety	178,684
Highways and streets	<u>1,304,247</u>
Total	<u>\$ 2,054,158</u>

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

4. CAPITAL ASSETS, Continued

Business-type capital asset activity for the year ended June 30, 2016, was as follows:

	Balance July 1, 2015	Additions	Deletions	Balance June 30, 2016
<u>Business-type activities</u>				
Nondepreciable assets:				
Land	\$ 764,902	\$ -	\$ -	\$ 764,902
Construction in Progress	72,517,871	520,001	-	73,037,872
Total nondepreciable assets	73,282,773	520,001	-	73,802,774
Depreciable assets:				
Buildings and improvements	37,125,966	1	-	37,125,967
Equipment	10,130,313	29,594	-	10,159,907
Total depreciable assets	47,256,279	29,595	-	47,285,874
Total	120,539,052	549,596	-	121,088,648
Accumulated depreciation:				
Buildings and improvements	(24,936,493)	(1,047,491)	-	(25,983,984)
Equipment	(6,538,340)	(426,692)	-	(6,965,032)
Total accumulated depreciation	(31,474,833)	(1,474,183)	-	(32,949,016)
Net depreciable assets	15,781,446	(1,444,588)	-	14,336,858
Total net capital assets	\$ 89,064,219	\$ (924,587)	\$ -	\$ 88,139,632

Depreciation expense for capital assets was charged to functions as follows:

Water	\$ 642,100
Sewer	828,038
Sanitation	4,045
	<u>\$ 1,474,183</u>

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

5. ACCOUNTS PAYABLE AND ACCRUED LIABILITIES

Accounts payable and accrued liabilities consisted of the following at June 30, 2016:

	Governmental Activities	Business-type Activities	Fiduciary Activities	Total
Accounts payable	\$ 991,381	\$ 802,866	\$ 200,259	\$ 1,994,506
Accrued payroll and related liabilities	376,857	44,172	-	421,029
Other liabilities	-	-	76,623	76,623
Total	<u>\$ 1,368,238</u>	<u>\$ 847,038</u>	<u>\$ 276,882</u>	<u>\$ 2,492,158</u>

These amounts resulted in the following concentrations in payables:

Vendors	80%
Employees	17%
Others	3%

Amounts do not indicate a significant concentration (greater than 25%) with any single vendor or employee.

6. LONG-TERM LIABILITIES

The following is a summary of changes in long-term liabilities for the year ended June 30, 2016:

	Balance July 1, 2015	Additions	Retirements	Balance June 30, 2016	Due Within One Year
<u>Governmental Activities:</u>					
Compensated absences	\$ 792,650	\$ 146,531	\$ (55,138)	\$ 884,043	\$ 55,285
Capital lease obligations	792,954	-	(117,560)	675,394	120,354
Total governmental activities	<u>\$ 1,585,604</u>	<u>\$ 146,531</u>	<u>\$ (172,698)</u>	<u>\$ 1,559,437</u>	<u>\$ 175,639</u>
<u>Business-type Activities:</u>					
2008 Wastewater Revenue Refunding Bonds	\$ 18,355,000	\$ -	\$ (465,000)	\$ 17,890,000	\$ 485,000
Deferred loss on refunding	(1,028,039)	-	80,350	(947,689)	(80,350)
2010 Wastewater Revenue Bonds	51,755,000	-	(650,000)	51,105,000	675,000
Unamortized bond premium	379,635	-	(12,832)	366,803	12,832
2011 Wastewater Revenue Bonds	9,480,000	-	(140,000)	9,340,000	145,000
Unamortized bond discount	(97,388)	-	3,263	(94,125)	(3,264)
Capital lease obligation	291,191	-	-	291,191	71,914
Compensated absences	97,648	16,369	(11,238)	102,779	9,194
Total business-type activities	<u>\$ 79,233,047</u>	<u>\$ 16,369</u>	<u>\$ (1,195,457)</u>	<u>\$ 78,053,959</u>	<u>\$ 1,315,326</u>

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

6. LONG-TERM LIABILITIES, Continued

Governmental Activities:

Capital Lease Obligations

The City of Atwater has entered into two separate lease agreements as lessee for financing the acquisition of five patrol vehicles valued at \$194,276 and ladder fire truck valued at \$783,751. The interest rates on the leases are 1.98% and 2.65%, respectively. The patrol vehicles have a 5 year estimated useful life and the ladder truck has a 15-year estimated useful life. Title reverts to the City after payment of the minimum lease payments, and, therefore, have been recorded at the present value of future minimum lease payments.

Year Ending June 30,	Governmental Activities	
	Capital Lease	
	Principal	Interest
2017	\$ 120,354	\$ 17,569
2018	73,208	14,708
2019	75,147	12,768
2020	77,139	10,777
2021	79,183	8,733
2021-2024	250,363	13,386
Total	<u>\$ 675,394</u>	<u>\$ 77,941</u>
Due within one year	\$ 120,354	\$ 17,569
Due after one year	555,040	60,372
Total	<u>\$ 675,394</u>	<u>\$ 77,941</u>

Business-type Activities

2008 Wastewater Revenue Refunding Bonds (Sewer)

In May 2008, the Atwater Public Financing Authority issued its 2008 Wastewater Revenue Refunding Bonds in the amount of \$20,020,000, to provide funds: (i) to finance the acquisition and construction of certain improvements to the Wastewater System; (ii) to fund a debt service reserve fund for the 2008 Bonds; and (iii) to pay cost of issuance of the 2008 Bonds. The term of this agreement ends on May 1, 2038. Each payment includes interest at an annual rate between 4.5 and 5.0%. Interest on the bonds is payable on May 1 and November 1 of each year. Principal of the bonds is payable on May 1 of each year beginning May 1, 2012. This bond is the refunding of the 2003 Water Revenue Refunding Bonds. At June 30, 2016, the total principal outstanding is \$17,890,000 and the unamortized portion of the deferred loss on refunding totaled \$947,689, resulting in a net outstanding balance of \$16,942,311.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

6. LONG-TERM LIABILITIES, Continued

2010 Wastewater Revenue Bonds (Sewer)

In January 2010, the Atwater Public Financing Authority issued its 2010 Wastewater Revenue Bonds in the amount of \$54,345,000, to provide funds: (i) to finance the acquisition and construction of certain improvements to the Wastewater System; (ii) to fund a debt service reserve fund for the 2010 Bonds; and (iii) to pay cost of issuance of the 2010 Bonds. The term of this agreement ends on May 1, 2045. Each payment includes interest at an annual rate between 4.0 and 5.25%. Interest on the bonds is payable on May 1 and November 1 of each year. Principal of the bonds is payable on May 1 of each year beginning May 1, 2011. At June 30, 2016, the total principal outstanding is \$51,105,000, and the unamortized premium totaled \$366,803, resulting in a net outstanding balance of \$50,738,197.

2011 Wastewater Revenue Bonds (Sewer)

In April 2011, the Atwater Public Financing Authority issued its 2011 Wastewater Revenue Bonds in the amount of \$10,000,000, to provide funds: (i) to finance the acquisition and construction of certain improvements to the Wastewater System; (ii) to pay the premium for a reserve surety bond for 2011 bonds; and (iii) to pay cost of issuing the 2011 Bonds. The term of this agreements ends on May 1, 2045. Each payment includes interest at an annual rate between 2.00% and 6.125%. Interest on the bonds is payable on May 1 and November 1 of each year. Principal of the bonds is payable on May 1 of each year beginning May 1, 2012. At June 30, 2016, the total principal outstanding is \$9,340,000 and the unamortized discount totaled \$94,124, resulting in a net outstanding balance of \$9,245,876.

Capital Lease Obligation

The City of Atwater has entered into a lease agreement as lessee for financing the acquisition of a Vac-Con Sewer and Storm Drain Cleaner valued at \$365,560. The interest rate on the lease is 2.40%. The cleaner has a 5 year estimated useful life. Title reverts to the City after payment of the minimum lease payments, and, therefore, has been recorded in the Sewer Fund at the present value of future minimum lease payments.

Year Ending June 30,	Business-type Activities	
	Capital Lease	
	Principal	Interest
2017	\$ 142,143	\$ 16,598
2018	73,640	14,708
2019	75,408	12,768
Total	<u>\$ 291,191</u>	<u>\$ 44,074</u>
Due within one year	\$ 142,143	\$ 16,598
Due after one year	149,048	27,476
Total	<u>\$ 291,191</u>	<u>\$ 44,074</u>

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

6. LONG-TERM LIABILITIES, Continued

Future debt service at June 30, 2016 is as follows for all debt except compensated absences:

Business-type Activities						
Year Ending June 30,	2008 Wastewater Revenue		2010 Wastewater Revenue		2011 Wastewater Revenue	
	Refunding Bonds		Bonds		Bonds	
	Principal	Interest	Principal	Interest	Principal	Interest
2017	\$ 485,000	\$ 862,856	\$ 675,000	\$ 2,569,030	\$ 145,000	\$ 538,100
2018	510,000	841,031	700,000	2,542,030	150,000	532,300
2019	530,000	818,081	735,000	2,507,030	155,000	526,300
2020	550,000	796,881	775,000	2,470,280	165,000	519,906
2021	575,000	773,506	805,000	2,439,280	170,000	512,687
2022-2026	3,280,000	3,460,888	4,570,000	11,644,642	980,000	2,432,919
2027-2031	4,155,000	2,595,000	5,735,000	10,474,857	1,275,000	2,142,470
2032-2036	5,295,000	1,447,500	7,310,000	8,909,837	1,680,000	1,728,680
2037-2041	2,510,000	189,750	13,615,000	6,637,505	2,260,000	1,154,252
2042-2045	-	-	16,185,000	2,178,486	2,360,000	372,094
Total	\$ 17,890,000	\$ 11,785,493	\$ 51,105,000	\$ 52,372,977	\$ 9,340,000	\$ 10,459,708
Due within one year	\$ 485,000	\$ 862,856	\$ 675,000	\$ 2,569,030	\$ 145,000	\$ 538,100
Due after one year	17,405,000	10,922,637	50,430,000	49,803,947	9,195,000	9,921,608
Total	\$ 17,890,000	\$ 11,785,493	\$ 51,105,000	\$ 52,372,977	\$ 9,340,000	\$ 10,459,708
Deferred Amount -						
Year Ending June 30,	2008 Wastewater	Premium -	Discount -			
	Revenue	2010 Wastewater	2011 Wastewater			
	Refunding Bonds	Revenue Bonds	Revenue Bonds	Totals		
	Amortization	Amortization	Amortization	Principal	Interest	
2017	\$ (80,350)	\$ 12,832	\$ (3,264)	\$ 1,234,218	\$ 3,969,986	
2018	(80,350)	12,832	(3,264)	1,289,218	3,915,361	
2019	(80,350)	12,832	(3,264)	1,349,218	3,851,411	
2020	(80,350)	12,832	(3,264)	1,419,218	3,787,067	
2021	(80,350)	12,832	(3,264)	1,479,218	3,725,473	
2022-2026	(401,750)	64,160	(16,320)	8,476,090	17,538,449	
2027-2031	(144,189)	64,160	(16,320)	11,068,651	15,212,327	
2032-2036	-	64,160	(16,320)	14,332,840	12,086,017	
2037-2041	-	64,160	(16,320)	18,432,840	7,981,507	
2042-2045	-	46,003	(12,525)	18,578,478	2,550,580	
Total	\$ (947,689)	\$ 366,803	\$ (94,125)	\$ 77,659,989	\$ 74,618,178	
Due within one year	\$ (80,350)	\$ 12,832	\$ (3,264)	\$ 1,234,218	\$ 3,969,986	
Due after one year	(867,339)	353,971	(90,861)	76,425,771	70,648,192	
Total	\$ (947,689)	\$ 366,803	\$ (94,125)	\$ 77,659,989	\$ 74,618,178	

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

8. NET POSITION/ FUND BALANCES

Net position

	Governmental Activities	Business-type Activities	Fiduciary Activities	Total
Net investment in capital assets	\$ 22,732,788	\$ 11,494,584	\$ (7,123,638)	\$ 27,103,734
Restricted	4,748,643	5,806,604	-	10,555,247
Unrestricted (deficit)	(25,983,233)	10,839,303	1,412,260	(13,731,670)
Total	<u>\$ 1,498,198</u>	<u>\$ 28,140,491</u>	<u>\$ (5,711,378)</u>	<u>\$ 23,927,311</u>

- Restricted balances are for the same purposes as fund balance restrictions because external restriction requirements are the same. See descriptions of the restrictions below.

Fund Balance

Nonspendable and Restricted fund balance consisted of the following at June 30, 2016:

Nonspendable:	
Prepaid items	\$ 25,368
Investment in land held for resale	3,855,930
Total Nonspendable	<u><u>\$ 3,881,298</u></u>
Restricted:	
Governmental Funds:	
Gas Tax	\$ 1,743,619
Facility Impact Fee	2,604,910
HOME Investment Partnership Program	188,575
Neighborhood Stabilization	211,539
Total Restricted	<u><u>\$ 4,748,643</u></u>

The following describe the purpose of each nonspendable, restricted, and committed category used by the City:

Nonspendable

- **Prepaid items** - used to segregate that portion of fund balance to indicate that prepaid amounts do not represent available, spendable resources even though they are components of assets.
- **Investment in land held for resale** – includes properties held for the purpose of redevelopment either through resale or conversion to public use, which do not represent available, spendable resources even though they are components of assets.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

8. NET POSITION/ FUND BALANCES, Continued

Net position, Continued

Restricted

- **Gas Tax** – represents amounts restricted for street maintenance purposes as defined in Sections 2105, 2106, 2107 and 2107.5 of the Streets and Highway Code.
- **Facility Impact Fee** – represents amounts restricted to capital projects through AB1600.
- **HOME Investment Partnership Program** – represents amounts restricted for the City's HOME revolving loan program as this program is supported by specific grants requiring the restriction.
- **Neighborhood Stabilization** – represents restricted amounts received from Federal Grants for neighborhood revitalization programs.

Deficit fund balances consisted of the following:

	<u>As of</u> <u>June 30, 2016</u>
<u>Major Funds:</u>	
<u>Governmental Funds:</u>	
General Fund	\$ 2,862,725
<u>Nonmajor Special Revenue Funds:</u>	
Police Grants	143,411
Local Transportation	391,191
Community Development Block Grants	12,441
Maintenance District Funds:	
Northwood Village	37,874
Wildwood Estates	12,298
Woodview Garland	8,168
Sierra Parks	31,171
Price Annexation	33,593
Airport Business Park	3,761
CFD Districts	272,824
Total Governmental Funds	<u>\$ 3,809,457</u>
<u>Major Funds:</u>	
<u>Proprietary Funds:</u>	
Sanitation	\$ 2,077,945
	<u>\$ 2,077,945</u>
<u>Fiduciary Funds:</u>	
Successor Agency Private Purpose Trust	<u>\$ 5,711,378</u>

The above deficit fund balances have occurred due to the spending of funds prior to the receipt of revenues (cost reimbursements). The Fund balances will be restored in the near future as revenues are received.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

9. INTERFUND TRANSACTIONS

Due to and from balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments between funds are made.

Due to and due from other funds consisted of the following as of June 30, 2016:

	Due from Other Funds	Due to Other Funds
<u>Governmental Funds</u>		
Major Funds:		
General Fund	\$ -	\$ 3,092,991
Total Major Funds	-	3,092,991
Nonmajor Special Revenue Funds:		
Police Grants	-	252,711
Local Transportation	-	417,410
Community Development Block Grants	-	12,441
Maintenance Districts:		
Northwood Village	-	37,540
Wildwood Estates	-	12,289
Woodview Garland	-	8,146
Sierra Parks	-	31,359
Price Annexation	-	32,564
Airport Business Park	-	3,670
Atwater South	142,479	-
Mello Ranch 2	258,306	-
CFD Districts	-	275,217
Total Maintenance Districts	400,785	400,785
Total Non-major Special Revenue Funds	400,785	1,083,347
Total Governmental Funds	400,785	4,176,338
<u>Proprietary Funds</u>		
Water	-	347,378
Sewer	7,421,128	-
Sanitation		3,298,197
Total Proprietary Funds	7,421,128	3,645,575
Total	\$ 7,821,913	\$ 7,821,913

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

9. INTERFUND TRANSACTIONS, Continued

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, and (2) use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Transfers consisted of the following at June 30, 2016:

	<u>Transfers In</u>	<u>Transfers Out</u>
<u>Governmental Funds</u>		
Major Funds:		
General Fund	\$ 1,268,131	\$ 28,999
Measure H Special Revenue	-	1,170,706
Total Major Funds	<u>1,268,131</u>	<u>1,199,705</u>
Non-major Funds:		
Special Revenue Funds:		
Police Grants	70,706	-
Gas Tax	422	-
Bloss Estate	2,037	-
Maintenance District Funds	91,726	91,726
Total Non-major Special Revenue Funds	<u>164,891</u>	<u>91,726</u>
Capital Projects Funds:		
General	13,496	12,566
Total Non-major Capital Projects Funds	<u>13,496</u>	<u>12,566</u>
Total Non-major Funds	<u>178,387</u>	<u>104,292</u>
Total Governmental Funds	<u>1,446,518</u>	<u>1,303,997</u>
<u>Proprietary Funds</u>		
Water	-	142,943
Sewer	422	-
Total Proprietary Funds	<u>422</u>	<u>142,943</u>
Total Transfers	<u>\$ 1,446,940</u>	<u>\$ 1,446,940</u>

The Water Fund transfer from proprietary funds to governmental funds was to fund programs paid for by General Fund resources. In addition, maintenance district funds transferred \$91,726 amongst themselves to account for interrelated activity.

10. RISK MANAGEMENT

The City participates with other public entities in a joint venture under a joint powers agreement which establishes the Central San Joaquin Valley Risk Management Authority (CSJVRMA). The relationship between the City and CSJVRMA is such that CSJVRMA is not a component unit of the City for financial reporting purposes. The City is covered for the first \$1,000,000 of each general liability claim and \$500,000 of each worker's compensation claim through the CSJVRMA. The City has the right to receive dividends or the obligation to pay assessments based on a formula which, among other expenses, charges the City's account for liability losses under \$50,000 and worker's compensation losses under \$100,000. The CSJVRMA participates in an excess pool which provides worker's compensation coverage from \$500,000 to \$4,500,000 and purchases excess insurance above the \$5,000,000 to the statutory limit.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

10. RISK MANAGEMENT, Continued

The CSJVRMA is a consortium of fifty-four (54) cities in San Joaquin Valley, California. It was established under the provisions of California Government Code Section 6500 et. seq. The CSJVRMA is governed by a Board of Directors, which meets 3-4 times per year, consisting of one member appointed by each member city. The day-to-day business is handled by a management group employed by the CSJVRMA.

At the termination of the joint venture agreement and after all claims has been settled, any excess or deficit will be divided among the cities in proportion to the aggregate amount of contribution made by each. The financial position results of operations of CSJVRMA are as follows for June 30, 2016:

	Balance as of
	30-Jun-16
Total assets	\$ 80,694,798
Total liabilities	65,440,947
Member's Equity	\$ 15,253,851
	Fiscal Year Ended
	30-Jun-16
Total revenues	\$ 32,108,146
Total expenses	32,739,704
Excess of expenses (losses) over income	\$ (631,558)

11. PUBLIC EMPLOYEES' RETIREMENT SYSTEM

General Information about the Pension Plans

Plan Descriptions - All qualified permanent and probationary employees are eligible to participate in the City's separate Safety (police and fire) and Miscellaneous (all other) Employee Pension Plans, cost-sharing multiple employer defined benefit pension plans administered by the California Public Employees' Retirement System (CalPERS). Benefit provisions under the Plans are established by State statute and City resolution. CalPERS issues publicly available reports that include a full description of the pension plans regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website.

Benefits Provided - CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of credited service, equal to one year of full time employment. Members with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after 10 years of service. The death benefit is one of the following: the Basic Death Benefit, the 1957 Survivor Benefit, or the Optional Settlement 2W Death Benefit. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

11. PUBLIC EMPLOYEES' RETIREMENT SYSTEM, Continued

The Plans' provisions and benefits in effect at June 30, 2016, are summarized as follows:

	Miscellaneous	
	Prior to November 25, 2011	November 25, 2011 to January 1, 2013
Hire date		
Benefit formula	3% @ 60	2% @ 60
Benefit vesting schedule	5 years service	5 years service
Benefit payments	monthly for life	monthly for life
Retirement age	50 - 60	50 - 63
Monthly benefits, as a % of eligible compensation	2.0% to 3.0%	1.092% to 2.418%
Required employee contribution rates	8%	7%
Required employer contribution rates	28.556%	28.556%
	Safety	
	Prior to January 1, 2013	
Hire date		
Benefit formula	3% @ 50	
Benefit vesting schedule	5 years service	
Benefit payments	monthly for life	
Retirement age	50	
Monthly benefits, as a % of eligible compensation	3.00%	
Required employee contribution rates	9%	
Required employer contribution rates	58.082%	
	PEPRA Miscellaneous	
	On or after January 1, 2013	
Hire date		
Benefit formula	2% @ 62	
Benefit vesting schedule	5 years service	
Benefit payments	monthly for life	
Retirement age	52 - 67	
Monthly benefits, as a % of eligible compensation	1.0% to 2.5%	
Required employee contribution rates	50% of normal cost of benefit	
Required employer contribution rates		
	PEPRA Safety - Police	
	On or after January 1, 2013	
Hire date		
Benefit formula	2.7% @ 57	
Benefit vesting schedule	5 years service	
Benefit payments	monthly for life	
Retirement age	50 - 57	
Monthly benefits, as a % of eligible compensation	2.0% to 2.7%	
Required employee contribution rates	50% of normal cost of benefit	
Required employer contribution rates		

Contributions -Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Funding contributions for both Plans are determined annually on an actuarial basis as of June 30 by CalPERS. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The City is required to contribute the difference between the actuarially determined rate and the contribution rate of employees.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

11. PUBLIC EMPLOYEES' RETIREMENT SYSTEM, Continued

For the year ended June 30, 2016, the contributions recognized as part of pension expense for each Plan were as follows:

	Miscellaneous	Miscellaneous Second Tier	PEPRA - Miscellaneous	Safety Plan	PEPRA - Safety
Contributions - employer	\$ 829,281	\$ 17,805	\$ 20,718	\$ 1,459,774	\$ 21,556

A. Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

As of June 30, 2016, the City reported net pension liabilities for its proportionate shares of the net pension liability of each Plan as follows:

	Proportionate Share of Net Pension Liability
Miscellaneous	\$ 10,183,590
Miscellaneous - Second Tier	(1,663)
PEPRA Miscellaneous	(320)
Safety	12,276,084
PEPRA Safety	(231)
Total Net Pension Liability	\$ 22,457,460

The City's net pension liability for each Plan is measured as the proportionate share of the net pension liability. The net pension liability of each of the Plans is measured as of June 30, 2015, and the total pension liability for each Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2014 rolled forward to June 30, 2015 using standard update procedures. The City's proportion of the net pension liability was based on a projection of the City's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined. The City's proportionate share of the net pension liability for each Plan as of June 30, 2014 and 2015 was as follows:

	Miscellaneous	Miscellaneous Second Tier	PEPRA Miscellaneous	Safety	PEPRA Safety
Proportion - June 30, 2014	0.15531%	N/A	N/A	0.18895%	N/A
Proportion - June 30, 2015	0.37119%	-0.00006%	-0.00001%	0.29793%	-0.00001%
Change - Increase (Decrease)	0.21588%	N/A	N/A	0.10898%	N/A

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

11. PUBLIC EMPLOYEES' RETIREMENT SYSTEM, Continued

For the year ended June 30, 2016, the City recognized pension expense of \$556,979. At June 30, 2016, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflow of Resources
Pension contributions subsequent to measurement date	\$ 2,609,342	\$ -
Differences between actual and expected experience	43,408	(162,479)
Changes in assumptions	-	(1,157,981)
Net differences between projected and actual earnings on plan investments	2,912,345	(1,815,164)
Differences between employers actual and allocated contributions	-	(2,349,134)
Adjustments due to differences in proportions	(881,932)	-
Total	<u>4,683,163</u>	<u>(5,484,758)</u>

\$2,609,342 reported as deferred outflows of resources related to contributions subsequent to the measurement date that will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Year Ended 30-Jun	
2016	1,115,951
2017	1,115,951
2018	1,115,951
2019	878,684
2020	(815,600)
Thereafter	-

Actuarial Assumptions -The total pension liabilities in the June 30, 2015 actuarial valuations were determined using the following actuarial assumptions:

	Miscellaneous	Miscellaneous Second Tier	PEPRA Miscellaneous	Safety	PEPRA Safety
Valuation Date	30-Jun-14	30-Jun-14	30-Jun-14	30-Jun-14	30-Jun-14
Measurement	30-Jun-15	30-Jun-15	30-Jun-15	30-Jun-15	30-Jun-15
Actuarial Cost Method	Entry-Age Normal Cost Method				
Actuarial Assumptions:					
Discount Rate	7.65%	7.65%	7.65%	7.65%	7.65%
Inflation	2.75%	2.75%	2.75%	2.75%	2.75%
Payroll Growth	3%	3%	3%	3%	3%
Projected Salary Increase	3.3% - 14.2% (1)	3.3% - 14.2% (1)	3.3% - 14.2% (1)	3.3% - 14.2% (1)	3.3% - 14.2% (1)
Investment Rate of Return	7.5% (2)	7.5% (2)	7.5% (2)	7.5% (2)	7.5% (2)

(1) Depending on age, service, and type of employment

(2) Net of pension plan investment expenses, including inflation

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

11. PUBLIC EMPLOYEES' RETIREMENT SYSTEM, Continued

The underlying mortality assumptions and all other actuarial assumptions used in the June 30, 2013 valuation were based on the results of a January 2015 actuarial experience study for the period 1997 to 2011. Further details of the Experience Study can found on the CalPERS website.

Discount Rate -The discount rate used to measure the total pension liability was 7.65% for the Plan. To determine whether the municipal bond rate should be used in the calculation of a discount rate for the plan, CalPERS stress tested plans that would most likely result in a discount rate that would be different from the actuarially assumed discount rate. Based on the testing, none of the tested plans run out of assets. Therefore, the current 7.65 percent discount rate is adequate and the use of the municipal bond rate calculation is not necessary. The long term expected discount rate of 7.65 percent will be applied to all plans in the Public Employees Retirement Fund (PERF). The stress test results are presented in a detailed report that can be obtained from the CalPERS website.

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The discount rate was changed from 7.5 percent (net of administrative expense) to 7.65 percent to correct for an adjustment to exclude administrative expense.

CalPERS is scheduled to review all actuarial assumptions as part of its regular Asset Liability Management (ALM) review cycle that is scheduled to be completed in February 2018. Any changes to the discount rate will require Board action and proper stakeholder outreach. For these reasons, CalPERS expects to continue using a discount rate net of administrative expenses for GASB 67 and 68 calculations through at least the 2017-18 fiscal year. CalPERS will continue to check the materiality of the difference in calculation until such time as we have changed our methodology.

The long -term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

The table below reflects the long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These rates of return are net of administrative expenses.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

11. PUBLIC EMPLOYEES' RETIREMENT SYSTEM, Continued

Asset Class	New Strategic Allocation	Real Return Years 1 - 10 (a)	Real Return Years 11+ (b)
Global Equity	47%	5.25%	5.71%
Global Fixed Income	19%	0.99%	2.43%
Inflation Sensitive	6%	0.45%	3.36%
Private Equity	12%	6.83%	6.95%
Real Estate	11%	4.50%	5.13%
Infrastructure and Forestland	3%	4.50%	5.09%
Liquidity	2%	-0.55%	-1.05%
Total	100%		

(a) An expected inflation of 2.5% used for this period.

(b) An expected inflation of 3.0% used for this period.

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate -

The following presents the City's proportionate share of the net pension liability for each Plan, calculated using the discount rate for each Plan, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage point lower or 1-percentage point higher than the current rate:

	1% Decrease (6.65%)	Current Discount Rate (7.65%)	1% Increase (8.65%)
Net Pension Liability as of June 30, 2015			
Miscellaneous	\$ 17,078,591	\$ 10,183,590	\$ 4,490,966
Miscellaneous Second Tier	(2,789)	(1,663)	(733)
PEPRA Miscellaneous	(537)	(320)	(141)
Safety	19,682,778	12,276,084	3,604,577
PEPRA Safety	(370)	(231)	(117)
Total	\$ 36,757,673	\$ 22,457,460	\$ 8,094,552

Pension Plan Fiduciary Net Position -Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

E. Payable to the Pension Plan

At June 30, 2016, the City reported a payable of \$42,640 for the outstanding amount of contributions to the pension plan required for the year ended June 30, 2016.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

12. OTHER POSTEMPLOYMENT BENEFITS

In June 2004, the GASB issued Statement No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*. GASB Statement No. 45 requires employer governments to account for and report the annual cost of other postemployment benefits and related liabilities in the same manner as they do for pensions. As a Phase 2 government, the City implemented the provisions of this statement in the June 30, 2009 fiscal year.

Plan Description. The City of Atwater Retired Employees Healthcare Plan is a single-employer defined benefit healthcare plan administered by CalPERS. The City provides medical benefits to eligible retirees, their spouses and dependents. To earn this benefit, employees must have reached the age of fifty with five years of service to the City. The City provides coverage for surviving family members of an enrollee who dies while covered under the plan. Coverage for the enrolled family members then continues until any one of a specific set of circumstances occurs. The Retiree Health Plan does not issue a financial report.

Funding Policy. The contribution requirements of plan members and the City are established and may be amended by the City Council. The required contribution is based on projected pay-as-you-go financing requirements. For fiscal year 2016, the City contributed \$608,763 to the plan, the entire amount for current premiums. The City pays the full benefit cost of health care coverage premiums for retired members receiving benefits. The City does not pay for dental and vision insurance premiums for retiree. Those retirees wishing to be covered by dental and vision insurance benefits must pay 100% of the cost for the retirees and their dependents.

Annual OPEB Cost and Net OPEB Obligation. The City's annual other postemployment benefit (OPEB) cost (expense) is calculated based on the projected unit credit (PUC) cost method. Under the projected unit credit cost method, the actuarial present value of each employee's future retiree health benefit claims costs is allocated over a portion of the employee's employment, the "attribution period". The attribution period for this group begins with the employee's date of employment and ends with the date on which the employee is expected to retire. Accrued Liability for active employees is the portion of benefit liability attributed to service years to date. Normal Cost is the amount of benefit liability attributed to the current employment year. Normal Cost for retired employees is zero. Initial Actuarial Accrued Liability as of the date GASB Statement No. 45 is adopted is amortized as a component of the Annual Required Contribution (ARC). The amortization method is level dollar amortized over a 30-year period. Gains and losses arise from experience and contribution deficiencies and excess contributions in relation to each year's ARC under GASB Statement No. 45. The City has elected to calculate the ARC and related information using the alternative measurement method permitted by GASB Statement No. 45 for employers in plans with fewer than one hundred total plan members. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and to amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

12. OTHER POSTEMPLOYMENT BENEFITS, Continued

The following table shows the components of the City's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the City's net OPEB obligation to the Retiree:

Annual required contribution	\$ 1,392,169
Interest on net OPEB obligation	268,304
Adjustment to annual required contribution	(198,744)
Annual OPEB cost (expense)	\$ 1,461,729
Contributions made	(577,197)
Benefit payments made outside of trust	-
Increase in net OPEB obligation	\$ 884,532
Net OPEB obligation - beginning of year	5,962,319
Net OPEB obligation - end of year	\$ 6,846,851

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for fiscal year 2016 is as follows:

Fiscal Year Ended	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
6/30/2014	\$ 1,274,851	52.5%	\$ 5,178,448
6/30/2015	1,392,634	43.7%	5,962,319
6/30/2016	1,461,729	39.5%	6,846,851

Funded Status and Funding Progress. As of June 30, 2013, the actuarial accrued liability for benefits was \$12,559,788, all of which was unfunded. The covered payroll (annual payroll of active employees covered by the plan) was \$5,615,224, and the ratio of the unfunded actuarial accrued liability to the covered payroll was 223.67%.

The projection of future benefit payments for an ongoing plan involves estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the basic financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

12. OTHER POSTEMPLOYMENT BENEFITS, Continued

Methods and Assumptions. Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations. Actuarial assumptions come in part from the professional judgment of the Actuary, working within the scope of GASB 45, Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions.

The following simplifying assumptions were made:

Retirement age for active employees—Based on the historical average retirement age for the covered group, active plan members were assumed to retire at age 55 for safety and all others at age 62.

Marital status—Percent married of members at the calculation date was based on actual count for active and continue throughout retirement and actual count is used for retirees.

Mortality—Life expectancies were based on the RP-2000 projected to 2004 Table.

Turnover—Non-group-specific age-based turnover data from GASB Statement No. 45 was used as the basis for assigning active members a probability of remaining employed until the assumed retirement age and for developing an expected future working lifetime assumption for purposes of allocating to periods the present value of total benefits to be paid.

Healthcare cost trend rate—A rate of 8.0% for 2013; 7.0% for 2016; 6.0% for 2016; and reduced to an ultimate rate of 5.0% thereafter.

Health insurance premiums—2011 health insurance premiums for retirees were used as the basis for calculation of the present value of total benefits to be paid.

Payroll growth rate—Expected long-term payroll growth rate was assumed to equal to 2.0%. Based on the historical and expected returns of the City's short-term investment portfolio, a discount rate of 4.5% was used. The remaining amortization period at June 30, 2016 was twenty-seven years.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

13. SUCCESSOR AGENCY TRUST FOR ASSETS OF FORMER REDEVELOPMENT AGENCY

On December 29, 2011, the California Supreme Court upheld Assembly Bill 1X 26 (“the Bill”) that provides for the dissolution of all redevelopment agencies in the State of California. This action impacted the reporting entity of the City of Atwater that previously had reported a redevelopment agency within the reporting entity of the City as a blended component unit.

The Bill provides that upon dissolution of a redevelopment agency, either the city or another unit of local government will agree to serve as the “successor agency” to hold the assets until they are distributed to other units of state and local government. On January 12, 2015, the City Council elected to become the Successor Agency for the former redevelopment agency in accordance with the Bill as part of City resolution number 112-10.

After enactment of the law on June 28, 2011, redevelopment agencies in the State of California cannot enter into new projects, obligations or commitments. Subject to the control of a newly established oversight board, remaining assets can only be used to pay enforceable obligations in existence at the date of dissolution (including the completion of any unfinished projects that were subject to legally enforceable contractual commitments).

In future fiscal years, successor agencies will only be allocated revenue in the amount that is necessary to pay the estimated annual installment payments on enforceable obligations of the former redevelopment agency until all enforceable obligations of the prior redevelopment agency have been paid in full and all assets have been liquidated.

The Bill directs the State Controller of the State of California to review the propriety of any transfers of assets between redevelopment agencies and other public bodies that occurred after January 1, 2011. If the public body that received such transfers is not contractually committed to a third party for the expenditure or encumbrance of those assets, the State Controller is required to order the available assets to be transferred to the public body designated as the successor agency by the Bill.

Management believes, in consultation with legal counsel, that the obligations of the former redevelopment agency due to the City are valid enforceable obligations payable by the successor agency trust under the requirements of the Bill. The City’s position on this issue is not a position of settled law and there is considerable legal uncertainty regarding this issue. It is reasonably possible that a legal determination may be made at a later date by an appropriate judicial authority that would resolve this issue unfavorably to the City.

After the date of dissolution, the assets and activities of the dissolved redevelopment agency are reported in a fiduciary fund (private-purpose trust fund) in the financial statements of the City.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

13. SUCCESSOR AGENCY TRUST FOR ASSETS OF FORMER REDEVELOPMENT AGENCY, Continued

Long-term Liabilities

The following is a summary of changes in long-term liabilities for the year ended June 30, 2016:

	Balance July 1, 2015	Additions	Retirements	Balance June 30, 2016	Due Within One Year
Trust Activities:					
1998 Tax Allocation Refunding Bonds -					
Series A	\$ 1,100,000	\$ -	\$ (135,000)	\$ 965,000	\$ 140,000
2007 Taxable Housing Tax Allocation Refunding Bonds -					
Series A	5,955,000	-	(375,000)	5,580,000	395,000
Series B	1,640,000	-	(110,000)	1,530,000	115,000
Bond discount	(77,427)	-	7,741	(69,686)	(7,741)
Total trust fund debt	\$ 8,617,573	\$ -	\$ (612,259)	\$ 8,005,314	\$ 642,259

1998 Tax Allocation Refunding Bonds – Series A

In April 1998, the Atwater Redevelopment Agency issued \$2,600,000 Atwater Redevelopment Agency (Downtown Redevelopment Project) Tax Allocation Refunding Bonds, Series A. The proceeds of the bonds were used to provide moneys to the Agency to enable the Agency to: (i) generally finance redevelopment activities and specifically to refund certain outstanding obligations of the Atwater Public Financing Authority, (ii) fund a reserve fund, and (iii) pay the costs of issuance of the bonds. The final maturity date on the bonds is June 2022. Each payment includes interest at an annual rate between 4.9% and 5.5%. At June 30, 2016, the total principal outstanding is \$965,000.

2007 Taxable Housing Tax Allocation Bonds – Series A

In April 2007, the Atwater Redevelopment Agency issued \$8,475,000 Atwater Redevelopment Agency Tax Allocation Bonds, Series A. The proceeds of the bonds were used to provide moneys to the Agency to enable the Agency to finance a variety of Agency projects. A portion of the bond proceeds was used to defease all of the outstanding 1998 B Bonds. The final maturity date on the bonds is June 2026. At June 30, 2016, the total principal outstanding is \$5,580,000 and the unamortized discounts total \$52,244, resulting in a net outstanding balance of \$5,527,756.

2007 Taxable Housing Tax Allocation Bonds – Series B

In April 2007, the Atwater Redevelopment Agency issued \$2,325,000 Atwater Redevelopment Project Taxable Housing Tax Allocation Bonds, Series B. The bond proceeds were used by the Agency (i) finance low and moderate housing redevelopment activities in the Project Area, (ii) pay the premium for a debt service reserve fund surety bond to be deposited in a reserve fund for the bonds, and (iii) pay the costs of issuing the bonds. The final maturity date on the bonds is June 2026. At June 30, 2016, the total principal outstanding is \$1,530,000 and the unamortized discounts total \$17,442, resulting in a net balance of \$1,512,558.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

13. SUCCESSOR AGENCY TRUST FOR ASSETS OF FORMER REDEVELOPMENT AGENCY, Continued

Future debt service for Fiduciary Activities at June 30, 2016, is as follows:

		Fiduciary Activities					
Year Ending 30,	June	1998 Tax Allocation Refunding Bonds - Series A		2007 Taxable Housing Tax Allocation Refunding Bonds - Series A		2007 Taxable Housing Tax Allocation Refunding Bonds - Series B	
		Principal	Interest	Principal	Interest	Principal	Interest
	2017	\$ 140,000	\$ 52,790	\$ 395,000	\$ 237,296	\$ 115,000	\$ 92,105
	2018	145,000	45,230	410,000	221,496	125,000	85,607
	2019	155,000	37,400	425,000	204,584	130,000	78,045
	2020	165,000	28,875	445,000	186,946	140,000	70,180
	2021	175,000	19,800	460,000	168,256	145,000	61,710
	2022-2026	185,000	10,175	3,445,000	477,940	875,000	164,864
	Total	965,000	194,270	5,580,000	1,496,518	1,530,000	552,511
	Less: Discount	-	-	(52,244)	-	(17,442)	-
		<u>\$ 965,000</u>	<u>\$ 194,270</u>	<u>\$ 5,527,756</u>	<u>\$ 1,496,518</u>	<u>\$ 1,512,558</u>	<u>\$ 552,511</u>
	Due within one year	\$ 140,000	\$ 52,790	\$ 389,196	\$ 237,296	\$ 113,063	\$ 92,105
	Due after one year	825,000	141,480	5,185,000	1,259,222	1,415,000	460,406
	Less: Discount	-	-	(46,440)	-	(15,505)	-
	Total	<u>\$ 965,000</u>	<u>\$ 194,270</u>	<u>\$ 5,527,756</u>	<u>\$ 1,496,518</u>	<u>\$ 1,512,558</u>	<u>\$ 552,511</u>
Year Ending June 30,		Total					
		Principal	Interest				
	2017	\$ 650,000	\$ 382,191				
	2018	680,000	352,333				
	2019	710,000	320,029				
	2020	750,000	286,001				
	2021	780,000	249,766				
	2022-2026	4,505,000	652,979				
	Total	8,075,000	2,243,299				
	Less: Discount	(69,686)	-				
		<u>\$ 8,005,314</u>	<u>\$ 2,243,299</u>				
	Due within one year	\$ 642,259	\$ 374,450				
	Due after one year	7,425,000	1,868,849				
	Less: Discount	(61,945)	-				
	Total	<u>\$ 8,005,314</u>	<u>\$ 2,243,299</u>				

14. COMMITMENTS AND CONTINGENCIES

Litigation

The City is involved in litigation incurred in the normal course of conducting City business. Although the outcome of these lawsuits is not presently determinable, in the opinion of the City's counsel, the resolution of these matters will not have a material adverse effect on the financial condition of the City.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

14. COMMITMENTS AND CONTINGENCIES, Continued

Grants and Allocations

Amounts received or receivable from grant agencies are subject to audit and adjustment by grantor agencies, principally the federal and state government. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures that may be disallowed by the grantor cannot be determined at this time, although the City expects such amounts, if any, to be immaterial.

15. NEW ACCOUNTING PRONOUNCEMENTS

The GASB has issued Statement No. 72, “Fair Value Measurement and Application”. The objective of this Statement is to improve financial reporting by clarifying the definition of fair value for financial reporting purposes, establishing general principles for measuring fair value, providing additional fair value application guidance, and enhancing disclosures about fair value measurements. These improvements are based in part on the concepts and definitions established in Concepts Statement No. 6, Measurement of Elements of Financial Statements, and other relevant literature. The requirements of this Statement are effective for financial statements for reporting periods beginning after June 15, 2016. The City will implement this statement, as applicable, to its financial statements for the year ending June 30, 2016.

The GASB has issued Statement No. 73, “Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68”. The objective of this Statement is to improve the usefulness of information about pensions included in the general purpose external financial reports of state and local governments for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. This Statement establishes requirements for defined benefit pensions that are not within the scope of Statement No. 68, “Accounting and Financial Reporting for Pensions”, as well as for the assets accumulated for purposes of providing those pensions. In addition, it establishes requirements for defined contribution pensions that are not within the scope of Statement 68. It also amends certain provisions of Statement No. 67, “Financial Reporting for Pension Plans”, and Statement 68 for pension plans and pensions that are within their respective scopes.

The requirements of this Statement that address accounting and financial reporting by employers and governmental nonemployer contributing entities for pensions that are not within the scope of Statement 68 are effective for financial statements for fiscal years beginning after June 15, 2016, and the requirements of this Statement that address financial reporting for assets accumulated for purposes of providing those pensions are effective for fiscal years beginning after June 15, 2016. The requirements of this Statement for pension plans that are within the scope of Statement 67 or for pensions that are within the scope of Statement 68 are effective for fiscal years beginning after June 15, 2016. The City will evaluate the applicability of the provisions of this Statement and implement it in the applicable year, accordingly.

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

15. NEW ACCOUNTING PRONOUNCEMENTS, Continued

The GASB has issued Statement No. 74, “Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans”. The objective of this Statement is to improve the usefulness of information about postemployment benefits other than pensions (other postemployment benefits or OPEB) included in the general purpose external financial reports of state and local governmental OPEB plans for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. This Statement replaces Statements No. 43, “Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans”, as amended, and No. 57, OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans, as amended, Statement 43, and Statement No. 50, Pension Disclosures. The provisions in Statement 74 are effective for fiscal years beginning after June 15, 2016. The City will implement this Statement in fiscal year ending June 30, 2017.

The GASB has issued Statement No. 75, “Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions”. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by state and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. This Statement replaces the requirements of Statements No. 45, “Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions”, as amended, and No. 57, “OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans”, for OPEB. Statement No. 74, “Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans”, establishes new accounting and financial reporting requirements for OPEB plans. The provisions in Statement 75 are effective for fiscal years beginning after June 15, 2017. The City will implement this statement, as applicable, to its financial statements for the year ending June 30, 2018.

The GASB has issued Statement No. 76, “The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments”. The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The “GAAP hierarchy” consists of the sources of accounting principles used to prepare financial statements of state and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and nonauthoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP. This Statement supersedes Statement No. 55, “The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments”. The requirements of

City of Atwater, California
Notes to Basic Financial Statements, Continued
For the year ended June 30, 2016

15. NEW ACCOUNTING PRONOUNCEMENTS, Continued

this Statement are effective for financial statements for periods beginning after June 15, 2016, and should be applied retroactively. The City will implement this statement, as applicable, to its financial statements for the year ending June 30, 2016.

The GASB has issued Statement No. 77, "Tax Abatement Disclosures". This information is intended, among other things, to assist these users of financial statements in assessing (1) whether a government's current-year revenues were sufficient to pay for current-year services (known as interperiod equity), (2) whether a government complied with finance-related legal and contractual obligations, (3) where a government's financial resources come from and how it uses them, and (4) a government's financial position and economic condition and how they have changed over time. The requirements of this Statement are effective for reporting periods beginning after December 15, 2016. The City will implement this statement, as applicable, to its financial statements for the year ending June 30, 2017.

16. MANAGEMENT'S PLAN OF OPERATIONS

General Fund

Two major sources of revenue to the City's General Fund are property tax and sales tax. Both of these areas were significantly impacted by the economic downturn over the past several years. The effects of the housing downturn and financial market decline have reduced the City's General Fund revenue base. This situation was further impacted by State action which reduced local revenues such as motor vehicle license fees and eliminated redevelopment agencies statewide. Rising labor costs through collective bargaining agreements and accounting changes such as reporting Other Post-Employment Benefits (OPEB) have further contributed to the structural imbalance. To address this situation, the City Council has taken action to begin to move the General Fund toward a balanced budget position. The City has worked with employees to reduce current operating costs through early retirements, layoffs and salary and benefit reductions. Actions have also been taken to increase various fees to generate additional revenue. These actions have significantly reduced the magnitude of the operating shortfall. A balanced General Fund budget was adopted for the 2016-17 fiscal year.

Sanitation Fund

Sanitation service in the City of Atwater is provided through a service contract with an outside vendor. That ten-year agreement was executed in 2003 and rates have not been adjusted since that time. This has resulted in a fund deficit in the Sanitation Fund. To address this issue, the City Council formed a Sanitation Fund Committee to review options for addressing this issue. A five-year plan for annual rate increases with the first rate increase in the 2012-13 fiscal year was approved by the City Council.

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REQUIRED SUPPLEMENTARY INFORMATION

City of Atwater, California

Required Supplementary Information - Schedule of Contributions

Miscellaneous Plan

Last 10 Fiscal Years*

	2015	2014
Contractually required contribution (actuarially determined)	\$ 829,281	\$ 611,946
Contributions in relation to the actuarially determined contributions	(829,281)	(611,946)
Contribution deficiency (excess)	\$ -	\$ -
Covered-employee payroll	\$ 1,861,099	\$ 2,337,219
Contribution as a percentage of covered-employee payroll	44.56%	26.18%

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

Miscellaneous Tier 2 Plan

Last 10 Fiscal Years*

	2015	2014
Contractually required contribution (actuarially determined)	\$ 17,805	N/A
Contributions in relation to the actuarially determined contributions	(17,805)	N/A
Contribution deficiency (excess)	\$ -	\$ -
Covered-employee payroll	\$ 156,955	N/A
Contribution as a percentage of covered-employee payroll	11.34%	N/A

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

PEPRA Miscellaneous Plan

Last 10 Fiscal Years*

	2015	2014
Contractually required contribution (actuarially determined)	\$ 20,718	N/A
Contributions in relation to the actuarially determined contributions	(20,718)	N/A
Contribution deficiency (excess)	\$ -	\$ -
Covered-employee payroll	\$ 424,466	N/A
Contribution as a percentage of covered-employee payroll	4.88%	N/A

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

City of Atwater, California

Required Supplementary Information - Schedule of Contributions, Continued

Safety Plan

Last 10 Fiscal Years*

	2015	2014
Contractually required contribution (actuarially determined)	\$ 1,459,774	\$ 1,144,372
Contributions in relation to the actuarially determined contributions	(1,459,774)	(1,144,372)
Contribution deficiency (excess)	\$ -	\$ -
Covered-employee payroll	\$ 1,875,561	\$ 1,979,002
Contribution as a percentage of covered-employee payroll	77.83%	57.83%

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

PEPRA Safety Plan

Last 10 Fiscal Years*

	2015	2014
Contractually required contribution (actuarially determined)	\$ 21,556	N/A
Contributions in relation to the actuarially determined contributions	(21,556)	N/A
Contribution deficiency (excess)	\$ -	\$ -
Covered-employee payroll	\$ 327,020	N/A
Contribution as a percentage of covered-employee payroll	6.59%	N/A

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

City of Atwater, California

Required Supplementary Information - Schedule of Contributions

Miscellaneous Plan		
Last 10 Fiscal Years*	2015	2014
Plan's Proportion of the Net Pension Liability/(Asset)	0.37119%	0.15531%
Plan's Proportionate Share of the Net Pension Liability/(Asset)	\$ 10,183,590	\$ 9,663,919
Plan's Covered-Employee Payroll	\$ 1,861,099	\$ 2,337,219
Plan's Proportionate Share of the Net Pension Liability/(Asset) as a Percentage of its Covered-Employee Payroll	547.18%	413.48%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total Pension Liability	68.53%	69.38%
Plan's Proportionate Share of Aggregate Employer Contribution	\$ 829,281	\$ 592,151

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

Miscellaneous Tier 2 Plan		
Last 10 Fiscal Years*	2015	2014
Plan's Proportion of the Net Pension Liability/(Asset)	-0.000061%	N/A
Plan's Proportionate Share of the Net Pension Liability/(Asset)	\$ 1,663	N/A
Plan's Covered-Employee Payroll	\$ 156,955	N/A
Plan's Proportionate Share of the Net Pension Liability/(Asset) as a Percentage of its Covered-Employee Payroll	1.06%	N/A
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total Pension Liability	102.93%	N/A
Plan's Proportionate Share of Aggregate Employer Contribution	\$ 17,805	N/A

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

PEPRA Miscellaneous Plan		
Last 10 Fiscal Years*	2015	2014
Plan's Proportion of the Net Pension Liability/(Asset)	-0.000012%	N/A
Plan's Proportionate Share of the Net Pension Liability/(Asset)	\$ 320	N/A
Plan's Covered-Employee Payroll	\$ 424,466	N/A
Plan's Proportionate Share of the Net Pension Liability/(Asset) as a Percentage of its Covered-Employee Payroll	0.08%	N/A
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total Pension Liability	101.37%	N/A
Plan's Proportionate Share of Aggregate Employer Contribution	\$ 20,718	N/A

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

City of Atwater, California

Required Supplementary Information - Schedule of Contributions, Continued

Safety Plan		
Last 10 Fiscal Years*	2015	2014
Plan's Proportion of the Net Pension Liability/(Asset)	0.29793%	0.18895%
Plan's Proportionate Share of the Net Pension Liability/(Asset)	\$ (12,276,084)	\$ 11,757,643
Plan's Covered-Employee Payroll	\$ 1,875,561	\$ 1,979,002
Plan's Proportionate Share of the Net Pension Liability/(Asset) as a Percentage of its Covered-Employee Payroll	-654.53%	594.12%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total Pension Liability	66.45%	65.83%
Plan's Proportionate Share of Aggregate Employer Contribution	\$ 1,459,774	\$ 641,333

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

PEPRA Safety Plan		
Last 10 Fiscal Years*	2015	2014
Plan's Proportion of the Net Pension Liability/(Asset)	-0.00001%	0.00000%
Plan's Proportionate Share of the Net Pension Liability/(Asset)	\$ 231	\$ -
Plan's Covered-Employee Payroll	\$ 327,020	\$ -
Plan's Proportionate Share of the Net Pension Liability/(Asset) as a Percentage of its Covered-Employee Payroll	0.07%	0.00%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total Pension Liability	101.16%	0.00%
Plan's Proportionate Share of Aggregate Employer Contribution	\$ 21,556	\$ -

Notes to Schedule

1) Covered employee payroll represents compensation earnable and pensionable compensation. Only compensation earnable and pensionable compensation that would possibly go into the determination of retirement benefits are included.

* - Fiscal year 2015 was the first year of implementation, therefore only the first two years are available.

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COMBINING AND INDIVIDUAL FUND STATEMENTS AND SCHEDULES

NON-MAJOR GOVERNMENTAL FUNDS

Fund Type	Description
Special Revenue	These funds account for restricted revenues (for specified purposes).
City Capital Projects Fund	This fund accounts for construction or acquisition of governmental capital assets (capital outlay).
Performance Bond Capital Projects Fund	This fund accounts for financial resources for the acquisition of general obligation bonds.

City of Atwater, California
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2016

	Governmental Funds			
	Special Revenue Funds	Capital Projects Funds		Non-Major Funds Totals
		General	Performance Bond	
ASSETS				
Cash and investments	\$ 6,885,522	\$ 3,523	\$ 210,214	\$ 7,099,259
Receivables:				
Taxes and assessments	12,104	-	-	12,104
Interest	2,907	-	81	2,988
Intergovernmental	441,895	-	-	441,895
Other receivable	-	2,645	-	2,645
Advance to Successor Agency	259,265	-	-	259,265
Investment in land held for resale	3,855,930	-	-	3,855,930
Total assets	<u>\$ 11,858,408</u>	<u>\$ 6,168</u>	<u>\$ 210,295</u>	<u>\$ 12,074,871</u>
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	\$ 114,600	\$ 1,388	\$ -	\$ 115,988
Due to other funds	1,083,347	-	-	1,083,347
Deposits Payable	-	-	111,666	111,666
Total liabilities:	<u>1,197,947</u>	<u>1,388</u>	<u>111,666</u>	<u>1,311,001</u>
Deferred inflows of resources:				
Unavailable revenue	21,032	1,604	-	22,636
Total deferred inflows of resources	<u>21,032</u>	<u>1,604</u>	<u>-</u>	<u>22,636</u>
Total liabilities and deferred inflows	<u>1,218,979</u>	<u>2,992</u>	<u>111,666</u>	<u>1,333,637</u>
Fund Balances:				
Nonspendable	3,855,930	-	-	3,855,930
Restricted	4,748,643	-	-	4,748,643
Assigned	2,981,588	3,176	98,629	3,083,393
Unassigned (deficit)	(946,732)	-	-	(946,732)
Total fund balances	<u>10,639,429</u>	<u>3,176</u>	<u>98,629</u>	<u>10,741,234</u>
Total liabilities, deferred inflows and fund balances	<u>\$ 11,858,408</u>	<u>\$ 6,168</u>	<u>\$ 210,295</u>	<u>\$ 12,074,871</u>

City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Governmental Funds

For the year ended June 30, 2016

	Governmental Funds			
	Special Revenue Funds	Capital Projects Funds		Non-Major Funds Totals
		General	Performance Bond	
REVENUES:				
Taxes and assessments	\$ 876,975	\$ -	\$ -	\$ 876,975
Intergovernmental	1,900,483	206,430	-	2,106,913
Use of money and property	77,164	5	343	77,512
Reimbursements	4,754	-	-	4,754
Other revenues	808	-	-	808
Total revenues	2,860,184	206,435	343	3,066,962
EXPENDITURES:				
Current:				
General government	27,624	-	6,639	34,263
Public safety	501,236	10,058	-	511,294
Highways and Streets	959,424	-	-	959,424
Urban redevelopment and housing	231,690	-	-	231,690
Capital outlay	257,062	148,448	-	405,510
Total expenditures	1,977,036	158,506	6,639	2,142,181
REVENUES OVER (UNDER) EXPENDITURES	883,148	47,929	(6,296)	924,781
OTHER FINANCING SOURCES (USES):				
Transfers in	164,891	13,496	-	178,387
Transfers out	(91,726)	(12,566)	-	(104,292)
Total other financing sources (uses)	73,165	930	-	74,095
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	956,313	48,859	(6,296)	998,876
FUND BALANCES:				
Beginning of year	9,683,116	(45,683)	104,925	9,742,358
End of year	\$ 10,639,429	\$ 3,176	\$ 98,629	\$ 10,741,234

NON-MAJOR SPECIAL REVENUE FUNDS

Fund	Description
Police Grants	Accounts for revenues and expenditures associated with community policing grants.
Gas Tax	Accounts for funds received and expended for street maintenance purposes as defined in Sections 2105, 2106, 2107, and 2107.5 of the Streets and Highway Code.
Local Transportation Fund	Accounts accounts for local transportation funds restricted to transit, street, pedestrian, and bike purposes.
Facility Impact Fee	These fees are received from developers to increase space and to improve City buildings to mitigate the growth of the City.
Community Developent Block Grants	Accounts for activities related to housing and the related Urban redevelopment and housing Block Grant funding.
CDBG Program Income	Accounts for activities related to housing and the related Urban redevelopment and housing Block Grant funding program income.
HOME Investment Partnership Program	Accounts for activities related to housing and the related Home Program funding.
Housing Authority	Accounts for activities related to housing and the related Home Program funding.
Bloss Estate	Accounts for funding for the maintenance and restoration of the Bloss House.
Narcotics Program	Accounts for revenues and expenditures associated with the Narcotics Program.
Neighborhood Stabilization	Accounts for revenues and expenditures associated with the redevelopment of abandoned and foreclosed homes and residential property.

(continued)

NON-MAJOR SPECIAL REVENUE FUNDS, Continued

Fund	Description
Applegate Interchange	Accounts for revenues and expenditures associated with the Applegate Interchange.
Maintenance Districts:	Accounts for funds collected for the maintenance districts shown within the City limits for which the City is obligated to maintain.
	Northwood Village Camelia Estates
	Orchard Parks Estates Juniper Meadows
	Wildwood Estates Camelia Meadows
	Woodview Garland Stone Creek
	Shaffer Lakes West America West
	Woodhaven Bell Crossing
	Sierra Parks Atwater South
	Shaffer Lakes East Beluga Court
	Price Annexation Mello Ranch 2
	Sandlewood Square Meadow View
	Pajaro Dunes Aspenwood
	Redwood Estates Applegate Ranch
	Cottage Gardens Reserve
	Airport Business Park CFD Districts
	Silva Ranch
	Mello Ranch

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City of Atwater, California
Combining Balance Sheet
Nonmajor Special Revenue Funds
June 30, 2016

	Police Grants	Gas Tax	Local Transportation	Facility Impact Fee
ASSETS				
Cash and investments	\$ 18,366	\$ 1,500,896	\$ 27,060	\$ 2,618,305
Receivables:				
Taxes and assessments				
Interest	45	620	10	1,011
Intergovernmental	127,392	314,503	-	-
Other receivable	-	-	-	-
Due from other funds	-	-	-	-
Advance to Successor Agency	-	-	-	-
Investment in land held for resale	-	-	-	-
Total assets	<u>\$ 145,803</u>	<u>\$ 1,816,019</u>	<u>\$ 27,070</u>	<u>\$ 2,619,316</u>
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	\$ 15,442	\$ 72,400	\$ 851	\$ 14,406
Due to other funds	252,711	-	417,410	-
Total liabilities:	<u>268,153</u>	<u>72,400</u>	<u>418,261</u>	<u>14,406</u>
Deferred inflows of resources:				
Unavailable revenue	21,061	-	-	-
Total deferred inflows of resources	<u>21,061</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total liabilities and deferred inflows	<u>289,214</u>	<u>72,400</u>	<u>418,261</u>	<u>14,406</u>
Fund Balances:				
Nonspendable	-	-	-	-
Restricted	-	1,743,619	-	2,604,910
Assigned	-	-	-	-
Unassigned (deficit)	(143,411)	-	(391,191)	-
Total fund balances	<u>(143,411)</u>	<u>1,743,619</u>	<u>(391,191)</u>	<u>2,604,910</u>
Total liabilities deferred inflows and fund balances	<u>\$ 145,803</u>	<u>\$ 1,816,019</u>	<u>\$ 27,070</u>	<u>\$ 2,619,316</u>

Community Development Block Grants	CDBG Program Income	HOME Investment Partnership Program	Housing Authority	Bloss Estate	Narcotics Program	Neighborhood Stabilization
\$ -	\$ 29,272	\$ 188,502	\$ -	\$ -	\$ 5,267	\$ 211,458
-	7	73	-	-	2	81
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	259,265	-	-	-
-	-	-	3,855,930	-	-	-
<u>\$ -</u>	<u>\$ 29,279</u>	<u>\$ 188,575</u>	<u>\$ 4,115,195</u>	<u>\$ -</u>	<u>\$ 5,269</u>	<u>\$ 211,539</u>
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
12,441	-	-	-	-	-	-
<u>12,441</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
-	(29)	-	-	-	-	-
-	(29)	-	-	-	-	-
<u>12,441</u>	<u>(29)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
-	-	-	3,855,930	-	-	-
-	-	188,575	-	-	-	211,539
-	29,308	-	259,265	-	5,269	-
<u>(12,441)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
<u>(12,441)</u>	<u>29,308</u>	<u>188,575</u>	<u>4,115,195</u>	<u>-</u>	<u>5,269</u>	<u>211,539</u>
<u>\$ -</u>	<u>\$ 29,279</u>	<u>\$ 188,575</u>	<u>\$ 4,115,195</u>	<u>\$ -</u>	<u>\$ 5,269</u>	<u>\$ 211,539</u>

(continued)

City of Atwater, California
Combining Balance Sheet
Nonmajor Special Revenue Funds, continued
June 30, 2016

	Applegate Interchange	Maintenance District Funds	Totals
ASSETS			
Cash and investments	\$ 723,654	\$ 1,562,742	\$ 6,885,522
Receivables:			
Taxes and assessments	-	12,104	12,104
Interest	279	779	2,907
Intergovernmental		-	441,895
Other receivable		-	-
Due from other funds	-	400,785	400,785
Advance to Successor Agency	-	-	259,265
Investment in land held for resale	-	-	3,855,930
Total assets	\$ 723,933	\$ 1,976,410	\$ 11,858,408
AND FUND BALANCES			
Liabilities:			
Accounts payable and accrued liabilities	\$ -	\$ 11,501	\$ 114,600
Due to other funds		400,785	1,083,347
Total liabilities:	-	412,286	1,197,947
Deferred inflows of resources:			
Unavailable revenue	-	-	21,032
Total deferred inflows of resources	-	-	21,032
Total liabilities and deferred inflows	-	412,286	1,218,979
Fund Balances:			
Nonspendable	-	-	3,855,930
Restricted	-	-	4,748,643
Assigned	723,933	1,963,813	2,981,588
Unassigned (deficit)	-	(399,689)	(946,732)
Total fund balances	723,933	1,564,124	10,639,429
Total liabilities deferred inflows and fund balances	\$ 723,933	\$ 1,976,410	\$ 11,858,408

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City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Special Revenue Funds

For the year ended June 30, 2016

	Police Grants	Gas Tax	Local Transportation	Facility Impact Fee
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ -	\$ 302,213
Fines and forfeitures	-	-	-	-
Intergovernmental	606,301	1,225,186	15,324	4,032
Use of money and property	147	2,770	39	4,201
Reimbursements	-	-	-	4,754
Other revenues	-	808	-	-
Total revenues	606,448	1,228,764	15,363	315,200
EXPENDITURES:				
Current:				
General government	-	-	-	27,624
Public safety	501,236	-	-	-
Highways and Streets	-	959,424	-	-
Urban redevelopment and housing	-	-	-	-
Capital outlay	40	164,134	-	92,888
Total expenditures	501,276	1,123,558	-	120,512
REVENUES OVER (UNDER) EXPENDITURES	105,172	105,206	15,363	194,688
OTHER FINANCING SOURCES (USES):				
Transfers in	70,706	422	-	-
Transfers out	-	-	-	-
Total other financing sources and uses	70,706	422	-	-
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	175,878	105,628	15,363	194,688
FUND BALANCES (DEFICITS):				
Beginning of year	(319,289)	1,637,991	(406,554)	2,410,222
End of year	<u>\$ (143,411)</u>	<u>\$ 1,743,619</u>	<u>\$ (391,191)</u>	<u>\$ 2,604,910</u>

Community Development Block Grants	CDBG Program Income	HOME Investment Partnership Program	Housing Authority	Bloss Estate	Narcotics Program	Neighborhood Stabilization
\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
-	-	-	-	-	-	-
-	-	-	-	-	-	49,640
-	18,625	46,590	-	-	9	307
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	18,625	46,590	-	-	9	49,947
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	-	-	-	-	-	-
-	18,625	46,590	-	-	9	49,947
-	-	-	-	2,037	-	-
-	-	-	-	-	-	-
-	-	-	-	2,037	-	-
-	18,625	46,590	-	2,037	9	49,947
(12,441)	10,683	141,985	4,115,195	(2,037)	5,260	161,592
<u>\$ (12,441)</u>	<u>\$ 29,308</u>	<u>\$ 188,575</u>	<u>\$ 4,115,195</u>	<u>\$ -</u>	<u>\$ 5,269</u>	<u>\$ 211,539</u>

(continued)

City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Nonmajor Special Revenue Funds, continued

For the year ended June 30, 2016

	Applegate Interchange	Maintenance District Funds	Totals
REVENUES:			
Taxes and assessments	\$ -	\$ 574,762	\$ 876,975
Fines and forfeitures	-	-	-
Intergovernmental	-	-	1,900,483
Use of money and property	1,159	3,317	77,164
Reimbursements	-	-	4,754
Other revenues	-	-	808
Total revenues	<u>1,159</u>	<u>578,079</u>	<u>2,860,184</u>
EXPENDITURES:			
Current:			
General government	-	-	27,624
Public safety	-	-	501,236
Highways and Streets	-	-	959,424
Urban redevelopment and housing	-	231,690	231,690
Capital outlay	-	-	257,062
Total expenditures	<u>-</u>	<u>231,690</u>	<u>1,977,036</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>1,159</u>	<u>346,389</u>	<u>883,148</u>
OTHER FINANCING SOURCES (USES):			
Transfers in	-	91,726	164,891
Transfers out	-	(91,726)	(91,726)
Total other financing sources and uses	<u>-</u>	<u>-</u>	<u>73,165</u>
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	<u>1,159</u>	<u>346,389</u>	<u>956,313</u>
FUND BALANCES (DEFICITS):			
Beginning of year	<u>722,774</u>	<u>1,217,735</u>	<u>9,683,116</u>
End of year	<u>\$ 723,933</u>	<u>\$ 1,564,124</u>	<u>\$ 10,639,429</u>

(concluded)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Police Grants Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final Positive (Negative)
	Original	Final	Actual	
REVENUES:				
Intergovernmental	\$ 217,216	\$ 435,863	\$ 606,301	\$ 170,438
Use of money and property	-	-	147	147
Total revenues	<u>217,216</u>	<u>435,863</u>	<u>606,448</u>	<u>170,585</u>
EXPENDITURES:				
Current:				
Public safety	266,685	537,462	501,236	36,226
Capital outlay	-	-	40	(40)
Total expenditures	<u>266,685</u>	<u>537,462</u>	<u>501,276</u>	<u>36,186</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>(49,469)</u>	<u>(101,599)</u>	<u>105,172</u>	<u>206,771</u>
OTHER FINANCING SOURCES (USES):				
Transfers in	31,657	31,657	70,706	39,049
Total other financing sources (uses)	<u>31,657</u>	<u>31,657</u>	<u>70,706</u>	<u>39,049</u>
Net change in fund balances	<u>(17,812)</u>	<u>(69,942)</u>	<u>175,878</u>	<u>245,820</u>
FUND BALANCES (DEFICITS):				
Beginning of year	(319,289)	(319,289)	(319,289)	-
End of year	<u>\$ (337,101)</u>	<u>\$ (389,231)</u>	<u>\$ (143,411)</u>	<u>\$ 245,820</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Gas Tax Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Intergovernmental	\$ 926,831	\$ 926,831	\$ 1,225,186	\$ 298,355
Use of money and property	-	-	2,770	2,770
Other revenues	1,000	1,000	808	(192)
Total revenues	<u>927,831</u>	<u>927,831</u>	<u>1,228,764</u>	<u>300,933</u>
EXPENDITURES:				
Current:				
Highways and Streets	1,082,766	1,082,766	959,424	123,342
Capital outlay	580,500	580,500	164,134	416,366
Total expenditures	<u>1,663,266</u>	<u>1,663,266</u>	<u>1,123,558</u>	<u>539,708</u>
REVENUES OVER (UNDER)				
EXPENDITURES	<u>(735,435)</u>	<u>(735,435)</u>	<u>105,206</u>	<u>840,641</u>
OTHER FINANCING SOURCES (USES):				
Transfers in	-	-	422	422
Transfers out	-	-	-	-
Total other financing sources (uses)	<u>-</u>	<u>-</u>	<u>422</u>	<u>422</u>
Net change in fund balances	<u>(735,435)</u>	<u>(735,435)</u>	<u>105,628</u>	<u>841,063</u>
FUND BALANCES:				
Beginning of year	1,637,991	1,637,991	1,637,991	-
End of year	<u>\$ 902,556</u>	<u>\$ 902,556</u>	<u>\$ 1,743,619</u>	<u>\$ 841,063</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Local Transportation Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Intergovernmental	\$ -	\$ -	\$ 15,324	\$ 15,324
Use of money and property	-	-	39	39
Other revenues	-	-	-	-
Total revenues	-	-	15,363	15,363
EXPENDITURES:				
Current:				
Highways and Streets	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	15,363	15,363
Net change in fund balances	-	-	15,363	15,363
FUND BALANCES (DEFICITS):				
Beginning of year	(406,554)	(406,554)	(406,554)	-
End of year	<u>\$ (406,554)</u>	<u>\$ (406,554)</u>	<u>\$ (391,191)</u>	<u>\$ 15,363</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Facility Impact Fee Revolving Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ 22,000	\$ 115,700	\$ 302,213	\$ 186,513
Intergovernmental	9,500	9,500	4,032	(5,468)
Use of money and property	4,250	1,055	4,201	3,146
Reimbursements	-	15,205	4,754	(10,451)
Total revenues	<u>35,750</u>	<u>141,460</u>	<u>315,200</u>	<u>173,740</u>
EXPENDITURES:				
Current:				
General government	-	-	27,624	(27,624)
Capital outlay	<u>343,000</u>	<u>171,000</u>	<u>92,888</u>	<u>78,112</u>
Total expenditures	<u>343,000</u>	<u>171,000</u>	<u>120,512</u>	<u>50,488</u>
REVENUES OVER (UNDER)				
EXPENDITURES	<u>(307,250)</u>	<u>(29,540)</u>	<u>194,688</u>	<u>224,228</u>
Net change in fund balances	<u>(307,250)</u>	<u>(29,540)</u>	<u>194,688</u>	<u>224,228</u>
FUND BALANCES:				
Beginning of year	<u>2,410,222</u>	<u>2,410,222</u>	<u>2,410,222</u>	<u>-</u>
End of year	<u>\$ 2,102,972</u>	<u>\$ 2,380,682</u>	<u>\$ 2,604,910</u>	<u>\$ 224,228</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Community Development Block Grants Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final Positive (Negative)
	Original	Final	Actual	
REVENUES:				
Intergovernmental	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-
EXPENDITURES:				
Current:				
Capital outlay	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	-	-
Net change in fund balances	-	-	-	-
FUND BALANCES (DEFICITS):				
Beginning of year	(12,441)	(12,441)	(12,441)	-
End of year	<u>\$ (12,441)</u>	<u>\$ (12,441)</u>	<u>\$ (12,441)</u>	<u>\$ -</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

CDBG Program Income Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Use of money and property	\$ -	\$ -	\$ 18,625	\$ 18,625
Total revenues	-	-	18,625	18,625
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	18,625	18,625
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	-	-
Total other financing sources (uses)	-	-	-	-
Net change in fund balances	-	-	18,625	18,625
FUND BALANCES (DEFICITS):				
Beginning of year	10,683	10,683	10,683	-
End of year	\$ 10,683	\$ 10,683	\$ 29,308	\$ 18,625

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****HOME Investment Partnership Program Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Use of money and property	\$ -	\$ -	\$ 46,590	\$ 46,590
Total revenues	-	-	46,590	46,590
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	46,590	46,590
OTHER FINANCING SOURCES (USES):				
Transfers in			0	
Total other financing sources (uses)	-	-	-	-
Net change in fund balances	-	-	46,590	46,590
FUND BALANCES:				
Beginning of year	141,985	141,985	141,985	-
End of year	<u>\$ 141,985</u>	<u>\$ 141,985</u>	<u>\$ 188,575</u>	<u>\$ 46,590</u>

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Housing Authority Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Intergovernmental	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	-	-
Net change in fund balances	-	-	-	-
FUND BALANCES:				
Beginning of year	4,115,195	4,115,195	4,115,195	-
End of year	\$ 4,115,195	\$ 4,115,195	\$ 4,115,195	\$ -

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Bloss Estate Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Use of money and property	\$ -	\$ -	\$ -	\$ -
Total revenues	-	-	-	-
EXPENDITURES:				
Current:				
General government	0	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	-	-
OTHER FINANCING SOURCES (USES):				
Transfers in	-	-	2,037	2,037
Total other financing sources (uses)	-	-	2,037	2,037
Net change in fund balances	-	-	2,037	2,037
FUND BALANCES (DEFICITS):				
Beginning of year	(2,037)	(2,037)	(2,037)	-
End of year	<u>\$ (2,037)</u>	<u>\$ (2,037)</u>	<u>\$ -</u>	<u>\$ 2,037</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Narcotics Program Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Fines and forfeitures	\$ -	\$ -	\$ -	\$ -
Use of money and property	-	-	9	9
Total revenues	-	-	9	9
EXPENDITURES:				
Current:				
Public safety	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER) EXPENDITURES	-	-	9	9
Net change in fund balances	-	-	9	9
FUND BALANCES:				
Beginning of year	5,260	5,260	5,260	-
End of year	\$ 5,260	\$ 5,260	\$ 5,269	\$ 9

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Neighborhood Stabilization Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Intergovernmental	\$ -	\$ -	\$ 49,640	\$ 49,640
Use of money and property	435	435	307	(128)
Total revenues	435	435	49,947	49,512
EXPENDITURES:				
Current:				
Urban redevelopment and housing	162,482	162,482	-	162,482
Total expenditures	162,482	162,482	-	162,482
REVENUES OVER (UNDER) EXPENDITURES	(162,047)	(162,047)	49,947	211,994
Net change in fund balances	(162,047)	(162,047)	49,947	211,994
FUND BALANCES:				
Beginning of year	161,592	161,592	161,592	-
End of year	\$ (455)	\$ (455)	\$ 211,539	\$ 211,994

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Applegate Interchange Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ -	\$ -
Use of money and property	-	-	1,159	1,159
Total revenues	-	-	1,159	1,159
EXPENDITURES:				
Current:				
Highways and Streets	-	-	-	-
Total expenditures	-	-	-	-
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	1,159	1,159
Net change in fund balances	-	-	1,159	1,159
FUND BALANCES:				
Beginning of year	722,774	722,774	722,774	-
End of year	<u>\$ 722,774</u>	<u>\$ 722,774</u>	<u>\$ 723,933</u>	<u>\$ 1,159</u>

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City of Atwater, California
Combining Balance Sheet
Maintenance District Special Revenue Funds
June 30, 2016

	Northwood Village	Orchard Parks Estates	Wildwood Estates	Woodview Garland
ASSETS				
Cash and investments	\$ -	\$ 113,164	\$ -	\$ -
Receivables:				
Taxes and assessments	56	-	86	22
Interest	-	45	-	-
Total assets	<u>\$ 56</u>	<u>\$ 113,209</u>	<u>\$ 86</u>	<u>\$ 22</u>
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable	\$ 390	\$ 316	\$ 95	\$ 44
Due to other funds	37,540	-	12,289	8,146
Total liabilities	<u>37,930</u>	<u>316</u>	<u>12,384</u>	<u>8,190</u>
Fund Balances (Deficits):				
Assigned	-	112,893	-	-
Unassigned (deficit)	(37,874)	-	(12,298)	(8,168)
Total fund balances	<u>(37,874)</u>	<u>112,893</u>	<u>(12,298)</u>	<u>(8,168)</u>
Total liabilities and fund balances	<u>\$ 56</u>	<u>\$ 113,209</u>	<u>\$ 86</u>	<u>\$ 22</u>

Shaffer Lakes West	Woodhaven	Sierra Parks	Shaffer Lakes East	Price Annexation	Sandlewood Square	Sub- Totals
\$ 22,762	\$ 21,710	\$ -	\$ 108,144	\$ -	\$ 6,051	\$ 271,831
142	-	291	120	1,247	226	2,190
9	8	-	43	1	5	111
<u>\$ 22,913</u>	<u>\$ 21,718</u>	<u>\$ 291</u>	<u>\$ 108,307</u>	<u>\$ 1,248</u>	<u>\$ 6,282</u>	<u>\$ 274,132</u>
\$ 151	\$ 44	103	\$ 515	\$ 2,277	\$ 263	\$ 4,198
-	-	31,359	-	32,564	-	121,898
151	44	31,462	515	34,841	263	126,096
22,762	21,674	-	107,792	-	6,019	271,140
-	-	(31,171)	-	(33,593)	-	(123,104)
22,762	21,674	(31,171)	107,792	(33,593)	6,019	148,036
<u>\$ 22,913</u>	<u>\$ 21,718</u>	<u>\$ 291</u>	<u>\$ 108,307</u>	<u>\$ 1,248</u>	<u>\$ 6,282</u>	<u>\$ 274,132</u>

(continued)

City of Atwater, California
Combining Balance Sheet
Maintenance District Special Revenue Funds
June 30, 2016

	Pajaro Dunes	Redwood Estates	Cottage Gardens	Airport Business Park
ASSETS				
Cash and investments	\$ 40,173	\$ 78,735	\$ 34,832	\$ -
Receivables:				
Taxes and assessments	1	70	-	342
Interest	19	31	16	-
Due from other funds	-	-	-	-
Total assets	<u><u>\$ 40,193</u></u>	<u><u>\$ 78,836</u></u>	<u><u>\$ 34,848</u></u>	<u><u>\$ 342</u></u>
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable	\$ 395	\$ 17	\$ 45	\$ 433
Due to other funds	-	-	-	3,670
Total liabilities	<u>395</u>	<u>17</u>	<u>45</u>	<u>4,103</u>
Fund Balances:				
Assigned	39,798	78,819	34,803	-
Unassigned (deficit)	-	-	-	(3,761)
Total fund balances	<u>39,798</u>	<u>78,819</u>	<u>34,803</u>	<u>(3,761)</u>
Total liabilities and fund balances	<u><u>\$ 40,193</u></u>	<u><u>\$ 78,836</u></u>	<u><u>\$ 34,848</u></u>	<u><u>\$ 342</u></u>

Silva Ranch	Mello Ranch	Camelia Estates	Juniper Meadows	Camelia Meadows	Sub- Totals
\$ 138,249	\$ 161,517	\$ 27,731	\$ 3,480	\$ 56,117	\$ 540,834
-	105	7	-	0	525
54	62	11	5	22	220
0	0	-	-	-	-
<u>\$ 138,303</u>	<u>\$ 161,684</u>	<u>\$ 27,749</u>	<u>\$ 3,485</u>	<u>\$ 56,139</u>	<u>\$ 541,579</u>
\$ 44	\$ 808	\$ 99	\$ 25	\$ 143	\$ 2,009
-	-	-	-	-	3,670
44	808	99	25	143	5,679
138,259	160,876	27,650	3,460	55,996	539,661
-	-	-	-	-	(3,761)
<u>138,259</u>	<u>160,876</u>	<u>27,650</u>	<u>3,460</u>	<u>55,996</u>	<u>535,900</u>
<u>\$ 138,303</u>	<u>\$ 161,684</u>	<u>\$ 27,749</u>	<u>\$ 3,485</u>	<u>\$ 56,139</u>	<u>\$ 541,579</u>

(continued)

City of Atwater, California
Combining Balance Sheet
Maintenance District Special Revenue Funds
June 30, 2016

	Stone Creek	America West	Bell Crossing	Atwater South
ASSETS				
Cash and investments	\$ 225,582	\$ 74,022	\$ 33,118	\$ 96,373
Receivables:				
Taxes and assessments	2,443	1	30	131
Interest	88	29	13	93
Due from other funds	-	-	-	142,479
Total assets	<u><u>\$ 228,113</u></u>	<u><u>\$ 74,052</u></u>	<u><u>\$ 33,161</u></u>	<u><u>\$ 239,076</u></u>
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable	\$ 687	\$ 238	\$ 562	\$ 1,155
Due to other funds	-	-	-	-
Total liabilities	<u>687</u>	<u>238</u>	<u>562</u>	<u>1,155</u>
Fund Balances:				
Assigned	227,426	73,814	32,599	237,921
Unassigned (deficit)	-	-	-	-
Total fund balances	<u>227,426</u>	<u>73,814</u>	<u>32,599</u>	<u>237,921</u>
Total liabilities and fund balances	<u><u>\$ 228,113</u></u>	<u><u>\$ 74,052</u></u>	<u><u>\$ 33,161</u></u>	<u><u>\$ 239,076</u></u>

Beluga Court	Mello Ranch 2	Meadow View	Aspenwood	Applegate Ranch	Reserve	Sub- Totals
\$ 5,701	\$ -	\$ 166,762	\$ 100,072	\$ 35,346	\$ 13,101	\$ 750,077
37	4	295	4,053	1	5	7,000
2	101	65	39	14	-	444
-	258,306	-	-	-	-	400,785
<u>\$ 5,740</u>	<u>\$ 258,411</u>	<u>\$ 167,122</u>	<u>\$ 104,164</u>	<u>\$ 35,361</u>	<u>\$ 13,106</u>	<u>\$ 1,158,306</u>
\$ -	\$ 943	\$ 653	\$ 307	\$ 731	\$ 18	\$ 5,294
-	-	-	-	-	-	-
-	943	653	307	731	18	5,294
5,740	257,468	166,469	103,857	34,630	13,088	1,153,012
-	-	-	-	-	-	-
<u>5,740</u>	<u>257,468</u>	<u>166,469</u>	<u>103,857</u>	<u>34,630</u>	<u>13,088</u>	<u>1,153,012</u>
<u>\$ 5,740</u>	<u>\$ 258,411</u>	<u>\$ 167,122</u>	<u>\$ 104,164</u>	<u>\$ 35,361</u>	<u>\$ 13,106</u>	<u>\$ 1,158,306</u>

(continued)

City of Atwater, California
Combining Balance Sheet
Maintenance District Special Revenue Funds
June 30, 2016

	CFD Districts	Sub-Totals	Totals
ASSETS			
Cash and investments	\$ -	\$ -	\$ 1,562,742
Receivables:			
Taxes and assessments	2,389	2,389	12,104
Interest	4	4	779
Due from other funds	-	-	400,785
Total assets	<u>\$ 2,393</u>	<u>\$ 2,393</u>	<u>\$ 1,976,410</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable and accrued liabilities	\$ -	\$ -	\$ 11,501
Due to other funds	275,217	275,217	400,785
Total liabilities	<u>275,217</u>	<u>275,217</u>	<u>412,286</u>
Fund Balances:			
Assigned	-	-	1,963,813
Unassigned (deficit)	(272,824)	(272,824)	(399,689)
Total fund balances	<u>(272,824)</u>	<u>(272,824)</u>	<u>1,564,124</u>
Total liabilities and fund balances	<u>\$ 2,393</u>	<u>\$ 2,393</u>	<u>\$ 1,976,410</u>

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City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Maintenance District Special Revenue Funds

For the year ended June 30, 2016

	Northwood Village	Orchard Parks Estates	Wildwood Estates	Woodview Garland
REVENUES:				
Taxes and assessments	\$ 4,534	\$ -	\$ 2,098	\$ 391
Use of money and property	-	190	-	-
Total revenues	<u>4,534</u>	<u>190</u>	<u>2,098</u>	<u>391</u>
EXPENDITURES:				
Current:				
Urban redevelopment and housing	8,923	5,623	2,076	893
Total expenditures	<u>8,923</u>	<u>5,623</u>	<u>2,076</u>	<u>893</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>(4,389)</u>	<u>(5,433)</u>	<u>22</u>	<u>(502)</u>
OTHER FINANCING SOURCES (USES):				
Transfers out		(5,151)		
Total other financing sources and uses	<u>-</u>	<u>(5,151)</u>	<u>-</u>	<u>-</u>
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	<u>(4,389)</u>	<u>(10,584)</u>	<u>22</u>	<u>(502)</u>
FUND BALANCES (DEFICITS):				
Beginning of year	(33,485)	123,477	(12,320)	(7,666)
End of year	<u>\$ (37,874)</u>	<u>\$ 112,893</u>	<u>\$ (12,298)</u>	<u>\$ (8,168)</u>

Shaffer Lakes West	Woodhaven	Sierra Parks	Shaffer Lakes East	Price Annexation	Sandlewood Square	Sub- Totals
\$ 2,283	\$ -	\$ 1,970	\$ 5,102	\$ 53,621	\$ 5,744	\$ 75,743
37	36	-	179	3	23	468
2,320	36	1,970	5,281	53,624	5,767	76,211
2,664	1,089	2,365	9,871	81,043	5,608	120,155
2,664	1,089	2,365	9,871	81,043	5,608	120,155
(344)	(1,053)	(395)	(4,590)	(27,419)	159	(43,944)
(1,044)	(989)	-	(4,945)	(292)	(624)	(13,045)
(1,044)	(989)	-	(4,945)	(292)	(624)	(13,045)
(1,388)	(2,042)	(395)	(9,535)	(27,711)	(465)	(56,989)
24,150	23,716	(30,776)	117,327	(5,882)	6,484	205,025
\$ 22,762	\$ 21,674	\$ (31,171)	\$ 107,792	\$ (33,593)	\$ 6,019	\$ 148,036

(continued)

City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Maintenance District Special Revenue Funds

For the year ended June 30, 2016

	Pajaro Dunes	Redwood Estates	Cottage Gardens	Airport Business Park
REVENUES:				
Taxes and assessments	\$ 3,440	\$ 3,630	\$ 409	\$ 4,954
Use of money and property	82	133	66	-
Total revenues	<u>3,522</u>	<u>3,763</u>	<u>475</u>	<u>4,954</u>
EXPENDITURES:				
Current:				
Urban redevelopment and housing	<u>3,571</u>	<u>4,878</u>	<u>1,129</u>	<u>7,538</u>
Total expenditures	<u>3,571</u>	<u>4,878</u>	<u>1,129</u>	<u>7,538</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>(49)</u>	<u>(1,115)</u>	<u>(654)</u>	<u>(2,584)</u>
OTHER FINANCING SOURCES (USES):				
Transfers out	<u>(2,254)</u>	<u>(3,659)</u>	<u>(1,829)</u>	<u>-</u>
Total other financing sources and uses	<u>(2,254)</u>	<u>(3,659)</u>	<u>(1,829)</u>	<u>-</u>
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	<u>(2,303)</u>	<u>(4,774)</u>	<u>(2,483)</u>	<u>(2,584)</u>
FUND BALANCES (DEFICITS):				
Beginning of year	<u>42,101</u>	<u>83,593</u>	<u>37,286</u>	<u>(1,177)</u>
End of year	<u>\$ 39,798</u>	<u>\$ 78,819</u>	<u>\$ 34,803</u>	<u>\$ (3,761)</u>

Silva Ranch	Mello Ranch	Camelia Estates	Juniper Meadows	Camelia Meadows	Sub- Totals
\$ -	\$ 15,160	\$ 87	\$ 1,008	\$ 1,805	\$ 30,493
237	274	46	21	93	952
237	15,434	133	1,029	1,898	31,445
6,536	17,910	1,109	816	2,068	45,555
6,536	17,910	1,109	816	2,068	45,555
(6,299)	(2,476)	(976)	213	(170)	(14,110)
(6,295)	(7,385)	(1,259)	(563)	(2,550)	(25,794)
(6,295)	(7,385)	(1,259)	(563)	(2,550)	(25,794)
(12,594)	(9,861)	(2,235)	(350)	(2,720)	(39,904)
150,853	170,737	29,885	3,810	58,716	575,804
\$ 138,259	\$ 160,876	\$ 27,650	\$ 3,460	\$ 55,996	\$ 535,900

(continued)

City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Maintenance District Special Revenue Funds

For the year ended June 30, 2016

	Stone Creek	America West	Bell Crossing	Atwater South
REVENUES:				
Taxes and assessments	\$ 6,969	\$ 8,159	\$ 10,930	\$ 10,779
Use of money and property	371	110	54	393
Total revenues	<u>7,340</u>	<u>8,269</u>	<u>10,984</u>	<u>11,172</u>
EXPENDITURES:				
Current:				
Urban redevelopment and housing	10,822	1,868	11,278	19,491
Total expenditures	<u>10,822</u>	<u>1,868</u>	<u>11,278</u>	<u>19,491</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>(3,482)</u>	<u>6,401</u>	<u>(294)</u>	<u>(8,319)</u>
OTHER FINANCING SOURCES (USES):				
Transfers in	-	-	-	-
Transfers out	(10,258)	(3,356)	(1,554)	(10,912)
Total other financing sources and uses	<u>(10,258)</u>	<u>(3,356)</u>	<u>(1,554)</u>	<u>(10,912)</u>
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	<u>(13,740)</u>	<u>3,045</u>	<u>(1,848)</u>	<u>(19,231)</u>
FUND BALANCES (DEFICITS):				
Beginning of year	241,166	70,769	34,447	257,152
End of year	<u>\$ 227,426</u>	<u>\$ 73,814</u>	<u>\$ 32,599</u>	<u>\$ 237,921</u>

Beluga Court	Mello Ranch 2	Meadow View	Aspenwood	Applegate Ranch	Reserve	Sub- Totals
\$ 83	\$ 15,500	\$ 9,318	\$ 11,721	\$ 6,616	\$ -	\$ 80,075
9	433	274	161	55	23	1,883
92	15,933	9,592	11,882	6,671	23	81,958
66	13,512	9,874	4,357	5,847	1,484	78,599
66	13,512	9,874	4,357	5,847	1,484	78,599
26	2,421	(282)	7,525	824	(1,461)	3,359
-	-	-	-	-	91,726	91,726
(259)	(11,743)	(7,582)	(4,543)	(1,605)	(595)	(52,407)
(259)	(11,743)	(7,582)	(4,543)	(1,605)	91,131	39,319
(233)	(9,322)	(7,864)	2,982	(781)	89,670	42,678
5,973	266,790	174,333	100,875	35,411	(76,582)	1,110,334
\$ 5,740	\$ 257,468	\$ 166,469	\$ 103,857	\$ 34,630	\$ 13,088	\$ 1,153,012

(continued)

City of Atwater, California

Combining Statement of Revenues, Expenditures and Changes in Fund Balances

Maintenance District Special Revenue Funds

For the year ended June 30, 2016

	CFD Districts	Sub-Totals	Totals
REVENUES:			
Taxes and assessments	\$ 388,451	\$ 388,451	\$ 574,762
Use of money and property	14	14	3,317
Total revenues	<u>388,465</u>	<u>388,465</u>	<u>578,079</u>
EXPENDITURES:			
Current:			
Urban redevelopment and housing	<u>(12,619)</u>	<u>(12,619)</u>	<u>231,690</u>
Total expenditures	<u>(12,619)</u>	<u>(12,619)</u>	<u>231,690</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>401,084</u>	<u>401,084</u>	<u>346,389</u>
OTHER FINANCING SOURCES (USES):			
Transfers in	-	-	91,726
Transfers out	<u>(480)</u>	<u>(480)</u>	<u>(91,726)</u>
Total other financing sources and uses	<u>(480)</u>	<u>(480)</u>	<u>-</u>
REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER FINANCING (USES)	<u>400,604</u>	<u>400,604</u>	<u>346,389</u>
FUND BALANCES (DEFICITS):			
Beginning of year	<u>(673,428)</u>	<u>(673,428)</u>	<u>1,217,735</u>
End of year	<u>\$ (272,824)</u>	<u>\$ (272,824)</u>	<u>\$ 1,564,124</u>

(concluded)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Northwood Village - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final
	Original	Final		Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 4,534	\$ 4,534
Total revenues	-	-	4,534	4,534
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	8,923	(8,923)
Total expenditures	-	-	8,923	(8,923)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(4,389)	(4,389)
Net change in fund balances	-	-	(4,389)	(4,389)
FUND BALANCES (DEFICITS):				
Beginning of year	(33,485)	(33,485)	(33,485)	-
End of year	<u>\$ (33,485)</u>	<u>\$ (33,485)</u>	<u>\$ (37,874)</u>	<u>\$ (4,389)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Orchard Parks Estates - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ -	\$ -
Use of money and property	-	-	190	190
Total revenues	-	-	190	190
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	5,623	(5,623)
Total expenditures	-	-	5,623	(5,623)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(5,433)	(5,433)
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	(5,151)	(5,151)
Total other financing sources (uses)	-	-	(5,151)	(5,151)
Net change in fund balances	-	-	(10,584)	(10,584)
FUND BALANCES:				
Beginning of year	123,477	123,477	123,477	-
End of year	<u>\$ 123,477</u>	<u>\$ 123,477</u>	<u>\$ 112,893</u>	<u>\$ (10,584)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Wildwood Estates - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 2,098	\$ 2,098
Total revenues	-	-	2,098	2,098
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	2,076	(2,076)
Total expenditures	-	-	2,076	(2,076)
REVENUES OVER (UNDER) EXPENDITURES	-	-	22	22
Net change in fund balances	-	-	22	22
FUND BALANCES (DEFICITS):				
Beginning of year	(12,320)	(12,320)	(12,320)	-
End of year	<u>\$ (12,320)</u>	<u>\$ (12,320)</u>	<u>\$ (12,298)</u>	<u>\$ 22</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Woodview Garland - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 391	\$ 391
Total revenues	-	-	391	391
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	893	(893)
Total expenditures	-	-	893	(893)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(502)	(502)
Net change in fund balances	-	-	(502)	(502)
FUND BALANCES (DEFICITS):				
Beginning of year	(7,666)	(7,666)	(7,666)	-
End of year	<u>\$ (7,666)</u>	<u>\$ (7,666)</u>	<u>\$ (8,168)</u>	<u>\$ (502)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Shaffer Lakes West - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 2,283	\$ 2,283
Use of money and property	-	-	37	37
Total revenues	-	-	2,320	2,320
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	2,664	(2,664)
Total expenditures	-	-	2,664	(2,664)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(344)	(344)
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	(1,044)	(1,044)
Total other financing sources (uses)	-	-	(1,044)	(1,044)
Net change in fund balances	-	-	(1,388)	(1,388)
FUND BALANCES:				
Beginning of year	24,150	24,150	24,150	-
End of year	\$ 24,150	\$ 24,150	\$ 22,762	\$ (1,388)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Woodhaven - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final
	Original	Final		Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ -	\$ -
Use of money and property	-	-	36	36
Total revenues	-	-	36	36
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	1,089	(1,089)
Total expenditures	-	-	1,089	(1,089)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(1,053)	(1,053)
OTHER FINANCING SOURCES (USES):				
Transfers out			(989)	(989)
Total other financing sources (uses)	-	-	(989)	(989)
Net change in fund balances	-	-	(2,042)	(2,042)
FUND BALANCES:				
Beginning of year	23,716	23,716	23,716	-
End of year	<u>\$ 23,716</u>	<u>\$ 23,716</u>	<u>\$ 21,674</u>	<u>\$ (2,042)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Sierra Parks - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 1,970	\$ 1,970
Total revenues	-	-	1,970	1,970
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	2,365	(2,365)
Total expenditures	-	-	2,365	(2,365)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(395)	(395)
Net change in fund balances	-	-	(395)	(395)
FUND BALANCES (DEFICITS):				
Beginning of year	(30,776)	(30,776)	(30,776)	-
End of year	<u>\$ (30,776)</u>	<u>\$ (30,776)</u>	<u>\$ (31,171)</u>	<u>\$ (395)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Shaffer Lakes East - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 5,102	\$ 5,102
Use of money and property	-	-	179	179
Total revenues	-	-	5,281	5,281
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	9,871	(9,871)
Total expenditures	-	-	9,871	(9,871)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(4,590)	(4,590)
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	(4,945)	(4,945)
Total other financing sources (uses)	-	-	(4,945)	(4,945)
Net change in fund balances	-	-	(9,535)	(9,535)
FUND BALANCES:				
Beginning of year	117,327	117,327	117,327	-
End of year	\$ 117,327	\$ 117,327	\$ 107,792	\$ (9,535)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Price Annexation - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final
	Original	Final		Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 53,621	\$ 53,621
Use of money and property	-	-	3	3
Total revenues	-	-	53,624	53,624
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	81,043	(81,043)
Total expenditures	-	-	81,043	(81,043)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(27,419)	(27,419)
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	(292)	(292)
Total other financing sources (uses)	-	-	(292)	(292)
Net change in fund balances	-	-	(27,711)	(27,711)
FUND BALANCES (DEFICITS):				
Beginning of year	(5,882)	(5,882)	(5,882)	-
End of year	<u>\$ (5,882)</u>	<u>\$ (5,882)</u>	<u>\$ (33,593)</u>	<u>\$ (27,711)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Sandalwood Square - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 5,744	\$ 5,744
Use of money and property	-	-	23	23
Total revenues	-	-	5,767	5,767
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	5,608	(5,608)
Total expenditures	-	-	5,608	(5,608)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	159	159
OTHER FINANCING SOURCES (USES):				
Transfers out			(624)	(624)
Total other financing sources (uses)	-	-	(624)	(624)
Net change in fund balances	-	-	(465)	(465)
FUND BALANCES:				
Beginning of year	6,484	6,484	6,484	-
End of year	\$ 6,484	\$ 6,484	\$ 6,019	\$ (465)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Pajaro Dunes - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 3,440	\$ 3,440
Use of money and property	-	-	82	82
Total revenues	-	-	3,522	3,522
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	3,571	(3,571)
Total expenditures	-	-	3,571	(3,571)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(49)	(49)
OTHER FINANCING SOURCES (USES):				
Transfers out			(2,254)	(2,254)
Total other financing sources (uses)	-	-	(2,254)	(2,254)
Net change in fund balances	-	-	(2,303)	(2,303)
FUND BALANCES:				
Beginning of year	42,101	42,101	42,101	-
End of year	\$ 42,101	\$ 42,101	\$ 39,798	\$ (2,303)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Redwood Estates - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 3,630	\$ 3,630
Use of money and property	-	-	133	133
Total revenues	-	-	3,763	3,763
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	4,878	(4,878)
Total expenditures	-	-	4,878	(4,878)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(1,115)	(1,115)
OTHER FINANCING SOURCES (USES):				
Transfers out			(3,659)	(3,659)
Total other financing sources (uses)	-	-	(3,659)	(3,659)
Net change in fund balances	-	-	(4,774)	(4,774)
FUND BALANCES:				
Beginning of year	83,593	83,593	83,593	-
End of year	\$ 83,593	\$ 83,593	\$ 78,819	\$ (4,774)

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Cottage Gardens - Maintenance District Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 409	\$ 409
Use of money and property	-	-	66	66
Total revenues	-	-	475	475
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	1,129	(1,129)
Total expenditures	-	-	1,129	(1,129)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(654)	(654)
OTHER FINANCING SOURCES (USES):				
Transfers out			(1,829)	(1,829)
Total other financing sources (uses)	-	-	(1,829)	(1,829)
Net change in fund balances	-	-	(2,483)	(2,483)
FUND BALANCES:				
Beginning of year	37,286	37,286	37,286	-
End of year	<u>\$ 37,286</u>	<u>\$ 37,286</u>	<u>\$ 34,803</u>	<u>\$ (2,483)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Airport Business Park - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final
	Original	Final		Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 4,954	\$ 4,954
Total revenues	-	-	4,954	4,954
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	7,538	(7,538)
Total expenditures	-	-	7,538	(7,538)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(2,584)	(2,584)
Net change in fund balances	-	-	(2,584)	(2,584)
FUND BALANCES (DEFICITS):				
Beginning of year	(1,177)	(1,177)	(1,177)	-
End of year	\$ (1,177)	\$ (1,177)	\$ (3,761)	\$ (2,584)

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Silva Ranch - Maintenance District Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Use of money and property	\$ -	\$ -	\$ 237	\$ 237
Total revenues	-	-	237	237
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	6,536	(6,536)
Total expenditures	-	-	6,536	(6,536)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(6,299)	(6,299)
OTHER FINANCING SOURCES (USES):				
Transfers out			(6,295)	(6,295)
Total other financing sources (uses)	-	-	(6,295)	(6,295)
Net change in fund balances	-	-	(12,594)	(12,594)
FUND BALANCES:				
Beginning of year	150,853	150,853	150,853	-
End of year	\$ 150,853	\$ 150,853	\$ 138,259	\$ (12,594)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Mello Ranch - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final Positive (Negative)
	Original	Final	Actual	
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 15,160	\$ 15,160
Use of money and property	-	-	274	274
Total revenues	-	-	15,434	15,434
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	17,910	(17,910)
Total expenditures	-	-	17,910	(17,910)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(2,476)	(2,476)
OTHER FINANCING SOURCES (USES):				
Transfers out			(7,385)	(7,385)
Total other financing sources (uses)	-	-	(7,385)	(7,385)
Net change in fund balances	-	-	(9,861)	(9,861)
FUND BALANCES:				
Beginning of year	170,737	170,737	170,737	-
End of year	\$ 170,737	\$ 170,737	\$ 160,876	\$ (9,861)

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Camelia Estates - Maintenance District Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 87	\$ 87
Use of money and property	-	-	46	46
Total revenues	-	-	133	133
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	1,109	(1,109)
Total expenditures	-	-	1,109	(1,109)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(976)	(976)
OTHER FINANCING SOURCES (USES):				
Transfers out			(1,259)	(1,259)
Total other financing sources (uses)	-	-	(1,259)	(1,259)
Net change in fund balances	-	-	(2,235)	(2,235)
FUND BALANCES:				
Beginning of year	29,885	29,885	29,885	-
End of year	\$ 29,885	\$ 29,885	\$ 27,650	\$ (2,235)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Juniper Meadows - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 1,008	\$ 1,008
Use of money and property	-	-	21	21
Total revenues	-	-	1,029	1,029
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	816	(816)
Total expenditures	-	-	816	(816)
REVENUES OVER (UNDER) EXPENDITURES	-	-	213	213
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	(563)	(563)
Total other financing sources (uses)	-	-	(563)	(563)
Net change in fund balances	-	-	(350)	(350)
FUND BALANCES:				
Beginning of year	3,810	3,810	3,810	-
End of year	<u>\$ 3,810</u>	<u>\$ 3,810</u>	<u>\$ 3,460</u>	<u>\$ (350)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Camelia Meadows - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 1,805	\$ 1,805
Use of money and property	-	-	93	93
Total revenues	-	-	1,898	1,898
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	2,068	(2,068)
Total expenditures	-	-	2,068	(2,068)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(170)	(170)
OTHER FINANCING SOURCES (USES):				
Transfers out			(2,550)	(2,550)
Total other financing sources (uses)	-	-	(2,550)	(2,550)
Net change in fund balances	-	-	(2,720)	(2,720)
FUND BALANCES (DEFICIT):				
Beginning of year	58,716	58,716	58,716	-
End of year	<u>\$ 58,716</u>	<u>\$ 58,716</u>	<u>\$ 55,996</u>	<u>\$ (2,720)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Stone Creek - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 6,969	\$ 6,969
Use of money and property	-	-	371	371
Total revenues	-	-	7,340	7,340
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	10,822	(10,822)
Total expenditures	-	-	10,822	(10,822)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(3,482)	(3,482)
OTHER FINANCING SOURCES (USES):				
Transfers out			(10,258)	(10,258)
Total other financing sources (uses)	-	-	(10,258)	(10,258)
Net change in fund balances	-	-	(13,740)	(13,740)
FUND BALANCES:				
Beginning of year	241,166	241,166	241,166	-
End of year	<u>\$ 241,166</u>	<u>\$ 241,166</u>	<u>\$ 227,426</u>	<u>\$ (13,740)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

America West - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 8,159	\$ 8,159
Use of money and property	-	-	110	110
Total revenues	-	-	8,269	8,269
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	1,868	(1,868)
Total expenditures	-	-	1,868	(1,868)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	6,401	6,401
OTHER FINANCING SOURCES (USES):				
Transfers out			(3,356)	(3,356)
Total other financing sources (uses)	-	-	(3,356)	(3,356)
Net change in fund balances	-	-	3,045	3,045
FUND BALANCES (DEFICITS):				
Beginning of year	70,769	70,769	70,769	-
End of year	\$ 70,769	\$ 70,769	\$ 73,814	\$ 3,045

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Bell Crossing - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 10,930	\$ 10,930
Use of money and property	-	-	54	54
Total revenues	-	-	10,984	10,984
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	11,278	(11,278)
Total expenditures	-	-	11,278	(11,278)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	(294)	(294)
OTHER FINANCING SOURCES (USES):				
Transfers out			(1,554)	(1,554)
Total other financing sources (uses)	-	-	(1,554)	(1,554)
Net change in fund balances	-	-	(1,848)	(1,848)
FUND BALANCES:				
Beginning of year	34,447	34,447	34,447	-
End of year	\$ 34,447	\$ 34,447	\$ 32,599	\$ (1,848)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Atwater South - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 10,779	\$ 10,779
Use of money and property	-	-	393	393
Total revenues	-	-	11,172	11,172
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	19,491	(19,491)
Total expenditures	-	-	19,491	(19,491)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(8,319)	(8,319)
OTHER FINANCING SOURCES (USES):				
Transfers out			(10,912)	(10,912)
Total other financing sources (uses)	-	-	(10,912)	(10,912)
Net change in fund balances	-	-	(19,231)	(19,231)
FUND BALANCES:				
Beginning of year	257,152	257,152	257,152	-
End of year	<u>\$ 257,152</u>	<u>\$ 257,152</u>	<u>\$ 237,921</u>	<u>\$ (19,231)</u>

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Beluga Court - Maintenance District Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 83	\$ 83
Use of money and property	-	-	9	9
Total revenues	-	-	92	92
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	66	(66)
Total expenditures	-	-	66	(66)
REVENUES OVER (UNDER) EXPENDITURES	-	-	26	26
OTHER FINANCING SOURCES (USES):				
Transfers out			(259)	(259)
Total other financing sources (uses)	-	-	(259)	(259)
Net change in fund balances	-	-	(233)	(233)
FUND BALANCES:				
Beginning of year	5,973	5,973	5,973	-
End of year	<u>\$ 5,973</u>	<u>\$ 5,973</u>	<u>\$ 5,740</u>	<u>\$ (233)</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Mello Ranch 2 - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts			Variance w/Final
	Original	Final	Actual	Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 15,500	\$ 15,500
Use of money and property	-	-	433	433
Total revenues	-	-	15,933	15,933
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	13,512	(13,512)
Total expenditures	-	-	13,512	(13,512)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	2,421	2,421
OTHER FINANCING SOURCES (USES):				
Transfers out			(11,743)	(11,743)
Total other financing sources (uses)	-	-	(11,743)	(11,743)
Net change in fund balances	-	-	(9,322)	(9,322)
FUND BALANCES:				
Beginning of year	266,790	266,790	266,790	-
End of year	\$ 266,790	\$ 266,790	\$ 257,468	\$ (9,322)

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Meadow View - Maintenance District Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final
	Original	Final		Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 9,318	\$ 9,318
Use of money and property	-	-	274	274
Total revenues	-	-	9,592	9,592
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	9,874	(9,874)
Total expenditures	-	-	9,874	(9,874)
REVENUES OVER (UNDER) EXPENDITURES	-	-	(282)	(282)
OTHER FINANCING SOURCES (USES):				
Transfers out			(7,582)	(7,582)
Total other financing sources (uses)	-	-	(7,582)	(7,582)
Net change in fund balances	-	-	(7,864)	(7,864)
FUND BALANCES:				
Beginning of year	174,333	174,333	174,333	-
End of year	\$ 174,333	\$ 174,333	\$ 166,469	\$ (7,864)

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Aspenwood - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 11,721	\$ 11,721
Use of money and property	-	-	161	161
Total revenues	-	-	11,882	11,882
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	4,357	(4,357)
Total expenditures	-	-	4,357	(4,357)
REVENUES OVER (UNDER) EXPENDITURES	-	-	7,525	7,525
OTHER FINANCING SOURCES (USES):				
Transfers out			(4,543)	(4,543)
Total other financing sources (uses)	-	-	(4,543)	(4,543)
Net change in fund balances	-	-	2,982	2,982
FUND BALANCES:				
Beginning of year	100,875	100,875	100,875	-
End of year	<u>\$ 100,875</u>	<u>\$ 100,875</u>	<u>\$ 103,857</u>	<u>\$ 2,982</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

Applegate Ranch - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final
	Original	Final		Positive (Negative)
REVENUES:				
Taxes and assessments	\$ -	\$ -	\$ 6,616	\$ 6,616
Use of money and property	-	-	55	55
Total revenues	-	-	6,671	6,671
EXPENDITURES:				
Current:				
Urban redevelopment and housing	-	-	5,847	(5,847)
Total expenditures	-	-	5,847	(5,847)
REVENUES OVER (UNDER)				
EXPENDITURES	-	-	824	824
OTHER FINANCING SOURCES (USES):				
Transfers out	-	-	(1,605)	(1,605)
Total other financing sources (uses)	-	-	(1,605)	(1,605)
Net change in fund balances	-	-	(781)	(781)
FUND BALANCES:				
Beginning of year	35,411	35,411	35,411	-
End of year	\$ 35,411	\$ 35,411	\$ 34,630	\$ (781)

City of Atwater, California**Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual****Reserve - Maintenance District Special Revenue Fund****For the year ended June 30, 2016**

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Use of money and property	\$ -	\$ -	\$ 23	23
Total revenues	-	-	23	23
EXPENDITURES:				
Current:				
Urban redevelopment and housing	1,950	1,950	1,484	466
Total expenditures	1,950	1,950	1,484	466
REVENUES OVER (UNDER) EXPENDITURES	(1,950)	(1,950)	(1,461)	489
OTHER FINANCING SOURCES (USES):				
Transfers in	-	-	91,726	91,726
Transfers out	-	-	(595)	(595)
Total other financing sources (uses)	-	-	91,131	91,131
Net change in fund balances	(1,950)	(1,950)	89,670	91,620
FUND BALANCES (DEFICITS):				
Beginning of year	(76,582)	(76,582)	(76,582)	-
End of year	<u>\$ (78,532)</u>	<u>\$ (78,532)</u>	<u>\$ 13,088</u>	<u>\$ 91,620</u>

City of Atwater, California

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget to Actual

CFD Districts - Maintenance District Special Revenue Fund

For the year ended June 30, 2016

	Budgeted Amounts		Actual	Variance w/Final Positive (Negative)
	Original	Final		
REVENUES:				
Taxes and assessments	\$ 365,658	\$ 365,658	\$ 388,451	\$ 22,793
Use of money and property	-	-	14	14
Total revenues	<u>365,658</u>	<u>365,658</u>	<u>388,465</u>	<u>22,807</u>
EXPENDITURES:				
Current:				
Urban redevelopment and housing	<u>371,800</u>	<u>371,800</u>	<u>(12,619)</u>	<u>384,419</u>
Total expenditures	<u>371,800</u>	<u>371,800</u>	<u>(12,619)</u>	<u>384,419</u>
REVENUES OVER (UNDER) EXPENDITURES	<u>(6,142)</u>	<u>(6,142)</u>	<u>401,084</u>	<u>407,226</u>
OTHER FINANCING SOURCES (USES):				
Transfers in	-	-	-	-
Transfers out	<u>-</u>	<u>-</u>	<u>(480)</u>	<u>(480)</u>
Total other financing sources (uses)	<u>-</u>	<u>-</u>	<u>(480)</u>	<u>(480)</u>
Net change in fund balances	<u>(6,142)</u>	<u>(6,142)</u>	<u>400,604</u>	<u>406,746</u>
FUND BALANCES (DEFICITS):				
Beginning of year	<u>(673,428)</u>	<u>(673,428)</u>	<u>(673,428)</u>	<u>-</u>
End of year	<u>\$ (679,570)</u>	<u>\$ (679,570)</u>	<u>\$ (272,824)</u>	<u>\$ 406,746</u>

INTERNAL SERVICE FUNDS

Fund Type	Description
Building Maintenance	Accounts for the activities of building maintenance, custodial service, and building modification projects on a City-wide basis.
Employee Benefits	Accounts for all activities for employee benefits that are provided by the City.
Risk Management Fund	Accounts for all activities of the City's self-insurance programs, the costs of which are distributed among designated user departments.
Information Technology Fund	Accounts for all activities of the City's computer networks, the costs of which are distributed among user departments using equitable formulas.

City of Atwater, California
Combining Statement of Net Position
Internal Service Funds
For the year ended June 30, 2016

	Building Maintenance	Employee Benefits	Risk Management
ASSETS			
Current assets:			
Cash and investments	\$ 587,081	\$ 773,169	\$ 570,103
Receivables:			
Accounts	21,377	933	-
Interest	194	281	192
Prepaid expenses	-	425	4,084
Total current assets	608,652	774,808	574,379
Noncurrent assets:			
Capital assets, net	654,742	-	83,920
Total noncurrent assets	654,742	-	83,920
Total assets	\$ 1,263,394	\$ 774,808	\$ 658,299
LIABILITIES AND NET POSITION			
Current liabilities:			
Accounts payable	\$ 62,588	16,287	\$ 5,764
Accrued liabilities	5,295	1,825	-
Compensated absences - current portion	1,322	-	-
Total current liabilities	69,205	18,112	5,764
Noncurrent liabilities:			
Compensated absences	14,483	-	-
Total liabilities	83,688	18,112	5,764
Net Position:			
Net investment in capital assets	654,742	-	83,920
Unrestricted	524,964	756,696	568,615
Total net position	1,179,706	756,696	652,535
Total liabilities and net position	\$ 1,263,394	\$ 774,808	\$ 658,299

Information Technology	Totals
\$ 69,783	\$ 2,000,136
-	22,310
26	693
59,293	63,802
129,102	2,086,941
401,120	1,139,782
401,120	1,139,782
\$ 530,222	\$ 3,226,723

\$ 50,518	\$ 135,157
-	7,120
-	1,322
50,518	143,599

-	14,483
50,518	158,082

401,120	1,139,782
78,584	1,928,859
479,704	3,068,641
\$ 530,222	\$ 3,226,723

City of Atwater, California

Combining Statement of Revenues, Expenses, and Changes in Net Position

Internal Service Funds

For the year ended June 30, 2016

	Building Maintenance	Employee Benefits	Risk Management
OPERATING REVENUES:			
Interdepartmental charges	\$ 868,407	\$ 837,102	\$ 465,854
Other	3,929	19,364	23,205
Total operating revenues	<u>872,336</u>	<u>856,466</u>	<u>489,059</u>
OPERATING EXPENSES:			
Salaries and benefits	184,368	-	-
Contractual services	104,110	66,637	64,706
Materials and supplies	3,842	-	-
Repairs and maintenance	369,603	-	-
Insurance	-	710,928	366,500
Utilities	138,844	-	-
Other operating costs	-	-	11,939
Depreciation	59,626	-	3,269
Total operating expenses	<u>860,393</u>	<u>777,565</u>	<u>446,414</u>
OPERATING INCOME (LOSS)	<u>11,943</u>	<u>78,901</u>	<u>42,645</u>
NONOPERATING REVENUES (EXPENSES):			
Interest revenue	907	1,225	725
Total non-operating revenues (expenses)	<u>907</u>	<u>1,225</u>	<u>725</u>
NET INCOME (LOSS) BEFORE TRANSFERS	12,850	80,126	43,370
Transfers in	-	-	-
Transfers out	-	-	-
Total transfers	<u>-</u>	<u>-</u>	<u>-</u>
Change in net position	12,850	80,126	43,370
NET POSITION:			
Beginning of year	1,166,856	676,570	609,165
End of year	<u>\$ 1,179,706</u>	<u>\$ 756,696</u>	<u>\$ 652,535</u>

Information Technology	Totals
\$ 263,081	\$ 2,434,444
-	46,498
263,081	2,480,942
-	184,368
148,712	384,165
-	3,842
-	369,603
-	1,077,428
-	138,844
138,124	150,063
51,744	114,639
338,580	2,422,952
(75,499)	57,990
97	2,954
97	2,954
(75,402)	60,944
-	-
-	-
-	-
(75,402)	60,944
555,106	3,007,697
\$ 479,704	\$ 3,068,641

City of Atwater, California
Combining Statement of Cash Flows
Internal Service Funds
For the year ended June 30, 2016

	Building Maintenance	Employee Benefits	Risk Management
CASH FLOWS FROM OPERATING ACTIVITIES:			
Cash received from interfund services provided	\$ 864,853	\$ 856,533	\$ 492,559
Cash paid to suppliers for goods and services	(655,889)	(777,597)	(442,747)
Cash paid to employees for services	(183,481)	(490)	-
Net cash provided (used) by operating activities	25,483	78,446	49,812
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:			
Transfers received	-	-	-
Transfers paid	-	-	-
Net cash provided (used) by noncapital financing activities	-	-	-
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:			
Acquisition and construction of capital assets	(92,979)	-	-
Proceeds from issuance of long-term debt	-	-	-
Proceeds from the sale of capital assets	-	-	-
Principal paid on long-term debt	-	-	-
Interest paid on long-term debt	-	-	-
Net cash (used) by capital and related financing activities	(92,979)	-	-
CASH FLOWS FROM INVESTING ACTIVITIES:			
Interest on investments	742	975	557
Net cash provided by investing activities	742	975	557
Net increase (decrease) in cash and cash equivalents	(66,754)	79,421	50,369
CASH AND CASH EQUIVALENTS:			
Beginning of year	653,835	693,748	519,734
End of year	<u>\$ 587,081</u>	<u>\$ 773,169</u>	<u>\$ 570,103</u>
Reconciliation of income from operations to net cash provided (used) by operating activities:			
Operating income (loss)	\$ 11,943	\$ 78,901	\$ 42,645
Adjustments to reconcile operating income to net cash provided by operating activities:			
Depreciation	59,626	-	3,269
(Increase) decrease in current assets:			
Accounts receivable	(7,483)	67	3,500
Prepaid expenses	-	(425)	(4,084)
Increase (decrease) in liabilities:			
Accounts payable	(39,490)	393	4,482
Accrued liabilities	151	(490)	-
Compensated absences	736	-	-
Net cash provided by operating activities	\$ 25,483	\$ 78,446	\$ 49,812

Information Technology		Totals	
\$	263,081	\$	2,477,026
	(283,121)		(2,159,354)
	-		(183,971)
	(20,040)		133,701
	-		-
	-		-
	-		-
	(39,071)		(132,050)
	-		-
	-		-
	-		-
	(39,071)		(132,050)
	77		2,351
	77		2,351
	(59,034)		4,002
	128,817		1,996,134
\$	69,783	\$	2,000,136
\$	(75,499)	\$	57,990
	51,744		114,639
	-		(3,916)
	(7,460)		(11,969)
	11,175		(23,440)
	-		(339)
	-		736
\$	(20,040)	\$	133,701

City of Atwater, California
Combining Statement of Assets and Liabilities
Agency Funds
June 30, 2016

	Sec 125 Medical	Sec 125 Dep Care	Community Facilities District #1	Totals
ASSETS				
Cash and investments	\$ 240	\$ -	\$ 73,985	\$ 74,225
Receivables:				
Interest	-	-	25	25
Assessments	-	-	2,373	2,373
Due from other funds	0	-	407	407
Total assets	<u>\$ 240</u>	<u>\$ -</u>	<u>\$ 76,790</u>	<u>\$ 77,030</u>
LIABILITIES				
Accounts payable and accrued liabilities	\$ -	\$ -	\$ -	\$ -
Due to other funds	-	407	-	407
Due to others	240	(407)	76,790	76,623
Total liabilities	<u>\$ 240</u>	<u>\$ -</u>	<u>\$ 76,790</u>	<u>\$ 77,030</u>

City of Atwater, California
Combining Statement of Changes in Assets and Liabilities
Agency Funds
For the year ended June 30, 2016

	Balance July 1, 2015	Additions	Deductions	Balance June 30, 2016
SECTION 125 MEDICAL				
ASSETS				
Cash and investments	\$ 484	\$ 240	\$ (484)	\$ 240
Due from other funds	-	-	-	-
Total assets	<u>\$ 484</u>	<u>\$ 240</u>	<u>\$ (484)</u>	<u>\$ 240</u>
LIABILITIES				
Accounts payable and accrued liabilities	\$ -	\$ -	\$ -	\$ -
Due to (from) others	484	240	(484)	240
Total liabilities	<u>\$ 484</u>	<u>\$ 240</u>	<u>\$ (484)</u>	<u>\$ 240</u>
SECTION 125 DEPENDENT CARE				
ASSETS				
Cash and investments	\$ 1,200	\$ -	\$ (1,200)	\$ -
Total assets	<u>\$ 1,200</u>	<u>\$ -</u>	<u>\$ (1,200)</u>	<u>\$ -</u>
LIABILITIES				
Due to other funds	\$ -	\$ 407	\$ -	\$ 407
Due to (from) others	1,200	(407)	(1,200)	(407)
Total liabilities	<u>\$ 1,200</u>	<u>\$ -</u>	<u>\$ (1,200)</u>	<u>\$ -</u>
COMMUNITY FACILITIES DISTRICT #1				
ASSETS				
Cash and investments	\$ 1,574,185	\$ 73,985	\$ (1,574,185)	\$ 73,985
Cash and investments held by trustees	689,427	-	(689,427)	-
Receivables:				
Interest	13	25	(13)	25
Assessments	72,224	2,373	(72,224)	2,373
Due from other funds	-	407	-	407
Total assets	<u>\$ 2,335,849</u>	<u>\$ 76,790</u>	<u>\$ (2,335,849)</u>	<u>\$ 76,790</u>
LIABILITIES				
Accounts payable	\$ -	\$ -	\$ -	\$ -
Due to (from) others	2,335,849	76,790	(2,335,849)	76,790
Total liabilities	<u>\$ 2,335,849</u>	<u>\$ 76,790</u>	<u>\$ (2,335,849)</u>	<u>\$ 76,790</u>

(continued)

City of Atwater, California

Combining Statement of Changes in Assets and Liabilities

Agency Funds

For the year ended June 30, 2016

	Balance July 1, 2015	Additions	Deductions	Balance June 30, 2016
TOTAL OF ALL AGENCY FUNDS				
ASSETS				
Cash and investments	\$ 1,575,869	\$ 74,225	\$ (1,575,869)	\$ 74,225
Cash and investments held by trustees	689,427	-	(689,427)	-
Receivables:				
Interest	13	25	(13)	25
Assessments	72,224	2,373	(72,224)	2,373
Due from other funds	-	407		407
Total assets	<u>\$ 2,337,533</u>	<u>\$ 77,030</u>	<u>\$ (2,337,533)</u>	<u>\$ 77,030</u>
LIABILITIES				
Accounts payable	\$ -	\$ -	\$ -	\$ -
Due to other funds	-	407	-	407
Due to (from) others	2,337,533	76,623	(2,337,533)	76,623
Total liabilities	<u>\$ 2,337,533</u>	<u>\$ 77,030</u>	<u>\$ (2,337,533)</u>	<u>\$ 77,030</u>

(concluded)

SUPPLEMENTAL SCHEDULE

City of Atwater, California
Schedule of Debt Service Coverage
June 30, 2016 and 2015

collect rates and charges for the Wastewater System, respectively, which will be at least sufficient to yield "Net Revenues" equal to 120% of debt service (including the Installment Payments and debt service on other Parity Debt) coming due and payable during such Fiscal Year.

	2016	2015
Service charges	\$ 11,127,331	\$ 11,315,036
Connection fees	333,961	211,360
Total service charges	11,461,292	11,526,396
Investment income	29,124	2,371
Other income	9,371	34,878
Total miscellaneous revenue	38,495	37,249
Total Revenue	\$ 11,499,787	\$ 11,563,645
Personnel costs	472,880	404,937
Supplies (1)	154,238	149,525
Professional Services (2)	1,515,931	1,388,077
Wastewater Treatment Plant Mgmt. Service (3)	1,886,743	2,255,545
Other Charges (1), (4)	436,453	415,205
Total Operations and Maintenance	4,466,245	4,613,289
Net Revenue Available For Debt Service	\$ 7,033,542	\$ 6,950,356
Debt service:		
2008 Wastewater Bond	\$ 1,347,856	\$ 1,348,781
2010 Wastewater Bond	3,244,030	3,245,030
2011 Wastewater Bond	683,100	683,700
Total debt service	\$ 5,274,986	\$ 5,277,511
Net Revenue After Debt Service		
Calculated coverage	1.33	1.32

Meets covenant restrictions

Yes

Yes

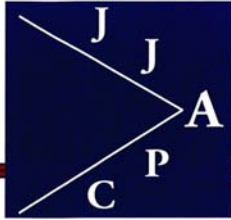
Notes:

(1) Includes Entries for Both Sewer Enterprise Fund and Wastewater Treatment Plant. Capital Expenses are funded by transfers from the Sewer Enterprise Capital Fund

(2) Includes Communications, Utilities, Memberships, Subscriptions, Travel, Conference, Meetings, Training, Rents, Leases and Miscellaneous

(3) Paid to Private Operator

(4) Includes Equipment, Streets, Water, Parks and Building Maintenance



JJACPA, Inc.

A Professional Accounting Services Corp.

**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON
COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING
STANDARDS**

Independent Auditor's Report

To the Honorable Mayor and City Council
of the City of Atwater
Atwater, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, the aggregate remaining fund information, and the budgetary comparison information of the City of Atwater (City), as of and for the year ended June 30, 2016, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated February 10, 2017.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

February 10, 2017

JJACPA, Inc.

JJACPA, Inc.
Dublin, CA

APPENDIX D

FORM OF FINAL OPINION OF BOND COUNSEL

Upon the delivery of the Bonds, Nossaman LLP proposes to render its final approving opinion with respect to the Bonds in substantially the following form:

[Closing Date]

[Addressees]

Re: \$56,600,000 City of Atwater Wastewater Revenue Refunding Bonds, Series 2017A

Ladies and Gentlemen:

We have acted as Bond Counsel to the City of Atwater (the "City") in connection with the sale and issuance of \$56,600,000 aggregate principal amount of the City's Wastewater Revenue Refunding Bonds, Series 2017A (the "Bonds"). The Bonds are being issued pursuant to the Constitution and laws of the State of California, including the provisions of Articles 10 and 11, Chapter 3, Part 1, Division 2, Title 5 (commencing with Section 53570) of the California Government Code, as amended, an Indenture of Trust, dated as of August 1, 2017 (the "Indenture"), between the City and The Bank of New York Mellon Trust Company, N.A., Los Angeles, California (the "Trustee") and a resolution of the City adopted July 10, 2017 (the "Resolution"). The City is obligated under the Indenture to pay principal of and interest on the Bonds solely from Gross Revenues (as defined in the Indenture).

As Bond Counsel we have examined copies certified to us as being true and complete copies of the proceedings of the City and in connection with the authorization and sale of the Bonds. In this connection, we have also examined such other documents, opinions and instruments as we have deemed necessary in order to render the opinions expressed herein. In such examination, we have assumed the genuineness of all signatures on original documents (other than signatures of the City) and the conformity to the original documents of all copies submitted to us. We have also assumed the due execution and delivery of all documents (other than with respect to the City) which we have examined where due execution and delivery are a prerequisite to the effectiveness thereof. As to the various questions of fact material to our opinion, we have relied upon statements or certificates of officers and representatives of the City, public officials and others.

On the basis of the foregoing examination and assumptions and in reliance thereon and on all such other matters of fact as we deemed relevant under the circumstances, and upon consideration of the applicable law, we are of the opinion that:

1. The Indenture has been duly adopted by the City and constitutes the valid and binding obligation of the City enforceable against the City in accordance with its terms. The Indenture creates a valid lien on and pledge of the Gross Revenues and other funds pledged thereby for the security of the Bonds, in accordance with the terms of the Indenture.

2. The Bonds have been duly authorized, executed and delivered by the City and are valid and binding special obligations of the City, payable solely from the sources provided therefor in the Indenture.

3. The obligation of the City to make payments on the Bonds does not constitute a debt of the City, or of the State of California or of any political subdivision thereof, within the meaning of any constitutional or statutory debt limit or restriction, and does not constitute an obligation for which the City is obligated to levy or pledge any form of taxation or for which the City has levied or pledged any form of taxation.

4. Interest received by the owners of the Bonds is excludable under existing statutes, regulations, rulings and court decisions, from gross income for Federal income tax purposes pursuant to Section 103(a) of the Internal Revenue Code of 1986, as amended (the "Code"). Interest on the Bonds is not a specific preference item for purposes of the federal individual or corporate alternative minimum taxes, although Bond Counsel observes that the interest is included in adjusted current earnings in calculating corporate alternative minimum taxable income. Interest received by the owners of the Bonds is exempt from personal income taxes of the State of California under present law.

In rendering the opinions expressed in paragraph 4 above, we are relying upon representations and covenants of the City in the Indenture and in the Tax Certificate of the City, dated as of the date hereof, concerning the use of the facilities refinanced with Bond proceeds, the investment and use of Bond proceeds and the rebate, if any, to the federal government of certain earnings thereon. In addition, we have assumed that all such representations are true and correct and that the City will comply with such covenants. We express no opinion with respect to the exclusion of the interest from gross income under Section 103(a) of the Code in the event that any such representations are untrue or the City fails to comply with such covenants. Except as stated above, we express no opinion as to any federal tax consequences of the receipt of interest on, or the ownership or disposition of, the Bonds.

Certain agreements, requirements and procedures contained or referred to in the Indenture, the Tax Certificate and other relevant documents may be changed, and certain actions (including, without limitation, defeasance of the Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. No opinion is expressed herein as to any payment of interest on the Bonds if any such change occurs or action is taken or omitted to be taken upon the advice or approval of counsel other than ourselves.

Further, we note that the rights of the owners of the Bonds and the enforceability of the Bonds or the Indenture may be subject to bankruptcy, insolvency, reorganization, arrangement, fraudulent conveyance, moratorium and other similar laws affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against governmental entities in the State of California. We express no opinion with respect to any indemnification, contribution, choice of law, choice of forum or waiver provisions contained in the foregoing documents. Finally, we undertake no responsibility herein for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Respectfully submitted

APPENDIX E
FORM OF CONTINUING DISCLOSURE CERTIFICATE

\$56,600,000
CITY OF ATWATER
WASTEWATER REVENUE REFUNDING BONDS
SERIES 2017A

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the City of Atwater ("City") in connection with the issuance of the above-entitled bonds (the "Bonds"). The Bonds are being issued pursuant to an Indenture of Trust, dated as of August 1, 2017 (the "Indenture") between the City and The Bank of New York Mellon Trust Company, N.A., Los Angeles, California (the "Trustee"). The City covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the City for the benefit of the Owners of the Bonds and in order to assist the Participating Underwriter (as defined herein) in complying with S.E.C. Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Indenture, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Reports provided by the City pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Disclosure Representative" shall mean the City Manager of the City, or his or her designee, or such other officer or employee as the City shall designate in writing to the Dissemination Agent, if other than the City, from time to time.

"Dissemination Agent" shall initially mean the City, or any successor Dissemination Agent designated in writing by the City and which has filed with the City a written acceptance of such designation.

"EMMA" shall mean the Municipal Securities Rulemaking Board's Electronic Municipal Market Access System for municipal securities disclosures, maintained on the Internet at <http://emma.msrb.org/>.

"Fiscal Year" shall mean the twelve month period beginning on July 1 of each year and ending on June 30 of the same year.

"Listed Events" shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

"Participating Underwriter" shall mean the original underwriter of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

"Repository" shall mean EMMA.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. Provision of Annual Reports.

(a) The City shall, or shall cause the Dissemination Agent to, annually not later than March 31 in each year following the end of the City’s Fiscal Year, commencing with the report for Fiscal Year ending June 30, 2017, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. Not later than fifteen (15) Business Days prior to said date, the City shall provide the Annual Report to the Dissemination Agent. In each case, the Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate. The information contained or incorporated in each Annual Report shall be for the Fiscal Year which ended on the preceding June 30. The City shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by it hereunder. The Dissemination Agent may conclusively rely upon such certifications of the City and shall have no liability, duty or obligation whatsoever to review any such Annual Report. Further, the Dissemination Agent shall have no liability for the contents of any such annual report.

(b) If the City is unable to provide to the Repository an Annual Report by the date required in this Section 3, the City shall send a notice in a timely manner to the Repository in substantially the form attached as Exhibit A.

(c) Not later than fifteen (15) Business Days prior to said date, the City shall provide the Annual Report to the Dissemination Agent (if other than the City). The Dissemination Agent shall:

(i) determine each year prior to the date for providing the Annual Report the name and address of the Repository, if any; and

(ii) if the Dissemination Agent is other than the City, file a report with the City certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and listing the Repository to which it was provided.

Section 4. Content of Annual Reports. The City’s Annual Report shall contain or incorporate by reference the most recent audited financial statements of the City prepared in accordance with generally accepted accounting principles promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the City’s audited financial statements are not available by the time the Annual Report is required to be filed pursuant to this Section, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available. In addition, the Annual Report shall contain an annual updating of the following tables and information contained in the Official Statement:

(i) Summary of accounts by customer class for the last completed fiscal year;

- (ii) Wastewater System rates and charges in effect for the last completed fiscal year;
- (iii) the average wastewater treatment inflow (dry weather flow) of the Wastewater System for the last completed fiscal year;
- (iv) the top ten Wastewater System customers based on revenue generated during the last completed fiscal year;
- (v) a summary of the debt of the Wastewater System outstanding as of the conclusion of the last completed fiscal year; and
- (vi) the actual operating results of the Wastewater System, including the debt service coverage calculation, for the last completed fiscal year.

In addition to any of the information expressly required to be provided under this Section, the City shall provide such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the City or related public entities, which have been submitted to the Repository or the Securities and Exchange Commission. If the document incorporated by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The City shall clearly identify each such other document so incorporated by reference.

Section 5. Reporting of Significant Events.

(a) The City shall give or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds not later than 10 business days after the occurrence of the event:

- 1. Principal and interest payment delinquencies;
- 2. Unscheduled draws on debt service reserves reflecting financial difficulties;
- 3. Unscheduled draws on credit enhancements reflecting financial difficulties;
- 4. Substitution of credit or liquidity providers, or their failure to perform;
- 5. Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
- 6. Tender offers;
- 7. Defeasances;

8. Rating changes; or
9. Bankruptcy, insolvency, receivership or similar event of the obligated person.

For the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The City shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, not later than ten (10) business days after the occurrence of the event:

1. Unless described in paragraph 5(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;
2. Modifications to rights of Bond holders;
3. Bond calls;
4. Release, substitution, or sale of property securing repayment of the Bonds;
5. Non-payment related defaults;
6. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or
7. Appointment of a successor or additional trustee or the change of name of a trustee.

(c) The City shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 4, as provided in Section 4(b).

(d) Whenever the City obtains knowledge of the occurrence of a Listed Event described Section 5(b), the City shall determine if such event would be material under applicable federal securities laws.

(e) If the City learns of the occurrence of a Listed Event described in Section 5(a), or determines that knowledge of a Listed Event described in Section 5(b) would be material under

applicable federal securities laws, the City shall within ten business days of occurrence file a notice of such occurrence with the Repository in electronic format, accompanied by such identifying information as is prescribed by the Repository. Notwithstanding the foregoing, notice of the Listed Event described in subsections (a)(7) or (b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Indenture.

(f) If the Dissemination Agent has been instructed by the City to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with the Repository. Notwithstanding the foregoing:

(i) Notice of the occurrence of a Listed Event described in subsections (a)(1), (4) or (5) shall be given by the Dissemination Agent to the extent it has knowledge thereof, unless the City gives the Dissemination Agent affirmative instructions not to disclose such occurrence; and

(ii) Notice of Listed Events described in subsections (a)(4) and (5) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Owners of the affected Bonds pursuant to the Indenture.

Section 6. Termination of Reporting Obligation. The City's obligations under this Disclosure Certificate shall terminate upon the defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the City shall give notice of such termination in the same manner as for a Listed Event under Section 5(e).

Section 7. Dissemination Agent. The City may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign by providing thirty (30) days written notice to the City. If at any time there is no designated Dissemination Agent appointed by the City, or if the Dissemination Agent so appointed is unwilling or unable to perform the duties of the Dissemination Agent hereunder, the City shall be the Dissemination Agent and undertake or assume its obligations hereunder.

Section 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the City may amend this Disclosure Certificate (and the Dissemination Agent shall agree to any amendment requested by the City, provided the Dissemination Agent shall not be obligated to enter into any amendment increasing or affecting its duties or obligations), and any provision of this Disclosure Certificate may be waived, if such amendment or waiver is supported by an opinion of counsel expert in federal securities law, acceptable to the City and the Dissemination Agent, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule.

Section 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the City chooses to include any

information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the City shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 10. Default. In the event of a failure of the City to comply with any provision of this Disclosure Certificate, the Dissemination Agent, at the written request of any Participating Underwriter or the Owners of at least 25% of the aggregate principal amount of the outstanding Bonds, shall (but only to the extent funds in any amount satisfactory to the Dissemination Agent have been provided to it or it has been otherwise indemnified to its satisfaction from any cost, liability, expense or additional charges whatsoever related thereto, including without limitation, fees and expenses of its attorneys), or any Bond owner may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the City to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Indenture and the sole remedy under this Disclosure Certificate in the event of any failure of the City to comply with this Disclosure Certificate shall be an action to compel performance.

Section 11. Duties, Immunities and Liabilities of the Dissemination Agent. The Indenture is hereby made applicable to this Disclosure Certificate as if this Disclosure Certificate were (solely for this purpose) contained in the Indenture. The Dissemination Agent shall be entitled to the protections and limitations afforded to the Trustee under said Indenture. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the City agree to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The Dissemination Agent shall be paid compensation by the City for its services provided hereunder in accordance with its schedule of fees as amended from time to time and shall be reimbursed by the City all expenses, legal fees and advances made or incurred by the Dissemination Agent in the performance of its duties hereunder. The Dissemination Agent shall not have any duty or obligation to review any information provided to it hereunder or shall be deemed to be acting in any fiduciary capacity for the City, the owners of the Bonds or any other party. The obligations of the City under this section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. Any company succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor to the Dissemination Agent hereunder without the execution or filing of any document or any further act.

Section 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the City, the Dissemination Agent, the Participating Underwriter and the Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: August 30, 2017

CITY OF ATWATER

By: _____
Interim City Manager

EXHIBIT A

**NOTICE OF MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT**

Name of Issuer: City of Atwater

Name of Issue: City of Atwater Wastewater Revenue Refunding Bonds,
Series 2017A

Date of Issuance: August 30, 2017

NOTICE IS HEREBY GIVEN that the City has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate. The City anticipates that the Annual Report will be filed by _____.

Dated: _____

CITY OF ATWATER

By: [no signature required; form only]

APPENDIX F

THE BOOK-ENTRY SYSTEM

The information concerning DTC set forth herein has been supplied by DTC, and the City assumes no responsibility for the accuracy thereof.

Unless a successor securities depository is designated pursuant to the Indenture, DTC will act as Securities Depository for the Bonds. The Bonds will be issued as fully-registered securities, registered in the name of Cede & Co., DTC's partnership nominee, or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC and Its Participants. DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve Enterprise, a "clearing corporation" within the meaning of the New York Uniform Commercial Code and a "clearing corporation" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfer and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC, in turn, is owned by a number of Direct Participants of DTC and Members of the National Securities Clearing Corporation, Fixed Income Clearing Corporation, and Emerging Markets Clearing Corporation (NSCC, FICC, and EMCC, also subsidiaries of DTCC) as well as by the New York Stock Exchange, Inc., the American Stock Exchange LLC, and the National Association of Securities Dealers, Inc. Access to the DTC system is also available to others, such as both U.S. and non-U.S. securities brokers and dealers, banks and trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has been rated "AA+" by S&P. The DTC Rules applicable to its Participants are on file with the Securities Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchase of Ownership Interests. Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their

ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Notices and Other Communications. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. THE CITY AND THE TRUSTEE WILL NOT HAVE ANY RESPONSIBILITY OR OBLIGATION TO SUCH DTC PARTICIPANTS OR THE PERSONS FOR WHOM THEY ACT AS NOMINEES WITH RESPECT TO THE BONDS.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Voting Rights. Neither DTC nor Cede & Co. will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's procedures. Under its usual procedures, DTC mails an Omnibus Proxy to an issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption Proceeds. Payments of principal and interest on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts on interest payment dates in accordance with their respective holdings shown on DTC's records unless DTC has reason to believe that it will not receive payment on the interest payment date. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, the Trustee, or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, principal and interest to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC is the responsibility of the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

THE TRUSTEE AND THE CITY SHALL NOT HAVE ANY RESPONSIBILITY OR OBLIGATION TO ANY DTC PARTICIPANT, ANY BENEFICIAL OWNER OR ANY OTHER PERSON CLAIMING A BENEFICIAL OWNERSHIP INTEREST IN THE BONDS UNDER OR THROUGH DTC OR ANY DTC PARTICIPANT, OR ANY OTHER PERSON WHICH IS NOT

SHOWN ON THE REGISTRATION BOOKS OF THE TRUSTEE AS BEING AN OWNER OF BONDS, WITH RESPECT TO THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY DTC PARTICIPANT; THE PAYMENT BY DTC OR ANY DTC PARTICIPANT OF ANY AMOUNT IN RESPECT OF THE PRINCIPAL OF, AND PREMIUM, IF ANY, OR INTEREST ON THE BONDS; ANY NOTICE WHICH IS PERMITTED OR REQUIRED TO BE GIVEN TO OWNER OF THE BONDS UNDER THE INDENTURE; THE SELECTION BY DTC OR ANY DIRECT OR INDIRECT PARTICIPANT OF ANY PERSON TO RECEIVE PAYMENT IN THE EVENT OF A PARTIAL REDEMPTION OF THE BONDS; ANY CONSENT OR OTHER ACTION TAKEN BY DTC AS OWNER OF THE BONDS; OR ANY OTHER PROCEDURES OR OBLIGATIONS OF DTC UNDER THE BOOK-ENTRY SYSTEM.

SO LONG AS CEDE & CO. IS THE REGISTERED OWNER OF THE BONDS, AS NOMINEE OF DTC, REFERENCES HEREIN TO THE REGISTERED OWNERS OF THE BONDS SHALL MEAN CEDE & CO., AS AFORESAID, AND SHALL NOT MEAN THE BENEFICIAL OWNERS OF THE BONDS (EXCEPT FOR THE MATTERS UNDER THE CAPTION "TAX MATTERS" HEREIN)

The foregoing description of the procedures and record keeping with respect to beneficial ownership interests in the Bonds, payment of principal and interest on the Bonds to DTC Participants or Beneficial Owners, confirmation and transfer of beneficial owner interest in such Bonds and other related transactions by and between DTC, the DTC Participants and the Beneficial Owner is based solely on information provided by DTC. Accordingly, no representations can be made concerning these matters, and neither the DTC Participants nor the Beneficial Owners should rely on the foregoing information with respect to such matters, but should instead confirm the same with DTC or the DTC Participants, as the case may be.

Discontinuance of Book-Entry System. DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the City or the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bonds are required to be printed and delivered as described in the Indenture.

The City may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In that event, Bonds will be printed and delivered as described in the Indenture.

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APPENDIX G

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER:

Policy No: -N

BONDS: \$ in aggregate principal amount of

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
1633 Broadway, New York, N.Y. 10019
(212) 974-0100

